UNIVERSITY OF CAPE COAST
COLLEGE OF DISTANCE EDUCATION

AUDIT & INTERNAL REVIEW

ACC 403D

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ABOUT THIS BOOK

This Course Book **"ACC 403D Audit and Internal Review"** has been exclusively written by experts in the discipline to up-date your general knowledge in Business in order to equip you with the basic tool you will require for your professional training as an accountant and administrator.

This three-credit course book of thirty-six (36) sessions has been structured to reflect the weekly three-hour lecture for this course in the University. Thus, each session is equivalent to a one-hour lecture on campus. As a distance learner, however, you are expected to spend a minimum of three hours and a maximum of five hours on each session.

To help you do this effectively, a Study Guide has been particularly designed to show you how this book can be used. In this study guide, your weekly schedules are clearly spelt out as well as dates for quizzes, assignments and examinations.

Also included in this book is a list of all symbols and their meanings. They are meant to draw your attention to vital issues of concern and activities you are expected to perform.

Blank sheets have been also inserted for your comments on topics that you may find difficult. Remember to bring these to the attention of your course tutor during your face-to-face meetings.

We wish you a happy and successful study.

Mr. Augustine Addo
Prof. Edward Marfo-Yiadom
Dr. Clement Lamboi Arthur

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SYMBOLS AND THEIR MEANINGS

INTRODUCTION

OVERVIEW

UNIT OBJECTIVES

SESSION OBJECTIVES

DO AN ACTIVITY

NOTE AN IMPORTANT POINT

TIME TO THINK AND ANSWER QUESTION(S)

REFER TO

READ OR LOOK AT

SUMMARY

SELF- ASSESSMENT TEST

ASSIGNMENT

UNIT 1: THE NATURE, PURPOSE AND SCOPE OF AUDITING

Unit Outline

Session 1: Development of Auditing
Session 2: Definition of and the Need for Auditing
Session 3: Types of Audits
Session 4: Stages of Audit Process
Session 5: Audit Committee
Session 6: Agency Theory and Auditing

Auditing is a basic business subject. In this manual, we shall be studying the audit of accounts (end products of stewardship function) which are used by managers of businesses and organization to communicate how their businesses have been managed. An unqualified or favourable audit report communicates to stakeholders that their business interests have been managed well and that they can rely on the picture that the financial statements portray.

Auditing is therefore a very onerous and demanding task and a high sense of competence, integrity, skill, experience and technical knowledge must be brought to bear on the process of auditing. Auditors may find themselves having to gather appropriate and sufficient evidence to enable them make informed judgements about a whole range of business situations. This can be best achieved if auditors understand how organizations operate and the environment in which they operate. Auditing is therefore a practical and real-world subject.

Unit Objectives

At the end of this chapter, you should be to:

1. describe the evolution of auditing as a subject;
2. explain the purpose and types of audit;
3. distinguish between different types of audit;
4. outline and explain the main stages of an audit;
5. outline the functions of audit committee; explain the relationship between the auditor, the directors and the members of the client company

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 1: DEVELOPMENT OF AUDITING

Welcome to session 1 of this module on auditing. We begin the study of auditing by examining the evolution and development of the subject. This will provide the necessary foundation for the other sessions covered in Unit 1 and indeed the rest of the module

Objective

At the end of this session, you should be able to trace the evolution of auditing and describe how the subject has developed from medieval age to modern day.

Now read on…

1.1 Historical Background

Evolution of auditing dates back to the medieval ages. Records have it that in ancient Egypt and Rome, people were employed to review work done by tax collectors and estate managers. It is also on record that in medieval Britain, an independent person was employed by the feudal barons to ensure that returns from tenant farmers accurately reflected revenues received from the estates.

In that era, the emphasis was on detection of fraud and irregularities. Further developments in the discipline have changed the forms of auditing and made it more demanding and sophisticated.

1.2 Development of Auditing of Today

It has been recognized that whenever a fiduciary relationship with financial implications exists, there is a need for a knowledgeable outsider to independently and objectively review the accounts of stewardship and to express an opinion as to their honesty or otherwise.

The accounts of stewardship, within the context of a company, is how the directors have dealt with the investments or assets of the company on behalf of the shareholders, the end product of the stewardship, being the financial statements (Income statement, Statement of financial position, Cash Flow statement, Value Added Statement and Directors Report).

Auditing of today is deeply rooted in the concept of separation of ownership from management in the affairs of companies. There is now the urgent need to safeguard the interests of the owners (the shareholders) who are not involved in the day-today decision made by the management (the board of directors).

Now the services of auditors are being employed to take up demanding task of independent examination of financial records produced by management and to express opinion as to their truth and fairness.

1.3 The Case of Ghana

In Ghana, the Companies Code (1963) Act 179 introduced the compulsory audit requirement. The appointed auditor (who should be a member of the Institute of Chartered Accountants - Ghana and not disqualified by any legislation) is expected to express an opinion on the truth and fairness of the income statement and the statement of financial position, both of which should be prepared by the directors and presented to the shareholders at an annual general meeting.

Self-Assessment Questions

Exercise 1.1

1. Explain the concept of separation of ownership and management as it relates to a company

2. The Companies Code makes it a statutory requirement for every public company to have its annual financial statements audited. Is this provision justifiable? Why?

SESSION 2: DEFINITION OF AND THE NEED FOR AUDITING

You are welcome to session 2. I hope you enjoyed the historical overview of auditing in the previous section. That's good.

Having studied how the subject evolved and how it has been legally and economically embraced in Ghana, the question that lingers on the lips of students of the subject is 'what at all is the subject auditing and why is it studied and practised? The answers to these two-tier questions are the subject matter of this section.

Objectives

At the end of this session, you should be able to

(a) define and explain auditing;
(b) explain the objectives of auditing;
(c) explain the advantages and limitations of auditing; and
(d) describe the structure of an auditing firm.

Now read on…

2.1 Definition of Auditing

Auditing is a process, carried out by an appointed qualified person or body, whereby the records and financial statements of an entity are subjected to independent examination in such detail as will enable the auditor form an opinion as to their truth and fairness.

It is also defined as the independent examination of the evidence from which financial statements of an entity are prepared in order to give the user of these financial statements confidence as to the truth and fairness of the state of affairs which they disclose.

You now know the simplistic definition of auditing. Let us explain some key words and phrases in the definition

a) "Independent Examinations" means the conduct of the audit should be carried out independent of the person who provided the records and the financial statements. The work of the auditor should not under any circumstance, be influenced by the client. An auditor cannot give an unbiased opinion unless he is independent of all the parties involved. Not only must the auditor be independent in fact and in attitude of mind, but he must also be seen to be independent.

b) 'Suitably qualified person' means the auditor should be professionally qualified, have the relevant skills, experience and integrity to carry out the examination.

c) 'Record and financial statements' include written authorization to effect the transactions, the source documents, the Books of Prime Entry, the Ledgers, the Trial Balance, the Income statement, the Statement of financial position, Cash Flow statement, Notes to the Accounts, Value Added Statements, directors Report, etc.

d) Opinion is the expression of the auditor's viewpoint about the financial statements after exercising his judgement about skills and based on the evidence gathered.

e) True and Fair means that the financial statements are free from material misstatement, proper books of accounts have been kept, the financial statements are consistent with the underlying records, the financial statements have been prepared in accordance with the acceptable accounting standards and relevant legislation, the assets and liabilities shown exist, properly valued and pertain to the entity and that all expenses and revenues stated relate to the operations of the business.

f) "Truth" implies that the information is factual and conforms to reality; it is not false. In addition, the information conforms to required standards and law. The accounts have been correctly extracted from the books and records.

g) "Fair" means that the information is free from discrimination and bias and in compliance with expected standards and rules. The accounts should reflect the commercial substance of the company's underlying transactions.

2.2 Need for Audit

The managers of the business (directors) are obliged to report to the owners (shareholders) on how their business has been managed. The owners, at this point, will like to assure themselves that:

- The report contains no errors.
- The report is not misleading.
- The report discloses all relevant information.

A way out of this problem of credibility in financial accounts and reporting is to appoint an independent person, referred to as an auditor, to investigate the report and express his opinion on it.

Modern companies have expanded; some across political boundaries. The preparation of accounts for such companies is complex since it imbibes various legislations, standards, conventions, policies and control systems. It is therefore essential that such accounts are examined by independent experts who have the skills and experience in examining financial statements.

Financial statements are required to comply with various legislations and standards. Compliance with this requirement can be assured if audit is carried out on financial statements.

There are many interested parties who use financial statements as a basis for making decisions. Bankers, creditors, employees, potential investors, etc, all have interest in the state of affairs of the company. The independent audit requirement fulfils the need to ensure that those financial statements are objectives, free from material misstatements, and are relevant to the needs of the users.

2.3 Objective and General Principles Governing an Audit of Financial Statements

2.3.1 Objective of an Audit of Financial Statements

The objective of an audit of financial statements is to enable the auditor to express an opinion whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.

2.3.2 Conduct of an Audit of Financial Statements

The auditor should conduct an audit in accordance with International Standards on Auditing [ISAs].

ISAs contain basic principles and essential procedures together with related guidance in the form of explanatory and other material, including appendices. The basic principles and essential procedures are to be understood and applied in the context of explanatory and other material that provide guidance for their application.

In conducting an audit, the auditor is also aware of, and considers International Auditing Practice Statements (IAPSs) applicable to the audit engagement. IAPSs provide interpretive guidance and practical assistance to auditors in implementing ISAs. An auditor who does not apply the guidance included in a relevant IAPS needs to be prepared to explain how the basic principles and essential procedures in the Standard addressed by the IAPS have been complied with.

The auditor may also conduct the audit in accordance with both ISAs and auditing standards of a specific jurisdiction or country.

2.3.3 Scope of an Audit of Financial Statements

The term ‘scope of an audit’ refers to the audit procedures that, in the auditor’s judgment and based on the ISAs, are deemed appropriate in the circumstances to achieve the objective of the audit.

In determining the audit procedures to be performed in conducting an audit in accordance with International Standards on Auditing, the auditor should comply with each of the International Standards on Auditing relevant to the audit.

In performing an audit, auditors may be required to comply with other professional, legal or regulatory requirements in addition to the ISAs. The ISAs do not override the local laws and regulations that govern an audit of financial statements. In the event that those laws and regulations differ from the ISAs, an audit conducted in accordance with the local laws and regulations will not automatically comply with ISAs.

When the auditor conducts the audit in accordance with ISAs and auditing standards of a specific jurisdiction or country, in addition to complying with each of the ISAs relevant to the audit, the auditor also performs any additional audit procedures necessary to comply with the relevant standards of that jurisdiction or country.

2.3.4 Professional Skepticism

The auditor should plan and perform an audit with an attitude of professional skepticism recognizing that circumstances may exist that cause the financial statements to be materially misstated.

An attitude of professional skepticism means the auditor makes a critical assessment, with a questioning mind, of the validity of audit evidence obtained and is alert to audit evidence that contradicts or brings into question the reliability of documents and responses to inquiries and other information obtained from management and those charged with governance. For example, an attitude of professional skepticism is necessary throughout the audit process for the auditor to reduce the risk of overlooking unusual circumstances, of over generalizing when drawing conclusions from audit observations, and of using faulty assumptions in determining the nature, timing and extent of the audit procedures and evaluating the results thereof. When making inquiries and performing other audit procedures, the auditor is not satisfied with less-than persuasive audit evidence based on a belief that management and those charged with governance are honest and have integrity. Accordingly, representations from management are not a substitute for obtaining sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion.

2.3.5 Reasonable Assurance

An auditor conducting an audit in accordance with ISAs obtains reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether due to fraud or error. Reasonable assurance is a concept relating to the accumulation of the audit evidence necessary for the auditor to conclude that there are no material misstatements in the financial statements taken as a whole. Reasonable assurance relates to the whole audit process.

An auditor cannot obtain absolute assurance because there are inherent limitations in an audit that affect the auditor¡¯s ability to detect material misstatements. These limitations result from factors such as the following:

- The use of testing.
- The inherent limitations of internal control (for example, the possibility of management override or collusion).
- The fact that most audit evidence is persuasive rather than conclusive.

Also, the work undertaken by the auditor to form an audit opinion is permeated by judgment, in particular regarding:

(a) The gathering of audit evidence, for example, in deciding the nature, timing and extent of audit procedures; and

(b) The drawing of conclusions based on the audit evidence gathered, for example, assessing the reasonableness of the estimates made by management in preparing the financial statements.

Further, other limitations may affect the persuasiveness of audit evidence available to draw conclusions on particular assertions (for example, transactions between related parties). In these cases, certain ISAs identify specified audit procedures which will, because of the nature of the particular assertions, provide sufficient appropriate audit evidence in the absence of:

(a) Unusual circumstances which increase the risk of material misstatement beyond that which would ordinarily be expected; or

(b) Any indication that a material misstatement has occurred.

Accordingly, because of the factors described above, an audit is not a guarantee that the financial statements are free from material misstatement, because absolute assurance is not attainable. Further, an audit opinion does not assure the future viability of the entity nor the efficiency or effectiveness with which management has conducted the affairs of the entity.

2.3.6 Audit Risk and Materiality

Entities pursue strategies to achieve their objectives, and depending on the nature of their operations and industry, the regulatory environment in which they operate, and their size and complexity, they face a variety of business risks. Management is responsible for identifying such risks and responding to them. However, not all risks relate to the preparation of the financial statements. The auditor is ultimately concerned only with risks that may affect the financial statements.

The auditor obtains and evaluates audit evidence to obtain reasonable assurance about whether the financial statements give a true and fair view or are presented fairly, in all material respects, in accordance with the applicable financial reporting framework. The concept of reasonable assurance acknowledges that there is a risk the audit opinion is inappropriate. The risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated is known as 'audit risk'.

The auditor should plan and perform the audit to reduce audit risk to an acceptably low level that is consistent with the objective of an audit. The auditor reduces audit risk by designing and performing audit procedures to obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base an audit opinion. Reasonable assurance is obtained when the auditor has reduced audit risk to an acceptably low level.

Audit risk is a function of the risk of material misstatement of the financial statements (or simply, the risk of material misstatement) (i.e., the risk that the financial statements are materially misstated prior to audit) and the risk that the auditor will not detect such misstatement (detection risk). The auditor performs audit procedures to assess the risk of material misstatement and seeks to limit detection risk by performing further audit procedures based on that assessment. The audit process involves the exercise of professional judgment in designing the audit approach, through focusing on what can go wrong (i.e., what are the potential misstatements that may arise) at the assertion level The auditor is concerned with material misstatements, and is not responsible for the detection of misstatements that are not material to the financial statements taken as a whole. The auditor considers whether the effect of identified uncorrected misstatements, both individually and in the aggregate, is material to the financial statements taken as a whole. Materiality and audit risk are related. In order to design audit procedures to determine whether there are misstatements that are material to the financial statements taken as a whole, the auditor considers the risk of material misstatement at two levels: the overall financial statement level and in relation to classes of transactions, account balances, and disclosures and the related assertions.

The auditor considers the risk of material misstatement at the overall financial statement level, which refers to risks of material misstatement that relate pervasively to the financial statements as a whole and potentially affect many assertions. Risks of this nature often relate to the entity¡¯s control environment (although these risks may also relate to other factors, such as declining economic conditions), and are not necessarily risks identifiable with specific assertions at the class of transactions, account balance, or disclosure level. Rather, this overall risk represents circumstances that increase the risk that there could be material Misstatements in any number of different assertions, for example, through management override of internal control. Such risks may be especially relevant to the auditor's consideration of the risk of material misstatement

arising from fraud. The auditor's response to the assessed risk of material misstatement at the overall financial statement level includes consideration of the knowledge, skill, and ability of personnel assigned significant engagement responsibilities, including whether to involve experts; the appropriate levels of supervision; and whether there are events or conditions that may cast significant doubt on the entity's ability to continue as a going concern.

The auditor also considers the risk of material misstatement at the class of transactions, account balance, and disclosure level because such consideration directly assists in determining the nature, timing, and extent of further audit procedures at the assertion level. The auditor seeks to obtain sufficient appropriate audit evidence at the class of transactions, account balance, and disclosure level in such a way that enables the auditor, at the completion of the audit, to express an opinion on the financial statements taken as a whole.

The discussion in the following paragraphs provides an explanation of the components of audit risk. The risk of material misstatement at the assertion level consists of two components as follows:

- Inherent risk is the susceptibility of an assertion to a misstatement that could be material, either individually or when aggregated with other misstatements, assuming that there are no related controls. The risk of such misstatement is greater for some assertions and related classes of transactions, account balances, and disclosures than for others. For example, complex calculations are more likely to be misstated than simple calculations. Accounts consisting of amounts derived from accounting estimates that are subject to significant measurement uncertainty pose greater risks than do accounts consisting of relatively routine, factual data.

- External circumstances giving rise to business risks may also influence inherent risk. For example, technological developments might make a particular product obsolete, thereby causing inventory to be more susceptible to overstatement. In addition to those circumstances that are peculiar to a specific assertion, factors in the entity and its environment that relate to several or all of the classes of transactions, account balances, or disclosures may influence the inherent risk related to a specific assertion. These latter factors include, for example, a lack of sufficient working capital to continue operations or a declining industry characterized by a large number of business failures.

Control risk is the risk that a misstatement that could occur in an assertion and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control. That risk is a function of the effectiveness of the design and operation of internal control in achieving the entity's objectives relevant to preparation of the entity's financial statements. Some control risk will always exist because of the inherent limitations of internal control.

Inherent risk and control risk are the entity's risks; they exist independently of the audit of the financial statements. The auditor is required to assess the risk of material misstatement at the assertion level as a basis for further audit procedures, though that assessment is a judgment, rather than a precise measurement of risk.

The ISAs do not ordinarily refer to inherent risk and control risk separately, but rather to a combined assessment of the risk of material misstatement. Although the ISAs ordinarily describe a combined assessment of the risk of material misstatement, the auditor may make separate or combined assessments of inherent and control risk depending on preferred audit techniques or methodologies and practical considerations. The assessment of the risk of material misstatement may be expressed in quantitative terms, such as in percentages, or in non-quantitative terms. In any case, the need for the auditor to make appropriate risk assessments is more important than the different approaches by which they may be made.

'Detection risk' is the risk that the auditor will not detect a misstatement that exists in an assertion that could be material, either individually or when aggregated with other misstatements. Detection risk is a function of the effectiveness of an audit procedure and of its application by the auditor. Detection risk cannot be reduced to zero because the auditor usually does not examine all of a class of transactions, account balance, or disclosure and because of other factors. Such other factors include the possibility that an auditor might select an inappropriate audit procedure, misapply an appropriate audit procedure, or misinterpret the audit results. These other factors ordinarily can be addressed through adequate planning, proper assignment of personnel to the engagement team, the application of professional skepticism, and supervision and review of the audit work performed.

Detection risk relates to the nature, timing, and extent of the auditor's procedures that are determined by the auditor to reduce audit risk to an acceptably low level. For a given level of audit risk, the acceptable level of detection risk bears an inverse relationship to the assessment of the risk of material misstatement at the assertion level. The greater the risk of material misstatement the auditor believes exists, the less the detection risk that can be accepted. Conversely, the less risk of material misstatement the auditor believes exist, the greater the detection risk that can be accepted.

2.3.7 Responsibility for the Financial Statements

While the auditor is responsible for forming and expressing an opinion on the financial statements, the responsibility for the preparation and presentation of the financial statements in accordance with the applicable financial reporting framework is that of the management of the entity, with oversight from those charged with governance. The term 'management' has been used in this ISA to describe those responsible for the preparation and presentation of the financial statements. Other terms may be appropriate depending on the legal framework in the particular jurisdiction.

The audit of the financial statements does not relieve management or those charged with governance of their responsibilities.
The term 'financial statements' refers to a structured representation of the financial information, which ordinarily includes accompanying notes, derived from accounting records and intended to communicate an entity's economic resources or obligations at a point in time or the changes therein for a period of time in accordance with a financial reporting framework. The term can refer to a complete set of financial statements, but it can also refer to a single financial statement, for example, a statement of financial position, or a statement of revenues and expenses, and related explanatory notes.

The requirements of the financial reporting framework determine the form and content of the financial statements and what constitutes a complete set of financial statements. For certain financial reporting frameworks, a single financial statement such as a cash flow statement and the related explanatory notes constitutes a complete set of financial statements. For example, the International Public Sector Accounting Standard (IPSAS), 'Financial Reporting Under the Cash Basis of Accounting,' states that the primary financial statement is a statement of cash receipts and payments when a public sector entity prepares and presents its financial statements in accordance with that IPSAS. Financial statements prepared by reference to International Financial Reporting Standards (IFRSs), on the other hand, are intended to provide information about the financial position, performance and cash flows of an entity. A complete set of financial statements under IFRSs includes a statement of financial position; an income statement; a statement of changes in equity; a cash flow statement; and notes, comprising a summary of significant accounting policies and other explanatory notes.

Management is responsible for identifying the financial reporting framework to be used in the preparation and presentation of the financial statements. Management is also responsible for preparing and presenting the financial statements in accordance with that applicable financial reporting framework.

This responsibility includes:

- Designing, implementing and maintaining internal control relevant to the preparation and presentation of financial statements that are free from material misstatement, whether due to fraud or error;
- Selecting and applying appropriate accounting policies; and
- Making accounting estimates that are reasonable in the circumstances.

The structures of governance vary from country to country, reflecting cultural and legal backgrounds. Therefore, the respective responsibilities of management and those charged with governance vary depending on the legal responsibilities in the particular jurisdiction.

2.3.8 Determining the Acceptability of the Financial Reporting

The auditor should determine whether the financial reporting framework adopted by management in preparing the financial statements is acceptable. The auditor ordinarily makes this determination when considering whether to accept the audit engagement. The auditor determines whether the financial reporting framework adopted by management is acceptable in view of the nature of the entity (for example, whether it is a business enterprise, a public sector entity or a not for profit organization) and the objective of the financial statements.

Financial Statements Designed to Meet the Financial Information Needs of Specific Users

In some cases, the objective of the financial statements will be to meet the financial information needs of specific users. The information needs of such users will determine the applicable financial reporting framework in these circumstances. Examples of financial reporting frameworks that address the needs of specific users are: a tax basis of accounting for a set of financial statements that accompany an entity's tax return; the financial reporting provisions of a government regulatory agency for a set of financial statements to meet the information needs of that agency; or a financial reporting framework established by the provisions of an agreement specifying the financial statements to be prepared. Financial statements prepared in accordance with such financial reporting frameworks may be the only financial statements prepared by an entity and, in such circumstances, are often used by users in addition to those for whom the financial reporting framework is designed. Despite the broad distribution of the financial statements in those circumstances, the financial statements are still considered to be designed to meet the financial information needs of specific users for purposes of the ISAs.

Many users of financial statements are not in a position to demand financial statements tailored to meet their specific information needs. While all the information needs of specific users cannot be met, there are financial information needs that are common to a wide range of users. Financial statements prepared in accordance with a financial reporting framework that is designed to meet the common information needs of a wide range of users are referred to as general purpose financial statements.

2.3.9 Financial Reporting Frameworks Established by Authorized or Recognized Organizations

At present, there is no objective and authoritative basis that has been generally recognized globally for judging the acceptability of financial reporting frameworks that have been designed for general purpose financial statements. Until such a basis exists, financial reporting frameworks established by organizations that are authorized or recognized to promulgate standards to be used by certain types of entities are presumed to be acceptable for general purpose financial statements prepared by such entities provided the organizations follow an established and transparent process involving deliberation and consideration of the views of a wide range of stakeholders Examples of such financial reporting frameworks include:

- IFRSs promulgated by the International Accounting Standards Board;
- IPSASs promulgated by the International Federation of Accountants. International Public Sector Accounting Standards Board; and
- Generally accepted accounting principles promulgated by a recognized standards setter in a particular jurisdiction.

These financial reporting frameworks are often identified as the applicable financial reporting framework in legislative and regulatory requirements governing the preparation of general-purpose financial statements.

2.3.10 Financial Reporting Frameworks Supplemented with Legislative and Regulatory Requirements

In some jurisdictions, legislative and regulatory requirements may supplement a financial reporting framework adopted by management with additional requirements relating to the preparation and presentation of financial statements. In these jurisdictions, the applicable financial reporting framework, for the purposes of applying the ISAs, encompasses both the identified financial reporting framework and such additional requirements, provided they do not conflict with the applicable financial reporting framework. This may, for example, be the case when additional requirements prescribe disclosures in addition to those required by the identified financial reporting framework or when they narrow the range of acceptable choices that can be made within the identified financial reporting framework. If the additional requirements conflict with the applicable financial reporting framework, the auditor discusses the nature of the requirements with management and whether the additional requirements

can be met through additional disclosures. If this is not possible, the auditor considers whether it is necessary to modify the auditor's report.

2.3.11 Jurisdictions that Do Not have an Authorized or Recognized Standards Setting Organization

When an entity is registered or operating in a jurisdiction that does not have an authorized or recognized standard setting organization, the entity identifies an applicable financial reporting framework. Alternatively, there may be established accounting conventions in a particular jurisdiction that are generally recognized as the applicable financial reporting framework for the general-purpose financial statements prepared by certain specified entities operating in that jurisdiction.

When such a financial reporting framework is adopted by the entity, the auditor determines whether the accounting conventions collectively can be considered to constitute an acceptable financial reporting framework for general purpose financial statements. When the accounting conventions are widely used in a particular jurisdiction, the accounting profession in that jurisdiction may have considered the acceptability of the financial reporting framework on behalf of the auditors. Alternatively, the auditor makes this determination by considering whether the accounting conventions exhibit attributes normally exhibited by acceptable financial reporting frameworks or by comparing the accounting conventions to the requirements of an existing financial reporting framework considered to be acceptable.

Acceptable financial reporting frameworks for general purpose financial statements normally exhibit the following attributes that result in information provided in financial statements that is useful to users:

(a) Relevance, in that the information provided in the financial statements is relevant to the nature of the entity and the objective of the financial statements. (For example, in the case of a business enterprise that prepares general purpose financial statements, relevance is assessed in terms of the information necessary to meet the common information needs of a wide range of users in making economic decisions. These needs are ordinarily met by presenting fairly the financial position, financial performance and cash flows of the business enterprise.)

(b) Completeness, in that transactions and events, account balances and disclosures that could affect the fair presentation of the financial statements are not omitted.

(c) Reliability, in that the information provided in the financial statements:
(i) Reflects the economic substance of events and transactions and not merely their legal form; and

(ii) Results in reasonably consistent evaluation, measurement, presentation and disclosure, when used in similar circumstances;

(d) Neutrality, in that it contributes to information in the financial statements that is free from bias; and

(e) Understandability, in that the information in the financial statements is clear and comprehensive and not subject to significantly different interpretation.

A conglomeration of accounting conventions devised to suit individual preferences is not an acceptable financial reporting framework for financial statements intended to address the common information needs of a wide range of users.

The description of the financial reporting framework in the financial statements includes information about the basis of preparation of the financial statements and the accounting policies selected and applied for significant transactions and other significant events.

The auditor may decide to compare the accounting conventions to the requirements of an existing framework considered to be acceptable such as, for example, IFRSs promulgated by the International Accounting Standards Board.

For an audit of a small entity, the auditor may decide to compare such accounting conventions to a financial reporting framework specifically developed for such entities by an authorized or recognized standard setting organization. When the auditor makes such a comparison and differences are identified, the decision as to whether the accounting conventions adopted by management constitute an acceptable financial reporting framework includes consideration of the reasons for the differences and whether application of the accounting conventions could result in financial statements that are misleading.

When the auditor concludes that the financial reporting framework adopted by management is not acceptable, the auditor considers the implications in relation to engagement acceptance

2.3.12 Expressing an Opinion on the Financial Statements

When the auditor is expressing an opinion on a complete set of general purpose financial statements prepared in accordance with a financial reporting framework that is designed to achieve fair presentation, the auditor refers to ISA 700, 'The Independent Auditor's Report on a Complete Set of General Purpose Financial Statements, for standards and guidance on the matters the auditor considers in forming an opinion on such financial statements and on the form and content of the auditor's report. The

auditor also refers to ISA 701 when expressing a modified audit opinion, including an emphasis of matter, a qualified opinion, a disclaimer of opinion or an adverse opinion.

The auditor refers to ISA 800 when expressing an opinion on:
(a) A complete set of financial statements prepared in accordance with another comprehensive basis of accounting;
(b) A component of a complete set of general purpose or special purpose financial statements, such as a single financial statement, specified accounts, elements of accounts, or items in a financial statement;
(c) Compliance with contractual agreements; and
(d) Summarized financial statements.

In addition to addressing reporting considerations, ISA 800 also addresses other matters the auditor considers in such engagements related to, for example, engagement acceptance and the conduct of the audit.

2.3.13 Public Sector Perspective

Irrespective of whether an audit is being conducted in the private or public sector, the basic principles of auditing remain the same. What may differ for audits carried out in the public sector is the audit objective and scope. These factors are often attributable to differences in the audit mandate and legal requirements or the form of reporting (for example, public sector entities may be required to prepared additional financial reports).

When carrying out audits of public sector entities, the auditor will need to take into account the specific requirements of any other relevant regulations, ordinances or ministerial directives which affect the audit mandate and any special auditing requirements, including the need to have regard to issues of national security. Audit mandates may be more specific than those in the private sector, and often encompass a wider range of objectives and a broader scope than is ordinarily applicable for the audit of private sector financial statements.

The mandates and requirements may also effect, for example, the extent of the auditor's discretion in establishing materiality, in reporting fraud and error, and in the form of the auditor's report. Differences in audit approach and style may also exist. However, these differences would not constitute a difference in the basic principles and essential procedures.

2.4 Objectives of Auditing

The primary aim of audit is to enable the auditor to express opinion as to the truth and fairness of the financial statements so as to add credibility to them.
The subsidiary objectives are:

- To detect errors and fraud

- To prevent errors and fraud
- To help the client to improve upon his accounting and internal control systems.

It must be emphasized that audit is not designed to identify errors, fraud and significant weaknesses in the client's systems but the audit work should be carried out in such a manner as to be able to unearth errors, frauds and weaknesses (if they exist).

2.5 Advantages of Audit

As stated earlier, audit is carried out to add credibility to the financial statements concerned and to assure stakeholders of the truth and fairness of the statements. Apart from the above advantages there are inherent advantages in having accounts audited, among them are the following:

a) Disputes between partners/management may be largely avoided especially where complicated profit sharing arrangements subsist. Independent examination of partnership accounts will ensure accurate assessment and division of profits.

b) Changes in ownership is facilitated by unqualified audit report. For example, the admission of a new partner or two sole proprietors merging their businesses to form a partnership is made easier than otherwise would have been the case, if previous audited accounts are available for examination.

c) Audited financial statements serve as reliable source of information for banks and other financial institutions when it comes to assessing the strength of loan/overdraft applicants.

d) Audited accounts, as adjusted for tax purposes, submitted to Internal Revenue Service carry greater authority than unaudited accounts.

e) The presence of a qualified auditor is useful because of the variety of other capacities in which he is able to assist. In the case of a company the auditor can offer taxation, information technology services, etc.

2.6 Disadvantages of an Audit

Disadvantages of an audit may be stated as follows:

a) The payment of audit fees: Auditors fees add extra financial burden to businesses. It is believed that, had it not been a statutory obligation, many companies would not engage the services of external auditors (in spite of the advantages outlined above). It is for this same reason that few partnerships and sole proprietors have their accounts audited.

b) Auditing requires the client's staff and management to provide information to the auditors. An external auditor should therefore plan his audit work carefully to minimize the disruption which his work will cause.

2.7 Limitations of Audit

There are some limitations in what the auditors do. The auditors' opinion is neither:

- A guarantee of the future viability of the entity; nor
- An assurance of management's efficiency and effectiveness

Even though the auditor, in course of the audit work, pays attention to both matters, neither of them represents the main purpose of an audit.

An audit work is focused on examining financial records and statements relating to past transaction and the verification of assets and liabilities held by the client at the end of the relevant accounting period. There is no guarantee or assurance from the auditors that what happened in the past will apply to the future.

The primary concern of auditors is how the decisions of management affect the financial statements and to recommend ways of improving the control systems. Auditors do not conduct extensive review of efficiency.

Auditors express an "opinion"; they do not certify whether a set of accounts is completely correct or not. What is 'reasonable assurance' depends largely on what a user of financial statements expects from the auditors' report. This limitation stems from the fact that: It is not practically possible for the auditor to examine all items within an account balance or class of accounts.
There is the possibility of collusion and misrepresentation for fraudulent purposes, and many audit evidence are persuasive (indicating what is probable) rather than conclusive (indicating what is definite).

2.8 The Expectation Gap

a) Many people still have some misconceptions about the role of the auditor and what auditing is meant for.
b) Many are those who think that the auditor's report to the directors of the company but not the members
c) Some people think that a qualified audit report is more useful to those who appoint the auditors than an unqualified report.
d) There is the misconception that it is the auditor's duty to detect fraud, (when in fact the detection of fraud is the responsibility of the directors).
e) These misconceptions point to the fact that 'expectation gap' still exists between what auditors do and what some people expect them to do.

2.9 The Structure of an Audit Firm

Audit firms have structured management.

a) The partners generally delegate decisions of routine management to the senior partner who reports to the full partnership at regularly convened meetings.

b) The Partnership Secretary reporting to the senior partner takes responsibility for administration, including preparation of agenda papers and minutes of meetings, accounting and management records, word processing, etc. The salaries paid to those involved in these activities form part of the firm's overhead.

c) The professional staff and partners maintain accurate time records to ensure that all time assigned to client affairs are properly billed at the appropriate hourly rate, determined in turn by reference to salaries. In this way, the firm recovers salary cost of professional staff and overheads. The excess of audit fees over these costs represents partnership profits, to be shared among the partners in their profit sharing ratios.

d) The professional staff are divided into departments (taxation, audit, consultancy, information technology, Accounts preparation services, liquidation, etc.) and seniority grades.

e) Partners are made responsible for the service given to client which each of them is designed 'assignment partner' but the detailed management of each assignment is the work of manager, who in turn takes charge of the work teams of juniors and seniors within the broad departmental areas.

f) In the interest of effective and profitable running of the firm, the following essential features must be emphasized:
   - Regular communication of progress on audit assignment
   - Timely communication of problem areas
   - Close supervision of work of juniors by seniors
   - Proper planning of work and its allocation to appropriate staff
   - Quality control, including evidence of work completed
   - Review of work done by managers and assignment partners.

It is also essential that audit firms pay particular attention to technical training and updating of staff knowledge through in-house bulletins, seminars, provision of library and data bank.

Self-Assessment Questions

Exercise 1.2

1. Vero and Augustine have been in unit 1 of partnership. They are reluctant to have their final account audited because they feel that the audit fees will reduce their distributable profit.
   Explain to the partners the advantages associated with having partnership accountants audited.
2. Give a definition to an audit and explain the significance of the terms therein.

This is a blank sheet for your short notes on:

- issues that are not clear; and
- difficult topics, if any.

SESSION 3: TYPES OF AUDITS

You are cordially welcome to session 3 of Unit 1 of this module. Write down the meaning of auditing before you continue. Well done. You might have realized by now the usefulness of auditing. There are number of audits that help realize the objective of auditing. In this session, we devote our discussions to the types of audit

Objectives

At the end of the session, you should be able to

(a) identify and explain the various types of audits;
(b) difference between complete audit, interim audit and final audit; and
(c) distinguish between private audit and statutory *audit*

3.1 Private Audit and Statutory Audit

a) A private audit is one undertaken at the instance of an interested party (e.g. a sole trader) or parties (partners of a partnership), even though there is no legal obligation that an audit be carried out. In the case of private audit, the scope of the audit may be determined as narrowly or as broadly as the client wishes.

b) A statutory audit arises under the Companies code as a result of which it is a statutory obligation for the accounts of every limited liability company to be audited annually by a professional qualified auditor. Statutory audits have their scope largely determined by the governing legislation which the client or the auditor has no authority to vary in any way. Despite the fact that the appointment of an auditor is a statutory requirement, the relationship between the company and the auditor is governed by contract.

3.2 External and Internal Audit

a) External audit is where independent persons are brought in from outside an organization to review the accounts prepared by management. The definition and objective of audit stated earlier in this chapter relate to external audit.
b) Internal audit is where an organization appoints a full time staff to monitor and report on the running of the company's operations.

The following table summarises the distinction between external auditors and internal auditors.

External Auditors	Internal Auditors
Independent of the organization	Responsible to Management, Managing director, Board of directors or Audit Committee
Responsibilities are fixed by statute	Responsibilities are specified by Management
Report to shareholders	Report to the Directors or Audit Committee
Perform work to enable them express an opinion on the truth and fairness of the accounts	Work may range over many operational and financial areas and activities, as determined by Management.

3.3 Complete Audit, Interim Audit and Continuous Audit

a) Complete audit applies to smaller concerns where the volume of transactions and complexity of records do not require the auditor's attendance more than one each year. This visit normally takes place as soon as the business's financial year ends and continues until it has been completed and the audit report signed.

b) Interim Audit: In the case of larger clients, the auditor will often find a necessary to proceed with the audit on an interim basis in view of the volume of testing to be undertaken in order to reach an opinion on the reliability of the records. Interim audits, as arranged with the co-operation of the client, may be bi-annual, quarterly or even monthly, depending on the volume of audit work considered necessary.

c) Continuous Audit: Where the system of internal control operated by a large company displays fundamental and material weaknesses, the auditor may be obliged to check a higher proportion of transactions than would otherwise be necessary, and in exceptional circumstances, members of the audit team may be required to execute checking work continuously throughout the period to which the accounts relate.

Self-Assessment Questions

Exercise 1.3

1 Outline the main differences in the roles on Internal and External audits.

2 Under what circumstances will the following types of audit be appropriate?
   (a) Complete audit
   (b) Interim audit
   (c) Continuous audit

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 4: THE STAGES OF AUDIT PROCESS

Welcome to session 4 of Unit 1. I hope you are enjoying the sessions. We continue our discussions by looking at the steps that auditors follow in carrying out an audit. You will realize as you go through the session that the steps are applicable to all types of audit assignments (even though in practice and in detail, each audit differs from the other)

Objective

At the end of this session you should be able to identify and explain the stages of an audit.

4.1 Stage 1

The objective of this stage is to discover the background and operational system on theoretical basis. Means of achieving the objective include the following:

- Selected management interview;
- Ascertain background and nature of business and the record;
- Reference to procedural manual and organizational chart; and
- Draft own system notes.

4.2 Stage 2

The objective of this stage is to discover the operational system in practice. This is achieved by:

- own observations;
- conducting selected walk through test on typical transaction; and
- preparing systems to flow diagrams.

4.3 Stage 3

The objective is to discover the strengths and weaknesses in the control systems in detail. This is achieved by:

- Completing all applicable sections of internal control questionnaire
- Conducting compliance tests as necessary, and
- Preparing memoranda on weak areas.

4.4 Stage 4

The audit objective is to evaluate the relative effect of weaknesses in each major operational area. Specific task to achieve the objective include:

- Considering the effect of weak areas with reference to materiality and any compensating controls completing internal control evaluation schedule after total effect of weaknesses already noted reporting effect of major weaknesses to management.

4.5 Stage 5

The objective is to confirm the reliability of the records as a basis for preparation of final accounts. Means of achieving this objective include:

- Preparation of detailed audit programme, specifying the nature of substantive tests and the extent of substantive tests of transactions and balances.
- Executing audit programme by applying depth testing techniques.

4.6 Stage 6

The objective is to ensure that the draft financial statements are in agreement with the underlying records. Means of achieving this objective include:

- Preparing detailed year-end schedules (Income statements schedules).
- Summarising individual items by cross reference to the records to the records and Statement of financial position schedules;
- Reconciling the movement of each item from previous statement of financial position to current statement of financial position.

4.7 Stage 7

The objective is to form an opinion as to whether the accounts as presented, give a true and fair view and comply with statutory and other requirements. Means of achieving the objective include:

- Obtaining letter of representation from chief executive;
- Completing verification of assets and liabilities;
- Executing statement of financial position audit programme;
- Executing analytical review;
- Considering effects of changes in accounting policy and post statement of financial position events; and
- Using check lists to cover all disclosure requirements post-audit review of files, audit programmes and accounts by independent partner.

4.8 Stage 8

The objective of this final stage is to express opinion in the audit report to members. At this stage, the auditor:

- reviews draft contents of Directors report;
- considers the need for qualification;
- refers any qualification to independent partners; and
- draft final audit report for inclusion in the published accounts

In the Auditors Operational Standard, the following five essential phases are highlighted: -

a) The auditor should adequately plan, control and record his work
b) The auditor should ascertain the enterprises system of recording and processing transactions and assess its adequacy as a basis for the preparation of financial statements.
c) The auditor should obtain relevant and reliable audit evidence sufficient to enable him to draw reasonable conclusions therefrom
d) If the auditor wishes to place reliance on any internal controls, he should ascertain and evaluate those controls and perform compliance tests on their operation.
e) The auditor should carry out such a review of the financial statements as is sufficient, in conjunction with the conclusions drawn from the other audit evidence obtained to give them a reasonable basis for his opinion on the financial statements.

Self-Assessment Questions

Exercise 1.4

1 Outline six objectives the auditor seeks to achieve in his chronology of audit assignment.

2 Outline the specific activities the auditor does to be able to achieve each of the following objectives:
   (a) to discover the background and operational system on theoretical basis
   (b) to discover the operational system in practice
   (c) to discover the strengths and weaknesses in the control systems in detail

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 5: AUDIT COMMITTEE

You are welcome to session 5 of unit 1. In this session we will discuss audit committee as a means of ensuring good corporate governance. Before you delve into the content of the session, try and outline the types of audit (by nature and by timing of conduct) and the steps involved in executing audit assignment. If you can do the said assignment without reference to the text, then we wish you safe entry into session 5.

Objectives

At the end of this session, you should be able to:

(a) explain why audit committees are now constituted in many public companies;
(b) outline the composition of audit committees; and
(c) state the main functions of audit committees

Now read on…

5.1 The Need for Audit Committee

In recent times, many big companies have adopted the idea of audit committees. The intent of this new development is to create space between the external auditors and the directors of the Client Company. The need to appoint audit committees has become all the more necessary following the Cadbury Committee Report in 1992.

5.2 Cadbury Committee Report

The report emphasized that all quoted companies should appoint a suitable number of non-executive independent directors who should play a keen part in monitoring corporate activity and the exercise of the stewardship functions of the executive management.

The report also recommended that financial reporting should incorporate a clear statement of management's statutory responsibilities and how these are to be distinguished from those of external auditors. The director's statement should include reference to their belief that the company is a going concern, the steps they have taken to affirm that status, and the circumstances that could threaten it

The report made it clear that independent directors should not allow themselves to become mere 'rubber-stamping' objects, but that they should exercise their free thinking faculties intelligently and objectively and be prepared to speak out against any actions of the executive directors with which they did not concur. Auditors should have unencumbered access to independent directors (whether or not the latter have been formally constituted as an audit committee).

It is also suggested that audit independence should be enhanced by periodic rotation of the audit partners responsible for the audit in question.

Other recommendations included the following:

- Granting auditors immunity from action when they report suspected management fraud to the authorities.
- Requiring directors to report on the adequacy of their company's internal controls.
- A compulsory audit review of the published interim reports, which may be extended to include statement of financial positions and cash flow statements.

5.3 Membership of an Audit Committee

Members are mainly non-executive officers of the company. It is their function to view the company's position in a detached and dispassionate manner and to liaise effectively between the main board and the external auditors.

5.4 Functions/Responsibilities of an Audit Committee

a) To review (formally and regularly) the financial results shown by both management accounts and those presented to shareholders.

b) To make recommendations for the improvement of management control

c) To ensure that there are adequate procedures for reviewing 'rights' circulars, interim statements, forecasts and other financial information before distribution to shareholders.

d) To assist external auditors in obtaining all the information they need and in resolving difficulties experienced by them in pursuing their independent examination.

e) To deal with any material reservations of the auditors regarding the company's management, its records and its final accounts; including the manner in which significant items are presented.

f) To facilitate a satisfactory working relationship between the management and auditors, and between the internal and external audit functions.

g) To be responsible for the appointment of auditors as well as fixing their remuneration.

h) To be available for consultation with the auditors at all times, if necessary, without the presence of management to discuss regularly and review the procedures employed by the auditors.

i) To be concerned with all matters relating to the disclosure by the accounts of a true and fair view for the benefit of all users.

Self-Assessment Questions

Exercise 1.5

1 Who constitutes an audit committees and how does it differ from an internal audit department?

2 What role does an audit committee play in promoting good corporate governance?

3 List some potential shortfalls associated with audit committees.

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 6: THE AGENCY THEORY AND AUDITING

We are getting close to the end of the first unit of the module. Let us conclude the unit by looking at how auditing strengthens the agency relationship that exists between the management of the company (Board of Directors) and the members (shareholders)

Objective

A t the end of the unit, you should be able to explain how auditing can be applied to agency theory.

Now read on…

6.1 Agents and Principals

Modern organizational theory views an organisation as being comprised of various interest groups. The relationships between the various interested parties in the company are often described in terms of agency theory. Agency relationship occurs when one party, the principal, employs another party, the agent, to perform a service on his behalf

For example, directors of a company can be seen as the agents of the shareholders; employees as the agents of directors and auditors as agents of shareholders.

Each principal must recognise the fact that although he is employing the agent, the agent will have interests of his own to protect and thus may not fully carry out the requirements of the principal

6.2 Agency Relationship Conflict

The directors have a duty of stewardship of the company's assets. However, they are also interested in their level of remuneration and if this increases the assets of the company goes down. The decision to award the directors pay increases is effectively in the hands of the directors themselves.

The auditors submit their report to the shareholders. However, the auditors know the decision to reappoint is effectively in the hands of the directors. They therefore have a potential conflict in carrying out their function and also remaining on good terms with the directors.

These agency relationships need to be recognised so that, perhaps steps can be taken by a principal to ensure that an agent works closer to the interests of the principal.

6.3 The Application of the Agency Theory to Auditing

Despite having recognised the conflicts of interest that may arise, agency theory predicts that matters can be organised so that, by behaving rationally, the agent would not act against the interest of the principal.

For example, the theory assumes that the shareholders will only buy shares if safeguards are in place to protect their interests. The legal requirement for audited accounts is one example of necessary precondition. In addition, management will recognise the desirability of an audit. If shareholders are suspicious of quality of an audit, they will not be prepared to invest. Management will therefore arrange for a proper audit as it is in their own interest to do so.

If this is true, then the practical effect of agency theory in auditing is to conclude that statutory regulation is unnecessary. The management of large companies will pay high fees for extensive and sophisticated audits as they have the greatest need to convince shareholders of the management's honesty.

In contrast, a small company where the management and shareholders are virtually the same group will not pay high fee for an audit. It can be argued that in the latter situation, this is a reasonable result, as the shareholders have no great need for an audit. However, this conclusion does not necessarily satisfy other users of the accounting information such as lenders (who may lend on the basis of the accounts) and the tax authorities (who assess liability to tax based on the profit reported in the accounts). The audit requirements for small companies have been substantially relaxed and that most of them are not legally required to have their accounts audited.

Self-Assessment Questions

Exercise 1.6

1. Explain the concept of Agency Theory as it relates to a public liability company

2. What role does the auditor play to uphold the basic tenets of the agency theory?

End of Unit Questions

Question 1

The audit process can be broken down into four main stages:

(a) planning;
(b) audit programme preparation;
(c) performance of audit tests;
(d) reporting.

You are required to describe the main steps in the audit process by referring to the four main stages outlined above. You should assume that the audit firm uses a risk-based auditing approach.

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

UNIT 2: REGULATORY FRAMEWORK OF AUDITING

Unit Outline

Session 1: The Auditor and the Companies Code
Session 2: Process of Audit Appointment
Session 3: Code of Ethics and Conduct - Fundamental Principles
Session 4: Code of Ethics: Ethical Requirements for Professional Auditors
Session 5: Overview of International Standards on Auditing
Session 6: Institutional Regulation of Audit Practice in Ghana

OVERVIEW

This unit outlines the regulatory framework in which audits take place. It specifically summarises the qualification, duties, powers and rights, appointment and removal process of an auditor as provided for in the Ghana Companies Code. It also talks about the qualities of an auditor and how he should conform to the professional ethical requirements as well as statutory regulation of audit practice.

Unit Objectives

At the end of this unit you should be able to:

1. outline the Companies Code provisions as to keeping proper books of accounts,
2. outline the qualifications of an external auditor;
3. state the powers, duties and statutory rights of an auditor;
4. describe the appointment and removal process of an auditor;
5. appreciate professional ethical requirements of audit.;
6. describe the ethical requirements relating to the appointment and removal of auditors;
7. outline the purpose and content of client screening process
8. detail the steps to be taken on a new client
9. outline the purpose and content of an engagement letter
10. describe external regulation of audit practice in Ghana

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 1: AUDITOR AND THE GHANA COMPANIES CODE

You are welcome to session 1 of Unit 2. Having been introduced to the nature and scope of auditing, we would like start our discussion on the regulatory framework of auditing by looking at what the Companies Code requires of an auditor.

Objectives

At the end of this session, you should be able to:

(a) outline what the auditor is expected to report on; and
(b) state who qualifies to be an auditor.

Now read on…

1.1 Keeping Proper Books of Accounts

The keeping of proper books of accounts by every company is made obligatory by the Companies Code. Proper books of accounts are not deemed to have been kept unless they portray a true and fair view of the state of the company's affairs, explain transactions and enable the preparation of proper income statement and statement of financial position.

The books of accounts must be opened at all times to inspection by the directors, secretary and auditors of the company.

The books must generally contain a proper record of financial affairs of the company, changes in the financial position and with respect to the control of and accounting for all property acquired. In particular, the books must show details of:

- All sums received and expended, and matters in respect of which the receipt and expenditure took place;
- All sales and purchases of property, goods and services;
- The company's assets and liabilities and the interest of shareholders.

1.3 Appointment and Remuneration of Auditors

1.3.1 Who Qualifies to be an Auditor?

For a person to qualify for appointment as an auditor of a private company, he must be a member of the Institute of Chartered Accountants, under the Chartered Accountants Act, 1963 (Act 170) or be a practising accountant within the meaning of the said Act and must not have been disqualified by means of legislative instrument issued at the instance of the Registrar. To qualify for appointment as auditor of a public company, a person must be a member of the Institute of Chartered Accountants as defined under the

Chartered Accountants Act 1963 (Act 170) and must not have been disqualified from acting as Auditor by any legislative instrument issued by the Registrar.

None of the following persons is entitled to act as auditor to either a private or a public company:

- An officer of the company or of any associated company;
- A person who is a partner or in the employment of an officer of the company, or of any associated company; save that partnership with a person acting as a Secretary or Registration Officer of the company or any associated company shall not constitute a disqualification;
- An infant;
- A person found by a competent court to be of unsound mind;
- A body corporate except that members of an incorporated partnership may be appointed;
- Anyone in respect of whom an order has been made under Section 186 of the Code so long as such order remains in force unless leave to act as auditor of the company concerned has been granted by the court in accordance with the said Section;
- An undischarged bankrupt, unless he shall have been leave to act as an auditor of the company concerned by the court which adjudged him bankrupt.

1.3.2 Who Appoints Auditors?

Auditors are generally appointed by the shareholders (members) of a company in a general meeting by ordinary resolution. It is however permissible for:

a) the directors to appoint the first auditors of the company and fill any casual vacancy in the office of the auditor;
b) The Registrar of Companies to appoint for a company if the company shall have had no auditors for a continuous period of three months.

In accordance with Section 134 (1), the written consent of a person is necessary before he can be appointed as auditor. Changes in the auditors must be notified to the Registrar of Companies for registration within 28 days after the occurrence of the change.

1.3.3 Who Fixes the Auditor's Remuneration?

Generally, the auditors' remuneration is fixed by the members of the company in a general meeting by an ordinary resolution or in such manner as the company may determine.

However, in the case of an auditor appointed by directors or by the Registrar of companies, the remuneration may be fixed by the directors or the Registrar as the case may be, for the period expiring at the conclusion of the next annual general meeting of the company.

1.4 Removal and Resignation of Auditor

1.4.1 Resignation of an Auditor

If auditors wish to resign partway through their term of office, they must carry out the following procedures:

(i) The auditors must deposit written notice of their resignation at the Registered office of the company. Resignation is effective on the day the notice is received, unless the auditors have specified some later date.

They must accompany such notice with a statement that either:

There were no circumstances connected with their resignation which they consider should be brought to the notice of the members or creditors of the company; or

A statement detailing any such surrounding circumstances.

ii. The company must send a copy of the auditors' resignation-notification and the statement of circumstances to the Registrar of companies.

Should the statement of circumstance so dictate, further copies must be sent to all members and all debenture holders of the company, and anyone else entitled to receive notice of general meetings.

The auditors may attach a signed requisition for the directors to convene an extraordinary general meeting, in order that the circumstances surrounding the resignation can be brought to the attention of the members.

Before the general meeting is convened, the auditors may request the company to circulate to its members a written statement of circumstances of reasonable length. The company must circulate this statement to al members to whom notice of the meeting is being sent. If for any reason this fails to happen, the statement can be read out at the meeting.

The auditors who have resigned may also exercise their other rights. They are entitled to receive all notices relating to the general meeting at which their term of office would have expired and any general meeting at which it is proposed to fill the casual vacancy caused by their resignation. They are entitled to attend such meetings and speak at them on any part of the business which concerns them as former auditors.

1.4.2 Removal of an Auditor

For the removal of an auditor to have effect, the following conditions must be observed:

There must be a resolution to remove the auditor or to appoint another person in his place.

The resolution must be passed at an annual general meeting of the company.

Written notice of the intention to move the resolution must have been given to the company not less than 35 days before the annual general meeting at which it is to be moved (14 days in the case of a resolution affecting the removal or replacement of an auditor appointed by the directors).

On its receipt, the company shall forthwith arrange for a copy thereof to be sent to the auditor concerned.

Notice of such resolution must be given by the company to its members at the same time, and in the same manner as it gives notice of the meeting, or if that is not practicable, notice must be given to the members in the same manner as notices of meetings are required to be given not less than 21 days before the meeting (7 days where the notice relates to a resolution to remove or replace an auditor appointed by directors).

The right of the auditor concerned to be heard on the resolution at the meeting must not be withheld.

The company should send with every notice of the annual general meeting, copies of any written statement submitted by the auditor, as he is entitled to do. If the statement is received too late, the company, has to circulate copies forthwith to every person entitled to notice of the meeting, in the same manner as notices of meetings are required to be given.

The court, may, on application by the company or some other aggrieved person, decide against the circulation of the auditors' statement because it is considered to be unreasonably long or amounts to an abuse of the right or an attempt to secure needless publicity of defamatory matter. This is without prejudice to the auditor's right to be heard orally at the company meeting and to have his written statement read to the meeting if so required by him.

If the resolution is duly passed, it takes effect only after the conclusion of the annual general meeting.

The objects of these statutory removal provisions are to preserve the right of the shareholders to appoint the auditors of their choice and to preserve the auditors' independence of the directors by not permitting directors, who may be in disagreement with the auditors, to dismiss them.

1.4.3 Other Types of Departure from Office

Auditors may be removed from office by a resolution at the annual general meeting to appoint new auditors. Special notice is required of such a resolution, and the auditors may, prior to the annual general meeting, make representations as to why they think they should stay in office.
Alternatively, auditors decline to offer themselves for re-election at the annual general meeting. In these circumstances, they can make representations about the resolution to appoint new auditors prior to the general meeting at which that resolution is discussed.

1.5 Rights and Responsibilities of an Auditor

1.5.1 Duties of the Auditor

The duties of the auditor as outlined in the companies code are as follows:

To make a report to the members of the company on all accounts and financial statements laid before the members in Annual General Meeting.
To state whether the financial statements of the company (or group of companies) show a true and fair view and have been properly prepared in accordance with the provisions of the code. To consider if any information in the Director's Report is consistent with the accounts and to report the facts if there are any of such instances.

To form an opinion as to whether proper accounting records have been kept by the company; proper returns adequate for their audit have been received from branches not visited by them; the company's statement of financial position and its income statement are in agreement with the accounting records and returns, and such information and explanations as he thinks necessary for the company's officers. (these matters are reported on by 'exception only' and that where the auditor is not satisfied, no mention is made in the report).

To outline in his report, details of directors' remuneration, loans to officers, transactions involving directors and other connected persons (if not disclosed in the financial statements themselves).

To make other special reports in various circumstances.
To make a "statement of circumstances" when he ceases to hold the office for any reason.

1.5.2 The Rights of the Auditor

The rights of auditors as laid down by section 136 of the code are as follows:

a) Right of access at all times to books of accounts and vouchers of the company.
b) Right to acquire from the officers, including the directors of the company, such information and explanation as are deemed necessary for the performance of the auditors' duties.
c) The right to attend any general meeting of the company and to receive notices of, and other communications relating to any general meeting on any part of the business of the meeting which concerns them as auditors.
d) The right to apply to the court for directions in relation to any matter arising in connection with the performance of their functions under the Code, and to have the costs of any such application met by the company, unless directed by the court.
e) The right to be notified in writing in the event of an intended resolution to remove them or appoint some other persons in their stead, to submit a written statement which must be circulated to members and be read, if so required, at the general meeting.
f) The right, before accepting appointment as auditor of a company, to communicate with a retiring auditor, if any; and
g) The right to contract with a company, in addition to their statutory duties to the members of the company, expressly or by implication, to undertake obligations to the company in relation to the detection of defalcations, and advice on accounting, taxation, raising of finance and other matters.

Self-Assessment Questions

Exercise 2.1

1 In accordance with Companies Code, describe what constitute proper books of accounts?
2 Justify the mandatory requirement that every public company should have its annual financial statements audited.
3 Who qualifies to appointed as an external auditor of a public company in Ghana?
4 What action should a company take if the auditor resigns prior to his completion of his term of office?
5 What conditions must a company observe to make the removal of an auditor effective.
6 Under what circumstances would a qualified accountant be ineligible for appointment as a company auditor?
7 What other services can external auditors provide for their clients (apart from auditing their final accounts)?
8 What must an auditor consider when reporting on a final account?
9 What are the duties of the auditor under the Companies Code?
10 Outline the statutory rights of an auditor.

SESSION 2: PROCESS OF AUDIT APPOINTMENT

You are now in the last session of Unit 2 where you would learn about the process of appointing an auditor. After knowing who qualifies to be an auditor, his rights and responsibilities and what the profession requires of him as to skills, competence, integrity and independence, it is appropriate that we start looking at the process of appointing external auditors.

The import of this session is to deal with the professional requirements governing the appointment of new auditors. One key issue is for the prospective auditor to communicate with the retiring auditor with the aim of discussing issues relating to the client.

There is also the professional requirement for the potential auditor to seek reference about the prospective client. Some potential auditors go through straight client screening process before accepting offer of appointment. This is to safeguard against suffering considerable adverse publicity and/or possible legal action for associating with not-doing-well or dubious client. Client screening process therefore aims at identifying risks associated with accepting the offer of a particular client and to assess the levels of controls.

The terminal point of the screening process is to decide on whether to accept the offer of appointment or not. If the offer is accepted, it then becomes necessary for the terms of the engagement to be formalized and confirmed through the letter of engagement.

Objectives

At the end of the session, you should be able to:

(a) outline the ethical, legal and practical issues the auditor should consider before accepting an audit engagement
(b) outline the purpose of engagement letter
(c) describe the main contents of an engagement letter

Now read on…

2.1 Pre-Accepting Conditions

Prior to acceptance of an offer of appointment, the auditors must ensure that the principles of integrity, objectivity, independence and other ethical requirements are not compromised. In addition, new auditors should ensure that they have been appointed in a proper manner, with particular reference to taking over from a retiring auditor.

2.1.1 Ethical Consideration

(a) If the fees from this appointment would exceed 15% of the gross fees of practice (other than new practice) then the appointment should not be accepted.
(b) Any personal relationship with an officer or employee of the company would be considered unethical.
c) Any financial involvement with the company such as a shareholding or a loan to or from the company would also be regarded as unethical.
d) Any conflict of interest should be avoided, such as advising two clients who are in dispute with each other.

2.1.2 Legal Consideration

The Companies Code prohibits officers or servants of the company or partners or employees of an officer or servant of the company from accepting the position of auditor to the company.

The auditor must be a member of the Institute of Chartered Accountants and must not have been disqualified by any statute (refer to the qualification of an auditor as outlined in the chapter above).

2.1.3 Practical Consideration

The auditors must ensure that the firm's existing resources (material, manpower, equipment etc) are adequate to service the needs of the new client. This raises questions of staff and time availability and technical expertise.

It is impossible for the appointment to be accepted because the auditing firm is not sufficiently large (in terms of staff and logistics) to audit the client company or is heavily engaged in other audits at the time the client would need his audit to be carried out.

Also, the firm may not have the necessary expertise, for example, in computing etc to provide a satisfactory service to the client.

The auditor may also consider the level of audit fees vis-à-vis the risks associated with the engagement. The auditor may decline to accept the offer if the fees cannot match with the associated risks.

2.1.4 Seeking Reference about the Client

It is important that the auditors obtain knowledge of the client's business sufficiently enough to enable them identify and appreciate issues that impact on the business of the client. Independent enquiries should be made concerning the status of the company.

The knowledge covers areas such as:

- general economics factors;
- industry conditions affecting the client's business;
- the entity itself, covering such aspects as composition of board of directors, management profile etc;
- the entity's products, market, supplies, expenses and operations;
- the entity's financial performance and condition;
- the reporting environment;

Sources of information about new clients include the following:

- previous auditors;
- confidential enquiries from prospective client's bankers, solicitors, underwriters, registrar etc;
- prior-year financial statements;
- professional rules, regulations and standards;
- specific rules and regulations pertaining to the industry;
- the regulations of the client's company

2.1.5 Communicating with the Present Auditors

One of the ethical requirements prior to the acceptance of an audit engagement is to obtain client's permission to write to the retiring auditors, enquiring if there is any professional reason why the appointment should not be accepted. The essence of this ethical requirement is to protect the shareholders and as a means of professional courtesy.

The auditors should request the prospective client's permission to communicate with previous auditors. If such permission is refused, they should decline the nomination.

If the permission is granted, the auditor should write to the previous auditors to request relevant information which will enable them take decision as to whether they should accept the nomination.

When the previous auditor receives the request from the prospective auditor, the former should request the client's permission to discuss the client's affairs freely with the latter. If the request is refused, the retiring auditors should report that fact to the prospective auditors. The offer may then be declined.

If the request is granted, they should frankly and freely discuss with the prospective all issues relevant to the appointment of which the latter should be aware, and disclose fully all information which appears to them to be relevant to the client's affairs.

2.2 Post-Acceptance Procedures

After going through the pre-acceptance procedure as outlined above, the prospective auditors will be in a position to accept the nomination or otherwise.

The following procedures should be carried out after accepting nomination:

a) The new auditors should ensure that the outgoing auditor's removal, retirement or resignation has been properly concluded and is in consonance with provisions of the Companies Code.
b) The new auditors should ensure that their appointment is valid and formalized. It Is essential that they obtain a copy of the resolution passed at the general meeting appointing them as the company's auditors.
c) Where portion of the outgoing auditors fees is still outstanding, the new auditor should join hands with the outgoing auditor to secure payment.
d) The new auditors should submit a letter of engagement to the directors of the client's company.
e) On taking up the appointment, the new auditors should make arrangements to collect all books, documents and papers that belong to the client company from the outgoing auditors. The outgoing auditors are expected to co-operate in that direction and transfer all such documents unless they have lien over the records as a result of outstanding fees.

2.3 Terms of Audit Engagement

2.3.1 Introduction

The auditor and the client should agree on the terms of the engagement. The agreed terms would need to be recorded in an audit engagement letter or other suitable form of contract.

When other services such as tax, accounting, or management advisory services are to be provided, separate letters may be appropriate.

In some countries, the objective and scope of an audit and the auditor's obligations are established by law. Even in those situations the auditor may still find audit engagement letters informative for their clients.

2.3.2 Audit Engagement Letters

It is in the interest of both client and auditor that the auditor sends an engagement letter, preferably before the commencement of the engagement, to help in avoiding misunderstandings with respect to the engagement. The engagement letter documents and confirms the auditor's acceptance of the appointment, the objective and scope of the audit, the extent of the auditor's responsibilities to the client and the form of any reports.

Purpose of Letter of Engagement

(a) To define clearly the extent of the auditors' and directors' responsibilities.
(b) By formalizing the terms of the engagement, it helps to minimize the possibilities of any misunderstanding between the auditors and the client.
c) It provides written confirmation of the auditors' acceptance of the appointment.
d) It confirms in writing verbal arrangements in respect of scope of the audit, the form of their report and the scope of any non-audit service.

Principal Contents

The form and content of audit engagement letters may vary for each client, but they would generally include reference to:

- The objective of the audit of financial statements;
- Management's responsibility for the financial statements;
- The scope of the audit, including reference to applicable legislation, regulations, or pronouncements of professional bodies to which the auditor adheres;
- The form of any reports or other communication of results of the engagement;
- The fact that because of the test nature and other inherent limitations of an audit, together with the inherent limitations of internal control, there is an unavoidable risk that even some material misstatement may remain undiscovered; and
- Unrestricted access to whatever records, documentation and other information requested in connection with the audit.
- Management's responsibility for establishing and maintaining effective internal control.

The auditor may also wish to include the following in the letter:

- Arrangements regarding the planning and performance of the audit.
- Expectation of receiving from management written confirmation concerning representations made in connection with the audit.
- Request for the client to confirm the terms of the engagement by acknowledging receipt of the engagement letter.
- Description of any other letters or reports the auditor expects to issue to the client.
- Basis on which fees are computed and any billing arrangements.

When relevant, the following points could also be made:

- Arrangements concerning the involvement of other auditors and experts in some aspects of the audit.
- Arrangements concerning the involvement of internal auditors and other client staff.

- Arrangements to be made with the predecessor auditor, if any, in the case of an initial audit.
- Any restriction of the auditor's liability when such possibility exists.
- A reference to any further agreements between the auditor and the client.

Example of an Audit Engagement Letter

The following letter is for use as a guide and will need to be varied according to individual requirements and circumstances.

Sea & Water & Co.
Chartered Accountants
Accra.

The Board of Directors
XYZ Co. Ltd.
Accra
Dear Sir,

LETTER OF ENGAGEMENT

You have requested that we audit the balance sheet of ..... as of ....., and the related statements of income and cash flows for the year then ending. We are pleased to confirm our acceptance and our understanding of this engagement by means of this letter. Our audit will be made with the objective of our expressing an opinion on the financial statements.

We will conduct our audit in accordance with International Standards on Auditing (or refer to relevant national standards or practices). Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatements. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

Because of the test nature and other inherent limitations of an audit, together with the inherent limitations of any accounting and internal control system, there is an unavoidable risk that even some material misstatements may remain undiscovered. In addition to our report on the financial statements, we expect to provide you with a separate letter concerning any material weaknesses in accounting and internal control systems which come to our notice. We remind you that the responsibility for the

preparation of financial statements including adequate disclosure is that of the management of the company. This includes the maintenance of adequate accounting records and internal controls, the selection and application of accounting policies, and the safeguarding of the assets of the company.

As part of our audit process, we will request from management written confirmation concerning representations made to us in connection with the audit.

We look forward to full cooperation with your staff and we trust that they will make available to us whatever records, documentation and other information are requested in connection with our audit.

Our fees, which will be billed as work progresses, are based on the time required by the individuals assigned to the engagement plus out-of-pocket expenses. Individual hourly rates vary according to the degree of responsibility involved and the experience and skill required.

This letter will be effective for future years unless it is terminated, amended or superseded.

Please sign and return the attached copy of this letter to indicate that it is in accordance with your understanding of the arrangements for our audit of the financial statements.

XYZ & Co.
Acknowledged on behalf of ABC Company by
(signed)
.....
Name and Title
Date

2.3.3 Audits of Components

When the auditor of a parent entity is also the auditor of its subsidiary, branch or division (component), the factors that influence the decision whether to send a separate engagement letter to the component include the following:

- Who appoints the auditor of the component?
- Whether a separate auditor's report is to be issued on the component.
- Legal requirements.
- The extent of any work performed by other auditors.
- Degree of ownership by parent.
- Degree of independence of the component's management.

2.3.4 Recurring Audits

On recurring audits, the auditor should consider whether circumstances require the terms of the engagement to be revised and whether there is a need to remind the client of the existing terms of the engagement.

The auditor may decide not to send a new engagement letter each period.
However, the following factors may make it appropriate to send a new letter:

- Any indication that the client misunderstands the objective and scope of the audit.
- Any revised or special terms of the engagement.
- A recent change of senior management or those charged with governance.
- A significant change in ownership.
- A significant change in nature or size of the client's business.
- Legal or regulatory requirements.

2.3.5 Acceptance of a Change in Engagement

An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance, should consider the appropriateness of doing so.

A request from the client for the auditor to change the engagement may result from a change in circumstances affecting the need for the service, a misunderstanding as to the nature of an audit or related service originally requested or a restriction on the scope of the engagement, whether imposed by management or caused by circumstances. The auditor would consider carefully the reason given for the request, particularly the implications of a restriction on the scope of the engagement.

A change in circumstances that affects the entity's requirements or a misunderstanding concerning the nature of service originally requested would ordinarily be considered a reasonable basis for requesting a change in the engagement. In contrast a change would not be considered reasonable if it appeared that the change relates to information that is incorrect, incomplete or otherwise unsatisfactory.

Before agreeing to change an audit engagement to a related service, an auditor who was engaged to perform an audit in accordance with ISAs would consider, in addition to the above matters, any legal or contractual implications of the change.

If the auditor concludes, that there is reasonable justification to change the engagement and if the audit work performed complies with the ISAs applicable to the changed engagement, the report issued would be that appropriate for the revised terms of engagement. In order to avoid confusing the reader, the report would not include reference to:

(a) The original engagement; or

(b) Any procedures that may have been performed in the original engagement, except where the engagement is changed to an engagement to undertake agreed-upon procedures and thus reference to the procedures performed is a normal part of the report.

Where the terms of the engagement are changed, the auditor and the client should agree on the new terms.

The auditor should not agree to a change of engagement where there is no reasonable justification for doing so. An example might be an audit engagement where the auditor is unable to obtain sufficient appropriate audit evidence regarding receivables and the client asks for the engagement to be changed to a review engagement to avoid a qualified audit opinion or a disclaimer of opinion.

If the auditor is unable to agree to a change of the engagement and is not permitted to continue the original engagement, the auditor should withdraw and consider whether there is any obligation, either contractual or otherwise, to report to other parties, such as those charged with governance or shareholders, the circumstances necessitating the withdrawal.

2.3.6 Public Sector Perspective

The purpose of the engagement letter is to inform the auditee of the nature of the engagement and to clarify the responsibilities of the parties involved. The legislation and regulations governing the operations of public sector audits generally mandate the appointment of a public sector auditor and the use of audit engagement letters may not be a widespread practice. Nevertheless, a letter setting out the nature of the engagement or recognizing an engagement not indicated in the legislative mandate may be useful to both parties. Public sector auditors have to give serious consideration to issuing audit engagements letters when undertaking an audit.

In the public sector specific requirements may exist within the legislation governing the audit mandate; for example, the auditor may be required to report directly to a minister, the legislature or the public if management (including the department head) attempts to limit the scope of the audit.

Self-Assessment Questions

Exercise 2.2

1 The directors of Excellent Company Ltd. Have asked their auditors to resign and have invited your firm to act as auditors for the year ended 31st December 2009.

a) Describe the matters you would consider and the investigations you would carry out before accepting appointment as auditors.

b) Describe the statutory and ethical procedures that you should follow before and after accepting appointment.

2a Why do auditors present letter of engagement to their clients?

b) List and describe the main contents of letter of engagement.

SESSION 3: CODE OF ETHICS AND CONDUCT – FUNDAMENTAL PRINCIPLES

You are welcome to session 3 of Unit 2. Can you please turn to the immediately preceding session and answer the self assessment questions before you come back to continue? Further to ones professional qualification as an accountant, the accountancy profession also requires the auditor to demonstrate professional competence and high level of integrity. These professional requirements are the subject matter of this session.

Objective

At the end of this session, you should be able to outline the professional requirements of competence and integrity to be demonstrated by auditors.

Now read on …

3.1 Introduction

A distinguishing mark of the accountancy profession is its acceptance of the responsibility to act in the public interest. Therefore, a auditor's responsibility is not exclusively to satisfy the needs of an individual client or employer but is expected to act in the public interest.

3.2 Fundamental Principles

An auditor shall comply with the following fundamental principles:

(a) Integrity – to be straightforward and honest in all professional and business relationships.

(b) Objectivity – to not allow bias, conflict of interest or undue influence of others to override professional or business judgments.

(c) Professional Competence and Due Care – to maintain professional knowledge and skill at the level required to ensure that a client or employer receives competent professional services based on current developments in practice, legislation and techniques and act diligently and in accordance with applicable technical and professional standards.

(d) Confidentiality – to respect the confidentiality of information acquired as a result of professional and business relationships and, therefore, not disclose any such information to third parties without proper and specific authority, unless there is a legal or professional right or duty to disclose, nor use the information for the personal advantage of the auditor or third parties.

(e) Professional Behavior – to comply with relevant laws and regulations and avoid any action that discredits the profession.

Each of these fundamental principles is discussed in more detail below.

3.2.1 The Principle of Integrity

The principle of integrity imposes an obligation on all auditors to be straightforward and honest in all professional and business relationships. Integrity also implies fair dealing and truthfulness.

a) An auditor shall not knowingly be associated with reports, returns, communications or other information where the auditor believes that the information:
   (i) Contains a materially false or misleading statement;
   (ii) Contains statements or information furnished recklessly; or
   (iii) Omits or obscures information required to be included where such omission or obscurity would be misleading.

b) When an auditor becomes aware that the accountant has been associated with such information, the accountant shall take steps to be disassociated from that information.

The Principle of Integrity requires that:

Auditors should behave with integrity in all professional, business and personal financial relationships. Integrity implies not merely honesty, but fair dealing and truthfulness.

b) Auditors should strive for objectivity in all professional and business judgements. Objectivity is the state of mind which has regard to all considerations relevant to the task in hand. It is bound up with intellectual honesty.

c) Auditors must not accept or perform work which they are not competent to undertake unless they obtain such advice and assistance as will enable them competently carry out the work.

d) Auditors must carry out their professional work with due skill, care, diligence and expedition and with proper regard for the technical professional standards expected of them.

e) Auditors should behave with courtesy and consideration towards all with whom they come into contact with during the course of performing their work.

3.2.2 The Principle of Objectivity

The principle of objectivity imposes an obligation on all auditors not to compromise their professional or business judgment because of bias, conflict of interest or the undue influence of others.

An auditor may be exposed to situations that may impair objectivity. It is impracticable to define and prescribe all such situations. A auditor shall not perform a professional service if a circumstance or relationship biases or unduly influences the accountant's professional judgment with respect to that service.

The Principle of Objectivity requires that an auditor's objective must be beyond question. That objectivity can only be assured if the auditor is and is seen to be independent. The threat of independence may be reduced by the nature and extent of the precautions taken by the practice to guard against loss of objectivity.

The following circumstances may pose threat to objectivity and independence:

a) Undue Dependence on an Audit Client: Objectivity may be threatened or appear to be threatened by undue dependence on any audit client or group of connected audit clients.

It is recommended that in general, the recurring work paid by one client or group of connected clients should not exceed 15% of the gross practice income. In the case of listed and other public interest companies, the figure should be 10% of the gross practice income.

In the case of new practice where such criterion may not be satisfied, extra care may be necessary to safeguard independence.

b) Overdue Fees: The existence of significant overdue fees from an audit client or group of associated clients can be a threat or appear to be threat to objectivity akin to that of a loan.

Firms must therefore ensure that overdue fees along with fees from current work could not be constructed as a loan.

c) Actual or Threaten Litigation: A firm's objectivity may be threatened or appear to be threatened when it is involved in, or even threatened with litigation in relation to a client.

Litigation of certain sorts will represent a breakdown of the relationship of trust between auditor and client. This will impair the independence of the auditor or cause the directors of the client to become unwilling to disclose information to the auditor. A dispute which is only in relation to audit fees may not cause such problems.

d) Associated Firms: Influences Outside the Practice: A firm's objectivity may be threatened or appear to be threatened as a result of pressures arising from associated practices or organizations or from other external sources, such as bankers, solicitors, government or those introducing business.

The problems of independence in relation to large and prestigious clients may arise in connection with the activities of an associated practice or organization of the client. Factors to be considered by the firm include the closeness of the association and the strength of the associates' interest in the firm's retaining the client.

e) Family and other Personal Relationships: An auditor's objectivity may be threatened or appear to be threatened as a result of a family or other close personal or business relationship.

Problems arise if an officer or senior employee of an audit client is closely connected with the partner or senior staff member responsible for the conduct of the audit. In this context, closely connected people include auditor's children and their spouses, siblings and their spouses, any relative to whom regular financial assistance is given or who is indebted to the staff member or partner.

Proximity needs to be taken into account, including whether the partner or staff member is involved in the audit and the position of the person in the client's office (the more the junior, the less is the risk).

The Companies Code prevents an officer or employee of a company (or their partner) from becoming an auditor of that company. The statement extends this prohibition for its members to two years after ceasing to be an officer or employee of the company.

f) Beneficial Interests in Shares and other Investments: A member's objectivity may be threatened or appear to be threatened where he or she holds a beneficial interest in the shares of other forms of investment in a company upon which the practice reports.

Staff and partners should not have shareholdings in client businesses (this includes beneficial shareholdings held by a spouse or minor child). If shares are acquired involuntarily (by marriage or inheritance) then they should be disposed of at their earliest opportunity.

Where the Regulations of the client company require the auditor to be a shareholder, then the auditor should hold only the minimum number of shares and the holding should be disclosed in the accounts of the client company.

Beneficial holdings in unit trusts, etc are not precluded, nor are modest personal savings in a client building society or other similar institution.

g) Beneficial Interest in Trusts: The objectivity of a practice may be threatened or appear to be threatened where a partner or a person closely connected with the partner has a beneficial interest in a trust, having a shareholding in an audit client company.

Where a trust, in which a partner or a person closely connected with a partner is a beneficial, holds or acquires shares in a company audited by the practice.

Where the partner is and wishes to remain a trustee, the shareholding should be regarded as equivalent to a beneficial shareholding, and the practice should cease to report;

Where the partner is not a trustee, he should cease personally to report as soon as he becomes aware of the shareholding.

h) Trustee Investments: An auditor's objectivity may be threatened or appear to be threatened by the trustee shareholdings and other trustee investments.

An audit firm should not have a public company as an audit client if a partner (or the spouse of a partner) is a trustee of a trust holding shares in that company and the holding is in excess of 10% of the stated capital of the company or total assets comprised in the trust.

A trust holding of 10% or more (as described above0 of any company will indicate problems with independence.

i) **Voting on Audit Appointments**: Where a partner or staff member holds shares in any capacity in a company which is an audit client of the practice, they should not be voted at any general meeting of the company in relation to the appointment, removal or remuneration of auditors.

j) Loans: Objectivity may be threatened or appear to be threatened by a loan to or from an audit client. No loans or guarantees should be undertaken unless they are with client financial institutions in the normal course of business.

k) Goods and Services; Hospitality: Objectivity may be threatened or appear to be threatened by acceptance of goods, services or hospitality from an audit client.

Acceptance on normal commercial terms, or with only a modest benefit, is acceptable.

l) Provision of other Services: There are occasions where objectivity may be threatened or appear to be threatened by the provision to an audit client of services other than the audit.

If auditors provide other services (like accountancy, taxation, consultancy, etc) their independence may be threatened in a number of ways, e.g.

Auditors can end up making management decisions for the company and this will definitely harm their independence.

Some critics have suggested that auditors will be unwilling to qualify audit reports if as a result they risk not just losing the audit, but also lucrative non-audit work.

Many small audit firms aim to provide a complete service for their client (accountancy, taxation and general advice as well as audits). With these clients, it would be difficult to demonstrate that the firm has carried out an objective audit of accounts it has prepared.

One way of countering the problem is to have different staff preparing the accounts and carrying out the audit.

If the same staff member prepares the accounts and carries out the audit, the audit work done must be carefully planned and recorded. In particular, the file should show what audit assurance has been obtained through accountancy work.

An important rule affecting large firms is that auditors should not provide accountancy services for public companies. However, large firms can provide consultancy services, corporate finance and taxation. Many large firms have countered the threat to independence by the use of separate departments for each service (consultancy, audit, taxation, etc) with no information passing between them.

Integrity, Objectivity and Independence-Review Procedures:

Every auditing firm should establish review procedures (including annual review) in order to guard against loss of independence. These procedures should enable a firm to satisfy itself that each engagement may be properly accepted or be continued, and to identify situations where independence may be at risk.

Such safeguard might include:
the inclusion of a manager or other qualified employee in the audit team rotation of the engagement partner rotation of senior members of staff

3.2.3 The Principle of Professional Competence and Due Care

The principle of professional competence and due care imposes the following obligations on all auditors:

(a) To maintain professional knowledge and skill at the level required to ensure that clients or employers receive competent professional service; and

(b) To act diligently in accordance with applicable technical and professional standards when providing professional services.

Competent professional service requires the exercise of sound judgment in applying professional knowledge and skill in the performance of such service. Professional competence may be divided into two separate phases:

(a) Attainment of professional competence; and
(b) Maintenance of professional competence.

The maintenance of professional competence requires a continuing awareness and an understanding of relevant technical, professional and business developments.
Continuing professional development enables a auditor to develop and maintain the capabilities to perform competently within the professional environment.

Diligence encompasses the responsibility to act in accordance with the requirements of an assignment, carefully, thoroughly and on a timely basis.

An auditor shall take reasonable steps to ensure that those working under the auditor's authority in a professional capacity have appropriate training and supervision.

The Principle of Professional Competence and Due Care requires that:

a) Auditors should carry out their professional work with the skill, care, diligence and expedition and with proper regard for the technical and professional standards expected of them.

b) All auditors in public practice are obliged to provide quality services to their client.

c) The degree of skill and care depend s on the work. A higher degree of skill is required for work of a specialized nature (e.g. due diligence investigations) or where negligence is likely to cause substantial loss.

d) The duty of skilful act and care is not absolute; opinion and advice do not give rise to claims just because they subsequently proved wrong.

e) Auditors must employ reasonable care in whatever they do. They are particularly expected to apply generally accepted auditing techniques when performing their tasks as auditors.

f) If auditors come across any matter which puts them upon enquiry, they have a duty to investigate such a matter to a reasonable and satisfactory conclusion. Auditors should not accept any explanation unless they have carried out such investigations as will enable them draw their own conclusion and form their own judgement.

3.2.4 Principle of Confidentiality

The principle of confidentiality imposes an obligation on all auditors to refrain from:

(a) Disclosing outside the firm or employing organization confidential information acquired as a result of professional and business relationships without proper and specific authority or unless there is a legal or professional right or duty to disclose; and

(b) Using confidential information acquired as a result of professional and business relationships to their personal advantage or the advantage of third parties.

An auditor shall maintain confidentiality, including in a social environment, being alert to the possibility of inadvertent disclosure, particularly to a close business associate or a close or immediate family member.

An auditor shall maintain confidentiality of information disclosed by a prospective client or employer.

An auditor shall maintain confidentiality of information within the firm or employing organization.

An auditor shall take reasonable steps to ensure that staff under the auditor's control and persons from whom advice and assistance is obtained respect the auditor's duty of confidentiality.

The need to comply with the principle of confidentiality continues even after the end of relationships between an auditor and a client or employer. When a
auditor changes employment or acquires a new client, the auditor is entitled to use prior experience. The auditor shall not, however, use or disclose any confidential information either acquired or received as a result of a professional or business relationship.

The following are circumstances where auditors are or may be required to disclose confidential information or when such disclosure may be appropriate:

(a) Disclosure is permitted by law and is authorized by the client or the employer;

(b) Disclosure is required by law, for example:
(i) Production of documents or other provision of evidence in the course of legal proceedings; or
(ii) Disclosure to the appropriate public authorities of infringements of the law that come to light; and

(c) There is a professional duty or right to disclose, when not prohibited by law:
(i) To comply with the quality review of a member body or professional body;
(ii) To respond to an inquiry or investigation by a member body or regulatory body;
(iii) To protect the professional interests of a auditor in legal proceedings; or
(iv) To comply with technical standards and ethics requirements.

In deciding whether to disclose confidential information, relevant factors to consider include:

(a) Whether the interests of all parties, including third parties whose interests may be affected, could be harmed if the client or employer consents to the disclosure of information by the auditor;

(b) Whether all the relevant information is known and substantiated, to the extent it is practicable; when the situation involves unsubstantiated facts, incomplete information or unsubstantiated conclusions, professional judgment shall be used in determining the type of disclosure to be made, if any;

(c) The type of communication that is expected and to whom it is addressed; and

(d) Whether the parties to whom the communication is addressed are appropriate recipients.

The requirements of this principle on the auditor are outlined below:

a) Clients expect the business affairs to be kept confidential by their auditors. Maintaining client and hence confidentiality may mean that auditors cannot 'blow the whistle' on malpractices of the client, and hence such malpractices will be allowed to continue.

b) It is recommended that information acquired in the course of professional work should not be disclosed except where consent has been obtained from the client, employer or other proper source, or where there is a public duty to disclose or where there is a legal or professional right or duty to disclose.

c) An auditor who acquires information in the course of professional work should neither use nor appear to use that information for his personal advantage or for the advantage of a third party.

d) In general, where there is a right to disclose information, an auditor should only make disclosure in pursuit of a public duty or professional obligation.

e) Where an auditor agrees to serve a client in a professional capacity, both the auditor and the client should be aware that it is an implied term of that agreement that the auditor will not disclose the client's affairs to any other person except the consent of the client is given within the terms of certain recognized exceptions.

The recognized exceptions are as follows:

(i) If the auditor knows or suspects his client has committed the offence of treason, he is obliged to disclose all information at his disposal to a competent authority. Suspicion of terrorism or drug money laundering also gives rise to a duty to report. The auditor should consider whether non-compliance with laws and regulations affects the financial statements. An auditor should include in his report a statement that non-compliance has led to significant uncertainties or non-compliance means that the auditors disagree with the way certain items have been treated in the accounts.

(ii) Where there is a public duty to disclose, e.g. where an offence has been committed which is contrary to the public interest.

(iii) Where disclosure is compelled by law, for example where in an action a member is required to give evidence or discovery of documents.

(iv) If an auditor is requested to assist the police, the Internal Revenue service, the VAT Service or other authority by providing information about a client's affairs in connection with enquiries being made, he should be satisfied that such information is demanded. Unless he is satisfied that such statutory authority exists, he should decline to give any information until he has obtained his client's authority. If the client's authority is not forthcoming and the demand for information is pressed, the member should not accede unless so advised by his solicitor.

(v) If an auditor knows or suspects that a client has committed a wrongful act, he must ensure that he has not prejudiced himself by, for example relying on information given by the client which subsequently, proves to be incorrect.

It would be a criminal offence for an auditor to act positively, without lawful authority or reasonable excuse, in such a manner as to impede with intent the arrest or prosecution of a client whom he knows or believes to have committed an arrestable offence.

3.2.5 Professional Behaviour

The principle of professional behavior imposes an obligation on all professional accountants to comply with relevant laws and regulations and avoid any action that the auditor knows or should know may discredit the profession. This includes actions that a reasonable and informed third party, weighing all the specific facts and circumstances available to the auditor at that time, would be likely to conclude adversely affects the good reputation of the profession

In marketing and promoting themselves and their work, auditors shall not bring the profession into disrepute. Auditors shall be honest and truthful and not:

(a) Make exaggerated claims for the services they are able to offer, the qualifications they possess, or experience they have gained; or
(b) Make disparaging references or unsubstantiated comparisons to the work of others.

Self-Assessment Questions
Exercise 2.3

1 "The maintenance of auditor independence is vital to the credibility of the audit in the minds of the users of financial statements"

a) State the provisions of the Companies Code which strengthen the independence of the auditor.

b) Suggest how the independence of the auditor might be further strengthened and improved.

2 Before acceptance of any audit assignment, there a number of reasons for non-acceptance that have to be considered. List the circumstances in which acceptance of the nomination would be inappropriate under the following headings:

- Legal
- Ethical
- Practical

SESSION 4: CODE OF ETHICS: ETHICAL REQUIREMENTS FOR PROFESSIONAL AUDITORS

Having discussed general fundamental principles of ethical requirements, we are now moving on to discuss code of ethics specifically required for the guidance of audit practice.

Objective

At the end of the chapter, you should be able to describe professional ethical requirements for auditors with reference to Professional Appointment, Conflicts of interest, Second Opinions, Fees and Other Types of Remuneration, Marketing Professional Services, Gifts and Hospitality, Custody of Client Assets and Objectivity

4.1 Introduction to Code of Ethics for Professional Auditors

An auditor shall not knowingly engage in any business, occupation, or activity that impairs or might impair integrity, objectivity or the good reputation of the profession and as a result, would be incompatible with the fundamental principles.

Part A of the IFAC Code of Ethics for Professional Accountants has general application to all assignments undertaken by all professional accountants. Part B of the Code spells out the ethical requirements specific to accountants in public practice (professional auditors/auditing firms). The ethical requirements are spelt out below.

4.2 Threats to Compliance with Fundamental Principles

Compliance with the fundamental principles may potentially be threatened by a broad range of circumstances and relationships. The nature and significance of the threats may differ depending on whether they arise in relation to the provision of services to an audit client and whether the audit client is a public interest entity, to an assurance client that is not an audit client, or to a non-assurance client.

Threats fall into one or more of the following categories:

(a) Self-interest;
(b) Self-review;
(c) Advocacy;
(d) Familiarity; and
(e) Intimidation.

4.2.1 Self Interest Threats

Examples of circumstances that create self-interest threats for an auditor include:

- A member of the assurance team having a direct financial interest in the assurance client.
- A firm having undue dependence on total fees from a client.
- A member of the assurance team having a significant close business relationship with an assurance client.
- A firm being concerned about the possibility of losing a significant client.
- A member of the audit team entering into employment negotiations with the audit client.
- A firm entering into a contingent fee arrangement relating to an assurance engagement.
- An auditor discovering a significant error when evaluating the results of a previous professional service performed by a member of the auditor's firm.

4.2.2 Self Review Threats

Examples of circumstances that create self-review threats for an auditor include:

- A firm issuing an assurance report on the effectiveness of the operation of financial systems after designing or implementing the systems.
- A firm having prepared the original data used to generate records that are the subject matter of the assurance engagement.
- A member of the assurance team being, or having recently been, a director or officer of the client.
- A member of the assurance team being, or having recently been, employed by the client in a position to exert significant influence over the subject matter of the engagement.
- The firm performing a service for an assurance client that directly affects the subject matter information of the assurance engagement.

4.2.3 Advocacy Threats

Examples of circumstances that create advocacy threats for an auditor include:

- The firm promoting shares in an audit client.
- An auditor acting as an advocate on behalf of an audit client in litigation or disputes with third parties.

4.2.4 Familiarity Threats

Examples of circumstances that create familiarity threats for an auditor include:

- A member of the engagement team having a close or immediate family member who is a director or officer of the client.
- A member of the engagement team having a close or immediate family member who is an employee of the client who is in a position to exert significant influence over the subject matter of the engagement.

- A director or officer of the client or an employee in a position to exert significant influence over the subject matter of the engagement having recently served as the engagement partner.
- An auditor accepting gifts or preferential treatment from a client, unless the value is trivial or inconsequential.
- Senior personnel having a long association with the assurance client.

4.2.5 Intimidation Threats

Examples of circumstances that create intimidation threats for a auditor in public practice include:

- A firm being threatened with dismissal from a client engagement.
- An audit client indicating that it will not award a planned non-assurance contract to the firm if the firm continues to disagree with the client's accounting treatment for a particular transaction.
- A firm being threatened with litigation by the client.
- A firm being pressured to reduce inappropriately the extent of work performed in order to reduce fees.
- An auditor feeling pressured to agree with the judgment of a client employee because the employee has more expertise on the matter in question.
- An auditor being informed by a partner of the firm that a planned promotion will not occur unless the accountant agrees with an audit client's inappropriate accounting treatment.

4.3 Safeguards to Eliminate or Reduce Threats to Compliance with Fundamental Principles

Safeguards that may eliminate or reduce threats to an acceptable level fall into two broad categories:

(a) Safeguards created by the profession, legislation or regulation; and
(b) Safeguards in the work environment.

4.3.1 Safeguards created by the profession, legislation or regulation

Examples of safeguards created by the profession, legislation or regulation are as follows:

- Educational, training and experience requirements for entry into the profession.
- Continuing professional development requirements.
- Corporate governance regulations.
- Professional standards.
- Professional or regulatory monitoring and disciplinary procedures.
- External review by a legally empowered third party of the reports, returns, communications or information produced by a auditor.

An auditor shall exercise judgment to determine how best to deal with threats that are not at an acceptable level, whether by applying safeguards to eliminate the threat or reduce it to an acceptable level or by terminating or declining the relevant engagement.

In exercising this judgment, an auditor shall consider whether a reasonable and informed third party, weighing all the specific facts and circumstances available to the auditor at that time, would be likely to conclude that the threats would be eliminated or reduced to an acceptable level by the application of safeguards, such that compliance with the fundamental principles is not compromised. This consideration will be affected by matters such as the significance of the threat, the nature of the engagement and the structure of the firm.

4.3.2 Safeguards in the Work Environment

In the work environment, the relevant safeguards will vary depending on the circumstances. Work environment safeguards comprise firm-wide safeguards and engagement-specific safeguards.

Examples of firm-wide safeguards in the work environment include:

- Leadership of the firm that stresses the importance of compliance with the fundamental principles.
- Leadership of the firm that establishes the expectation that members of an assurance team will act in the public interest.
- Policies and procedures to implement and monitor quality control of engagements.
- Documented policies regarding the need to identify threats to compliance with the fundamental principles, evaluate the significance of those threats, and apply safeguards to eliminate or reduce the threats to an acceptable level or, when appropriate safeguards are not available or cannot be applied, terminate or decline the relevant engagement.
- Documented internal policies and procedures requiring compliance with the fundamental principles.
- Policies and procedures that will enable the identification of interests or relationships between the firm or members of engagement teams and clients.
- Policies and procedures to monitor and, if necessary, manage the reliance on revenue received from a single client.
- Using different partners and engagement teams with separate reporting lines for the provision of non-assurance services to an assurance client.
- Policies and procedures to prohibit individuals who are not members of an engagement team from inappropriately influencing the outcome of the engagement.

- Timely communication of a firm's policies and procedures, including any changes to them, to all partners and professional staff, and appropriate training and education on such policies and procedures.
- Designating a member of senior management to be responsible for overseeing the adequate functioning of the firm's quality control system.
- Advising partners and professional staff of assurance clients and related entities from which independence is required.
- A disciplinary mechanism to promote compliance with policies and procedures.
- Published policies and procedures to encourage and empower staff to communicate to senior levels within the firm any issue relating to compliance with the fundamental principles that concerns them.

Examples of engagement-specific safeguards in the work environment include:

- Having an auditor who was not involved with the non-assurance service review the non-assurance work performed or otherwise advise as necessary.
- Having an auditor who was not a member of the assurance team review the assurance work performed or otherwise advise as necessary.
- Consulting an independent third party, such as a committee of independent directors, a professional regulatory body or another auditor.
- Discussing ethical issues with those charged with governance of the client.
- Disclosing to those charged with governance of the client the nature of services provided and extent of fees charged.
- Involving another firm to perform or re-perform part of the engagement.
- Rotating senior assurance team personnel.

Depending on the nature of the engagement, an auditor in public practice may also be able to rely on safeguards that the client has implemented. However, it is not possible to rely solely on such safeguards to reduce threats to an acceptable level.

Examples of safeguards within the client's systems and procedures include:

- The client requires persons other than management to ratify or approve the appointment of a firm to perform an engagement.
- The client has competent employees with experience and seniority to make managerial decisions.
- The client has implemented internal procedures that ensure objective choices in commissioning non-assurance engagements.
- The client has a corporate governance structure that provides appropriate oversight and communications regarding the firm's services.

4.4 Professional Appointment

4.4.1 Client Acceptance

Before accepting a new client relationship, an auditor shall determine whether acceptance would create any threats to compliance with the fundamental principles. Potential threats to integrity or professional behaviour may be created from, for example, questionable issues associated with the client (its owners, management or activities).

Client issues that, if known, could threaten compliance with the fundamental principles include, for example, client involvement in illegal activities (such as money laundering), dishonesty or questionable financial reporting practices.

An auditor shall evaluate the significance of any threats and apply safeguards when necessary to eliminate them or reduce them to an acceptable level.

Examples of such safeguards include:

- Obtaining knowledge and understanding of the client, its owners, managers and those responsible for its governance and business activities; or
- Securing the client's commitment to improve corporate governance practices or internal controls.

Where it is not possible to reduce the threats to an acceptable level, the auditor in public practice shall decline to enter into the client relationship.

It is recommended that an auditor periodically reviews acceptance decisions for recurring client engagements.

4.4.2 Engagement Acceptance

The fundamental principle of professional competence and due care imposes an obligation on an auditor to provide only those services that the auditor in public practice is competent to perform. Before accepting a specific client engagement, an auditor shall determine whether acceptance would create any threats to compliance with the fundamental principles. For example, a self-interest threat to professional competence and due care is created if the engagement team does not possess, or cannot acquire, the competencies necessary to properly carry out the engagement.

An auditor shall evaluate the significance of threats and apply safeguards, when necessary, to eliminate them or reduce them to an acceptable level. Examples of such safeguards include:

- Acquiring an appropriate understanding of the nature of the client's business, the complexity of its operations, the specific requirements of the engagement and the purpose, nature and scope of the work to be performed.
- Acquiring knowledge of relevant industries or subject matters.
- Possessing or obtaining experience with relevant regulatory or reporting requirements.
- Assigning sufficient staff with the necessary competencies.
- Using experts where necessary.
- Agreeing on a realistic time frame for the performance of the engagement.
- Complying with quality control policies and procedures designed to provide reasonable assurance that specific engagements are accepted only when they can be performed competently.

When an auditor intends to rely on the advice or work of an expert, the auditor shall determine whether such reliance is warranted. Factors to consider include: reputation, expertise, resources available and applicable professional and ethical standards. Such information may be gained from prior association with the expert or from consulting others.

4.4.3 Changes in a Professional Appointment

An auditor who is asked to replace another auditor, or who is considering tendering for an engagement currently held by another auditor, shall determine whether there are any reasons, professional or otherwise, for not accepting the engagement, such as circumstances that create threats to compliance with the fundamental principles that cannot be eliminated or reduced to an acceptable level by the application of safeguards. For example, there may be a threat to professional competence and due care if an auditor accepts the engagement before knowing all the pertinent facts.

An auditor shall evaluate the significance of any threats. Depending on the nature of the engagement, this may require direct communication with the existing auditor to establish the facts and circumstances regarding the proposed change so that the auditor can decide whether it would be appropriate to accept the engagement. For example, the apparent reasons for the change in appointment may not fully reflect the facts and may indicate disagreements with the existing accountant that may influence the decision to accept the appointment.

Safeguards shall be applied when necessary to eliminate any threats or reduce them to an acceptable level. Examples of such safeguards include:

- When replying to requests to submit tenders, stating in the tender that, before accepting the engagement, contact with the existing auditor will be requested so that inquiries may be made as to whether there are any professional or other reasons why the appointment should not be accepted;

- Asking the existing auditor to provide known information on any facts or circumstances that, in the existing auditor's opinion, the proposed auditor needs to be aware of before deciding whether to accept the engagement; or

- Obtaining necessary information from other sources.

When the threats cannot be eliminated or reduced to an acceptable level through the application of safeguards, an auditor shall, unless there is satisfaction as to necessary facts by other means, decline the engagement.

An auditor may be asked to undertake work that is complementary or additional to the work of the existing auditor. Such circumstances may create threats to professional competence and due care resulting from, for example, a lack of or incomplete information. The significance of any threats shall be evaluated and safeguards applied when necessary to eliminate the threat or reduce it to an acceptable level. An example of such a safeguard is notifying the existing auditor of the proposed work, which would give the existing auditor the opportunity to provide any relevant information needed for the proper conduct of the work.

An existing auditor is bound by confidentiality. Whether that auditor is permitted or required to discuss the affairs of a client with a proposed auditor will depend on the nature of the engagement and on:

(a) Whether the client's permission to do so has been obtained; or
(b) The legal or ethical requirements relating to such communications and disclosure, which may vary by jurisdiction.

Circumstances where the auditor is or may be required to disclose confidential information or where such disclosure may otherwise be appropriate are as follows:

(a) Disclosure is permitted by law and is authorized by the client or the employer;

(b) Disclosure is required by law, for example:
   (i) Production of documents or other provision of evidence in the course of legal proceedings; or
   (ii) Disclosure to the appropriate public authorities of infringements of the law that come to light; and

(c) There is a professional duty or right to disclose, when not prohibited by law:
   (i) To comply with the quality review of a member body or professional body;

(ii) To respond to an inquiry or investigation by a member body or regulatory body;
(iii) To protect the professional interests of an auditor in legal proceedings; or
(iv) To comply with technical standards and ethics requirements

An auditor will generally need to obtain the client's permission, preferably in writing, to initiate discussion with an existing auditor. Once that permission is obtained, the existing auditor shall comply with relevant legal and other regulations governing such requests. Where the existing auditor provides information, it shall be provided honestly and unambiguously. If the proposed auditor is unable to communicate with the existing auditor, the proposed auditor shall take reasonable steps to obtain information about any possible threats by other means, such as through inquiries of third parties or background investigations of senior management or those charged with governance of the client.

4.5 Conflicts of Interest

An auditor shall take reasonable steps to identify circumstances that could pose a conflict of interest. Such circumstances may create threats to compliance with the fundamental principles. For example, a threat to objectivity may be created when an auditor competes directly with a client or has a joint venture or similar arrangement with a major competitor of a client. A threat to objectivity or confidentiality may also be created when an auditor performs services for clients whose interests are in conflict or the clients are in dispute with each other in relation to the matter or transaction in question.

An auditor shall evaluate the significance of any threats and apply safeguards when necessary to eliminate the threats or reduce them to an acceptable level. Before accepting or continuing a client relationship or specific engagement, the auditor in public practice shall evaluate the significance of any threats created by business interests or relationships with the client or a third party.

Depending upon the circumstances giving rise to the conflict, application of one of the following safeguards is generally necessary:

(a) Notifying the client of the firm's business interest or activities that may represent a conflict of interest and obtaining their consent to act in such circumstances; or
(b) Notifying all known relevant parties that the auditor in public practice is acting for two or more parties in respect of a matter where their respective interests are in conflict and obtaining their consent to so act; or

(c) Notifying the client that the auditor in public practice does not act exclusively for any one client in the provision of proposed services (for example, in a particular market sector or with respect to a specific service) and obtaining their consent to so act.

The auditor shall also determine whether to apply one or more of the following additional safeguards:

(a) The use of separate engagement teams;
(b) Procedures to prevent access to information (e.g., strict physical separation of such teams, confidential and secure data filing);
(c) Clear guidelines for members of the engagement team on issues of security and confidentiality;
(d) The use of confidentiality agreements signed by employees and partners of the firm; and
(e) Regular review of the application of safeguards by a senior individual not involved with relevant client engagements.

Where a conflict of interest creates a threat to one or more of the fundamental principles, including objectivity, confidentiality, or professional behaviour, that cannot be eliminated or reduced to an acceptable level through the application of safeguards, the auditor in public practice shall not accept a specific engagement or shall resign from one or more conflicting engagements.

Where an auditor has requested consent from a client to act for another party (which may or may not be an existing client) in respect of a matter where the respective interests are in conflict and that consent has been refused by the client, the auditor in public practice shall not continue to act for one of the parties in the matter giving rise to the conflict of interest.

4.6 Second Opinions

Situations where an auditor is asked to provide a second opinion on the application of accounting, auditing, reporting or other standards or principles to specific circumstances or transactions by or on behalf of a company or an entity that is not an existing client may create threats to compliance with the fundamental principles. For example, there may be a threat to professional competence and due care in circumstances where the second opinion is not based on the same set of facts that were made available to the existing accountant or is based on inadequate evidence. The existence and significance of any threat will depend on the circumstances of the request and all the other available facts and assumptions relevant to the expression of a professional judgment.

When asked to provide such an opinion, an auditor shall evaluate the significance of any threats and apply safeguards when necessary to eliminate them or reduce them to an acceptable level. Examples of such safeguards include seeking client permission to contact the existing accountant, describing the limitations surrounding any opinion in communications with the client and providing the existing accountant with a copy of the opinion.

If the company or entity seeking the opinion will not permit communication with the existing accountant, an auditor shall determine whether, taking all the circumstances into account, it is appropriate to provide the opinion sought.

4.7 Fees and Other Types of Remuneration

When entering into negotiations regarding professional services, an auditor may quote whatever fee is deemed appropriate. The fact that one auditor in public practice may quote a fee lower than another is not in itself unethical. Nevertheless, there may be threats to compliance with the fundamental principles arising from the level of fees quoted. For example, a self-interest threat to professional competence and due care is created if the fee quoted is so low that it may be difficult to perform the engagement in accordance with applicable technical and professional standards for that price.

The existence and significance of any threats created will depend on factors such as the level of fee quoted and the services to which it applies. The significance of any threat shall be evaluated and safeguards applied when necessary to eliminate the threat or reduce it to an acceptable level. Examples of such safeguards include:

- Making the client aware of the terms of the engagement and, in particular, the basis on which fees are charged and which services are covered by the quoted fee.
- Assigning appropriate time and qualified staff to the task.

Contingent fees are widely used for certain types of non-assurance engagements. They may, however, create threats to compliance with the fundamental principles in certain circumstances. They may create a self-interest threat to objectivity. The existence and significance of such threats will depend on factors including:

- The nature of the engagement.
- The range of possible fee amounts.
- The basis for determining the fee.
- Whether the outcome or result of the transaction is to be reviewed by an independent third party.

The significance of any such threats shall be evaluated and safeguards applied when necessary to eliminate or reduce them to an acceptable level. Examples of such safeguards include:

- An advance written agreement with the client as to the basis of remuneration.
- Disclosure to intended users of the work performed by the professional accountant in public practice and the basis of remuneration.
- Quality control policies and procedures.
- Review by an independent third party of the work performed by the professional accountant in public practice.

In certain circumstances, an auditor may receive a referral fee or commission relating to a client. For example, where the professional accountant in public practice does not provide the specific service required, a fee may be received for referring a continuing client to another auditor in public practice or other expert. An auditor may receive a commission from a third party (e.g., a software vendor) in connection with the sale of goods or services to a client. Accepting such a referral fee or commission creates a self-interest threat to objectivity and professional competence and due care.

An auditor may also pay a referral fee to obtain a client, for example, where the client continues as a client of another auditor but requires specialist services not offered by the existing auditor. The payment of such a referral fee also creates a self-interest threat to objectivity and professional competence and due care.

The significance of the threat shall be evaluated and safeguards applied when necessary to eliminate the threat or reduce it to an acceptable level. Examples of such safeguards include:

- Disclosing to the client any arrangements to pay a referral fee to another auditor for the work referred.
- Disclosing to the client any arrangements to receive a referral fee for referring the client to another auditor in public practice.
- Obtaining advance agreement from the client for commission arrangements in connection with the sale by a third party of goods or services to the client.

An auditor may purchase all or part of another firm on the basis that payments will be made to individuals formerly owning the firm or to their heirs or estates.

4.8 Marketing Professional Services

When an auditor solicits new work through advertising or other forms of marketing, there may be a threat to compliance with the fundamental principles. For example, a self-interest threat to compliance with the principle of professional behaviour is created if services, achievements, or products are marketed in a way that is inconsistent with that principle.

An auditor shall not bring the profession into disrepute when marketing professional services. The auditor in public practice shall be honest and truthful and not:

(a) Make exaggerated claims for services offered, qualifications possessed, or experience gained; or
(b) Make disparaging references or unsubstantiated comparisons to the work of another.

If the auditor in public practice is in doubt about whether a proposed form of advertising or marketing is appropriate, the auditor shall consider consulting with the relevant professional body (in the case of Ghana, the Institute of Chartered Accountants –Ghana).

4.9 Gifts and Hospitality

An auditor, or an immediate or close family member, may be offered gifts and hospitality from a client. Such an offer may create threats to compliance with the fundamental principles. For example, a self-interest or familiarity threat to objectivity may be created if a gift from a client is accepted; an intimidation threat to objectivity may result from the possibility of such offers being made public.

The existence and significance of any threat will depend on the nature, value, and intent of the offer. Where gifts or hospitality are offered that a reasonable and informed third party, weighing all the specific facts and circumstances, would consider trivial and inconsequential, an auditor may conclude that the offer is made in the normal course of business without the specific intent to influence decision making or to obtain information. In such cases, the auditor may generally conclude that any threat to compliance with the fundamental principles is at an acceptable level.

An auditor shall evaluate the significance of any threats and apply safeguards when necessary to eliminate the threats or reduce them to an acceptable level. When the threats cannot be eliminated or reduced to an acceptable level through the application of safeguards, an auditor
shall not accept such an offer.

4.10 Custody of Client Assets

An auditor shall not assume custody of client monies or other assets unless permitted to do so by law and, if so, in compliance with any additional legal duties imposed on an auditor holding such assets.

The holding of client assets creates threats to compliance with the fundamental principles; for example, there is a self-interest threat to professional behaviour and may be a self interest threat to objectivity arising from holding client assets. An auditor entrusted with money (or other assets) belonging to others shall therefore:

(a) Keep such assets separately from personal or firm assets;
(b) Use such assets only for the purpose for which they are intended;
(c) At all times, be ready to account for those assets and any income, dividends, or gains generated, to any persons entitled to such accounting; and
(d) Comply with all relevant laws and regulations relevant to the holding of, and accounting for such assets.

As part of client and engagement acceptance procedures for services that may involve the holding of client assets, an auditor shall make appropriate inquiries about the source of such assets and consider legal and regulatory obligations. For example, if the assets were derived from illegal activities, such as money laundering, a threat to compliance with the fundamental principles would be created. In such situations, the auditor may consider seeking legal advice.

4.11 Objectivity - All Services

An auditor shall determine when providing any professional service whether there are threats to compliance with the fundamental principle of objectivity resulting from having interests in, or relationships with, a client or its directors, officers or employees. For example, a familiarity threat to objectivity may be created from a family or close personal or business relationship.

An auditor who provides an assurance service shall be independent of the assurance client. Independence of mind and in appearance is necessary to enable the auditor to express a conclusion, and be seen to express a conclusion, without bias, conflict of interest, or undue influence of others.

The existence of threats to objectivity when providing any professional service will depend upon the particular circumstances of the engagement and the nature of the work that the auditor is performing.

An auditor shall evaluate the significance of any threats and apply safeguards when necessary to eliminate them or reduce them to an acceptable level. Examples of such safeguards include:

- Withdrawing from the engagement team.
- Supervisory procedures.
- Terminating the financial or business relationship giving rise to the threat.
- Discussing the issue with higher levels of management within the firm.
- Discussing the issue with those charged with governance of the client.

If safeguards cannot eliminate or reduce the threat to an acceptable level, the auditor shall decline or terminate the relevant engagement.

SESSION 5: OVERVIEW OF INTERNATIONAL STANDARDS ON AUDITING

You are welcome to session 5 of unit 2. In this session, we would have an overview of International Standards of Auditing

Objective

At the end of the session, you should be able to outline the International Standards on Auditing

5.1 International Standards on Auditing (ISAs)

Auditing Standards contain the basic principles and essential procedures with which auditors are expected to comply. Failure to comply with standards may lead to regulatory action by the relevant accountancy body which might ultimately lead to the loss of the right to conduct company audit.

Proposals for standards to be developed are issued as exposure drafts for a period of public comments which is usually from members of the profession

In Ghana, The Institute of Chartered Accountant -Ghana has adopted the International Standards of Auditing [ISAs] issued by the International Standards on Auditing and Assurance Board [ISAAB] and that the auditing standards to apply in Ghana are the ISAs.

The update of ISAs is outlined below:

INTERNATIONAL STANDARDS ON QUALITY CONTROL (ISQCs)
1 Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements

FRAMEWORK
International Framework for Assurance Engagements

AUDITS AND REVIEWS OF HISTORICAL FINANCIAL INFORMATION
100-999 International Standards on Auditing (ISAs)

100-199 INTRODUCTORY MATTERS
120 Framework of International Standards on Auditing. [Withdrawn December 2004]

200-299 GENERAL PRINCIPLES AND RESPONSIBILITIES
200 Objective and General Principles Governing an Audit of Financial Statements
210 Terms of Audit Engagements

220 Quality Control for Audits of Historical Financial Information
230 Audit Documentation
240 The Auditor's Responsibility to Consider Fraud in an Audit of Financial Statements
250 Consideration of Laws and Regulations in an Audit of Financial Statements
260 Communication of Audit Matters with Those Charged with Governance

300-499 RISK ASSESSMENT AND RESPONSE TO ASSESSED RISKS
300 Planning an Audit of Financial Statements
310 Knowledge of the Business. [Withdrawn December 2004]
315 Understanding the Entity and Its Environment and Assessing the Risks of Material Misstatement.
320 Audit Materiality
330 The Auditor Procedures in Response to Assessed Risks
400 Risk Assessments and Internal Control. [Withdrawn December 2004]
401 Auditing in a Computer Information Systems Environment. [Withdrawn December 2004]
402 Audit Considerations Relating to Entities Using Service Organizations.

500-599 AUDIT EVIDENCE
500 Audit Evidence
501 Audit Evidence. Additional Considerations for Specific Items.
505 External Confirmations.
510 Initial Engagements. Opening Balances.
520 Analytical Procedures.
530 Audit Sampling and Other Means of Testing
540 Audit of Accounting Estimates
545 Auditing Fair Value Measurements and Disclosures.
550 Related Parties.
560 Subsequent Events.
570 Going Concern.
580 Management Representation.

600-699 USING WORK OF OTHERS
600 Using the Work of Another Auditor.
610 Considering the Work of Internal Auditing
620 Using the Work of an Expert.

700-799 AUDIT CONCLUSIONS AND REPORTING
700 The Independent Auditor's Report on a Complete Set of General-Purpose Financial Statement
701 Modifications to the Independent Auditor's Report.
710 Comparatives.

AUDITING, REVIEW, OTHER ASSURANCE, AND RELATED SERVICES CONTENTS
720 Other Information in Documents Containing Audited Financial Statements

800-899 SPECIALIZED AREAS
800 The Independent Auditor's Report on Special Purpose Audit Engagements.

1000-1100 INTERNATIONAL AUDITING PRACTICE STATEMENTS (IAPSs)
1000 Inter-Bank Confirmation Procedures
1001 IT Environments. Stand-alone Personal Computers. [Withdrawn December 2004]
1002 IT Environments. On-line Computer Systems. [Withdrawn December 2004]
1003 IT Environments. Database Systems. [Withdrawn December 2004]
1004 The Relationship Between Banking Supervisors and Banks External Auditors.
1005 The Special Considerations in the Audit of Small Entities.
1006 Audits of the Financial Statements of Banks.
1007 Communications with Management. [Withdrawn June 2001]
1008 Risk Assessments and Internal Control.: Characteristics and Considerations. [Withdrawn December 2004]
1009 Computer-assisted Audit Techniques. [Withdrawn December 2004]
1010 The Consideration of Environmental Matters in the Audit of Financial Statements
1011 Implications for Management and Auditors of the Year 2000 Issue. [Withdrawn June 2001]
1012 Auditing Derivative Financial Instruments.
1013 Electronic Commerce. Effect on the Audit of Financial Statements
1014 Reporting by Auditors on Compliance with International Financial Reporting Standards.

2000-2699 INTERNATIONAL STANDARDS ON REVIEW ENGAGEMENTS (ISREs)
2400 Engagements to Review Financial Statements (Previously ISA 910)
2410 Review of Interim Financial Information Performed by the Independent Auditor of the Entity

ASSURANCE ENGAGEMENTS OTHER THAN AUDITS OR REVIEWS OF HISTORICAL FINANCIAL INFORMATION
3000-3699 International Standards on Assurance Engagements (ISAEs)

3000-3399 APPLICABLE TO ALL ASSURANCE ENGAGEMENTS
3000 Assurance Engagements Other than Audits or Reviews of Historical Financial Information

3400-3699 SUBJECT SPECIFIC STANDARDS
3400 The Examination of Prospective Financial Information (Previously ISA 810).
RELATED SERVICES
4000-4699 INTERNATIONAL STANDARDS ON RELATED SERVICES (ISRSS)

4400 Engagements to Perform Agreed-upon Procedures Regarding Financial Information (Previously ISA 920) arrangements to Compile Financial Information (Previously ISA 930)

5.2 Practice Notes and Bulletins

The Institute of Chartered Accountants, in collaboration with the Practice Society, issues Practice Notes (PNs) to assist auditors in applying auditing standards in particular circumstances and industries.

The Institute also occasionally issues bulletins to provide auditors with timely guidance on new or emerging issues.

Practice Notes and Bulletins indicate what is considered to be good practice. However, they are persuasive rather than prescriptive. They may be issued without the full consultation and exposure process that is used for auditing standards.

SESSION 6: INSTITUTIONAL REGULATION OF AUDIT PRACTICE IN GHANA

We are now in session 6 of unit 2. In this session, we would examine institutional and legislative regulation of audit practice in Ghana

Objective

At the end of the session, you should be able to outline how institutions like International Federation of Accountants [IFAC], The Institute of Chartered Accountants-Ghana, Ghana Audit Service and Internal Audit Agency regulate audit practice in Ghana

Now read on…

6.1 Introduction

Audit Practice in Ghana is under institutional regulation. Institutions such as International Federation of Accountants [IFAC], The Institute of Chartered Accountants –Ghana, The Ghana Audit Service and The Internal Audit Agency help to regulate audit practice in Ghana

6 .2 International Federation of Accountants [IFAC]

6.2.1 The Organization

The International Federation of Accountants (IFAC) is the worldwide organization for the accountancy profession. Founded in 1977, its mission is to serve the public interest, IFAC will continue to strengthen the worldwide accountancy profession and contribute to the development of strong international economies by establishing and promoting adherence to high-quality professional standards, furthering the international convergence of such standards and speaking out on public interest issues where the profession's expertise is most relevant.

IFAC's governing bodies, staff and volunteers are committed to the values of integrity, transparency and expertise. IFAC also seeks to reinforce auditors' adherence to these values, which are reflected in the IFAC Code of Ethics for Auditors.

6.2.2 Primary Activities

a) Serving the Public Interest

IFAC provides leadership to the worldwide accountancy profession in serving the public interest by:

- Developing, promoting and maintaining global professional standards and a Code of Ethics for Auditors of a consistently high-quality;

- Actively encouraging convergence of professional standards, particularly, auditing, assurance, ethics, education, and public and private sector financial reporting standards;
- Seeking continuous improvements in the quality of auditing and financial management;
- Promoting the values of the accountancy profession to ensure that it continually attracts high caliber entrants;
- Promoting compliance with membership obligations; and
- Assisting developing and emerging economies, in cooperation with regional accounting bodies and others, in establishing and maintaining a profession committed to quality performance and in serving the public interest.

b) Contributing to the Efficiency of the Global Economy

IFAC contributes to the efficient functioning of the international economy by:

- Improving confidence in the quality and reliability of financial reporting;
- Encouraging the provision of high-quality performance information (financial and non-financial) within organizations;
- Promoting the provision of high-quality services by all members of the worldwide accountancy profession; and
- Promoting the importance of adherence to the Code of Ethics for Auditors by all members of the accountancy profession, including members in industry, commerce, the public sector, the not-for-profit sector, academia, and public practice.

c) Providing Leadership and Spokesmanship

IFAC is the primary spokesperson for the international profession and speaks out on a wide range of public policy issues, especially those where the profession¡¯s expertise is most relevant, as well as on regulatory issues related to auditing and financial reporting. This is accomplished, in part, through outreach to numerous organizations that rely on or have an interest in the activities of the international accountancy profession.

6.2.3 Membership

IFAC is comprised of 155 members and associates in 118 countries worldwide representing more than 2.5 million accountants in public practice, industry and commerce, the public sector, and education. No other accountancy body in the world and few other professional organizations have the broad-based international support that characterizes IFAC. IFAC's strengths derive not only from its international representation, but also from the support and involvement of its individual member bodies, which are themselves dedicated to promoting integrity, transparency, and expertise in the accountancy profession, as well as from the support of regional accountancy bodies.

6.2.4 Standard-Setting Initiatives

IFAC has long recognized the need for a globally harmonized framework to meet the increasingly international demands that are placed on the accountancy profession, whether from the business, public sector or education communities. Major components of this framework are the Code of Ethics for Auditors, International Standards on Auditing (ISAs), International Education Standards, and International Public Sector Accounting Standards (IPSASs).

IFAC's standard-setting boards, described below, follow a due process that supports the development of high-quality standards in the public interest in a transparent, efficient, and effective manner. These standard-setting boards all have Consultative Advisory Groups, which provide public interest perspectives, and include public members.

IFAC's Public Interest Activity Committees (PIACs). the International Auditing and Assurance Standards Board, International Accounting Education Standards Board, International Ethics Standards Board for Accountants and the Compliance Advisory Panel. are subject to oversight by the Public Interest Oversight Board (PIOB)

IFAC actively supports convergence to ISAs and other standards developed by IFAC's independent standard-setting boards and the International Accounting Standards Board.

a) Auditing and Assurance Services

The International Auditing and Assurance Standards Board (IAASB) develops ISAs and International Standards on Review Engagements, which deal with the audit and review of historical financial statements; and International Standards on Assurance Engagements, which deal with assurance engagements other than the audit or review of historical financial information. The IAASB also develops related practice statements. These standards and statements serve as the benchmark for high-quality auditing and assurance standards and statements worldwide. They establish standards and provide guidance for auditors and other auditors, giving them the tools to cope with the increased and changing demands for reports on financial information, and provide guidance in specialized areas.

In addition, the IAASB develops quality control standards for firms and engagement teams in the practice areas of audit, assurance and related services.

b) Ethics

The Code of Ethics for Auditors, developed by IFAC's International Ethics Standards Board for Accountants (IESBA), establishes ethical requirements for auditors and provides a conceptual framework for all auditors to ensure compliance with the five fundamental principles of professional ethics. These principles are integrity, objectivity, professional competence and due care, confidentiality, and professional behavior. Under

the framework, all auditors are required to identify threats to these fundamental principles and, if there are threats, apply safeguards to ensure that the principles are not compromised. A member body of IFAC or firm conducting an audit using ISAs may not apply less stringent standards than those stated in the Code.

c) Public Sector Accounting

IFAC's International Public Sector Accounting Standards Board (IPSASB) focuses on the development of high-quality financial reporting standards for use by public sector entities around the world. It has developed a comprehensive body of IPSASs setting out the requirements for financial reporting by governments and other public sector organizations. The IPSASs represent international best practice in financial reporting by public sector entities. In many jurisdictions, the application of the requirements of IPSASs will enhance the accountability and transparency of the financial reports prepared by governments and their agencies.

d) Education

Working to advance accounting education programs worldwide, IFAC's International Accounting Education Standards Board (IAESB) develops International Education Standards, setting the benchmarks for the education of members of the accountancy profession. All member bodies are required to comply with those standards, which address the education process leading to qualification as a auditor as well as the ongoing continuing professional development of members of the profession. The IAESB also develops International Education Practice Statements and other guidance to assist member bodies and accounting educators implement and achieve best practice in accounting education.

Both IFAC and its member bodies face the challenge of meeting the needs of an increasing number of accountants employed in business and industry, the public sector, education, and the not-for-profit sector. These accountants now comprise more than 50 percent of the membership of member bodies. IFAC's Auditors in Business (PAIB) Committee develops guidance to assist member bodies in addressing a wide range of professional issues, encourages and supports high-quality performance by auditors in business, and strives to build public awareness and understanding of the work they provide.

e) Small- and Medium-Sized Practices

IFAC is also focused on providing support for another growing constituency: small- and medium-sized practices (SMPs). IFAC's SMP Committee develops guidance on key topics for SMPs and small- and medium-sized entities (SMEs), including implementation guidance. It provides input from an SMP/SME perspective on the development of international standards and on the work of the IFAC standard-setting boards and is focused on developing implementation guidance for ISAs and the

International Standard on Quality Control 1. The SMP Committee also investigates ways in which IFAC, together with its member bodies, can respond to the needs of accountants operating in small and medium enterprises and practices and holds annual forums on SMP/SME issues.

f) Developing Nations

IFAC's Developing Nations Committee supports the development of the accountancy profession in all regions of the world by representing and addressing the interests of developing nations and by providing guidance to strengthen the accountancy profession worldwide.

The committee also seeks resources and development assistance from the donor community on their behalf. In addition, the committee holds annual forums on addressing the needs of developing nations.

g) IFAC Member Body Compliance Program.

As part of the Member Body Compliance Program, IFAC members and associates (mostly national professional institutes) are required to demonstrate how they have used best endeavors, subject to national laws and regulations, to implement the standards issued by IFAC and the International Accounting Standards Board. The program, which is overseen by IFAC's Compliance Advisory Panel, also seeks to determine how members and associates have met their obligations with respect to quality assurance and investigation and disciplinary programs for their members as set out in IFAC's Statements of Membership Obligations (SMOs). The SMOs serve as the foundation of the Compliance Program and provide clear benchmarks to current and potential member bodies to assist them in ensuring high-quality performance by auditors.

6.1.5 IFAC Structure and Operations

Governance of IFAC rests with its Board and Council. The IFAC Council comprises one representative from each member. The Board is a smaller group responsible for policy setting. As representatives of the worldwide accountancy profession, Board members take an oath of office to act with integrity and in the public interest. The IFAC Nominating Committee makes recommendations on the composition of IFAC boards and committees, the IFAC Board, and candidates for the office of IFAC Deputy President.

The committee is guided in its work by the principle of choosing the best person for the position. It also seeks to balance regional and professional representation on the boards and committees as well as representation from countries with different levels of economic development. IFAC is headquartered in New York City and is staffed by accounting and other professionals from around the world.

6.3 The Institute of Chartered Accountants

6.3.1 The Institute

The Institute of Chartered Accountants - Ghana was established by an Act of Parliament, The Chartered Accountants Act, 1963 (Act 179). It is a body corporate having perpetual succession and may be sue and be sued in its corporate name.

6.3.2 Council of the Institute

The governing body of the Institute shall be the Council which shall consist of eleven members all of whom shall be members of the Institute. Four Members of the Council shall be appointed by the Minister and seven members, of whom not more than four shall be accountants in active practice, shall be elected by members of the Institute at a general meeting. The Council shall from among its members elect a President and Vice-President.

It shall be the duty of the Council,

a) To conduct or provide for the conduct of the qualifying examinations for membership of the Institute or for registration as registered accountant under this Act and to prescribe or approve courses of study for such examinations;
b) To supervise and regulate the engagement, training and transfer of articled clerks;
c) To specify the class of persons who shall have the right to train articled clerks and to specify the circumstances in which any person of that class may be deprived of that right.
d) To maintain and publish a register of chartered accountants and of practising accountants;
e) To secure the maintenance of professional standards among persons who are members of the Institute and to take steps as may be necessary to acquaint such persons with methods and practices necessary to maintain such standards;
f) To maintain a library of books and periodicals relating to accountancy and to encourage the publication of such books; and
g) To encourage research in the subject of accountancy and generally secure the well being and advancement of the profession of accountants.

6.3.3 Qualifications

The Council may strike off the register of the Institute the name of a chartered accountant, if it is satisfied that he is unfit to practise the profession of an accountant by reason that he has been guilty of professional misconduct or has become subject to any disqualification The Council may strike off the register of the Institute the name of a chartered accountant or cancel the registration of a practising accountant if the

prescribed fees remain unpaid for a period exceeding four months. A person whose name has been struck off the register of the Institute or whose registration has been cancelled may have his name or registration restored if the Council is satisfied that he has become subsequently a fit and proper person to practise the profession of an accountant.

The name of any person shall not be struck off the register of the Institute nor shall a registration be cancelled unless a disciplinary committee has, after due inquiry, made a report to the Council that the person concerned has been guilty of professional misconduct. Where the Council has reasonable cause to believe, whether upon compliant made to it or otherwise, that any person who is a chartered accountant or a practising accountant has been guilty of professional misconduct, the Council may appoint a disciplinary committee for the purpose of holding an inquiry into the conduct of that person.

The Council may, in lieu of exercising its powers, suspend the person concerned from membership of the Institute or withhold his registration, for such period as the Council may deem fit. Any person aggrieved by a decision of the Council may appeal against that decision to the High Court. Every appeal against a decision shall be made by petition in writing, lodged within three months after the date of that decision; and be heard and decided by a Judge of the High court after such summary inquiry as that Judge may deem requisite.

To qualify as an auditor for a company, one should be a member of good standing with not less than four years working experience in a recognised auditing firm, two years of which relate to post-qualification.

6.3.4 Restrictions

No person who is not a chartered accountant or is not a practising accountant shall carry on practice as an auditor.

No person who is a chartered accountant or is a practising accountant shall practise as an accountant unless he is the holder of a certificate to practise which is for the time being in force.

Every certificate to practise shall be issued by the Council upon payment of the prescribed annual subscription.

Every certificate to practise shall be in force until thirty-first day of December of the year of issue of that certificate, and may from time to time be renewed upon payment of the prescribed annual subscription.

6.3.5 Discipline Procedures

- The Institute of Chartered Accountant –Ghana has a just and effective investigative and disciplinary regime that provides a means of bringing to account those who fail to maintain high professional standards.

There are provisions in the Chartered Accountants Act that govern investigation and discipline of misconduct, including breaches of professional standards and rules by its individual members and firms.

Misconduct includes all and any of the following:

- Criminal activity;
- Acts or omissions likely to bring the accountancy profession into disrepute;
- Breaches of professional standards;
- Breaches of ethical requirements;
- Gross professional negligence;
- A number of less serious instances of professional negligence that, cumulatively, may indicate unfitness to exercise practicing rights; and
- Unsatisfactory work.

6.3.6 Sanctions

ICAG operates a just and effective investigative and disciplinary regime. The regime would allow those who judge such issues to impose a range of penalties, including:

- Reprimand;
- Loss or restriction of practice rights;
- Fine/payment of costs;
- Loss of professional title (designation); and
- Exclusion from membership.

It is particularly important that the penalties include loss of professional designation, restriction and removal of practising rights, and exclusion from membership. Such a regime protects clients and other stakeholders, demonstrating to the outside world that the profession is playing its part in maintaining and enhancing professional standards and, ultimately, removing from the profession those who do not deserve to belong in it.

6.4 Ghana Audit Service Act

6.4.1 Appointment of the Auditor-General

There shall be an Auditor-General who shall be appointed by the President acting in consultation with the Council of State.

The office of Auditor-General shall be a public office.

A person appointed to be the Auditor-General shall, before entering upon the duties of his office, take and subscribe the Oath of the Auditor-General.

The Auditor-General shall retire after attaining the age of sixty years but may be engaged for a limited period of not more than two years at a time but not exceeding five years in all and upon such other terms and conditions as the President acting in consultation with the Council of State shall determine.

The salary and allowances payable, and the facilities and privileges available to the Auditor-General shall be determined by the President on the recommendations of not more than five persons appointed by the President, acting in accordance with the advice of the Council of State.

The salary and allowances payable to the Auditor-General shall be a charge on the Consolidated Fund.

The salary and allowances payable to the Auditor-General, his rights in respect of leave of absence, retiring award or retiring age shall not be varied to his disadvantage during his tenure of office.

The provisions of article 146 of the Constitution relating to the removal of a Justice of the Superior Court of Judicature from office shall apply to the Auditor-General.

The Auditor-General may at any time resign his office in writing addressed to the President.

6.4.2 Audit of public accounts generally

The public accounts of Ghana and of all public offices, including the courts, the central and local government administrations, of the Universities and public institutions of like nature, of any public corporation or other body or organisation established by an Act of Parliament shall be audited and reported on by the Auditor-General.

The Auditor-General or any person authorised or appointed for the purpose by the Auditor-General shall have access to all books, records, returns and other documents including documents in computerised and electronic form relating to or relevant to those accounts.

The public accounts of Ghana and of all persons and institutions referred to in subsection (1) including computerized financial and accounting systems and electronic transactions shall be kept in such form as the Auditor-General shall approve and shall be subject to review by the Auditor-General.

An internal auditor of an organisation or body to which subsection (1) applies shall submit a copy of each report issued as a result of internal audit work carried out to the Auditor-General.

All financial and accounting systems shall be subject to prior approval of the Auditor-General and any change in such system shall be notified to the Auditor-General and shall be subject to prior approval before implementation.

Any head of a public institution or other body subject to auditing by the Auditor-General who fails to comply with the above is liable to be surcharged with the cost of any loss occasioned by defective internal controls of auditing.

6.4.3 Audit of Foreign Exchange Transactions

The Bank of Ghana shall, not later than three months after the end of the first six months of its financial year; and after the end of its financial year, submit to the Auditor-General for audit, a statement of its foreign exchange receipts and payments or transfers in and outside Ghana.

The Auditor-General shall, not later than three months after the submission of the statement referred to in section (1) submit his report to Parliament on the statement. Examination of accounts

The Auditor-General shall examine in such manner as he thinks necessary the public and other government accounts and shall ascertain whether in his opinion:

- the accounts have been properly kept;
- all public monies have been fully accounted for, and rules and procedures applicable are sufficient to ensure an effective check on the assessment, collection and proper allocation of the revenue;
- monies have been expended for the purposes for which they were appropriated and the expenditures have been made as authorised;
- essential records are maintained and the rules and procedures applied are sufficient to safeguard and control public property; and
- programmes and activities have been undertaken with due regard to economy, efficiency and effectiveness in relation to the resources utilised and results achieved.

6.4.4 Auditing of Statutory Corporation

(1) In respect of the accounts of a statutory corporation, a state enterprise or a public commercial institution operating under its own enactment, the Auditor-General or any person appointed by him shall upon the examination of the accounts of the body or institution, express his opinion as to whether the accounts present fairly financial information in accordance with the applicable

statutory provisions, stated accounting policies of the Government and is in accordance with generally accepted accounting standards and essentially consistent with that of the preceding year.

(2) The Auditor-General or any person appointed by the Auditor-General to audit the accounts of statutory corporations shall in addition to the audit report draw attention to the following -
- (a) the profitability, liquidity, stability and solvency of the corporation and also the performance of the shares of the corporation on the capital markets, where relevant;
- (b) whether there was any delay in payment of government portion of any declared dividend, if any, into the Consolidated Fund;
- (c) any significant cases of fraud or losses and the underlying causes;
- (d) any internal control weakness noted; and
- (e) the general corporate performance indicating—
  - (i) achievement against set targets and objectives; and
  - (ii) whether the finances of the body have been conducted with due regard to economy, efficiency and effectiveness having regard to the resources utilised.

6.4.5 Examination on Receipt of Controller and Accountant-General's Report on Public Accounts:

The Auditor-General shall, upon receipt of the annual statement of public accounts required to be made by the Controller and Accountant-General, examine the statement and certify whether in his opinion the statements present fairly financial information on the accounts in accordance with accounting policies of the Government and consistent with statements of the proceeding year in accordance with best international practices, and may state such reservation or comment that he considers necessary.

6.4.6 Submission of Special Audit report to Parliament

The Auditor-General may in addition to the audit of public accounts, carry out in the public interest such special audits or reviews as he considers necessary and shall submit reports on the audits or review undertaken by him to Parliament.

6.4.7 Disallowance and Surcharge by Auditor-General

The Auditor-General shall specify to the appropriate head of department or institution the amount due from any person upon whom he has made a surcharge or disallowance and the reasons for the surcharge or disallowance.

A sum specified by the Auditor-General to be due from any person shall be paid by that person to the department or institution as the case may be, within 60 days after it has been so specified.

A person aggrieved by a disallowance or surcharge made by the Auditor-General may appeal to the High Court not later than the expiration of 60 days prescribed in subsection

Any sum which is lawfully due under this section shall, on civil proceedings taken by the Head of Department in a court be recoverable as a civil debt and where the person surcharged is in receipt of remuneration from government or any institution, the remuneration shall be attached to the extent of the sum lawfully due.

In any proceedings for the recovery of that sum a certificate signed by the Auditor-General shall be prima facie evidence of the facts certified.

The Auditor-General may with the prior approval of Parliament revoke any surcharge made under this section.

6.4.8 Independence and Powers of the Auditor-General

In the performance of his/her functions under this Act or any other law, the Auditor-General:

(a) shall not be subject to the direction or control of any other person or authority;

(b) may disallow any item of expenditure which is contrary to law and surcharge—

  (i) the amount of any expenditure disallowed upon the person responsible for incurring or authorising the expenditure;

  (ii) any sum which has not been duly brought into account, upon the person by whom the sum ought to have been brought into account; or

  (iii) the amount of any loss or deficiency, upon any person by whose negligence or misconduct the loss or deficiency has been incurred.

The above paragraph shall not preclude the President, acting in accordance with the advice of the Council of State, from requesting the Auditor-General in the public interest, to audit, at any particular time, the accounts of any such body or organization.

6.4.9 Adherence to International Practices

The Auditor-General shall in the audit of accounts adhere to methods that are consistent with emerging practices in governmental auditing such as environmental and forensic audits adopted by the International Organisation of Supreme Audit Institutions and other internationally recognised bodies.

6.4.10 Submission of Auditor-General's Report to Parliament

The Auditor-General shall, within six months after the end of the immediately preceding financial year to which each of the accounts relates, submit his report to Parliament and shall, in the report, draw attention to any irregularities in the accounts audited and to any other matter which in his opinion ought to be brought to the notice of Parliament.

Without limiting the scope, the Auditor-General in his report to Parliament on the public accounts shall draw attention to any case in which he has observed that—

(a) an officer or employee of Government has wilfully or negligently omitted to collect or receive any public money due to the Government;
(b) any public money was not duly accounted for and paid into the Consolidated Fund or other designated public account;
(c) an appropriation was exceeded or was applied for a purpose or in a manner not authorised by law;
(d) an expenditure was not authorised or properly vouched for or certified;
(e) there has been a deficiency through fraud, default or mistake of any person;
(f) applicable internal control and management measures are inefficient or ineffective;
(g) the use or custody of property, money, stamps, securities, equipment, stores, trust money, trust property or other assets has occurred in a manner detrimental to the State;
(h) resources have not been used with due regard to economy, efficiency and effectiveness in relation to the results attained;
(i) in the public interest, the matter should be brought to the notice of Parliament.

6.4.11 Debate by Parliament of the Auditor-General's reports

Parliament shall debate reports of the Auditor-General on the public accounts of Ghana, the statement of foreign exchange receipts and payments of the Bank of Ghana and other special audits and shall appoint where necessary, in the public interest, committees to deal with any matters arising from the report.

6.4.12 Audit of Accounts by Auditor-General or as Requested by Parliament

The Auditor-General may whenever Parliament so requests and may, of his own motion inquire into and report on any matter relating to—

(a) the financial affairs of the Government or public property; and
(b) any person or organisation in receipt of financial aid from the Government or in respect of whom financial aid from the Government is sought.

6.4.13 Publication of Reports

The Auditor-General shall publish his reports on the public accounts of Ghana and the statement of foreign exchange receipts and payments of the Bank of Ghana as soon as the reports have been presented to the Speaker to be laid before Parliament.

The Auditor-General shall submit copies of the published reports to—

(a) the Government Archivist;
(b) all public and University libraries in Ghana;
(c) the libraries of the Ghana Institute of Management and Public Administration (GIMPA) and the Managing Development and Productivity Institute (MDPI);
(d) members of the Board; and
(e) any other institution approved by the Board.

6.4.14 Auditing of the office of the Auditor-General

The accounts of the office of the Auditor-General shall be audited annually and reported upon
by an auditor appointed by Parliament.

6.4.15 Submission of Annual Report on Activities of the Service

The Board shall submit to the President and Parliament as soon as possible but in any event not later than eight months after the end of each financial year a report on the activities of the Service during the year to which the report relates

6.5 The Internal Audit Agency Act, 2003

6.5.1 Establishment and Functions of the Internal Audit Agency

There is established by this Act an Internal Audit Agency
The object of the agency is to co-ordinate, facilitate and provide quality assurance for internal audit activities within the Ministries, Departments and Agencies [MDAs] and the Metropolitan, Municipal and District Assemblies [MMDAs] .

The specific functions of the agency are as follows:

(1) The Agency shall set standards and procedures for the conduct of internal audit activities in the MDAs and MMDAs.
(2) The Agency shall ensure that
    (a) financial, managerial and operating information reported internally and externally is accurate, reliable and timely;
    (b) the financial activities of MDAs and MMDAs are in compliance with laws, policies, plans, standards and procedures;
    (c) national resources are adequately safeguarded;

(d) national resources are used economically, effectively and efficiently;
(e) plans, goals and objectives of MDAs and MMDAs.

(3) Without limiting subsections (1) and (2), the Agency shall
(a) promote economy, efficiency and effectiveness in the administration of government programmes and operations;
(b) prepare plans to be approved by the Board for the development and maintenance of an efficient internal audit for the MDAs and MMDAs;
(c) facilitate the prevention and detection of fraud; and
(d) provide a means for keeping the MDAs and MMDAs fully and currently informed about problems and deficiencies related to the administration of their programmes and operations and the necessity for appropriate corrective action.

(4) The Agency shall monitor, undertake inspections and evaluate the internal auditing of the MDAs and MMDAs.

6.5.2 Governing body of Agency

The Agency shall have a governing Board known as the Internal Audit Board.

(1) The Board shall consist of the following members appointed by the president acting in consultation with the Council of State:
(a) a Chairperson;
(b) the Minister responsible for Finance or a representative of the Minister;
(c) the Minister for Local Government and Rural Development or a representative of the Minister;
(d) the Chairperson of the Public Services Commission or a representative of the chairperson;
(e) the Director-General of the Agency appointed under section 12 of this Act;
(f) two other members appointed from the private sector; and
(g) two auditors each with not less than ten years experience in the profession nominated by the Council of the Institute of Chartered Accountants (Ghana).

(2) The President shall in appointing members of the Board have regard to the integrity, knowledge, expertise and experience of the persons and in particular their knowledge in matters relevant to the functions of the Agency.

6.5.3 Establishment of internal audit units

(1) There shall be established in each MDA and MMDA an internal audit unit.
(2) There shall be appointed for each internal audit unit, personnel required to ensure an effective and efficient internal auditing of the MDA or MMDA concerned.

(3) An internal audit unit established under subsection (10 shall in accordance with this Act and standards and procedures provided by the Agency, carry out an internal audit of its MDA or MMDA and shall submit reports on the internal audit it carries out to the Director-General.

(4) The internal audit unit of an MDA shall submit a copy of its internal audit report to its management body and such other persons as it is required to submit the report.

(5) (a) The autonomous bodies of the Constitution shall be subject to the standards and procedures of the Agency and shall have internal audit units.

(b) The internal audit units of the autonomous bodies shall not be subject to the Agency but shall be subject to the Auditor-General.

(c) A copy of the internal audit report of an autonomous body shall be submitted to the Auditor-General.

(6) A copy of an internal audit report of an MMDA shall be submitted to its regional co-ordinating Council.

(7) A regional Co-ordinating Council shall furnish the Agency with a copy of an internal audit report submitted under subsection (6).

(8) The Audit report implementation committees of MDAs and MMDAs as established under section 30(1) of the Audit Service Act, 2000 (Act 584) shall be responsible for the implementation of the recommendations of the internal audit report.

6.5.4 Action by the Agency

The Agency may upon examination of an internal audit report, take such action as it considers appropriate including recommendation of prosecution and disciplinary action in respect of any breaches found.

Exhibition of Professionalism and Competence
Internal auditors operating by virtue of this Act,

(a) shall exhibit the highest level of professionalism in the gathering, evaluation and communication of information when auditing and shall act only in areas for which they have the necessary knowledge, skill, experience and competence;

(b) shall perform internal audit in accordance with General Accepted Principles of Internal auditing and the standard and guidelines of the Agency as established under section 3(1); and

(c) shall in performance of their work make a balanced assessment of all issues or relevance to the work and should not be influenced by their personal interest or the interests of other persons.

Integrity
Internal auditors to whom this Act applies shall

(a) perform their work with honesty and diligence;
(b) not knowingly be a party to any illegal activities or engage in acts that discredit the work of internal auditing or the MDA or MMDA;
(c) make disclosures required by law and the standards and procedures as established under section 3(1);
(d) not participate in any activity or relationship that may impair or is likely to be taken to impair unbiased assessment, including an activity or a relationship that may be in conflict with the interests of the MDA or MMDA;
(e) not accept anything or any favour that may impair or might be taken to affect their professional judgement; and
(f) disclose all material facts known to them, the non-disclosure of which may distort any reporting activity.

Confidentiality
(1) Internal auditors shall respect the value and ownership of information they receive and shall not disclose information without authority unless there is a legal or professional obligation to do so.

(2) Internal auditors shall be prudent in the use and protection of information acquired in the course of their duties.

(3) Internal auditors shall not use information for any personal gain or in any manner that would be contrary to this Act or determine to the legitimate and ethical objective of the Agency, MDAs and MMDas.

Offences and penalties
(1) Any person who
    (a) gives the Director-General any information or explanation which the person knows to be false or which the person has no reason to believe to be true contrary to section 14(2) (a);
    (b) fails to produce for inspection by the Director-General or otherwise fails to give the Director-General access to any book, record or office when requested by the Director-General contrary to section 14 (2) (b);
    (c) willfully suppresses any information or explanation required by the Director-General; or

(d) obstructs the Director-General in any way in the performance of functions under this Act;

(e) provides information which the person knows to be false or which the person has no reason to believe to be true to an internal auditor, commits an offence and is liable on summary conviction to a fine not less than 1,000 penalty units or to imprisonment for a team not exceeding 5 years or to both.

(2) Any internal auditor who acts in breach of any of the provisions of section 18, 19 or 20 shall be subject to such action as the Board shall recommend including criminal prosecution.

(3) Any member of staff or employee of the Agency who

(a) demands or takes a bribe, gratuity, recompense or reward for the neglect, omission, commission or performance of duty under this Act;

(b) willfully fails to report to the Director-General any abuse or irregularity that comes to the notice of the person in the course of the performance of duties under this Act; or

(c) makes any report to the Director-General which the person knows to be false or which the person has no reason to believe to be true commits an offence and is liable on summary conviction to a fine of not less than 1,000 penalty units or to imprisonment for a tem not exceeding 5 years or to both.

End of Unit Questions

Question 1

The auditing profession has been criticised recently by politicians for its role in monitoring potential corporate failure. Radical reforms have been called for in the way the audit is regulated. For example, politicians have stated that there should be a change of legislation in the following ways.

(i) Auditing standards
Auditing standards should be set and enforced independently from the accounting profession.

(ii) Fraud
Auditing firms should have a duty to detect and report fraud.

(iii) Non-audit services
Non-auditing services supplied to an audit client should be stopped.

(iv) The duration of the appointment of auditors
The appointment of auditors should be for a maximum period of seven years.

Required

(a) Describe the current regulatory and professional requirements relating to each of the main headings listed above.

(b) Discuss the reasons why you feel that the audit profession has been criticised over the current regulations in the above areas.

Question 2

Mr. White is a partner in a small four partner accounting practice, which is registered, to carry out audits under the Companies Code. One of his clients, Able Ltd has asked him if he would like to join the board of directors of a subsidiary company, Dale Ltd. They have suggested that he leaves the practice, joins the board of Dale Ltd and continues to audit the holding company Able Ltd in his own right. The client incorrectly informed Mr. White that if he left his practice, the partnership would automatically be dissolved and become ineligible to act as auditors of Able, so that he could audit Able plc without offending his previous colleagues.

Unfortunately, Mr. White, not having studied in detail the provisions of the Companies Code agrees to join the board of directors of Dale Ltd and to carry out the audit of the holding company, Able Ltd. The former auditors were not re-elected at the annual general meeting of Able Ltd and Mr. White was elected in their place.

Required

(a) Explain the reasons why Mr. White is ineligible, under the Companies Code, to act as auditor of Able Ltd.

(b) Explain what steps the auditor should take when he becomes ineligible to act in that capacity.

(c) Explain the consequences under the Companies Code of an accountant acting in the capacity as auditor when being ineligible to do so.

(d) Describe the powers of the Registrar of Companies in relation to an audit that has been carried out by an ineligible person.

(e) Comment on the directors' statement that the previous auditors would become ineligible to act when Mr. White left the practice because the partnership would automatically be dissolved.

Question 3

The maintenance of auditor independence is vital to the credibility of the audit in the minds of the users of financial statements. Professional regulation has been seen as being a more acceptable method of achieving auditor independence than state regulation, although certain requirements of the Companies Code do have a bearing on such independence.

Required

(a) State the provisions of the Companies Code which strengthen the independence of the auditors.

(b) State five requirements of the code professional ethics issued by the IFAC, which strengthen the independence of the auditors.

(c) Briefly suggest how the independence of the auditors might be further strengthened and improved.

Question 4

'I believe that auditors can never be independent, as the firm pays their audit fee, they are auditing. Effectively, the directors decide who will be the auditors, as:

(i) With director-controlled companies, the directors and their families own the majority of the shares, so they can change the auditor and appoint one who is acceptable to them;

(ii) Even in the public companies, the shareholders usually accept any change of auditor suggested by the directors.'

Required

Critically discuss this statement, and in particular:

(a) the statement that:
  (1) Auditors are paid by the firm they auditing; and
  (2) The points raised in part `(i) and (ii) above; and

b) come to a conclusion on whether you consider auditors can be independent.

Question 5

It is important that an auditor's independence is beyond question, and that he should behave with integrity and objectivity in all professional and business situations, the following are a series of questions, which were asked by auditors at a recent update seminar on professional ethics.

(a) Can I audit my brother's company?
(b) A B & Co, the previous auditors, will not give my professional clearance or the usual handover information because they are still owed fees. Should I accept the client's offer of appointment?
(c) Can I prepare the financial statements of a public company and still remain as auditors?
(d) My client has threatened to sue the firm for negligence. Can I still continue to act as auditors?
(e) I am a student of the Institute of Chartered Accountant – Ghana. Am I bound by the ethical guidelines of the Institute?

Required

Discuss the answers you would give to the above questions posed by the auditors.

Question 6

The auditors of Starbright Ltd have recently been dismissed by the company. The directors of Starbright Ltd have approached you to act as their auditors and have stated that they are prepared to pay you GHC10,000 as an audit fee, plus a bonus of 1% of the profits after taxation. The company manufactures and retails window frames. The directors have a poor reputation as regards employee welfare, and there is a very high turnover of employees. The Sector Ministry has previously investigated the business practices adopted by the company but no action was subsequently taken by the Ministry against the directors or the company.

Required

(a) Describe the steps the auditors must take before deciding whether to accept the nomination as auditors.

(b) State, with reasons, whether the auditors may accept the method of remuneration as proposed by the directors.

(c) Comment on the view that where the audit fee is fixed by negotiation between the directors and the auditors, the confidence of the shareholders in the independence of the auditors may be affected.

Question 7

List the key Companies Code provisions regarding:

(a) the removal of the auditors;

(b) the resignation of the auditors.

(c) the rights of the auditor

(d) the responsibilities of the auditor

Question 8

Hi-Tech Ltd was formed on 1 August 2006 to assemble minicomputers. The directors are unsure as to their responsibilities, and the nature of their relationship with the external auditors. The audit partner has asked you to visit the client and explain to the directors the more fundamental aspects of the accountability of the company and their relationship with the auditors.

Required

Explain to the directors of Hi-Tech Ltd:

(a) why there is a need for an audit;

(b) how the auditors of a public company may be appointed under the Companies Code;

(c) what the auditors' rights are under the Companies Code; and

(d) the responsibilities of the directors in relation to the accounting function of the company.

Question 9

Your firm has been approached by the board of directors of Samanpa Ltd who would like to engage your firm as the company's auditors for the next financial year, ending on 31 December 2009. The directors feel that their current auditors do not give a value for money audit and they will be asked to resign.

Required

(a) What ethical and statutory matters would you consider and what investigations would you undertake before your firm could accept appointment and be appointed as auditors to Samanpa?

(b) State the main contents of the letter of engagement which you would send to Samanpa's directors.

c) Discuss the reasons why auditors should send a letter of engagement to clients before they carry out an audit.

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

UNIT 3: AUDIT PLANNING AND DOCUMENTATION

Unit Outline

Session 1: Audit Planning Procedures
Session 2: Knowledge of the Client's Business
Session 3: Audit Risks and Materiality Assessment
Session 4: Audit Documentation
Session 5: Contents of Audit Files
Session 6: Audit Programmes

Audit planning is a very important area in audit which is conducted mainly at the commencement of the audit assignment. The initial plan drawn would be revised (as and when it becomes necessary) in course of the audit

In order to draw an effective plan, the auditor needs to understand the processes involved in the assignment and to make judgment as to the details of work to be done. This calls for understanding of the client's business and assessment of risk level.

Unit Objectives

At the end of this unit, you should be able to:

(1) Describe the aims of audit planning;
(2) Outline the audit planning procedures;
(3) Appreciate the need to have knowledge about a client's business before commencing actual audit work;
(4) Outline the aspects of a client's business that the auditor should know;
(5) List the sources from where knowledge of a client's business can be obtained;
(6) Understand the components of risks;
(7) Distinguish between risk-based, procedural and other approaches to audit and review work.;
(8) Describe and illustrate the contents of work plans and work programmes; and
(9) Explain the importance of audit documentation required for different types of assignments
(10) Explain what constitutes audit working papers;
(11) Describe the form and content of Audit working papers; and
(12) List the content of Permanent Audit File and Current Audit File
(13) Draw audit programmes for testing main transactions and balances;
(14) Identify the objectives that such tests seek to achieve;
(15) Outline the advantages and disadvantages of standardized audit programmes

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 1: AUDIT PLANNING PROCEDURES

You are welcome to session 1 of Unit 3. I hope you have enjoyed the contents of the first two units. Can I assume that you have understood the nature and scope of auditing and the regulatory framework of auditing? I hope so. Now you can proceed to read about
Audit planning procedures

Objectives

At the end of this session, you should be able to:

(a) Outline audit planning procedures; and
(b) State the preliminary activities to be carried out before actual audit work commences

Now read on…

1.1 Aim of Planning

In order to conduct an audit effectively and efficiently, the work needs to be planned and controlled.

The form and nature of the planning required for an audit will be affected by the size and complexity of the enterprise, the commercial environment in which it operates, the method of processing transactions and the reporting requirements to which it is subject.

Audit planning is the formulation of the general strategy for audit which sets the direction for the audit, describes the expected scope and conduct of the audit and provides guidance for the development of the audit programme.

Adequate planning of audit work aims at:

[a] establishing the intended means of achieving the objectives of the audit
[b] assisting in the direction and control of the work
[c] helping to ensure that appropriate attention is devoted to important areas of the audit, that potential problems are identified and resolved on a timely basis and that the audit engagement is properly organized and managed in order to be performed in an effective and efficient manner.
[d] ensuring that the work is completed expeditiously
[e] facilitating review of the audit work
[f] assisting in the proper assignment of work to engagement team members, facilitates the direction and supervision of engagement team members and the review of their work, and assists, where applicable, in coordination of work done by auditors of components and experts.

1.2 Planning an Audit of Financial Statements

a) The auditor should plan the audit so that the engagement will be performed in an effective manner.

b) Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan, in order to reduce audit risk to an acceptably low level.

c) Planning involves the engagement partner and other key members of the engagement team to benefit from their experience and insight and to enhance the effectiveness and efficiency of the planning process.

The nature and extent of planning activities will vary according to the size and complexity of the entity, the auditor's previous experience with the entity, and changes in circumstances that occur during the audit engagement.

Planning is not a discrete phase of an audit, but rather a continual and iterative process that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current audit engagement. However, in planning an audit, the auditor considers the timing of certain planning activities and audit procedures that need to be completed prior to the performance of further audit procedures. For example, the auditor plans the discussion among engagement team members, the analytical procedures to be applied as risk assessment procedure, the obtaining of a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework, the determination of materiality, the involvement of experts and the performance of other risk assessment procedures prior to identifying and assessing the risks of material misstatement and performing further audit procedures at the assertion level for classes of transactions, account balances, and disclosures that are responsive to those risks.

1.3 Preliminary Engagement Activities

The auditor should perform the following activities at the beginning of the current audit engagement:

- Perform procedures regarding the continuance of the client relationship and the specific audit engagement;
- Evaluate compliance with ethical requirements, including independence;
- Establish an understanding of the terms of the engagement

The auditor's consideration of client continuance and ethical requirements, including independence, occurs throughout the performance of the audit engagement as conditions and changes in circumstances occur. However, the auditor's initial procedures on both client continuance and evaluation of ethical requirements (including independence) are performed prior to performing other significant activities for the

current audit engagement. For continuing audit engagements, such initial procedures often occur shortly after (or in connection with) the completion of the previous audit.

The purpose of performing these preliminary engagement activities is to help ensure that the auditor has considered any events or circumstances that may adversely affect the auditor's ability to plan and perform the audit engagement to reduce audit risk to an acceptably low level. Performing these preliminary engagement activities helps to ensure that the auditor plans audit engagement for which:

- The auditor maintains the necessary independence and ability to perform the engagement.
- There are no issues with management integrity that may affect the auditor's willingness to continue the engagement
- There is no misunderstanding with the client as to the terms of the engagement.

1.4 The Overall Audit Strategy

The Auditor should establish the overall audit strategy for the audit.

The overall audit strategy sets the scope, timing and direction of the audit, and guides the development of the more detailed audit plan. The establishment of the overall audit strategy involves:

a) Determining the characteristics of the engagement that define its scope, such as the financial reporting framework used, industry-specific reporting requirements and the locations of the components of the entity;

b) Ascertaining the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required, such as deadlines for interim and final reporting, and key dates for expected communications with management and those charged with governance; and

c) Considering the important factors that will determine the focus of the engagement team's efforts, such as determination of appropriate materiality levels, preliminary identification of areas where there may be higher risks of material misstatement, preliminary identification of material components and account balances, evaluation of whether the auditor may plan to obtain evidence regarding the effectiveness of internal control, and identification of recent significant entity-specific, industry, financial reporting or other relevant developments.

In developing the overall audit strategy, the auditor also considers the results of preliminary engagement activities and, where practicable, experience gained on other engagements performed for the entity.

The process of developing the overall audit strategy helps the auditor to ascertain the nature timing and extent of resources necessary to perform the engagement. The overall audit strategy sets out clearly

The resources to deploy for specific audit areas, such as the use of appropriately experienced team members for high risk areas or the involvement of experts on complex matters;

The amount of resources to allocate to specific audit areas, such as the material locations, the extent of review of other auditors' work in the case of group audits, or the audit budget in hours to allocate to high risk areas;

When these resources are deployed, such as whether at an interim audit stage or at key cut-off dates; and

How such resources are managed, directed and supervised, such as when team briefing and debriefing meetings are expected to be held, how engagement partner and manager reviews are expected to take place (for example, on-site or off-site), and whether to complete engagement quality control reviews.

Once the overall audit strategy has been established, the auditor is able to start the development of a more detailed audit plan to address the various matters identified in the overall audit strategy, taking into account the need to achieve the audit objectives through the efficient use of the auditor's resources. Although the auditor ordinarily establishes the overall audit strategy before developing the detailed audit plan, the two planning activities are not necessarily discrete or sequential processes but are closely inter-related since changes in one may result in consequential changes to the other.

In audits of small entities, the entire audit may be conducted by a very small audit team. Many audits of small entities involve the audit engagement partner (who may be a sole practitioner) working with one engagement team member (or without any engagement team members). With a smaller team, co-ordination and communication between team members are easier. Establishing the overall audit strategy for the audit of a small entity need not be a complex or time-consuming exercise; it varies according to the size of the entity and the complexity of the audit. For example, a brief memorandum prepared at the completion of the previous audit, based on a review of the working papers and highlighting issues identified in the audit just completed, update and changed in the current period based on discussions with the owner-manager, can serve as the basis for planning the current audit engagement.

1.5 The Audit Plan

The auditor should develop an audit plan for the audit in order to reduce audit risk to an acceptably low level.

The audit plan is more detailed than the overall audit strategy and includes the nature, timing and extent of audit procedures to be performed by engagement team members in order to obtain sufficient appropriate audit evidence to reduce audit risk to an acceptably low level. Documentation of the audit plan also services as a record of the proper planning and performance of the audit procedures that can be reviewed and approved prior to the performance of further audit procedures.

The audit plan includes:

- A description of the nature, timing and extent of planned risk assessment procedures sufficient to assess the risks of material misstatement
- A description of the nature, timing and extent of planned further audit procedures at the assertion level for each material class of transactions, account balance, and disclosure
- The plan for further audit procedures reflects the auditor's decision whether to test the operating effectiveness of controls, and the nature, timing and extent of planned substantive procedures; and
- Such other audit procedures required to be carried out for the engagement

Planning for these audit procedures takes place over the course of the audit as the audit plan for the engagement develops. For example, planning of the auditor's risk assessment procedures ordinarily occurs early in the audit process. However, planning of nature, timing and extent of specific further audit procedures depends on the outcome of those risk assessment procedures for some classes of transactions, account balances and disclosures before completing the more detailed audit plan of all remaining further audit procedures.

1.6 Changes to Planning Decisions during the Course of The Audit

The Overall audit strategy and the audit plan should be updated and changed as necessary during the course of the audit. Planning an audit is a continual and iterative process throughout the audit engagement. As a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures, the auditor may need to modify the overall audit strategy and audit plan and thereby the resulting planned nature, timing and extent of further audit procedures. Information may come to the auditor's attention that differs significantly from the information available when obtain audit evidence through the performance of substantive procedures that contradicts the audit evidence obtained with respect to the testing of the operating effectiveness of controls. In such circumstances, the auditor re-evaluates the planned audit procedure, based on the revised consideration of assessed risks at the assertion level for all or some of the classes of transactions, account balances or disclosures.

1.7 Direction, Supervision and Review

The auditor should plan the nature, timing and extent of direction and supervision of engagement team members and review of their work.

The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors, including the size and complexity of the entity, the area of audit, the risks of material misstatement, and the capabilities and competence of personnel performing the audit work.

The auditor plans the nature, timing and extent of direction and supervision of engagement team members based on the assessed risk of material misstatement. As the assessed risk of material misstatement increases, for the area of audit risk, the auditor ordinarily increases the extent and timeliness of direction and supervision of engagement team members and performs a more detailed review of their work. Similarly, the auditor plans the nature, timing and extent of review of the engagement team's work based on the capabilities and competence of the individual team members performing the audit work.

In audits of small entities, an audit may be carried out entirely by the audit engagement partner (who may be a sole practitioner). In such situations, questions of direction and supervision of engagement team members and review of their work do not arise as the audit engagement partner, having personally conducted all aspects of the work, is aware of all material issues. The audit engagement partner (or sole practitioner) nevertheless needs to be satisfied that the audit has been conducted in accordance with ISAs. Forming an objective view on the appropriateness of the judgments made in the course of the audit can present practical problems when the same individual also performed the entire audit. When particularly complex or unusual issues are involved, and the audit is performed by a sole practitioner, it may be desirable to plan to consult with other suitably-experienced auditors or the auditor's professional body.

1.8 Procedures

The auditor should consider the outline audit approach he proposes to adopt, including the extent to which he may wish to rely on internal controls and any aspects of the audit which need particular attention. He should also take into account in his planning, any additional work which he has agreed to undertake.

Preparatory procedures which the auditor should consider include the following:

[a] reviewing matters raised in the audit of the previous year which may have continuing relevance in the current year.

[b] assessing the effects of any changes in legislation or accounting practice affecting the financial statements.

[c] reviewing interim or management accounts where these are available and consulting with the management and staff of the enterprise. Matters which should be considered include current trading circumstances, and significant changes in the business carried on and in the management of the enterprise.

[d] identifying any significant changes in the enterprise's accounting procedures, such as introduction of anew accounting software.

[e] determining the number of audit staff required, the experience and special skills they need to possess and the timing of their audit visits.

[f] briefing audit team members about the client company's affairs and the nature and scope of the work they are required to carry out.

(g) consider the need for expert help and the involvement of auditors in group audits

[h] the preparation of a planning memorandum, setting out the outline audit approach.

[i] establishing materiality and risks factors.

[j] setting out the audit programme of tests to be undertaken.

[k] establishing initial sample sizes for listing

[l] setting staff allocation and a fee budget. The budget should be used to control the time spent on that audit and any major variations (time both under and over spent) should be investigated by the manger responsible for the audit.

m) Informing the client of the expected date of attendance by the auditor's staff

[n] in the case of joint audit, there should be consultation between the joint auditors to determine the allocation of the work to be undertaken and the procedures for its control and review.

1.9 Audit Planning Memorandum

It is essential that the auditor documents the overall audit plan to cover the following areas:

- The timing of the audit work,
- The changes of the client's business since the previous audit;
- The various decisions taken as a result of the planning process;
- The assessment of the internal audit of the client;
- The briefing instructions to the audit team;
- The control of the audit, supervision and review of the audit work;
- The staff and time budget.

The work of planning is a continuous process throughout the audit. Although the planning memorandum is prepared before the start of the audit work, it is worth noting that the audit work does not end there

As the audit work progresses, the auditor reviews the plan and revises it appropriately.

In recent times, many auditing firms have formalized the documentation of their planning process by the use of Standard Audit Planning Memorandum. This standard document is used to record the initial planning decisions and is reviewed during the audit to suit the peculiar circumstances of the client and the audit assignment.
The following is a specimen audit planning memorandum

	Prepared By Date:
Received by:	Date
Planning Memorandum	
1.Job Time Table Give provisional dates of timing of the audit Planning meeting with client Commencement of interim audit Conclusion of interim audit Debtors/creditors circularisation	Panned date Actual Date
2 Changes since previous audit In the nature of the client;s business (for example Changes in product range, terms of sale, etc) In the management structure or key financial personnel In the accounting system (including those resulting from Previous management letters) In external requirements (for example, accounting Standards, legislation, rules. Etc	Detailed comments

3 Planning decisions The main changes in the audit programme from the Previous period Indicate those areas in which material errors have been identified in previous periods and audit emphasis to be Placed thereon The following systems are to be flowcharted The following sections of the permanent file are to be created/ updated Specialist assistance required (specify) Indicate whether an audit committee is mandatory for this Client prior to signing of the audit report Prepare a summary of schedules and other details that client staff will provide for us State briefly other services we provide or the client and their impact on nature and timing of audit.	Detailed comments
4 Internal Audit Department Indicate to what extent we are able to reduce the level of our audit tests by relying on relevant internal audit work. State briefly the liaison with the internal auditors at the planning stage of the audit during the transaction audit at the final stage	Detailed comments
5. Briefing Instructions State any particular sequence in which the work is to be carried out	Date Name Level

State any specific points which require any particular attention or parts to be borne by a specific person Insert date when briefing meeting with audit team held and names and levels of staff briefed	
Supervision and Review State any particular stages (or area of difficulty) at which the senior is to refer back to the manager State how and at what stages it is proposed to supervise and review the transaction audit. Time budget Assignment Partner 10 hours Manager 25 hours Assistant Manager 40 hours Supervisor 80 hours 2 Audit Seniors 200 hours 5 Audit Assistants 500 hours State briefly the reasons for significant variances in the current year budget with the budget and actual time of previous year.	Date Name Level

Self-Assessment Questions

Exercise 3.1

1 Outline eight typical planning procedures.

2 List and describe the matters you will consider and the work you will carry out when planning an audit.

SESSION 2: KNOWLEDGE OF THE CLIENT BUSINESS

Welcome to Session 2 of Unit 3. Naturally, it is important that you know the background of any person or body that you intend to relate with and the same can be said of an auditor and a client.

Prior to acceptance of an engagement, the auditors should obtain a preliminary knowledge of the industry and ownership, management and operations of the prospective client, sufficient to enable them consider their ability and willingness to undertake the audit.

Following acceptance of an engagement, the auditors should obtain further and more detailed knowledge and information sufficient to enable them plan the audit, develop effective audit approach and understand the events and practices that have significant effect on the financial statement or their audit work.

Objective

At the end of the session, you should be able to detail out the information abou that should be known to the auditor before the actual auditing work starts.

2.1 Introduction

Prior to acceptance of an engagement, the auditors should obtain a preliminary knowledge of the industry and ownership, management and operations of the prospective client, sufficient to enable them consider their ability and willingness to undertake the audit.

Following acceptance of an engagement, the auditors should obtain further and more detailed knowledge and information sufficient to enable them plan the audit, develop effective audit approach and understand the events and practices that have significant effect on the financial statement or their audit work.

2.2 What should be known about the client

What should be known about the client company include:

- general economic factors and industry conditions affecting the entity's business.
- important characteristics of the entity, its business, its financial performance, and its reporting requirements; including changes since the date of the last audit examination.
- the general level of competence of management and recent management changes.
- the accounting policies adopted by the entity and changes in those policies.

- the effect of new legislation, accounting or auditing pronouncements.
- the regulatory framework, if any.
- the auditors' cumulative knowledge of the accounting and internal control systems and any expected changes.

In succeeding periods, the auditors should consider the information gathered previously and should perform procedures designed to identify significant changes that have taken place since the last audit.

2.3 Sources of Knowledge

The auditors can obtain knowledge of the industry and the entity from a number of sources, for example,

- previous experience with the entity sand of its industry
- discussion with people within the entity (for example the junior and senior managers)
- discussion with internal audit personnel and review of internal audit reports
- discussion with auditors (including predecessor auditors) and with legal and other advisors who have provided services for the entity or within the industry
- discussion with knowledge people outside the entity, (for example industry economists, industry regulators, customers, suppliers, competitors)
- publications related to the industry (from government, banks and securities dealers, financial newspapers) etc
- legislations and regulations that significantly affect the entity
- visits to the entity's premises and plant facilities
- documents produced by the entity (for example minutes of meetings, materials sent to shareholders, promotional literature, prior-years annual and financial reports, budgets, management reports, interim financial reports, management policies, accounts, job descriptions, marketing and sales plans
- industry-specific guidance.

2.4 Using the Knowledge

Understanding the business and using this information appropriately assist the auditors in;

- Assessing risks and identifying problems
- Planning and performing the audit effectively and efficiently
- Evaluation audit evidence

The auditors make judgements about many matters throughout the course of the audit where knowledge of the business is important, for example:

- Assessing inherent and control risks
- Considering business risks and management's response thereto

- Developing the overall audit plan and the audit programme
- Determining a materiality level and assessing whether the materiality level chosen remains appropriate
- Assessing audit evidence to establish its appropriateness and the validity of the related financial statement assertions
- Evaluating accounting estimates and management representations
- Identifying areas where special audit considerations and skilled may be necessary
- Identifying related parties and related party transactions
- Recognizing conflicting information (for example contradictory representations)
- Making informed inquiries and assessing the reasonableness of answers
- Considering the appropriateness of accounting policies and financial statement disclosures.

The audit engagement partner should ensure that assistants assigned to an audit engagement obtain sufficient knowledge of the business of the entity being audited to enable them to carry out audit work delegated to them. Such knowledge may be passed to assistants initially by means of the audit planning memorandum or an audit-briefing meeting and subsequently during the course of the audit.

In addition, the audit engagement partner ensure that assistants understand the need to be alert for and to share additional information.

2.5 Matters to Consider in Relation to Knowledge of the Business

The following matters are to be considered in relation to knowledge of the business.

2.5.1 General Economic Factors:

- General level of economic activity (for example growth, recession etc)
- Interest rate and availability of financing
- Inflation
- Government's monetary, fiscal, taxation and trade restriction policies
- Foreign currency rates and control

2.5.2 The Industrial Conditions Affecting the Client's Business:

- The market and competition
- Cyclical and seasonal activity
- Changes in product technology
- Business risk (for example high technology, high fashion, ease of entry for competition)
    - Declining or expanding operations

- Adverse conditions (for example declining demand, excess capacity, serious price competition)
- Key ratios and operating statistics
- Specific accounting practices and problems
- Environmental requirements and problems
- Regulatory framework
- Energy supply and cost
- Specific or unique practices (for example reacting to labour contracts, financing methods, accounting methods)
- Management and Ownership of the Entity
- Corporate structure – private, public, government
- Beneficial owners and related parties (local, foreign, business reputation and experience)
- The relationship between owners, directors and management
- Capital structure (including any recent or planned changes)
- Organization structure
- Management objectives, philosophy and strategic plans
- Acquisitions, mergers or disposals of business activities planned or recently executed
- Sources of methods of financing (current, historical)
- Board of directors (composition, business reputation and experience, independence from and control over operating management, frequency of meetings, existence of audit committee and scope of its activities, existence of policy on corporate conduct, changes in professional advisors)
- Operating management (experience and reputation, turnover, key financial personnel and other status in the organization, staffing of accounting department, incentive or bonus plans as part of remuneration, use of forecasts and budgets, pressures on management, management information systems)
- Internal audit function (existence, quality etc)
- Attitude to internal control environment

2.5.3 The Entity's Business – Products, Markets, Suppliers, Expenses and Operations:

- Nature of business (for example manufacturer, wholesaler, financial services, imports/exports)
- Location of production facilities, warehouses, offices etc
- Employment (for example by location, supply, wage levels, union contracts, pension commitments, government regulations)

- Products or services and markets (for example major customers and contracts, terms of payments, profit margins, reputation of products warranties, order book, trends, marketing strategy and objectives, manufacturing processes)
- Important suppliers of goods and services (for example long term contracts, stability of supply, terms of payment, imports, methods of delivery)
- Inventories (for example location, quantities)
- Franchises, licenses, patents
- Important expense categories
- Research and development
- Foreign currency assets, liabilities and transactions by currency, hedging
- Legislation and regulations that significantly affect the entity
- Information systems (including computerized information systems) – current plans to change
- Debt structure, including covenants and restrictions.

2.5.4 Financial Performance

Factors concerning the entity's financial conditions and profitability:

- Accounting policies
- Earnings and cash-flow trends
- Leasing and other financial commitments
- Availability of lines of credit
- Off statement of financial position finance issue
- Foreign exchange and interest rate exposures
- Comparison with industrial trends

2.5.5 Reporting Environment

External influences which affect the directors in the preparation of the financial statements:

- Legislation
- Regulatory environment and requirements
- Taxation
- Accounting requirements
- Measurement and disclosure issues peculiar to the business
- Audit reporting requirements
- Users of the financial statements
- Communication of Knowledge about the Business

Knowledge of the client's business becomes useful to the auditors if it is made known to the audit team members. The audit engagement partner should therefore ensure that the audit team obtains such knowledge of the business of the entity being audited as may reasonably be expected to be sufficient to enable it to carry out the audit work effectively.

Such information will be provided in the planning documentation but the partner should ensure that staff regularly share any subsequent knowledge they have gain with the rest of the team.

Self-Assessment Questions

Exercise 3.2

1. What are the major areas of business knowledge that an auditor needs when planning?

2. List the enquiries you will make and the procedures you will perform in deciding on the financial health of an audit client.

SESSION 3: AUDIT RISKS AND MATERIALITY ASSESSMENT

You are welcome to Session 3 of Unit 3. Unit 2 has helped you to know information about the client that must be known to the auditor before actual audit work commences. After this is known, the next task for the auditor is to assess the risks associated with the audit assignment. This is the subject matter of what you would read in this session.

Objectives

At the end of this session, you should be able to;

(a) describe the types of risks associated with audit assignment; and
(b) describe the procedure for establishing materiality.

Now read on…

3.1 Risk-based Audit

Risk- based audit is the system of audit used by auditors in order to concentrate on high risk clients and on high risks areas of a client's business rather than performing detailed audit tests on all areas of a client's business. I t enables a cost-effective method to be achieved.

There is some level of risks associated with audit assignments. The riskier the client is, the more work the auditor will have to do in coming out with his audit pinion.

Risk based audit is used by auditors to concentrate resources on high risk clients and on high risks areas of a client's business.

3.2 Total Audit Risk (TAR)

This is the risk of giving an inappropriate opinion when financial statements are materially misstated. Total audit risk has three components:

- Inherent risk (IR)
- Control risk (CR)
- Detection risk (DR)

The three risks multiplied together give total audit risk. Thus;

TAR = IR x CR x DR.

It is worth noting that the auditor applies professional judgement to put weights on these risks; there is no hard and fast rules

3.2.1 Inherent Risk

Inherent risk is the susceptibility of an account balance or class of transactions to material misstatement, either individually or when aggregated with misstatements in other balances or classes, while assuming no related internal controls.

In developing the overall audit plan, the auditors should assess inherent risk at the financial statement level. In developing the audit programme, the auditor should relate such assessments to material account balances and classes of transactions.

In the absence of knowledge or information to enable the auditors to make an assessment of inherent risk for a specific material account balance or class of transactions, the auditors assume that inherent risk is high.

To assess inherent risk, the auditors use their experience of the client company from their previous audits together with professional judgement to evaluate numerous factors, example of which are:

At the financial statement level:

- The integrity of management
- Management experience and knowledge and changes in management during the period, for example the inexperience of management may affect the preparation of the financial statement of the entity.
- Unusual pressures on management. For example, circumstances that might predispose management to misstate the financial statements, such as the industry experiencing a large number of business failures or an entity that lacks sufficient capital to continue operations.
- The nature of the entity's business, for example the potential for technological obsolescence of its products and services, the complexity of its capital structure, the significance of related parties and the number of locations and geographical spread of its production facilities.
- Factors affecting the industry in which the entity operates, for example economic and competitive conditions as indicated by financial trends and ratios, and changes in technology, consumer demand and accounting practices common to the industry.

At the account balance and class of transactions level

- Financial statement likely to be susceptible to misstatement for example accounts which require adjustment in the previous period or which involve a high degree of estimation.
- The complexity of understanding transactions and other events which might require the use of the work of an expert.
- The degree of judgement involved in determining account balances.

- Susceptibility of assets to loss or misappropriation, for example assets which are highly desirable and movable such as cash.
- The completion of unusual and complex transactions, particularly at or near period end
- Transactions not subjected to ordinary processing.

3.2.2 Control Risk

"Control risk" is the risk that material misstatement could occur in account balance or class of transactions, either individually or when aggregated with misstatements in other balances or classes, and not be prevented, or detected on a timely basis, by the accounting and internal control systems.

After obtaining an understanding of the accounting system and control environment, the auditors should make a preliminary assessment of control risk for material financial statement assertions.

The preliminary assessment of control risk is the process of evaluating the likely effectiveness of an entity's accounting and internal control systems in preventing and correcting materials misstatements. There is always some control risk because of the inherent limitations of any internal control system.

The more effective the entity's accounting and internal control systems are assessed to be, the lower the auditor's assessment of control risk. Where the auditors obtain satisfactory audit evidence from tests of control as to the effectiveness of the accounting and internal control systems, the extent of substantive procedures may be reduced.

The auditors may conclude that the accounting and internal control systems are not effective. In these circumstances the auditors plan the audit approach as if they had made an adverse preliminary assessment of control risk, and sufficient appropriate audit evidence needs to be obtained entirely from substantive procedures.
When control risk is assessed at less than high, the auditors need to document the basis for the conclusion.

Different techniques may be used to document information relating to accounting and internal control systems and the assessment of control risk. Selection of a particular technique is a matter for the auditor's judgement.

Common techniques, used alone or in combination, are narrative descriptions, questionnaires, check lists and flow charts (these techniques are discussed in detail in the next chapter).

The form and extent of this documentation are influenced by the size and complexity of the entity and the nature of the entity's accounting and internal control systems. Generally, the more complex the entity's accounting and internal control systems and the more extensive the auditor's procedures, the more extensive the auditor's documentation needs to be.

Relationship between the assessment of inherent and control risk
Management often reacts to situations where inherent risk is high by designing accounting and internal control systems to prevent and detect misstatements and therefore, in many cases, inherent risk and control risk are highly interrelated.

In such a situation, if the auditors attempt to assess inherent risk and control risks separately, there is a possibility of inappropriate risk assessment.

As a result, the effects of inherent risk and the preliminary assessment of control risk are often performed simultaneously.

3.2.3 Detection Risk

"Detection Risk" is the risk that auditors' substantive procedures (tests of details of transactions and balances or analytical procedures) do not detect a material misstatement that exists in an account balance or class of transactions, either individually or when aggregated with misstatement in other balances or classes.

Regardless of the assessed levels of inherent and control risks, the auditors should perform some substantive procedures for material account balances and transactions classes.

The higher the assessment of inherent and control risks the more audit evidence the auditors should obtain from the performance of substantive procedures.

When both inherent and control risk are assessed as high, the auditors need to consider whether substantive procedures can provide sufficient appropriate audit evidence to reduce detection risk, and therefore audit risk to an acceptably low level.

When the auditors determine that detection risk regarding a material financial statement assertion cannot be reduced to an acceptable low level, the auditors need to consider the implication for their audit report and may consider whether to withdraw from the engagement.

The auditors' assessment of the components of audit risk may change during the cause of an audit, for example information may come to the auditor's attention (when performing substantive procedures) that differs significantly from the information on

which the auditors originally assessed inherent and control risks. In such cases, the auditors need to modify the planned substantive procedures based on a revision of the assessed-levels of inherent and control risks for the relevant financial statement assertions.

3.3 Planning for Materiality

3.3.1 Introduction

The auditor should consider materiality and its relationship with audit risk when conducting an audit.

"Materiality" is defined in the Internal Accounting Standards Board's "Framework for the Preparation and Presentation of Financial Statements" in the following terms:

"Information is material if its omission or misstatement could influence the economic decisions of users taken on the basis of the financial statements. Materiality depends on the size of the item or error judged in the particular circumstances of its omission or misstatement. Thus, materiality provides a threshold or cut-off point rather than being a primary qualitative characteristic which information must have if it is to be useful."

3.3.2 The Concept of Materiality

The objective of an audit of financial statements is to enable the auditor to express an opinion whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework. The assessment of what is material is a matter of professional judgment.

In designing the audit plan, the auditor establishes an acceptance materiality level so as to detect quantitatively material misstatements. However, both the amount (quantity) and nature (quantity) of misstatements need to be considered. Examples of qualitative misstatements would be the inadequate or improper description of an accounting policy when it is likely that a user of the financial statements would be misled by the description, and failure to disclose the breach of regulatory requirements when it is likely that the consequent imposition of regulatory restrictions will significantly impair operating capability.

The auditor needs to consider the possibility of misstatements of relatively small amounts that cumulatively, could have a material effect on the financial statements

The auditor considers materiality at both the overall financial statement level and in relation to classes of transactions, account balances, and disclosures. Materiality may be influenced by considerations such legal and regulatory requirements and considerations relating to classes of transaction, account balances, and disclosures and

their relationships. This process may result in different materiality levels depending on the aspect of the financial statements being considered.

Materiality should be considered by the auditor when:

a) Determining the nature, timing and extent of audit procedures; and
b) Evaluating the effect of misstatements.

3.4 The Relationship between Materiality and Audit Risk

When planning the audit, the auditor considers what would make the financial statements materially misstated. The auditor's understanding of the entity and its environment establishes a frame of reference within which the auditor plans the audit and exercises professional judgment about assessing the risks of material misstatement of the financial statements and responding to those risks throughout the audit. It also assists the auditor to establish materiality and in evaluating whether the judgment about materiality remains appropriate as the audit progresses. The auditor's assessment of materiality, related to classes of transactions, account balances, and disclosures, helps the auditor decide such questions as what items to examine and whether to use sampling and substantive analytical procedures. This enables the auditor to select audit procedures that, in combination, can be expected to reduce audit risk on an acceptably low level.

There is an inverse relationship between materiality and the level of audit risk, that is, the higher the materiality level, the lower the audit risk and vice versa. The auditor takes the inverse relationship between materiality and audit risk into account when determining the nature, timing and extent of audit procedures. For example, if after planning for specific audit procedures. The auditor determines that the acceptable materiality level is lower, audit risk is increased. The auditor would compensate for this by either:

a) Reducing the assessed risk of material misstatement, where this is possible and supporting, he reduced level by carrying out extended or additional tests of control, or
b) Reducing detection risk by modifying the nature, timing and extent of planned substantive procedures.

3.5 Materiality and Audit Risk in Evaluating Audit Evidence

The Auditor's assessment of materiality and audit risk may be different at the time of initially planning the engagement from at the time of evaluating the results of audit procedures. This could be because of a change in circumstances or because of a change in the auditor's knowledge as a result of performing audit procedures. For example, if audit procedures are performed prior to period end, the auditor will anticipate the results of operations and the financial position. If actual results of operations and financial position are substantially different, the assessment of materiality and audit risk

may also change. Additionally, the auditor may, in planning the audit work, intentionally set the acceptable materiality level at a lower level than is intended to be used to evaluate the results of the audit. This may be done to reduce the likelihood of undiscovered misstatements and to provide the auditor with a margin of safety when evaluating the effect of misstatements discovered during the audit.

3.6 Evaluating the Effect of Misstatements

In evaluating whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework, the auditor should assess whether the aggregate of uncorrected misstatements that have been identified during the audit is material.

The aggregate of uncorrected misstatements comprises:

a) Specific misstatements identified by the auditor including the net effect of uncorrected misstatements identified during the audit of previous periods: and
b) The auditor's best estimate of other misstatements which cannot be specifically identified (i.e. projected errors).

The auditor needs to consider whether the aggregate of uncorrected misstatements is material. If the auditor concludes that the misstatements may be material, the auditor needs to consider reducing audit risk by extending audit procedures or requesting management to adjust the financial statements. In any event, management may want to adjust the financial statements for the misstatements identified.

If management refuses to adjust the financial statements and the result of extended audit procedures do not enable the auditor to conclude that the aggregate of uncorrected misstatements is not material, the auditor should consider the appropriate modification to the auditor's report

3.7 Communication of Errors

If the auditor has identified a material misstatement resulting from error, the auditor should communicate the misstatement to the appropriate level of management on a timely basis, and consider the need to report it to those charged with governance.

3.8 Public Sector Perspective

In assessing materiality, the public sector auditor must, in addition to exercising professional judgment, consider any legislation or regulation which may impact that assessment. In the public sector, materiality is also based on the "context and nature" of an item and includes, for example, sensitivity as well as value. Sensitivity covers a variety of matters such as compliance with authorities, legislative concern or public interest.

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 4: AUDIT DOCUMENTATION

You are welcome to Session 4 of Unit 3. Unit 2 has helped you to know information about the client that must be known to the auditor before actual audit work commences. After this is known, the next task for the auditor is to assess the risks associated with the audit assignment. This is the subject matter of what you would read in this session.

Objectives

At the end of this session, you should be able to:

- describe the types of risks associated with audit assignment; and
- describe the procedure for establishing materiality.

Now read on…

4.1 Introduction

The auditor should document matters, which are important in providing evidence to support the audit opinion and evidence that the audit was carried out in accordance with acceptable standards.

Nothing enhances the efficiency with which an audit may be conducted more than the careful compilation and maintenance of audit files and working papers. From the very beginning of an audit, the files should be built up systematically and staff involved in audit assignments should be constantly reminded of the importance of recording material issues that arise from their audit and to ensure that audit papers are kept in an orderly manner at all times

The auditor should prepare, on a timely basis, audit documentation that provides:

(a) A sufficient and appropriate record of the basis for the auditor's report; and

(b) Evidence that the audit was performed in accordance with ISAs and applicable legal and regulatory requirements.

4.2 Definitions

(a) 'Audit documentation' means the record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached (terms such as 'working papers' or 'work papers' are also sometimes used); and

(b) 'Experienced auditor' means an individual (whether internal or external to the firm) who has a reasonable understanding of (i) audit processes, (ii) ISAs and applicable legal and regulatory requirements, (iii) the business environment in which the entity operates, and (iv) auditing and financial reporting issues relevant to the entity's industry.

4.3 Nature of Audit Documentation

Audit documentation may be recorded on paper or on electronic or other media. It includes, for example, audit programs, analyses, issues memoranda, summaries of significant matters, letters of confirmation and representation, checklists, and correspondence (including e-mail) concerning significant matters. Abstracts or copies of the entity's records, for example, significant and specific contracts and agreements, may be included as part of audit documentation if considered appropriate. Audit documentation, however, is not a substitute for the entity's accounting records. The audit documentation for a specific audit engagement is assembled in an audit file.

The auditor ordinarily excludes from audit documentation superseded drafts of working papers and financial statements, notes that reflect incomplete or preliminary thinking, previous copies of documents corrected for typographical or other errors, and duplicates of documents.

4.4 Objectives/Purposes of Audit Documentation

Preparing sufficient and appropriate audit documentation on a timely basis helps to enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence obtained and conclusions reached before the auditor's report is finalized. Documentation prepared at the time the work is performed is likely to be more accurate than documentation prepared subsequently.

In addition to these objectives, audit documentation serves a number of purposes, including:

(a) Assisting the audit team to plan and perform the audit;
(b) Assisting members of the audit team responsible for supervision to direct and supervise the audit work, and to discharge their review responsibilities.
(c) Enabling the audit team to be accountable for its work;
(d) Retaining a record of matters of continuing significance to future audits;
(e) Enabling an experienced auditor to conduct quality control reviews and inspections; and
(f) Enabling an experienced auditor to conduct external inspections in accordance with applicable legal, regulatory or other requirements.

4.5 Form, Content and Extent of Audit Documentation

The auditor should prepare the audit documentation so as to enable an experienced auditor, having no previous connection with the audit, to understand:

(a) The nature, timing, and extent of the audit procedures performed to comply with ISAs and applicable legal and regulatory requirements;
(b) The results of the audit procedures and the audit evidence obtained; and
(c) Significant matters arising during the audit and the conclusions reached thereon.

The form, content and extent of audit documentation depend on factors such as:

- The nature of the audit procedures to be performed;
- The identified risks of material misstatement;
- The extent of judgment required in performing the work and evaluating the results;
- The significance of the audit evidence obtained;
- The nature and extent of exceptions identified;
- The need to document a conclusion or the basis for a conclusion not readily determinable from the documentation of the work performed or audit evidence obtained; and
- The audit methodology and tools used.

It is, however, neither necessary nor practicable to document every matter the auditor considers during the audit.

Oral explanations by the auditor, on their own, do not represent adequate support for the work the auditor performed or conclusions the auditor reached, but may be used to explain or clarify information contained in the audit documentation.

4.6 Documentation of the Identifying Characteristics of Specific Items or Matters Being Tested

In documenting the nature, timing and extent of audit procedures performed, the auditor should record the identifying characteristics of the specific items or matters being tested.

Recording the identifying characteristics serves a number of purposes. For example, it enables the audit team to be accountable for its work and facilitates the investigation of exceptions or inconsistencies. Identifying characteristics will vary with the nature of the audit procedure and the item or matter being tested. For example:

- For a detailed test of entity-generated purchase orders, the auditor may identify the documents selected for testing by their dates and unique purchase order numbers.

- For a procedure requiring selection or review of all items over a specific amount from a given population, the auditor may record the scope of the procedure and identify the population (for example, all journal entries over a specified amount from the journal register).
- For a procedure requiring systematic sampling from a population of documents, the auditor may identify the documents selected by recording their source, the starting point and the sampling interval (for example, a systematic sample of shipping reports selected from the shipping log for the period from April 1 to September 30, starting with report number 1 ,2, 3, 4, 5 and selecting every 125th report).
- For a procedure requiring inquiries of specific entity personnel, the auditor may record the dates of the inquiries and the names and job designations of the entity personnel.
- For an observation procedure, the auditor may record the process or subject matter being observed, the relevant individuals, their respective responsibilities, and where and when the observation was carried out.

4.7 Significant Matters

Judging the significance of a matter requires an objective analysis of the facts and circumstances. Significant matters include, amongst others:

- Matters that give rise to significant risks.
- Results of audit procedures indicating (a) that the financial information could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.
- Circumstances that cause the auditor significant difficulty in applying necessary audit procedures.
- Findings that could result in a modification to the auditor's report.

The auditor may consider it helpful to prepare and retain as part of the audit documentation a summary (sometimes known as a completion memorandum) that describes the significant matters identified during the audit and how they were addressed, or that includes cross-references to other relevant supporting audit documentation that provides such information. Such a summary may facilitate effective and efficient reviews and inspections of the audit documentation, particularly for large and complex audits. Further, the preparation of such a summary may assist the auditor's consideration of the significant matters.

The auditor should document discussions of significant matters with management and others on a timely basis.

The audit documentation includes records of the significant matters discussed, and when and with whom the discussions took place. It is not limited to records prepared by the auditor but may include other appropriate records such as agreed minutes of meetings prepared by the entity's personnel. Others with whom the auditor may discuss significant matters include those charged with governance, other personnel within the entity, and external parties, such as persons providing professional advice to the entity.

If the auditor has identified information that contradicts or is inconsistent with the auditor's final conclusion regarding a significant matter, the auditor should document how the auditor addressed the contradiction or inconsistency in forming the final conclusion.

The documentation of how the auditor addressed the contradiction or inconsistency, however, does not imply that the auditor needs to retain documentation that is incorrect or superseded.

4.8 Documentation of Departures from Basic Principles or Essential Procedures

The basic principles and essential procedures in ISAs are designed to assist the auditor in meeting the overall objective of the audit. Accordingly, other than in exceptional circumstances, the auditor complies with each basic principle and essential procedure that is relevant in the circumstances of the audit.

Where, in exceptional circumstances, the auditor judges it necessary to depart from a basic principle or an essential procedure that is relevant in the circumstances of the audit, the auditor should document how the alternative audit procedures performed achieve the objective of the audit, and, unless otherwise clear, the reasons for the departure. This involves the auditor documenting how the alternative audit procedures performed were sufficient and appropriate to replace that basic principle or essential procedure.

Identification of Preparer and Reviewer

In documenting the nature, timing and extent of audit procedures performed, the auditor should record:

(a) Who performed the audit work and the date such work was completed; and

(b) Who reviewed the audit work performed and the date and extent of such review?

The requirement to document who reviewed the audit work performed does not imply a need for each specific working paper to include evidence of review. The audit documentation, however, evidences who reviewed specified elements of the audit work performed and when.

4.9 Assembly of the Final Audit File

The auditor should complete the assembly of the final audit file on a timely basis after the date of the auditor's report.

ISQC 1 requires firms to establish policies and procedures for the timely completion of the assembly of audit files. According to International Standards on Quality Control (ISQC 1), 60 days after the date of the auditor's report is ordinarily an appropriate time limit within which to complete the assembly of the final audit file.

The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions. Changes may, however, be made to the audit documentation during the final assembly process if they are administrative in nature. Examples of such changes include:

- Deleting or discarding superseded documentation.
- Sorting, collating and cross-referencing working papers.
- Signing off on completion checklists relating to the file assembly process.
- Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the audit team before the date of the auditor's report.

After the assembly of the final audit file has been completed, the auditor should not delete or discard audit documentation before the end of its retention period.

ISQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. As ISQC 1 indicates, the retention period for audit engagements ordinarily is no shorter than five years from the date of the auditor's report,

ISA 220 establishes the requirement for the auditor to review the audit work performed through review of the audit documentation, which involves the auditor documenting the extent and timing of the reviews.

When the auditor finds it necessary to modify existing audit documentation or add new audit documentation after the assembly of the final audit file has been completed, the auditor should, regardless of the nature of the modifications or additions, document:

(a) When and by whom they were made, and (where applicable) reviewed;
(b) The specific reasons for making them; and
(c) Their effect, if any, on the auditor's conclusions.

4.10 Changes to Audit Documentation in Exceptional Circumstances after the Date of the Auditor's Report

When exceptional circumstances arise after the date of the auditor's report that require the auditor to perform new or additional audit procedures or that lead the auditor to reach new conclusions, the auditor should document:

(a) The circumstances encountered;
(b) he new or additional audit procedures performed, audit evidence obtained, and conclusions reached; and
(c) When and by whom the resulting changes to audit documentation were made, and (where applicable) reviewed.

Such exceptional circumstances include the discovery of facts regarding the audited financial information that existed at the date of the auditor's report that might have affected the auditor's report had the auditor then been aware of them.

4.11 Confidentiality, Custody and Ownership of Working Papers

The auditors should adopt appropriate procedures for maintaining the confidentiality and safe custody of their working papers.

There are no specific statutory requirements regarding the period of retention of audit working papers. The auditors need to exercise judgement to determine the appropriate period of retention. However, it is considered advisable for auditors to retain their working papers for a period of at least six years from the completion of the relevant audit and then, prior to their destruction, to obtain satisfaction that there is unlikely to be a need to refer to them again.

Working papers are the property of the auditors. They are not a substitute for the entity's accounting records.

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 5: AUDIT FILES

Having looked at audit documentation in general, we have now moved to session 5 where we would examine the specific documents that are maintained on the permanent file and the current file

Objective

At the end of the session, you should be able to outline the contents of the permanent file and the current file

5.1 Introduction

In the case of recurring audit, some working papers may be classified as permanent audit files which are updated with new information of continuing importance as distinct from current audit files which contain information relating primarily to the audit of a single period.

5.2 Permanent Files

The permanent file usually contains documents and matters of continuing importance which will be required for more than one audit. It is usually indexed. Contents include the following: -

- Statutory materials governing the conduct, accounts, and audit of the enterprise e.g. Companies Code, stock Exchange Regulations, etc.
- The rules and Regulation of the enterprise
- Copies of documents of continuing importance and relevant to the auditors, e.g.
- Letter of engagement and minutes of appoint of the auditor
- Trade license and royalty agreements entered into by the client
- Debenture deeds
- Leases
- Addresses of the registered office and all other business locations of the client company
- An organization chart showing the various departments, sections, authority – responsibility relationships and names of responsible managers and officers.
- Lists of books and other records and where they are kept, together with designation, names and signatures of responsible officers.
- An outline history of the organization including history of Stated Capital, Capital Surplus, Prospectuses and record of important ratios.

- List of accounting matters of importance e.g. Accounting policies with respect to Stocks, work-in-Progress, Depreciation, Research and Development etc.
- Notes of interviews and correspondence in respect of Internal Control matters and all past management letters.
- Clients internal audits and Accounting Instructions.
- A list of the Company's Directors, their shareholdings and service contracts.
- A list of the Company's properties and investments with notes on verifications.
- A list of the Company's bankers, stockbrokers, solicitors, valuers, insurance brokers etc.

It is essential that the permanent file be updated prior to commencement of a new financial year's audit.

5.3 The Current File

The Current file contains matters relating to the current year's audit. The contents include the following:

- A copy of the accounts being audited
- An index to the file
- A description of the Internal Control System in the form of ICQ, Flowcharts, or written description together with supervision documents.
- Cross reference to the Internal Control record and letter of weakness.
- A schedule for each item in the Statement of financial position.
- A schedule for each item in the Income statements showing its makeup.
- A schedule of important statistics including output, sales composition, employment, accounting ratios.
- Letters of representation
- Letters to the client setting out Internal control weaknesses.

5.1) "Auditors base their judgement as to the extent of working papers upon what would be necessary to provide an experienced auditor, with no previous connection with the audit, with an understanding of the work performed and the basis of the decisions taken".

a) Describe four benefits that auditors will obtain from working papers that meet the above requirement;
b) List three types of information typically retained in the audit permanent file and state why they should be available for reference;

c) Comment on the desirability of using a standardized working papers and give example of such a working paper and its use.

5.2) You have been appointed audit manager to deal with the audit of an established limited liability company, and before starting your work, you call for the permanent audit file.

Self Assessment Questions

Exercise 3.5

You are required to state the documents you would expect to find on this file and how you would make use of each of these documents during the course of your audit.

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 6: AUDIT PROGRAMMES

You are welcome the last session of Unit 3. This means that you are now developing steadily into the practice of auditing, you are now going to read about audit programmes. Undoubtedly, every activity that requires a systematic approach can best be done if there is well structured programme to serve as a guide. Auditing is of no exception.

Objectives

At the end of this section, you should be able to:

(a) draw audit programmes for testing main transactions and balances;
(b) identify the objective that such tests seek to achieve;
(c) outline the advantages and disadvantages of standardized audit programmes

Now read on…

6.1 Purposes of Audit Programme

Auditors are required to develop and document the nature, timing and extent of planned audit procedures required to implement the overall audit plan.

The audit programme specifies the nature and extent of the checking, and the members of staff who have carried out the work.

The programme serves as:

- a set of instructions to the audit team;
- a means to control and record the proper execution of the audit work;
- a record of the audit procedures to be adopted, the audit objectives, timing, sample size an basis of selection for each area.

In fact, the audit programme serves as an important part of the auditor's working papers and records a significant part of the audit evidence required to support audit opinion.

It should however be noted that the audit programme should be designed carefully to allow for reasonable flexibility. Any audit programme that stifles initiative is not worth its salt. As much as possible, what is contained in the programme should be regarded as the minimum work to be done and that additional tests, as appropriate, are permissible.

6.2 Standardised Audit Programmes

A standardized audit programme is a pre-prepared listing of objectives and tests which can be used in any audit. Standadised audit programmes are common in practice and are often drawn from a database of procedures in large auditing firms.

Their advantages are that:

- They streamline work.
- They act as checklists to ensure that all important areas are considered.
- They improve the efficiency of the audit team since they have thought out and well tested programmes as guide.
- They facilitate delegation of work.
- They help to maintain quality control.

The disadvantage is that, if used slavishly, they may stifle professional judgement.

A certain amount of flexibility is essential, and it is important that the auditor should always remember the need to exercise professional judgement. It is not the beat of practice to follow standard audit programme mechanically.

Some auditing firms use a middle way approach. Thus, in their audit manual, they suggest the items to be included in the audit programme rather than requiring a standard to be filled in.

6.3 Specimen Audit Programmes

AUDIT PROGRAMME	Prepared by:
AUDIT AREA: Payroll	Date:
Client :	Reviewed by:
Period:	Date:

Control Objectives

To establish that:

- the computation of wages and salaries is only in respect of the client's employees and at authorized rates of pay
- wages and salaries are in accordance with records of work performed, eg time, output, commissions on sale, et
- payrolls are calculated accurately
- payments are only made to the correct employees
- payroll deductions are correctly accounted for and paid to the appropriate third parties
- all transactions related to wages and salaries are accurately entered in the accounting records

Tests of Control

- Test sample of time sheet, clock cards or other records, for approval by responsible official. Pay particular attention to the approval of overtime.
- Test authority for payment of causal labour, particularly if in cash.
- Observe wage distribution for adherence to procedures ensuring employees sign for wages, that unclaimed wages re-banked,etc.
- Test authourisation for payroll amendments by reference to personnel records.
- Test control over payroll amendments.
- Examine evidence of checking of payroll calculation (e.g. a signature of the financial controller).
- Examine evidence of approval of payroll by a responsible official.
- Examine evidence of independent checks of payrolls (e.g. by internal audit).
- Inspect payroll reconciliations.
- Examine explanations for payroll expense variances.
- Test authorities for payroll deductions.
- Test controls over unclaimed wages.
- Test controls over calculation of bonus and one-off payments to ensure evidence of authourisation.
- Check exception reporting to ensure evidence of review and action taken to investigate and redress and discrepancies.

Substantive procedures

(a) Select a sample of employees from different periods in the year from both weekly payroll and monthly salaries and ensure that gross pay has been properly authorized by checking to:
- lists of hourly rates
- lists of piece-work rates
- lists of overtime rates
- lists of annual salaries
- contracts of employment

b)

- For hourly paid employees, check the hours worked with the time records, and the authorisation of overtime and bonus payment.

- For piece workers, check quantities with output returns of job slips initiated by a foreman

- Check that hours/quantities/gross pay (as appropriate) have been entered into cost records
- Check additions of PAYE and SSNIT deduction and cross-cast to Net pay

- For payments in cash, inspect receipts given by employees
- Trace gross wages to Income Tax deductions and to holiday pay records
- Trace a sample of net wages to cash book and vouch returned cheques
- Check wages summaries, check casts and cross-casts of summaries and check postings from summaries to the nominal ledger
- Review month/weekly total payroll cost and investigate any unusual variations
- Check that authorisation of payroll is evidenced
- Trace a sample of joiners and leaver to the payroll ensuring that payments commence and end in the correct periods
- Test payroll with contract of employment to ensure that all employees have valid contracts
- If there are significant amounts paid in cash, then consider attending to observe pay-out procedures.

Self Assessment Questions

Exercise 3.6

1. What is an audit programme?

2. Why would some firms include standardized audit programmes in their working papers?

3. Draw up an audit programme that can be used to audit wages and salaries.

End of Unit Questions

Question 1
Audit risk is a combination of the risk that the financial statements being audited may contain material errors and that these errors may not be detected by the auditor's testing procedures. Risk can be categorized as 'normal risk' or 'higher than normal risk', and is evaluated during the planning stage of an audit. The auditors should devote attention to the critical areas of the financial statements by considering and evaluating materiality and risks specific to the company. Materiality limits should be set at the planning stage of the audit to act as a guideline for deciding whether adjustment should be made to the financial statements.

Required

(a) Briefly describe what you understand by the terms "control risk" and 'detection risk'.

(b) List the factors which the auditors would bear in mind when assessing the audit risk of a company.
You should set out your answer under the headings "inherent risk" and 'control risk'.

(a) Discuss the considerations which would determine whether an item was material in relation to the financial statements.

(b) Discuss the validity of the statement that materiality limits should be set at the planning stage of the audit and should be rigidly adhered to throughout the audit.

Question 2
You are the manager in charge of audit of Quality Furnitures Ltd for the year ended 31 July 2008, and you have been asked to describe the work which should be carried out in planning the audit and in monitoring its progress.

Quality Furniture Ltd buys domestic furniture from manufacturers and sells it to the general public. The company's head office and main warehouse are on the same site, and there are sales branches with associated warehouses in different parts of the country.

Your firm has been auditor of the company for a number of years. All the company's accounting records are maintained on the computer at head office. When a sale takes place at the branch, the salesman checks that the furniture the customer requires is in stock, and if it is, the customer pays for the items by cash, cheque or credit card and collects them from the warehouse. Where the items are not in stock, it is possible to find whether they are available at another local branch, or an order can be placed for the stock.

In previous years' audits, there have been problems at branches of the actual stock being less than computer book stock quantities. Also, problems have been experienced in identifying and valuing damaged stock and goods returned by customers. The company has a small internal audit department and their work includes periodic visits to branches.

The company was subject to a management buy-out in February 2008 which resulted in high gearing. You understand that because of a recession in the furniture trade the company has liquidity problems and that currently it is negotiating with the bank to obtain additional finance.

Required

(a) List and describe the matters you will consider and the work you will carry out in planning the audit.

(b) List and describe the work you will carry out in monitoring and controlling the progress of the audit.

Question 3

The auditing standard ISA 230 Audit Documentation contains the following statement which regard to working papers.

'Audit working papers refer to the materials the auditors prepare or obtain, and retain in connection with the performance of the audit work. Working papers may be in the form of data stored on paper, file, electronic media or other media.

Working papers are the record of planning and performance of the audit, the supervision and review of the audit work and the evidence resulting from the audit work performed to support the auditor's opinion. '

Required

(a) Describe four benefits that the auditors will obtain from working papers that meet the above requirement.

(b) In the case of a significant item requiring exercise of judgement (for instance, a material claim for damages) show what types of matter should be recorded in the current file in respect of it and give reasons for inclusion. You should use a material claim for damages to illustrate your answer.

(c) List three types of information typically retained in the audit permanent file and state why they should be available for easy reference.

(d) Comment on the desirability of using standardized working papers and give an example of such a working paper and its use.

UNIT 4: INTERNAL CONTROL SYSTEM

Unit Outline

Session 1: Nature, Objectives, and Limitation of Internal Control
Session 2: Ascertaining Recording and Assessment of Internal Control Systems
Session 3: Specific Internal Control Procedures
Session 4: Tests of Control
Session 5: Internal Control Report to Management
Session 6: Internal Audit as a Control Factor

For systems based auditing to work effectively, the auditor will like to rely on internal controls to reduce the volume of substantive testing. It is therefore important for the auditor to examine the internal control practice and procedures that are in place in the client's business. Where weaknesses are revealed, the auditor recommends ways of improving the systems

Unit Objectives

At the end of the unit, you should be able to:

(1) Define internal control system.
(2) Describe the objectives of internal control systems and the need for effective internal control systems within the context of organizational objectives.
(3) Describe the different types of control systems that need to be in place to ensure organization success.
(4) Outline internal control procedures and tests of control relevant to various aspects of business operations.
(5) Describe the problems associated with internal control systems of small companies.
(6) Outline and explain the internal control procedures relating to Sales, Purchases, Payroll Administration, Cash, Inventories and Non-Current Assets Outline the contents of internal control report to management;
(7) Draft a management letter appropriate to a given situation
(8) Outline the scope of internal auditing
(9) Describe the internal auditor's role in risk management
(10) Describe the functional relationship between the internal auditor and the external auditor;
(11) Outline the preliminary assessment of the internal auditing required for reliance by the external auditor;
(12) Outline the requisite guidance for successful internal auditing

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 1: NATURE, OBJECTIVES, AND LIMITATION OF INTERNAL CONTROL

You have virtually completed half of the module. Welcome to Session 1 of the fourth unit. You are now being introduced to Internal Control System and in this session, we would be looking at nature, objective and limitations of Internal Control Systems.

Objectives

At the end of the session, you should be able to define Internal Control and describe the limitations inherent in control systems

Now read on…

1.1 Meaning of Internal Control

Internal control system is defined as policies and procedures adopted by the management of entity to assist in the objective of achieving as far as practicable, the orderly and efficient conduct of the business, including adherence to internal policies, the safeguarding of assets, the prevention and detection of fraud and error, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information.

The Institute of Internal Auditors (IIA) also defines internal control as "all means designed to promote, govern and check various activities for he purposes of seeing that enterprise objectives are met".

The US Committee of Sponsoring Organizations of the Treadway Commission (1992) Report also defines internal control as a process effected by an entity's board of directors, management and other personnel, designed to provide reasonable assurance regarding the achievement of objectives in the areas of effectiveness and efficiency of operations, reliability of financial reporting and compliance with laws and regulations.

Basically, Internal Control System, as defined above, consists of control environment and control procedures.

1.2 Control Environment

Control Environment means the overall attitude, awareness and actions of management regarding internal controls and their importance. It encompasses management style, corporate culture, values, philosophy and operating cycle, organizational structure, personnel policies and procedures.

Control Environment provides a premise for control procedures and forms an important aspect of corporate governance framework of every business set up.

The organizational structure aspect of control environment requires clear authority, responsibility and reporting relationship. It also requires the institutionalization of the internal audit role as a service to management and the establishment of audit sub-committee of the board of directors.

The personnel policies aspect also requires transport and effective staff recruitment, staff retention and staff separation practices to help for operational efficiency.

1.3 Control Procedures

It consists of procedures established to achieve the entity's specific objectives. These objectives in an accounting context include proper authorization, timely and accurate recording of transactions in the correct period, safeguarding of assets and ensuring the existence of assets recorded. They include particular procedures to prevent, defect and correct errors.

1.4 The Need for Internal Controls

As explained earlier, internal control systems help for effective organizational administration. It also assists external auditors to reduce the extent of substantive testing required. The internal auditing section, if it exists in an organization, also relies on efficiency of internal control system to ensure policy compliance.

It can therefore be said that the need for internal controls can be examined from the point of view of the organization, from the external auditors and from the internal auditors.

1.4.1 The Need for Internal Controls – Company's Perspective

Corporate bodies need internal controls to ensure sanity in the use of resources and to reduce the incidence of avoidable losses. Existence of effective internal controls helps to prevent occurrences of risks and to help prevent things going outside what is the normal or acceptable practice.

It approval and authorization system are well documented properly announced to the entire staff and its adherence reasonably enforced, avoidable losses will be avoided.

Where control systems are in place to check the correctness of calculations correct figures will form the basis of financial reporting.

Where segregation of duties as to authorization, custody and recording is practiced, fraudulent practices and mis-use of resources will be controlled.

The larger the organization, the tighter the controls have to be to prevent errors and losses.

1.4.2 The Need for Internal Controls – External Auditor's Perspective

At the commencement of audit work, an external auditor would have to decide the extent to which he would wish to rely on the internal controls of the client. As the audit work progresses, he reviews his earlier decision on the internal controls and based on the results of his review, he may place more or less reliance on these controls. Infact the main reason why internal controls interest the external auditors is that reliance on internal controls will reduce the extent of sustaining testing of transactions and balances.

Efficient internal control offers some level of assurance of completeness and accuracy of accounting records. It also indicates reduced risks associated with the audit assignment.

It is therefore important for the auditor to establish the existence or otherwise of the control systems as well as their effective operation.

One can also look at the auditor's concern for efficient internal control system from legislative point of view. Company law requires the auditor to form an opinion as to whether proper accounting records have been kept. This implies the operation of an efficient internal control system.

1.4.3 The Need for Internal Control – Internal Auditor's Perspective:

One major role of the internal auditor is to review the organizations system of internal control so as to provide assurance to management that corporate policies and governance practices are being followed. This role places concern for internal controls at the forefront of internal auditing.

Similar to the external auditors, the internal auditor has to determine the extent to which he can place reliance on existing controls to manage risks in his organization.

The internal auditor should be able to provide the management of his entity with assurance regarding the effectiveness of the system of internal control. To be able to provide this assurance, the internal audit process must check that the controls in place are adequate to guard against the risks identified and that the controls are operating effectively.

1.5 Understanding the Internal Control System by the Auditors

In planning the audit, auditors should obtain and document an understanding of the accounting system and control environment sufficient to determine their audit approach.

Understanding the accounting system will enable the auditor to identify and understand:

- major classes of transactions in the entity's operations;
- how such transactions are initiated;
- significant accounting records, supporting documents and accounts in the financial statements; and
- the accounting and financial reports process, from the initiation of significant transactions and other events to the inclusion in the financial statements.

The factors affecting the nature, timing and extent of the procedures performed in order to understand the systems include

- materiality considerations;
- the size and complexity of the entity
- their assessment of inherent risk
- the complexity of the entity's computer systems
- the type of internal controls involved, and
- the nature of the entity's documentation of specific

The auditor updates previous knowledge of the accounting systems in the following ways:

- Enquiries of appropriate supervisory and other personnel at various organizational levels within the entity, together with references to documentation such as procedures manuals, job descriptions and systems descriptions.
- Inspection of relevant documents and records produces by the systems.
- Observation of the entity's activities and operations,

1.6 Types of Controls

Control systems that are put in place in organizations for which auditors must be concerned with may be preventive, detective or corrective. And this must, however, put more emphasis on preventive controls than detective and corrective.

1.6.1 Preventive Controls

These are control systems put in place in an organization to ensure that losses and risks do not occur. For example, control systems that establish authorization limit are meant

to prevent fraudulent practices. Separating authorization, recording and custodial functions is also an example of preventive control.

1.6.2 Detective Controls

If preventive controls do not exist or do not operate effectively and risks, errors or fraudulent practices do occur, there should be controls in place to detect them early. They are designed to pale up errors that could not be presented. Such control systems include reconciliation of accounts, preparation of exception report, and internal checks.

1.6.3 Corrective Control

These are control systems put in place to address or remedy problems, risks and errors that occur. Examples of corrective controls include follow-up procedures and management actions such as disciplinary measures.

1.7 Control Procedures

Control procedures that many organizations put in place include the following.

a) Approval and control of documents:
The basic requirement is the approval of transactions by responsible persons. For example, a payment above certain limits should be approved by certain senior managers and the overtime payments should be approved by departmental head.

(b) Checking the arithmetical accuracy of records: an example of this type of control is checking to ascertain the accuracy of castings and extensions on individual invoices before being dispatched to customers.

(c) Maintaining and receiving controls accounts and trial balances.
Control accounts bring together transactions in individual ledgers; trial balances bring together transactions for the organization as a whole. Preparing these

(d) Reconciliations
Reconciliations involves comparison of a specific balance in the accounting records with what another source says that balance should be differences between the two figures should be due to valid reconciling items. A good example is bank reconciliation where companies are made of the cash balance at a particular date according to the bank with the balance according to the cash book. The bank reconciliation should be done by an independent person and not the person who normally prepare the cash book.

(e) Comparing internal data with external data source of information:

An example is comparing records of goods dispatched to customers with customer acknowledgement of goods that have been received.

(f) Limiting direct physical access to assets and records:

Authorised personnel alone should have access to certain assets, particularly those which are valuable or portable. An example will be ensuring that the stocks warehouse is only opened when the warehouse keeper is present.

1.8 Internal Control and their Inherent Limitations

Directors of corporate bodies set up internal controls in the accounting system to ensure that:

- Transactions are executed in accordance with proper authorization,
- All transactions are promptly recorded at the correct values in the appropriate accounts and in accordance with relevant regulatory frameworks,
- Access to assets is permitted in accordance with authorized procedures, and recorded assets are compared with physically existing assets at reasonable intervals and differences reconciled.

However, any instituted internal control system only provides management with reasonable assurance but not absolute assurance that their objectives are accomplished because of inherent limitations such as the following:

- The requirement that the cost of an internal control does not outweigh the potential loss which may result from its absence.
- Most systematic internal controls tend to be directed at routine transactions rather than non-routine transactions.
- The potential for human error in the operation of internal controls due to carelessness, distraction, mistakes of judgment and the understanding of instructions.
- The possibility that a person responsible for exercising an internal control could abuse that responsibility by overriding an internal control.
- The possibility of controls being by-passed because two or more people colluded. Collusion maybe between people inside the organization, but may involve outsiders as well.
- The possibility that procedures may become inadequate due to changes in conditions or that compliance with procedures may deteriorate over time. This may particularly apply if a business id expanding.

Self Assessment Questions

Exercise 4.1

1. Summarise the key reasons why internal controls are of interest to both the internal and external auditor
2. What is the definition of an internal control system?
3. What constitute ‘Control Environment’ and ‘Control Procedures’?

SESSION 2: ASCERTAINING RECORDING AND ASSESSMENT OF INTERNAL CONTROL SYSTEMS

You are welcome to session 2 of Unit 4. In this session you will read about types of internal controls and control procedures that are normally practised in business entities.

Objective

By the end of the session, you should be able to describe the types of internal controls and control procedures normally practiced in business entities.

Now read on …

2.1 Ascertaining Internal Control Systems

Methods of ascertaining the control system are summarized as follows:

- Examining previous audit work
- Client's own documentation of the system
- Interviews with client's staff.
- Tracing transactions
- Examining client's documents
- Observation of procedures

a) **Examining Previous Audit Work**: Apart from first audit, the audit files should provide a record of the system as it operated at the last date unless there has been major changes, this require updating.

b) **Client's own Documentation of the System**: Some entities have manuals of procedures. These provide source of information and to the existing control systems. It is important to check whether the system as described in the manual is what is actually practiced.

c) **Interviews with Staff**: During various stages of the audit, the auditor will need to sit down with some members of the staff of the client and find out how they carry out the functions. These reveal existing control and give indication of potential problems.

d) **Tracing Transactions**: Walk through checks allow auditors to identify any examples of actual procedures that vary from intended procedures. It also helps the understanding of the entire process as well as identification of risks.

e) **Examining Clients Documents**: The auditor can also ascertain the clients control systems by examining some available documents provided by the client. Fr example, minutes of management meeting may reveal control issues that require further investigations. Implementation or steering group meetings should be held for significant systems changes and documentations of these will be useful source of information.

f) **Observation of Procedure**: It is sometimes useful to watch staff carrying out procedures suns as wages payout receiving materials into stores etc to be able to ascertain the existing and practiced control procedures.

2.2 Recording the Systems of Control

Methods of recording the system may include

- Narrative Notes
- Organization Chart
- Internal Control Questionnaire
- Flow Charts and other Diagrammatic Presentation
- Risks and Control Forms

2.2.1 Narrative Notes

This method is where words are used to describe the systems. Narrative notes are normally appropriate for simple systems where all paper works are handled by only one or few people. For each system narrative notes need to describe the following:

- Functions to be performed and those responsible
- Documents used
- Source and destination of documents
- Sequence of filing documents
- Types of accounting books kept

It has the advantages of being simple to record and easy to understand. However, it has several practical application difficulties which include the following:

- It is difficult to make a note of change in the system
- Preparation of narrative notes for a complex system may take up a disproportionate amount of space.
- It may be difficult to see if part of the system has been missed out altogether.

2.2.2 Organization Chart

This provides a convenient way of describing the authority, responsibility, approval and reporting relationships that exist in the organization. It outlines the formal relationships that exist in the organization. It however does not specify the precise duties of the individuals concerned.

2.2.3 Internal Control Questionnaire (ICQ)

The major question which internal control questionnaires are designed to answer is: How good is the System of controls? The ICQ's are constructed in such a way as to require answers in the form of descriptive notes on the systems.

ICQ remains the longest used internal control assessment and recording technique. Its function is to highlight precisely the areas of strength and weakness in internal control.

The questionnaire is a standardize pre-printed document designed by the audit firm using it, and comprises a series of questions designed to determine whether desirable controls are present. They are formulated so that there is one to cover each of the major transaction cycles.

The following points are worth-noting about the use of ICQ.

An ICQ will normally be used if the size and complexity of the client organization justifies it.

A complete ICQ should have an effective life of approximately three years during which only updating would be necessary. The completion of new ICQ would be necessary if a major change in the system had taken place (e.g. a change over from manual

The ICQ should be completed by a senior member of the audit staff after putting the questions to the responsible officers of the client company

Observation and selected tests will ensure that the ICQ accurately reflects the strengths and weaknesses within the procedures that operate from day to day

The auditor should not place reliance on controls on the basis of this preliminary evaluation. He should conduct further compliance tests designated to give a reasonable assurance that the controls are functioning properly

The questions should be formulated in such a way that the relevant internal control criteria are implicit, so that no more than a yes/no answer is required to indicate compliance or non-compliance. This degree of simplicity is not possible for every question, for example cases where it is necessary to know the names of executive officer authorized to sign cheques, or the limit on the authority of a particular officer to authorise expenditure.

Specimen Internal Control Questionnaire

(i) Purchases and Trade Creditors	Yes	No	N/A	Date of Answer
Are official orders issued showing names of suppliers, quantities ordered and prices?				
Are copies of orders retained on files?				
Who authorizes orders and what are their authority limits?				
Is a record kept of orders placed but not executed?				
If the answer to question above is 'Yes' how is this record complied? (Specify)				
Are goods from suppliers inspected on arrival as to quantity and quality?				
Are all invoices received compared with copy orders?				
The invoices checked for calculations, extensions and additions?				
Are the purchases ledger personnel independent of those responsible for approving invoices and credit notes?				
Is the control account function independent of purchases ledger function?				

(ii) Cheque Payments	Yes	No	N/A	Date of Answer
Is the signing of blank cheque prohibited?				
Is the signing of cheques restricted to directors/Secretaries/other senior officials?				
Is the duly authorized invoice produced in respect of each payment before cheques are signed?				
Are all cheques (other than those for cash) suitably crossed?				
Are 'paid' cheques returned by the bank monthly?				
Are these cheques filed in the order in which they appear in the cash book?				

(iii) Cash Payments	Yes	No	N/A	Date of Answer
Apart from salaries and wages, are all payments made from an imprest?				
Are supporting vouchers examined and authorized by a party other than the cashier or accountant?				
Are expenditures appropriately analysed?				
Is the amount of the claim enclosed on specially designed petty cash or another voucher?				
- Are checks made on the balance of cash in hand at random intervals by an independent official?				

Advantages and disadvantages of ICQ

Advantages include the following:

- If drafted thoroughly, they can ensure that all controls are considered
- They are quick to prepare
- They are easy to use and control. A manager or partner reviewing the work can easily see what has been done

Disadvantages include the following:

- The client may overstate controls
- ICQ may contain a large number of irrelevant controls
- They can give the impression that all controls are of equal weight
- They may not include unusual controls, which are nevertheless effective in particular circumstances.

2.2.4 Flow Charts

The auditor, in establishing the nature of the system in operation, may include flow charts of the system, supplemented by narrative notes in the permanent audit files. These are updated on the basis of regular periodic reviews.

The auditor's flow charts may be adapted from those already prepared by the client, or produced from scratch by the auditor himself.

The preparation of the charts, will of itself teach the auditor a good deal more about the detailed functioning of the system at work in each department.

The auditor should not commit the chart to his files until he is, as a result of questioning and observation, reasonably certain that it represents what actually takes place. This precaution is important because the nature of the audit tests subsequently carried out will, to a large degree, follow the pattern reflected in the chart and much time will be wasted if the charts are incomplete or inaccurate.

Generally, there are two methods of flowcharting, namely: Document Flowcharts and Information Flowcharts

Document Flowcharts are more commonly used because they are relatively easy to prepare.

- All documents are followed through from beginning to end
- All operations and controls are shown.

Information Flowcharts are prepared in the reserve direction from the flow: They start with the entry into the accounting records and work back to the actual transaction. They concentrate on significant information flows and ignore any unimportant or copies of document. They are easy to understand but require skill and experience to compile them.

Rules of Flowcharting:

The following rules are generally observed in flowcharting:

i) A flowchart should only be used when the system being reviewed cannot be readily understood in words

Flowcharts should be kept simple so that the overall structure or flow is clear at first sight. This means that:

- There must be conformity of symbols, with each symbol representing one and only one thing
- The direction of the flowchart should be from top to bottom and from left to right
- There must be no loose ends
- The main flow should finish at the bottom right and corner, not in the middle of the page
- Connecting lines should cross only where absolutely necessary to preserve the chart's simplicity
- Unless BSI symbols are used, a key should always be provided
- A specially designed template should always be used; freehand flowcharting is rarely acceptable
- The chart must reflect the system.
- Marginal comments should be included in the chart where appropriate, using a dotted flow line and marginal bracket

Advantages of Flowcharts

- The system or any part of it may be presented as a totality without any loss of detail
- The relationship between procedures in different areas can be depicted simply
- Control features (or their absence in cases where they might be expected) may be highlighted by the use of designated symbols
- References to the other related audit documents may be easily incorporated
- Diagrammatic representation facilities subsequent references to particular features in the system more readily than pure narrative
- New members of the audit team are able to participate in the audit work after a short induction period and as a result, it results in considerable saving of time

- As the information is presented in a standard form, they are fairly easy to follow and to review
- They generally ensure that the system is recorded in its entirety, as all document flows have to be traced from beginning to end. Any 'loose end' will be apparent from a quick examination
- They eliminate the need for extensive narrative notes and can be of considerable help in highlighting the salient points of control and any weakness in the system

Disadvantages of Flowcharts

- They are only suitable for describing standard systems. Procedures for dealing with unusual transactions will normally have to be recorded using narrative notes
- They are useful for recording the flow of documents, but once the records or the assets to which they relate have become static, they can no longer be used for describing the control (for example over fixed assets)
- Major amendment is difficult without redrawing
- Time can be wasted by charting areas that are of no audit significance

2.3 Evaluating the Internal Control System

After ascertaining and recording the system, the auditor has to conduct some preliminary evaluation of the control system in order to form opinion as to whether he can rely on the system to reduce substantive testing or he should disregard the control system (because they are inefficient) and to conduct in depth testing. This is generally done through the use of Internal Control Evaluation Questionnaire.

Internal Control Evaluation Questionnaire (ICEQs)

These are designed to determine whether appropriate control systems exist to prevent specific errors or omissions. They are answered using knowledge of the system obtained from the flow chart or the internal control questions. The characteristic of these questions is that they concentrate on criteria that the existing controls should fulfil.

Examples of ICEQ

The nature of an ICEQ can be illustrated with the examples below:

I) The sales (revenue) cycle

Is there reasonable assurance:

- that sales are properly authorized?
- that sales are made to reliable payers?
- that all goods dispatched are invoiced?
- that all invoices are properly prepared?

- that all invoices are recorded?
- that invoices are properly supported?
- that all credits to customers' accounts are valid?
- that cash and cheques received are properly recorded and deposited?
- that slow payers will be chased and that bad and doubtful debts will be provided against?
- that all transactions are properly accounted for?
- that cash sales are properly dealt with?
- that sundry sales are controlled?
- that at the period end the system will neither overstate nor understate debtors?

II) The purchases (expenditure) cycle

- Is there reasonable assurance:
- that goods or services could not be received without a liability being recorded?
- that receipt of goods or services is required in order to establish a liability?
- that a liability will be recorded only for authorized items and at the proper amount?
- that all payments are properly authorized?
- that all credits due from suppliers are received?
- that all transactions are properly accounted for?
- that at the period end liabilities are neither overstated nor understated by the system?
- that the balance at the bank is properly recorded at all times?
- that unauthorized cash payments could not be made and that the balance of petty cash is correctly stated at all times?

III) Wages and Salaries

Is there reasonable assurance:

- that employees are only paid for work done?
- that employees are paid the correct amount (gross and net)?
- that the right employees actually receive the right amount?
- that accounting for payroll costs and deductions is accurate?

IV) Stocks

Is there reasonable assurance:

- that stock is safeguarded from physical loss (e.g. fire, theft, deterioration)?
- that stock records are accurate and up to date?
- that the recorded stock exists?
- that the recorded stock is owned by the company?
- that the cut off is reliable?

- that the costing system is reliable?
- that the stock sheets are accurately complied?
- that the stock valuation is fair?

V) Fixed tangible assets

Is there reasonable assurance:

- that recorded assets actually exist and belong to the company?
- that capital expenditure is authorized and reported?
- that disposals of fixed assets are authorized and reported?
- that depreciation is realistic?
- that fixed assets are correctly accounted for?
- that income derived form fixed assets is accounted for?

VI) Investments

Is there reasonable assurance:

- that recorded investments belong to the company and are safeguarded from loss?
- that all income, rights or bonus issues are properly received and accounted for?
- that investment transactions are made only in accordance with company policy and are appropriately authorized and documented?
- that the carrying values of investments are reasonably settled?

VII) Management information and general controls

- Is the nominal ledger satisfactorily controlled?
- Are journal entries adequately controlled?
- Does the organization structure provide a clear definition of the extent and limitation of authority?
- Are the systems operated by competent employees, who are adequately supported?
- If there is an internal audit function, is it adequate?
- Are financial planning procedures adequate?
- Are periodic internal reporting procedures adequate?

C) Advantages of ICEQs

i) ICEQs highlight areas of weakness where extensive substantive testing will be required.

ii) Answering ICEQs enables auditors to identify the important controls which they are most likely to test during control testing.

D) Disadvantages of ICEQs

The main disadvantage of ICEQs is that they can be drafted vaguely, hence misunderstood and important controls not identified.

Self-Assessment Questions

Exercise 4.2

1 Explain 'Preventive Controls', 'Detective Controls' and 'Corrective Controls', given an example in each case

2 Outline the limitations inherent in Internal Control Systems that prevent them from providing absolute assurance to management.

3 What is the difference between ICQ and ICEQ?

4 List and explain the methods that can be used to ascertain a system of internal control

5 List and explain the methods that can be used to record a system of internal control

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 3: SPECIFIC INTERNAL CONTROL PROCEDURES

Welcome to Session 3 of Unit 4. In this session, we would be looking at the control procedures that are relevant and appropriate to key control risk areas of a business entity.

Objective

At the end of the session, you should be able to outline the control procedures that will be appropriate to key control risk areas of a business entity

Now read on…

3.1 Key Control Risk Areas

The following is a summary of the Internal Control considerations appropriate to each of the following areas:

- General financial arrangements
- Cash and cheques (received and paid)
- Wages and salaries
- Purchases and trade creditors
- Sales and trade debtors
- Stock and Work-in-progress
- Fixed assets and investments.

3.2 General Financial Arrangements

Internal control considerations include the following:

- Devising an appropriate and properly integrated system of accounts and records.
- Determining the form of general financial supervisory budgetary control, regular interim accounts of suitable frequency and special reports.
- Ensuring that adequate precautions are taken to safeguard (and if necessary, to duplicate and store separately) important records.
- Engaging, training and allocating to specific duties, management and staff competent to fulfill their responsibilities during staff absence.

3.3 Internal Control Systems Relating to Sales

There are a large number of controls that may be required in the sales cycles owing to the importance of sales in any business and the possible opportunities that exist for diverting sales away from the business to the benefit of other persons.

a) Ordering

- The orders should be checked against the customers accounts; this should be evidenced by initialing by a responsible official. Any new customer will be

referred to the credit control department before the order is accepted to ensure agreement before the order is accepted to ensure agreements are in place prior to processing of any sales orders.

- Existing customers should be allocated a credit limit and it should be ascertained whether the limit is to be exceeded if the new order is accepted. If so, the matter should be referred to credit control.
- All orders should be recorded on pre-numbered sales order documents.
- All orders should be authorized before any goods are dispatched.
- The sales order should be used to produce a dispatch note for the goods outwards department. Mo goods may be dispatched without a dispatch note.
- Discounts should be within procedures and clearly authorized, with monitoring by management on the level, type and reason for discounts.

b) Dispatch

- Dispatch notes should be pre-numbered and a register kept of them to relate to sales invoices and orders.
- Goods dispatched notes should be authorized as goods leave and checked periodically to ensure they are complete and that all have been invoiced.

c) Invoicing

- Sales invoices should be authorized by a responsible official and referenced to the original authorized order and dispatch notes.
- All invoices and credit notes should be entered in sales day records, the sales ledger, and sales ledger control accounts. Batch totals should be maintained for the purpose.
- Sales invoices and credit notes should be checked for prices, casts and calculations by a person order than the one preparing the invoice.
- All invoices and credit notes should be serially pre-numbered and regular sequence checks should be carried out.
- Credit notes should be authorized by someone unconnected with dispatch or sales ledger functions.
- Copies of cancelled invoices should be retained.
- Any invoice cancellation should lead to cancellation of the appropriate dispatch note.
- Cancelled and free of charge invoices should be signed by a responsible official.
- Each invoice should distinguish between different types of sales and VAT. Any coding of invoices should be periodically checked independently.

d) Sales Returns

- Any goods returned by a customer should be checked for obvious damage and when accepted, a document should be raised.
- All goods returned should be used to prepare appropriate credit notes.

3.4 Internal Control Systems Relating to Purchasing System

a) Ordering

- Requisition notes for purchases should be authorized
- All orders should be authorized by a responsible official whose authority limits should be pre-defined.
- Major items e.g. capital expenditure should be authorized by the board
- All orders should record on official documents showing supplier's names quantities ordered and price
- Copies of orders should be retained as a method of following up late deliveries by suppliers.
- Re-order levels and quantities should be pre-set and preferably recorded in advance on the requisition note.

b) Receipt of Goods

- Goods inwards centres should be identified to deal with receipts of all goods
- All goods should be checked for quantity and quality. Goods Receive Notes should be raised for all goods accepted. The GRN should be signed by a responsible official,
- GRNs should be checked against purchase orders and procedures should exist to notify the supplier of under or over deliveries. GRNs should be sequentially numbered and checked periodically for completeness.

c) Invoicing and Returns

- Purchases invoices received should be stamped with an approval grid and given a unique serial number to ensure purchase invoices do not go astray.
- Purchase invoices should be matched with GRNs and should not be processed until this is done.
- The invoice should be checked against the order and the GRN and casts and extensions should also be checked
- The invoices should be signed as approved for payment by a responsible official independent of the ordering and receipt of the goods function
- Invoice sequential numbers should be checked against purchase day book details
- Input VAT should be separated from the expense

- Invoices should be properly allocated to the nominal ledger accounts, perhaps by allocating expenditure codes. A portion of such coding should be checked independently.
- Batch controls should be maintained over the posting of invoices to the purchases day book, nominal ledger and purchase ledger
- A record of goods returned should be kept and checked to the credit notes received from suppliers

d) Purchase Ledger and Suppliers

- A purchase ledger control account should be maintained and regularly checked against balances in the ledger by an independent official.
- Purchase ledger records should be kept by person independent of the receiving of goods, invoice authorization and payment routines
- Statements from suppliers should be checked against the purchase ledger account

3.5 Internal Control Systems Relating to Payroll System

3.5.1 Introduction

Payroll systems generally cover employment records, attendance, payroll functions and salaries analysis.

3.5.2 Risks Associated with Payroll

- Invalid or unauthorized payment payments to staff, including fraudulent payments or payments that staff are not entitled to, resulting in financial loss.
- Failure to make payments on a timely basis resulting in staff dissatisfaction
- Delays or errors in amendments, deletions to payroll records resulting in inaccurate payments, staff dissatisfaction, potential financial loss and management decisions being made on the basis of inaccurate information.
- Corrupt data loaded, or downloaded from, the payroll system resulting in errors and discrepancies.
- Unauthorised access to the payroll system resulting in manipulation or fraud.
- Incorrect calculation and payments to the tax authorities resulting in censure or fines
- Unauthorised, inaccurate or delayed bonus or one-off payments resulting in financial loss or staff dissatisfaction.
- Incorrect or fraudulent payments to leavers resulting in financial loss.

3.5.3 Control Procedures Relating to Payroll System

a) Approval and Control of Documents

- There should be written authorization to employ or dismiss any employee, in accordance with company procedures and legal requirements
- Changes in rates of pay should be authorised in writing by Human Resource Department
- Overtime worked should be authorized by a responsible official in accordance with the entity's procedures
- An independent official (preferably the CFO or CEO or HRD) should check the payroll and sign. It.
- The salaries and wages cheque should be signed by two signatories n evidenced against the signed payroll
- Where pay relates to hours worked, some form of time recording should be used
- When employee has been absent for a long period, their entitlement to salary should be should be checked against personnel records.
- Direct bank transfers should also be signed and checked regularly details on personnel files
- Personnel records should be kept for each employee, giving details of engagements, retirements, or resignation, rates of pay, holiday, etc with a specimen signature of the employee

b) Arithmetical Accuracy

- Payroll should be prepared from time recording system and a sample checked for accuracy against current rates of pay
- Payroll details should provide for the accurate calculation of deduction showing amounts paid over a period of time, checked against

c) Control Accounts

- Control accounts should be maintained in respect of the deductions showing amounts paid periodically to the revenue authorities, trade unions, etc
- Overall checks should be carried out to highlight major discrepancies, e.g. check against budgets, changes in amounts paid over a period of time, check against personnel records
- Management should exercise overall control

d) Access to Assets and Records

Where employees are paid in cash, there are a number of specific control procedures as follows:

- Employees should sign for their wages
- No employee should be allowed to take the wages of another employee.
- When wages are claimed late, the employee should sign for the wages packet and the release of the packet should be authorized.
- The system should preferably allow the wages to be checked by the employee before the packet is opened, by using specially designed wage packet.
- The wages department should preferably be a separate department with their personnel not involved with receipts or payments functions.
- The duties of the wages staff should preferably be rotated during the year, so as to ensure that no employee is responsible for all the functions in respect of any particular department.
- The employee making up the wage packets should not be employee who prepares the payroll.
- A surprise attendance at the pay-out should be made periodically by an independent official.
- Unclaimed wages should be recorded in a register and held by someone outside the wages department until claimed or until a predefined period after which the money should be re-banked. An official should investigate the reason for unclaimed wages as soon as possible.

e) Salaries

- Personnel records should be kept similar to those for hourly paid employees.
- Written authority should be required to employee or dismiss an employee or change salary rate.
- Overtime should be authorized by someone outside the payroll department.
- The usual checks on deductions are required.
- When an employee has been absent for a significant period, their entitlement to salary should be checked against personnel details.
- Cheques should have two significant and should be checked against an approved payroll entry.
- Direct bank transfers should also be signed and checked regularly against details and personnel files.

3.6 Internal Controls Relating to Cash System

3.6.1 Introduction

Cash system refers to cash and cheque receipts and payments. Entities should endeavour to conduct all their cash transactions by means of cheques or other forms of bank transfers, as controls over cheque transactions are easier to establish and maintain.

3.6.2 Control Objectives

The control of cash is of prime importance to every business. The control objectives are that:

- All sums due to the entity are received and subsequently accounted for;
- No payments are made which should not be made; and
- All payments and receipts are promptly and correctly recorded.

In addition to this, it is essential to consider detailed controls for each area of the entity dealing with cash (i.e. the expenditure centres or the spending units).

3.6.3 Control procedures

Controls are set out below for various cash systems. In considering the controls, there is the need to consider the nature and types of risks associated with the systems. It is also essential that we apply the general principles of control systems.

a) Controls over cash receipts by posts

- The entity should safeguard against possible interceptions between the receipt and opening of the post by using a locked mail box and restricting access to the keys,
- All cheques and postal orders should be restrictively crossed 'Account payee only' 'Not Negotiable'
- A record should be made at the time of opening the post of cheques and postal orders received. The record may be in the form of a rough cash book, adding machine list or copies of remittance advices. It provides control over the eventual sums banked and entered into the cash book.
- The cashier and sales ledger personnel should not have access to the receipts before this record is made.

b) Controls over cash collected by salespeople and travelers

- Authority to collect cash should be clearly defined.
- Salespersons should be required to remit cash and report sales at regular intervals which should be formally notified to each employee
- A responsible official should quickly follow up salesmen who do not submit returns as required.

- Collections should be recorded when received, e.g. in a rough cash book or copies of receipts which should be given to the salespeople or travellers.
- The collector's cash receipts should be reconciled to the eventual banking.
- Periodically, a responsible official should check the salespeople's own receipt books with cash book entries.
- If salespeople hold inventories of goods, an independent reconciliation of inventory with sales and cash received should be made.

c) Controls over cash sales

- Cash sales should be recorded when the sale is made normally by means of cash till or the use of cash sale invoices.
- If cash invoices are used they should be pre-numbered, a register should be maintained of cash sale invoice books and copies should be retained.
- Cash received should be reconciled daily with either the till roll or the invoice totals.
- This reconciliation should be carried out by someone independent of those receiving the cash and recording the sale.
- Daily banking should be checked against the till roll or invoice total and differences investigated.
- A responsible official should sign cancelled cash sale invoices at the time of cancellation. All such invoices should be checked periodically for sequential numbering.

d) Controls over banking

- Receipts should be banked intact daily.
- Each day's receipts should be recorded promptly in the cash book.
- Sales ledger personnel should have no access to the cash or the preparation of the paying-in slip.
- Periodically a comparison should be made between the split of cash and cheques
  - received (and recorded in rough cash book)
  - banked (and recorded on paying-in slip).

e) Controls over cheque payments

- Unused cheques should be held in a secure place.
- The person who prepares cheques should have no responsibility over purchase ledger or sales ledger.
- Cheques should be signed only when evidence of a properly approved transaction is available. Such evidence may take the form of invoices, payroll; petty cash book, etc.
- This check should be evidenced by signing the supporting documentation.

- In a large concern those approving the original document should be independent of those signing cheques.
- Cheque signatories should be restricted to the minimum practical number.
- Two signatories at least should be required except perhaps for cheques of small amounts.
- The signing of blank cheques and cheques in favour of the signatory should be prohibited.
- Cheques should be crossed before being signed.
- Supporting documents should be cancelled as paid to prevent their use to support further cheque payments. This cancellation could be done by the cashier before the cheque is signed (provided the cancellation identifies the cheque number) or by the cheque signatory at the time of signing the cheque.
- Cheques should preferably be dispatched immediately. If not, they should be held in a safe place.
- Returned cheques may be obtained from the bank and a sample checked against cash book entries and supporting documentation.

f) Bank Reconciliations

- Bank reconciliations should be prepared at least monthly.
- The person responsible for preparation should be independent of the receipts and payments function or, alternatively, an independent person should check the reconciliation.
- If the reconciliation is prepared by an independent person he or she should obtain bank statements directly from the bank and hold them until the reconciliation is completed.
- The preparation should preferably include a check of at least a sample of receipts and payments against items on the bank statement.

g) Controls over Petty Cash

- The level and location of cash floats should be laid down formally.
- There should be restricted access to the floats.
- Cash should be securely held, e.g. in a locked drawer, with restricted access to keys.
- All expenditure should require a voucher signed by a responsible official, not the petty cashier.
- The imprest system should be used to reimburse the float, i.e. at any time the total cash and value of vouchers not reimbursed equals a set amount.
- Vouchers should be produced before the cheque is signed for reimbursement.
- Vouchers should be cancelled once reimbursement has taken place.

- A maximum amount should be placed on a petty cash payment to discourage normal purchase procedures being by-passed.
- Periodically, the petty cash should be reconciled by an independent person.
- Rules should exist preferably preventing the issue of IOUs or the cashing of cheques.

3.7 Internal Controls Relating to Inventories

3.7.1 Control Objectives

Although inventory records may vary considerably from client to client, the control objectives of a sound system of internal control over inventories are the same in all cases, namely:

- authorization and purchase procedures
- control over goods inwards
- inventory records substantiated by physical counts
- control over dispatch and goods outwards
- adequate steps taken to identify all inventory for which provisions may be required
- inventory levels controlled so that materials are available when required but that inventory is not unnecessarily large.

3.7.2 Control Procedures over Inventories

a) Approval and control of documents

- Issues from inventories should be made only on properly authorized requisitions.
- Reviews of damaged, obsolete and slow-moving inventories should be carried out.
  Any write-offs should be authorized.

b) Arithmetical accuracy

- All receipts and issues should be recorded on inventory cards, cross-referenced to the appropriate GRN or requisition document.
- The costing department should allocate direct and overhead costs to the value of work-in-progress according to the stage of completion reached.
- To do this standard costs are normally used. Such standards must be regularly reviewed to ensure that they relate to actual costs being incurred.
- If the value of work-in-progress is directly comparable with the number of units produced, checks should periodically be made of actual units against work-in-progress records.

c) ***Control accounts***

- Total inventory records may be maintained and integrated with the main accounting system; if so, they should be reconciled to detailed inventory records and discrepancies investigated.

d) ***Comparison of assets to records***

- Inventory levels should be periodically checked against the records by a person independent of the stores personnel, and material differences investigated.
- Where continuous inventory records are not kept adequately, a full stock take should be held at least once a year.
- Maximum and minimum inventory levels should be pre-determined and regularly reviewed for adequacy.
- Re-order quantities should be pre-determined and regularly reviewed for adequacy.

e) ***Access to assets and records***

- Separate centres should be identified at which goods are held.
- Deliveries of goods from suppliers should pass through a goods inwards section to the stores. All goods should pass through stores and hence be recorded and checked as received.
- Inventories should be held in their locations so that they are safe from damage or theft.
- All inventory lines should be identified and held together, e.g. in bins which are marked with all relevant information as to size, grade, origin, title for identification.
- Access to the stores should be restricted.

3.8 Internal Controls Relating to Non-Current Assets

3.8.1 Control Objectives

The control objectives are to ensure that:

- fixed assets are correctly recorded, adequately secured and properly maintained
- acquisitions and disposals of fixed assets are properly authorized
- acquisitions and disposals of fixed assets are for the most favourable price possible
- fixed assets are properly recorded, appropriately depreciated, and written down where necessary.

3.8.2 Control Procedures over Non-current Assets

- Annual capital expenditure budgets should be prepared by someone directly responsible to the board of directors.
- Such budgets should, if acceptable, be agreed by the board and minuted.
- Applications for authority to incur capital expenditure should be submitted to the board for approval and should contain reasons for the expenditure, estimated cost, and any non-current assets replaced.
- A document should show what is to be acquired and be signed as authorized by the board or an authorized official.
- Capital projects made by the company itself should be separately identifiable in the company's costing records. They should reflect direct costs plus relevant overhead but not include any profit.
- Disposal of fixed assets should be authorized and any proceeds from sale should be related to the authority.
- A register of fixed assets should be maintained for each major group of assets. The register should identify each item within that group and contain details of cost and depreciation.
- A physical inspection of fixed assets should be carried out periodically and checked to the fixed asset register. Any discrepancies should be noted and investigated.
- Assets should be properly maintained and adequately insured.
- Depreciation rates should be authorized and a written statement of policy produced.
- Depreciation should be reviewed annually to assess the need for changes in the light of profits or losses on disposal, new technology, etc.
- The calculation of depreciation should be checked for accuracy.
- Fixed assets should be reviewed for the need for any write-down.

3.9 Control Systems as they apply to Small Entities

3.9.1 Control Environments

Small entities may implement the control environment elements differently than larger entities. For example, small entities might not have a written code of conduct but, instead, develop a culture that emphasizes the importance of integrity and ethical behaviour through oral communication and by management example. Similarly, those charged with governance in small entities may not include an independent or outside member.

3.9.2 Risk Assessment Process

The basic concepts of the entity's risk assessment process are relevant to every entity, regardless of size, but the risk assessment process is likely to be less formal and less structured in small entities than in larger ones. All entities should have established financial reporting objectives, but they may be recognized implicitly rather than explicitly in small entities. Management may be aware of risks related to these objectives without the use of a formal process but through direct personal involvement with employees and outside parties.

3.9.3 Information Systems

Information systems and related business processes relevant to financial reporting in small entities are likely to be less formal than in larger entities, but their role is just a significant. Small entities with active management involvement may not need extensive descriptions of accounting procedures, sophisticated accounting records, or written policies. Communication may be less formal and easier to achieve in a small entity than a larger entity due to the small entity's size and fewer levels as well as management's greater visibility and availability.

3.9.4 Control Activities

The concepts underlying control activities in small entities are likely to be similar to those in larger entities, but the formality with which they operate varies. Further, small entities may find that certain types of control activities are not relevant because of controls applied by management. For example, management's retention of authority for approving credit sales, significant purchases, and draw-downs on lines of credit can provide strong control over those activities. An appropriate segregation of duties often appears to present difficulties in small entities. Even companies that have only a few employees, however, may be able to assign their responsibilities to achieve appropriate segregation or, if that is not possible, to use management oversight of the incompatible activities to achieve control objectives.

3.9.5 Monitoring of Controls

Ongoing monitoring activities of small entities are more likely to be informal and are typically performed as a part of the overall management of the entity's operations. Management's close involvement in operations often will identify significant variances from expectations and inaccuracies in financial data leading to corrective action to the control.

Self Assessment Questions
Exercise 4.3

1. Outline four common control procedures for sales and purchases and four common tests of controls.

2. Lists four risks associated with Sales and four risks associated with purchases.

3. What are the control objectives for the purchase of goods by the business?

SESSION 4: TESTS OF CONTROL

We are now in session 4 of unit 4. In this session, we are going to look at specific tests of controls that the auditor can apply to assess the extent of compliance with internal control systems.

Objectives

At the end of the session, you should be able to list the specific test of control appropriate for various areas in the income cycle.

Now read on…

4.1 Tests of Control Relating to Sales System

Tests of Control should be designed to check that the control procedures are being applied and that objectives are being achieved. Tests may be appropriate under the following broad headings

4.1.1 Sequence Test Checks

- Carry out sequence test checks on invoices, credit notes, dispatch notes and orders. Ensure that all items are included and that there are no omissions or duplications.

4.1.2 Authorisation

Check the authorisation for the:

- Acceptance of the order (credit-worthiness check)
- Discounts applied to orders
- Dispatch of goods
- Raising of the invoice or credit notes
- Pricing and discounts
- Write-off of bad debts
- Check that the relevant signature exists and that the control has been applied, e.g. check pricing for accuracy and credit limits to ensure that they have not been exceeded. This last test will also serve as a substantive procedure.

4.1.3 Evidence of checking of the arithmetical accuracy of:

- Invoices,
- Credit notes
- VAT/NHIL

This is often done by means of a grid stamp, containing several signatures on the face of the invoice. Ensure that the control has in fact been applied by checking the accuracy of such invoices and credit notes. This last test will also serve as a substantive procedure.

4.1.4 Arithmetical Accuracy

Seek evidence of checking of the arithmetical accuracy of:

- Invoices
- Credit notes
- VAT

This is often done by means of a 'grid stamp' containing several signatures on the face of the invoice. Ensure that the control has in fact been applied by checking the accuracy of such invoices and retail notes. This last test will also serve as a substantive procedure.

4.1.5 Dispatch Notes

- Check dispatch notes and notes and goods returned notes to ensure that they are referenced to invoices and credit notes and vice versa.

4.1.6 Control Account Reconciliations

- Check that control account reconciliations have been performed and reviewed
- Re-perform the control by checking the reconciliation to source documentation
- Ensure that batch total controls have been applied by seeking signatures and tracing batches from inputs to output.
- Check that exceptions and management information reporting on sales have been produced and reviewed, with evidence of action sales on unusual trends or level of discounts or unusual prices.
- In all cases, tests should be performed on a sample basis. The auditor should investigate errors and consider the need for further testing to obtain comfort on the proper application of the control procedure.

4.2 Tests of Control Relating to Purchasing System

Tests of control should be drawn up so as to check that control procedures are being applied and to achieve control objectives

- Test for evidence of a sequence check of purchase order
- Test for evidence of approval of PO
- Test for adherence to authority limits in respect of PO
- Test for evidence of sequence check of GRN
- Check for evidence of a sequence check of goods returns note
- Test for serial numbering of purchase invoice

- Test for evidence of a sequence check of purchase invoice
- Test for evidence of matching purchase invoices with goods received note
- Test for evidence of checking casts, extensions and VAT treatment
- Test for approval purchase invoice for further processing
- Test for evidence of matching credit notes to goods returned note
- Test for evidence of authorization of adjustments to purchase ledger
- Test for evidence of authorization of adjustments to purchase ledger listing

4.3 Tests of Control Relating to Payroll System

The programme of tests should ensure that the following key controls are in existence and working efficiently:

- Employees can be paid only for work done.
- Employees are paid at the correct rate.
- Errors cannot occur in the calculation of the payroll or the deductions from gross pay.

A suggested programme of tests of control is as follows:

- Test sample of time sheet, clock cards or other records, for approval by responsible official. Pay particular attention to the approval of overtime.
- Test authority for payment of causal labour, particularly if in cash.
- Observe wage distribution for adherence to procedures ensuring employees sign for wages, that unclaimed wages re-banked, etc.
- Test authourisation for payroll amendments by reference to personnel records.
- Test control over payroll amendments.
- Examine evidence of checking of payroll calculation (e.g. a signature of the financial controller).
- Examine evidence of approval of payroll by a responsible official.
- Examine evidence of independent checks of payrolls (e.g. by internal audit).
- Inspect payroll reconciliations.
- Examine explanations for payroll expense variances.
- Test authorities for payroll deductions.
- Test controls over unclaimed wages.
- Test controls over calculation of bonus and one-off payments to ensure evidence of authorisation.
- Check exception reporting to ensure evidence of review and action taken to investigate and redress and discrepancies.

4.4 Tests of Control Relating to Cash System

a) Cash receipts

- Attend mail opening and ensure procedures are adhered to.
- Test independent check of cash receipts to bank lodgements.
- Test for evidence of a sequence check on any pre-numbered receipts for cash.
- Test authorization of cash receipts.
- Test for evidence of arithmetical check on cash received records.

b) Cash payments

- Inspect current cheque books for:
  - sequential use of cheques
  - controlled custody of unused cheques
  - any signatures on blank cheques.
- Test (to avoid double payment) to ensure that paid invoices are marked 'paid'.
- Test for evidence of arithmetical check on cash payments records, including cashbook.
- Examine evidence of authority for current standing orders and direct debits.

c) Bank reconciliations

- Examine evidence of regular bank reconciliations (usually one per month).
- Examine evidence of independent check of bank reconciliations (e.g. a signature).
- Examine evidence of follow-up of outstanding items on bank reconciliations. Pay particular attention to old outstanding reconciling items that should be written back such as old, unpresented cheques.

d) Petty cash

- Test petty cash vouchers for approval.
- Test cancellation of paid petty cash vouchers.
- Test for evidence of arithmetical check on petty cash records.
- Examine evidence of independent check of petty cash balance.

4.5 Tests of Controls Relating to Inventories

- Observe physical security of inventories and environment in which they are held.
- Test procedure for recording of inventory movements in and out of inventory.
- Test authorization for adjustments to inventory records.
- Test authorization for write-off or scrapping of inventories.
- Test controls over recording of inventory movements belonging to third parties.

- Observe physical security of inventories and environment in which they are held.
- Test procedures for recording of inventory movements in and out of inventory.
- Test authorization for adjustments to inventory records.
- Test authorization for write-off or scrapping of inventories.
- Test controls over recording of inventory movements belonging to third parties.
- Test procedures for authorization for inventory movements, i.e. the use made of authorized goods received and despatch notes.
- Inspect reconciliations of inventory counts to inventory records (this gives overall comfort on the adequacy of controls over the recording of inventory).
- Check sequences of dispatch and goods received notes for completeness.
- Assess adequacy of inventory taking procedures and attend count to ensure they are carried out.

4.6 Tests of Controls Relating to Property, Plant and Equipment

- Check authorization of purchase to board minutes, capital expenditure budgets and capital expenditure form.
- Check authorization for disposals of significant assets.
- Confirm existence of fixed asset register which adequately identifies assets and comments on their current condition. Ensure register reconciles to nominal ledger.
- Test evidence of reconciliation of register to physical checks of existence and condition of assets.
- Check authorization of depreciation rates, and particularly changes in rates.
- Examine evidence of checking of correct calculations of depreciation.

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 5: INTERNAL CONTROL REPORT TO MANAGEMENT

You have now travelled to Session 5 of Unit 4 where you will be introduced to internal control evaluation report to management of Client Company

This session outlines the need for auditors to communicate weaknesses identified in the accounting and internal control systems to management and describe the nature and contents of such reports.

Objectives

At the end of this session, you should be able to:

(a) outline the principal purposes of reports to Management
(b) describe the nature and content of Management Letter
(c) write a Management Letter

Now read on…

5.1 Introduction to Internal Control Report to Management

At the conclusion of the internal control assessment stage of the audit, there is the need for the auditors to communicate any weaknesses discovered in the internal control systems to the management of the client company.

This report usually takes the form of a management letter, or Internal Control Letter. However other forms of reports are acceptable.

The precise stage of the audit at which the letter should be sent, how far the content of the report should extend and the action the auditor should take if his observations on major weaknesses are ignored by the client are matters of professional judgement and based on the type of audit and the client company.

Where the audit work is performed on more than one visit, the auditors normally report to management after the interim audit work has been completed as well as after the final visit, particularly if there are procedures that need to be improved before the financial year end.

5.2 Principal Purposes of Reports to Management

The principal purposes of reports to management are as follows:

a) To enable the auditors to comment on the design and operation of the accounting and internal control systems examined during the course of the audit and to make suggestion for their improvement;

b) To provide other constructive advice, for example, comments on potential economies or improvements in efficiency identified during the audit; and

c) To communicate other matters that have come to the auditors' attention during the audit, fro example comments on adjusted and unadjusted errors in the financial statement or on particular accounting policies and practices.

5.3 Material Weaknesses in Accounting and Internal Control Systems

When material weaknesses in the accounting and internal control systems are identified during the audit, the auditors should report them in writing to the directors, the audit committee or to an appropriate level of management on a timely basis.

A material weakness (within this context), is a condition which may result in a material misstatement in the financial statements. If the directors or management have detected a material weakness, and in the view of the auditors, have taken the appropriate corrective actions, the auditors do not need to report to directors or management on the matter.

In this circumstance, the auditors normally document the considerations which resulted in their conclusion that no report to directors or management in respect of this matter is needed.

Ordinarily, material weaknesses in the accounting and internal control systems are communicated to directors or management in a written report issued by the auditors. However, in some circumstances it may be sufficient for the relevant matters to be raised orally with directors or management, followed by a file note circulated to those attending the meeting to provide a record of the auditors' observations sand the responses of the directors or management.

When no material weaknesses are identified during the audit, the auditors may choose not to issue a report to directors or management. They may however need to inform them that no report is to be issued.

5.4 Addressee of Report to Management

When submitting a management report, the auditors need to consider which directors or members of management have the power to act on their findings. Ordinarily, it is appropriate to address the report to the board of directors, audit committee or similar body. The report may contain matters of varying levels of significance which may make it appropriate for a tiered report to be issued so that the board can consider any major points and receipt of a report less important matters can be delegated to other levels of management.

Ordinarily, the auditors request a reply to the points raised in a report to management, indicating the actions that the directors or management intend to take as a result of the comments made in the report.

In any report to directors or management, the auditors need to explain that the report is not a comprehensive statement of all weaknesses which exist or of all improvements which may be made, but that it documents only those matters which have come to their attention as a result of the audit procedures performed. The auditors may wish to refer to their audit approach in the report to directors or management, particularly in the work undertaken on the accounting and internal control system, to help directors or management appreciate the nature, time and extent of the audit procedures which have resulted in the identification of the matters included in the report.

5.5 Other Matters Regarding Reports to Management

If the auditors identify weakness (other than material weakness) and other matters which they consider appropriate to bring to the attention of directors, they may include them in the report (together with the material weaknesses), although they may be issued in a separate report.

The auditors may consider it appropriate to raise these matters orally with management and under these circumstances, the auditors normally' prepare a file note to provide a record of their observations.

To be effective, a report to directors or management is issued immediately after completion of the audit procedures giving rise to comment.

Where the audit work is performed in more than one visit, it is appropriate to report to directors or management after the interim visit as well as after the final audit visit. However, an interim audit report needs to make it clear that the overall audit work is only partially complete and further matters may still arise.

Matters raised in previous reports to directors or management need to be considered by the auditors. Where they have not been dealt with effectively, the auditors need to enquire why appropriate action has not been taken. If the auditors consider that a point is still significant, consideration needs to be given to repeating the point in the current report, otherwise there is a risk that the auditors may give an impression that they are satisfied that the weakness has been corrected.

5.6 Group of Companies

The management of the parent undertaking of a group of companies may wish to be informed of significant points arising in the reports to the management of its subsidiary undertakings. In these circumstances, permission is needed from the management of the subsidiary undertakings to disclose the contents of any reports to directors or management of the parent undertaking or to the principal auditors.

5.7 Third Parties Interested in Reports to Directors or Management

Any report to directors or management is a confidential communication. Thus, the auditors need to obtain the prior consent of the directors or management if they are to provide a copy of report to directors or management to a third party.

In practice, the auditors have little control over what happens to the report once it has been dispatched. Occasionally, management may provide third parties with copies of the report, e.g. their banks or certain regulatory authorities.

It is therefore appropriate to ensure that third parties who see the report understand that it was not prepared for their benefit. Accordingly, care needs to be taken to protect the auditor's position from exposure to liability to any third parties who may seek to rely on a report which was not intended for their use. Thus, auditors ordinarily state in their report to management that:

- the report has been prepared for the sole use of the entity
- it must not be disclosed to a third party without the written consent of the auditors, and
- no responsibility is assumed by the auditors to any other person.

As a general rule, a liability in negligence to a third party may only arise in circumstances where the auditors carry out work for an entity knowing that their work is to be relied upon by a third party and that the third party may suffer financial loss as a result. An expressed disclaimer of liability normally provides a high degree of protection against an unforeseen liability to a third party.

5.8 Specimen Management Letter

The Board of Directors
Asempa Company
174 Abeka Rd Ext
Accra

Members of the Board,

Financial Statement for the year ended 31 December 2009
Following the conduct of our interim audit work, we set out below certain points which arose as a result of our review of the accounting systems and procedures operated by your company.

We wish to point out, however, that our audit testing was undertaken in accordance with the scope of our audit engagement, and therefore, will not necessarily identify all weaknesses that may exist. As you are aware, it is the responsibility of the directors to ensure that satisfactory internal controls are maintained at all times.

Purchase order Procedure
Weakness in the present system
During the audit we found out that some departments order some goods from suppliers orally without support of purchase requisition or purchase order.

Implication
The implication is that order would be made from suppliers whose prices would not be competitive and who would not be able to deliver according to specification

Recommendation
We recommend that the Logistic department be made responsible for all procurements and when orders are made orally, they should be subsequently confirmed by raising official purchase order.

Purchase Ledger Reconciliation
Weakness in the present system:
Although it is the practice of your company to reconcile the purchase ledger with statements received from various suppliers at the end of every month, this was not done in August and September.

Implication
Unexplained differences exist between suppliers' statements balance and purchase ledger balances. This implies a breakdown of purchases invoice and or cheque payment batching and posting procedures.

Recommendation
It is important that these reconciliation are performed regularly by a responsible official independent of day to day purchase ledger, cashier and nominal ledger functions.

Credit Control
Weakness in the present system
As at October 30 1999, total debtor figure approximates 3 month sales although the company's trade terms allow 4 weeks credit to customers.

Implication
This has resulted in high overdraft level with the resultant high interest charges and difficulty in settling the accounts of some key suppliers on time.

Recommendations
We recommend that a more structured system of debt collection be considered using standard letters and that statements should be sent out a week earlier than It is now.

Computer Processing
Weakness in the present system
Lack of control exercised over computer processing

Implication
The completeness, accuracy and validity of the accounting records may be compromised

Recommendations
We recommend as follows:
Authorisation of input especially journals not arising from books of prime entry
Batch controls using registers over all input in terms of value and number of documents processed:

- Use of harsh totals
- Management control over master file amendments
- Reconciliation to control accounts
- Processing all financial information at one location
- A back system should be available if the bureau is unable to process the input

Payroll
Weakness in the present system

No evidence of approval

Implication
Unauthorised changes may occur

Recommendations
Management should evidence their approval of the payroll, changes in rates of pay, employment of new staff, request for non-statutory deductions, etc

Inventories

Weakness in the present system

Lack of physical and financial control

- Cut-off errors relating to goods despatched to customers prior to the year end but uninvoiced
- Improper overhead allocation in valuation of inventory

Implication

- Inventory could be misappropriated
- The year end figure for inventory may be misstated

Recommendations
A simple system of perpetual inventory should be implemented at each location. This should be used to check for the dispatch and receipt of inventory and would provide overall control to enable a comparison expected use to actual usage by comparison with orders, and book balance with actual balance after regular inventory check.

Improvements should be made to the system of control to facilitate a review of the despatches at year end to ensure that a proper cut-off is achieved

Property, Plant and Equipment

Weakness in Present System

- Lack of physical control
- Lack of clear capitalization policy
- Assets with nil net book values were subject to a depreciation charge

Implications

- Portable assets could be misappropriated.
- Items could be incorrectly and inappropriately capitalized
- The depreciation charge in the financial statements could be overstated

Recommendations

- A register could be introduced to record all assets at cost/valuation and the related depreciation charge.
- A capitalization policy should laid down and applied consistently

We would be pleased to discuss these points with you at your convenience

Yours faithfully,

Quality Auditors

Self Assessment Questions

Exercise 4.5

1. What are the main purposes of preparing a management letter?

2. What are the major advantages in each point made in the management letter being made in the format:
   "Present System"
   "Implication"
   "Recommendation"

   Discuss what should be included under each heading.

SESSION 6: INTERNAL AUDIT AS A CONTROL FACTOR

Welcome to session 6 of Unit 4. In this session, you will read about the role internal audit plays in corporate governance. You will also read about the relationship that exists between the external auditor and the internal auditor.

Objectives

At the end of the session, you should be able to:

(a) outline the scope of internal auditing;
(b) describe the internal auditor's role in risk management;
(c) describe the functional relationship between the internal auditor and the external auditor;
(d) outline the preliminary assessment of the internal auditing required for reliance by the external auditor; and
(e) outline the requisite guidance for successful internal auditing

Now read on…

6.1 The Need for Internal Audit Department

With the growth in size and complexity of many companies in recent years, the importance of internal auditing has correspondingly increased so that today, it is a major factor in establishing the quality of a company's internal control.

Obviously, only large companies have both the need and the means to support a full-scale internal audit department but where such departments do operate, the external auditor pays particular attention to their activities since these will have a bearing in the scope and depth of work required to be performed by external audit.

6.2 Internal Audit Defined

Internal audit is an appraisal or monitoring activity established by management and directors or the review of the accounting and internal control systems as a service to the entity. It functions by, amongst other things, examining, evaluating and reporting to management and the directors on the adequacy and effectiveness of components of the accounting and internal control systems.

The external auditor should consider the activities of internal auditing and their effect, if any, on external audit procedures.

"Internal auditing" means an appraisal activity established within an entity as a service to the entity. Its functions include, amongst other things, monitoring internal control.

While the internal auditor has sole responsibility for the audit opinion expressed and for determining the nature, timing and extent of external audit procedures, certain arts of internal auditing work may be useful to the external auditor.

The Institute of Internal Auditors came up with a new definition of internal auditing in 1999, changing the focus of internal audit towards a more risk-based, consultancy type activity and recognising that internal audit is not always within the institution, but can be an outsourced activity. The following are key elements of the Institute's definition:

- independent, objective assurance and consulting activity
- designed to add value and improve an institution's operations
- helps an institution accomplish its objectives
- brings a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes.

6.3 Scope and Objectives of Internal Auditing

The scope and objectives of internal auditing vary widely and depend on the size and structure of the entity and the requirements of its management. Ordinarily, internal auditing activities include one or more of the following.

a) Monitoring of internal control. The establishment of adequate internal control is responsibility of management which demands proper attention on a continuous basis. Internal auditing is ordinarily assigned specific responsibility by management for reviewing controls, monitoring their operation and recommending improvements thereto.

b) Examination of financial and operating information. This may include review of the means used to identify, measure, classify and report such information and specific inquiry into individual items including detailed testing of transactions, balances and procedures.

c) Review of the economy, efficiency and effectiveness of operations including non-financial controls of an entity

d) Review of compliance with laws, regulations and other external requirements and with management policies and directives and other internal requirements.

6.4 Risk Management and Internal Audit

a) Definition of Risk Management

Risk management is the process of evaluating and controlling risk to ensure that the institution is managed as effectively as possible. This does not mean that institutions avoid risk, because taking risks can result in financial profit or other significant benefits to the institution. However, it means that the level of risk exposure is factored into decisions made against a clear understanding of the appetite for risk and potential impact of any risk.

Risk management is in itself a line management role. Risk management functions can exist within institutions to identify, monitor and measure risk and to publish risk management policies. Line management will implement policies and exercise control over their exposure to risk. Internal audit can ensure that it best adds value by using a risk-based approach that maximises the benefits to the institution and by using language that line management can understand. This means explaining why controls are important on the basis of how they can prevent or minimise the impact of things going wrong and risks materialising.

b) Risk-based Internal Auditing

Risk based internal auditing provides the opportunity to target limited resources on key risks and allows the auditor to discuss plans and reports in business-oriented terms. By considering risks, internal auditors can answer "why" controls are required. The latest definition of internal audit from the IIA places greater emphasis on risk management and many departments have moved towards such risk-based approach.

Risk-based internal audit involves the following activities:

Working with line management to understand the risks within the activity or institution

Identifying in a systematic way the types of risk and the significance and likelihood of risks materialising

Assessing controls to mange risk, including those expected against those in place

Testing control to ensure that they operate and that they provide effective management of risk

Making recommendations to line management for improving the operations, indicating the type and level of risk exposure.

6.5 Limitations of the Internal Audit Function

Independence

Internal audit should be an independent and objective function. However, this independence can be compromised, particularly where reporting lines are through to operational areas which they are required to review and report on.

For example, the traditional reporting line was through to Finance and in some instances, this is still the case. If an auditor with such a reporting line is required to provide critical comment on Finance itself, there may be pressure to avoid confrontation and either soften r omit such comment.

Where internal auditors have moved to the internal audit department from an operational area, they should not be involved in audits of that department for a minimum of a year. Whilst they might be seen to have excellent knowledge of the area, their independence could be compromised.

Variation of Standards
Approaches to internal audit vary significantly across the industry. Whilst some are moving to a more consultancy-type approach, others continue to perform a 'tick and check' approach.

Relatively New Profession
Internal audit is still relatively new profession, which has been changing significantly over the years. A wide variety of backgrounds are attracted into internal audit.

Expectations Gap
There is a balance to be achieved between added value work and 'checking' work, and a potential skills and expectations gap between consultancy and compliance.

Institutions are increasingly subject to change in objective, systems and procedures, which affect the company risk profile. Internal auditors may not always be geared up for such constant change which affects both the scope of work carried out and the skills required.

Understanding of Internal Audit
There is generally poor understanding of the function of internal audit. It is still seen as a negative 'policy' activity, checking for compliance. There is therefore a significant education exercise for internal auditors within an institution to aid understanding of risks, controls and internal auditing.

6.6 Relationship between Internal Audit and External Audit

The Role of the internal auditor is determined by management, and his s objectives differ from those of external auditor who is appointed to report independently on the financial statements. The internal audit function's objectives vary according to management's requirements. The external auditor's primary concern is whether the financial statements are free of material misstatements.

Nevertheless, some of the means of achieving their respective objectives are often similar and thus certain aspects of internal auditing may be useful in determining the nature, timing and extent of external audit procedures.

Internal auditing is part of the entity. Irrespective of the degree of autonomy and objectives of internal auditing, it cannot achieve the same degree of independence as required of the external auditor when expressing an opinion on the financial statements. The external auditor has sole responsibility for the audit opinion expressed, and that responsibility is not reduced by any use made of internal auditing. All judgments relating to the audit of the financial statements are those of the external auditor.

6.7 Understanding and Preliminary Assessment of Internal Auditing

The external auditor should obtain a sufficient understanding of internal audit activities to identify and assess the risks of material misstatement of the financial statements and to design and perform further audit procedures.

Effective internal auditing will often allow a modification in the nature and timing, and a reduction in the extent of audit procedures performed by the external auditor but cannot eliminate them entirely. In some cases, however, having considered the activities of internal auditing, the external auditor may decide that internal auditing will have no effect on external auditor may decide that internal auditing will have no effect on external audit procedures.

The external auditor should perform an assessment of the internal audit function when internal auditing is relevant to the external is relevant to the external auditor's risk assessment.

The external auditor's assessment of the internal auditor function will influence the external auditor's judgment about the use which may be made of internal auditing in making risk assessments and thereby modifying the nature, timing and extent of further external audit procedures.

When obtaining an understanding and performing an assessment of the internal audit function, the important criteria are the following:

a) Organizational status: Specific status of internal auditing in the entity and the effect this has on its ability to be objective. In the ideal situation, internal auditing will report to the highest level of management and be free of any other operating responsibility. Any constraints or restrictions placed on internal auditing by management would need to be carefully considered. In particular,

the internal auditors will need to be free to communicate fully with the external auditor.

b) Scope of function: The nature and extent of internal auditing assignments performed. The external auditor would also need to consider whether management acts on internal audit recommendations and how this is evidenced.

c) Technical Competence: Whether internal auditing is performed by persons having adequate technical training and proficiency as internal auditors. The external auditor may, for example, review the policies for hiring and training the internal auditing staff and their experience and professional qualifications.

d) Due professional care: whether internal auditing is properly planned, supervised, reviewed and documented. The existence of adequate audit manuals, work programs and working papers would be considered.

6.8 Timing of Liaison and Coordination

When planning to use the work of internal auditing, the external auditor will need to consider internal auditor's tentative plan for the period and discuss it at as early a stage as possible. Where the work of internal auditing is to be a factor in determining the nature, timing and extent of the external auditor's procedures, it is desirable to agree in advance the timing of such work, the extent of audit coverage, materiality levels and proposed methods of sample selection, documentation of the work performed and review ad reporting procedures.

Liaison with internal auditing is more effective when meetings are held at appropriate intervals during the period. The external auditor would need to be advised of and have access to relevant internal reports and be kept informed of any significant matter that comes to the internal auditor. Similarly, the external auditor would ordinarily inform the internal auditor of any significant matters which may affect internal auditing.

6.9 Evaluating the Work of Internal Auditing

When the external auditor intends to use specific work of internal auditing, the external auditor should evaluate and perform audit procedures on that work to confirm its adequacy for the external auditor's purposes.

The evaluation of specific work of internal auditing involves consideration of the adequacy of the scope of work and related programs and whether the assessment of the internal auditing remains appropriate. This evaluation may include consideration of whether:

a) The work is performed by persons having adequate technical training and proficiency as internal auditors and the work of assistants is properly supervised, reviewed and documented;
b) Sufficient appropriate audit evidence is obtained to be able to draw reasonable conclusions;
c) Conclusions reached are appropriate in the circumstances and any reports prepared are consistent with the results of the work performed; and
d) Any exceptions or unusual matters disclosed by internal auditing are properly resolved.

The nature, timing and extent of the audit procedures performed on the specific work of internal auditing will depend on the external auditor's judgment as to the risk of material misstatement of the area concerned, the assessment of internal auditing and the evaluation of the specific work by internal auditing. Such audit procedures may include examination of items already examined by internal auditing, examination of other similar items and observation of internal auditing procedures.

The external auditor would record conclusions regarding the specific internal auditing work that has been evaluated and the audit procedures performed on the internal auditor's work.

6.10 Guidance for Internal Auditors

The essentials for effective internal auditing are as follows:

a) Independence: The internal auditors should have independence in terms of organizational status and objectivity which permits the proper performance of their duties.
b) Staffing and Training: The internal audit team should be appropriately staffed in terms of numbers, grades, qualifications and experience, having regard to its responsibilities and objectives.
c) Relationship: The internal auditors should seek to foster constructive working relationship and mutual understanding with management, with external auditors, with any other review agencies, including audit committees.
d) Due Care: The internal auditors cannot be expected to give total assurance that control weaknesses or irregularities do not exist, but they should exercise due care in fulfilling their responsibilities.
e) Planning, controlling and Recording: The internal auditor should adequately plan, control and record their work. As apart of the planning process, the internal auditors should identify the whole range of systems with the organizations.

f) Evaluation of the Internal Control system: The internal auditors should identify and evaluate the organizations internal control system as a basis for reporting upon its adequacy and effectiveness.

g) Evidence: The internal auditors should obtain sufficient relevant and reliable evidence on which to base reasonable conclusion and recommendation.

h) Reporting of the internal Control system: The internal auditors should identify and evaluate the organizations internal control system as a basis for reporting upon its adequacy and effectiveness.

6.11 Outsourcing of Internal Audit Function

Outsourcing is the practice whereby specialists outside an entity are engaged to perform functions that would otherwise be performed in-house

In recent times, many entities have developed a system of outsourcing their internal audit function to professional audit firms. Instead of having its own internal audit department/unit, an entity may engage a professional audit firm (which is not its external auditor) to undertake the internal audit function for a fee. This phenomenon has its advantages and disadvantages, which are spelt out below:

Advantages

- The independence of the professional audit firm can be more demonstrable than the staff of an entity's own internal audit department. Thus professional firm cannot be influenced or swayed by management.
- Professional audit firms are likely to have more qualified and experienced staff
- Professional audit firm can be engaged on a continuing basis or as and when their services are required in response to the dictates of the entity's requirement and circumstance . This cannot be said of a traditional internal audit department where the staff cannot easily be contracted or expanded in response to the organizational requirement.
- Professional audit firm is responsible for its activities, can be sued and carries insurance.
- Professional firms bring to bear on internal audit function ethical standards that characterize its professional body

Disadvantages

- Professional audit firms may not have the intimate knowledge and contacts that employees of an internal audit department will have.
- Professional fees charged by professional audit firms may be higher than cost of maintaining internal audit department.

Self-Assessment Questions

Exercise 4.6

1 What are the major differences between internal and external audit?

2 What should external auditors consider when deciding whether to rely on the work of internal auditors?

End of Unit Questions

Question 1

Your auditing manual states that: 'If the auditors wish to place reliance on any internal controls, they should ascertain and evaluate those controls and perform tests of controls on their operation.' Your firm has recently been appointed auditor of Alavanyo Engineering Ltd and your partner has asked you to explain the reasons why he performs these checks. Also, he has asked you how internal controls are checked in a purchases system.

Required

(a) Explain the circumstances:

(i) when it is not appropriate for auditors to check the system of internal control; and

(ii) when auditors should check internal controls and the reasons why they perform these checks.

(b) Your partner has listed the following stages of work auditors carry out prior to commencing the detailed audit tests:

(i) determine the scope;
(ii) ascertain the system;
(iii) record the system;
(iv) confirm the system;
(v) evaluate the controls;
(vi) determine the audit tests to be carried out.

Describe the audit work you will carry out at each stage, and, if appropriate, how this work checks the system of internal control.

(c) In relation to carrying out a purchases depth test (checking the processing of transactions through the system):

(i) state the place in the system you would select items to check in this test, and give your reasons for selecting this point;

(ii) list and describe the checks you will perform in checking a transaction through the system.

Question 2

Two employees of the Western Printing Co. Ltd have for a number of years been committing frauds which have remained undetected.

(i) George Smith, the head foreman, is responsible for checking deliveries of raw materials for quantity against copy purchase orders prepared by the purchasing department. In collusion with a supplier's delivery driver he has consistently accepted short deliveries but signed a receipt for the quantity of goods ordered. The delivery driver has subsequently sold the goods delivered short and shared the proceeds with George Smith.

(ii) John Brown, the chief purchasing officer, has had an arrangement with a stationery supplier that they will pay directly to him a commission on all orders placed by the company. He has sole responsibility for choosing suppliers and has ensured that all stationery orders have been given to this supplier.

Required

(a) List internal controls which could have been employed to minimise the possibility of each of these frauds taking place. You should give the reason for the control in each case.

(b) Draft a substantive or vouching audit programme covering the procedures from the requisitioning of raw materials through to the approval of the invoice for payment.

Question 3

Abenwoha Soft drinks Distributors Limited employs 30 salesmen, each with a defined geographical area to cover. Each salesperson is supplied with a car, which is changed every four years. At the end of each week, each salesperson submits a claim on a pre-printed form for expenses with supporting vouchers. Expenditure is on petrol, repairs and servicing of the car, hotels, lunches and entertaining. Each claim is scrutinized by Mr. Playboy, who is the Financial Accountant. He verifies that the claims are supported by vouchers. He clears any inconsistencies with the salespeople concerned

and makes out cheques for signature by two directors of the company. The total amount paid out by the company in the year to 31 December 2009 was GH100,000. The company made a profit of GHC500,000.

Required

a) Discuss the shortcomings of this system and suggest ways of improving the system
b) Describe tests of control and list tests of control that the auditor would perform on this system.
c) Describe substantive procedures and tabulate the substantive procedures that the auditor would perform on the item 'salesmen's expenses'
d) During the audit, the auditor discovered that the salesperson in one area was submitting false claims for entertaining customers. What further action should the auditor take?

Question 4

ABC Ltd is a fast-growing manufacturing company. Following your audit of the company for the year ended 31 December 2009, you issued a memorandum on internal control in which you brought certain weaknesses in internal control to the attention of management. The Chief Finance Officer of ABC agrees that the company has grown too large for the internal control systems that have been in force for some years and has asked your advice on the sort of control you would wish to see in force in a purchase and trade payables system.

Required

a) Inform the chief finance officer of the basic division of duties which you would expect to find in any internal control system, giving your reasoning.
b) Advise the chief finance officer of the main internal control features you would expect to find in the following functions of the purchases and trade payables system of ABC
   i) Buying
   ii) Receipts of goods
   iii) Accounting for purchases
   iv) Payments of outstanding balances

Question 5

Report to management which in some respects is a report on the ability and effectiveness of management is as useful to shareholders as the financial statements and should be distributed to the members not just to management themselves.

Required

Discuss this proposition.

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

UNIT 5: AUDIT EVIDENCE – EVIDENCE GATHERING AND CONFIRMATION

Unit Outline

Session 1: Nature and Purpose of Audit Evidence
Session 2: Audit Sampling
Session 3: Substantive Procedures
Session 4: Verification of Statement of Financial Position Items
Session 5: Auditor's Use of External Confirmations
Session 6: Using the work of an Expert/Specialist

The auditors should obtain sufficient appropriate evidence to be able to draw reasonable conclusions on which to base the audit opinion.

Audit evidence is obtained from an appropriate mix of tests of control and substantive procedures. In some circumstances, evidence may be obtained entirely from substantive procedures.

"Audit evidence' means the information auditors obtain in arriving at the conclusions on which the audit opinion is based. Audit evidence comprises source documents and accounting records underlying the financial statement assertions and corroborative information from other sources.

Unit Objectives

At the end of the unit, you should be able to:

1. describe the various types and sources of audit evidence
2. explain the distinction between tests of control and substantive tests
3. describe the purpose of tests of control
4. describe the procedures for obtaining audit evidence
5. explain how sampling is used to select items for testing
6. describe verification procedure for balance sheet items
7. describe how the auditor can rely on third party confirmations as a basis of forming an opinion
8. explain the use of experts in auditing

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 1: NATURE AND PURPOSE OF AUDIT EVIDENCE

You are now in Session 1 of the fifth unit of this module. Welcome. I believe that you have now tipped Auditing as one of the interesting subjects in business education. Let us look at what constitute audit evidence

Objectives

At the end of the session, you should be able to:

(a) describe what constitute sufficient and appropriate audit evidence
(b) list financial statement assertions;
(c) list and explain the procedures of obtaining audit evidence;

Now read on…

1.1 Introduction to Nature and Purpose of Audit Evidence

The auditors should obtain sufficient appropriate evidence to be able to draw reasonable conclusions on which to base the audit opinion.

Audit evidence is obtained from an appropriate mix of tests of control and substantive procedures. In some circumstances, evidence may be obtained entirely from substantive procedures.

"Audit evidence' means the information auditors obtain in arriving at the conclusions on which the audit opinion is based. Audit evidence comprises source documents and accounting records underlying the financial statement assertions and corroborative information from other sources.

1.2 Concept of Audit Evidence

"Audit evidence" is all the information used by the auditor in arriving at the conclusions on which the audit opinion is based, and includes the information contained in the accounting records underlying the financial statements and other information. Auditors are not expected to address all information that may exist. Any evidence, which is cumulative in nature, includes audit evidence obtained from audit procedures performed during the course of the audit and may include audit evidence obtained from other sources such as previous audits and a firm's quality control procedures for client acceptance and continuance.

Accounting records generally include the records of initial entries and supporting records, such as checks and records of electronic fund transfers; invoices; contracts' the general and subsidiary ledgers, journal entries and other adjustments to the financial statements that are not reflected in formal journal entries; and records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures. The entries in the accounting records are often initiated, recorded, processed and reported in electronic form. In addition, the accounting records may be part of integrated systems that share data and support all aspects of the entity's financial reporting operations and compliance objectives.

Management is responsible for the preparation for the financial statements based upon the accounting records of the entity. The auditor obtains some audit evidence by testing the accounting records, for example, through analysis and review, reperforming procedures followed in the financial reporting process, and reconciling related types and applications of the some information. Through the performance of such audit procedures, the auditor may determine that the accounting records are internally consistent and agree to the financial statements. However, because accounting records alone do not provide sufficient audit evidence on which to base an audit opinion on the financial statements, the auditor obtains other audit evidence.

Other information that the auditor may use as audit evidence includes minutes of meetings; confirmations from third parties; analysts' reports; information obtained by the auditor from such audit procedures as inquiry, observation, and inspection; and other information developed by, or available to, the auditor that permits the auditor to reach conclusions through valid reasoning.

1.3 Sufficient Appropriate Audit Evidence

Sufficiency is the measure of the quantity of audit evidence.

Appropriateness is the measure of the quality of audit evidence; that is, its relevance and its reliability in providing support for, or detecting misstatements in, the classes of transactions, account balances, and disclosures and related assertions. The quantity of audit evidence needed to affected by the risk of misstatement (the greater the risk, the more audit evidence is likely to be required) and also by the quality of such audit evidence (the higher the quality, the less may be required).

Accordingly, the sufficiency and appropriateness of audit evidence are interrelated. However, merely obtaining more audit evidence may not compensate for its poor quality.

A given set of audit procedures may provide audit evidence that is relevant to certain assertions, but not others. For example, inspection of records and documents related to the collection of receivables after the period end may provide audit evidence regarding both existence and valuation, although not necessarily the appropriateness of period-end cutoffs.

On the other hand, the auditor often obtains audit evidence from different sources or of a different nature that is relevant to the same assertion. For example, the auditor may analyze the aging of accounts receivable and the subsequent collection of receivables to obtain audit evidence relating to the valuation of the allowance for doubtful accounts. Furthermore, obtaining audit evidence relating to a particular assertion, for example, the physical existence of inventory, is not a substitute for obtaining audit evidence regarding another assertion, for example, the valuation of inventory.

The reliability of audit evidence is influenced by its source and by its nature and is dependent on the individual circumstances under which it is obtained. Generalizations about the reliability of various kinds of audit evidence can be made; however, such generalizations are subject to important exceptions. Even when audit evidence is obtained from sources external to the entity, circumstances may exist that could affect the reliability of the information obtained. For example, audit evidence obtained from an independent external source may not be reliable if the source is not knowledgeable. While recognizing that exceptions may exist, the following generalizations about the reliability of audit evidence may be useful:

- Audit evidence is more reliable when it is obtained from independent sources outside the entity.
- Audit evidence that is generated internally is more reliable when the related controls imposed by the entity are effective.
- Audit evidence obtained directly by the auditor (for example, observation of the application of a control) is more reliable than audit evidence obtained indirectly or by inference (for example, inquiry about the application of a control).
- Audit evidence is more reliable when it exists in documentary form, whether paper, electronic, or other medium (for example, a contemporaneously written record of a meeting is more reliable than a subsequent oral representation of the matters discussed).
- Audit evidence provided by original documents is more reliable than audit evidence provided by photocopies or facsimiles.

An audit rarely involves the authentication of documentation, nor is the auditor trained as or expected to be an expert in such authentication. However, the auditor considers the reliability of the information to be used as audit evidence, for example, photocopies, facsimiles, filmed, digitized or other electronic documents, including consideration of controls over their preparation and maintenance where relevant.

When information produced by the entity is used by the auditor to perform audit procedures, the auditor should obtain audit evidence about the accuracy and completeness of the information. In order for the auditor to obtain reliable audit evidence, the information upon which the audit procedures are based needs to be sufficiently complete and accurate. For example, in auditing revenue by applying standard prices to records of sales volume, the auditor considers the accuracy of the price information and the completeness and accuracy of the sales volume data. Obtaining audit evidence about the completeness and accuracy of the information produced by the entity's information system may be performed concurrently with the actual audit procedure applied to the information when obtaining such audit evidence is an integral part of the audit procedure itself. In other situations, the auditor may have obtained audit evidence of the accuracy and completeness of such information by testing controls over the production and maintenance of the information. However, in some situation, the audit may determine that additional audit procedures are needed. For example, the additional procedures may include using computer-assisted audit techniques (CAATs) to recalculate the information.

The auditor ordinarily obtains more assurance from consistent audit evidence obtained from different sources or of a different nature than from items of audit evidence considered individually. In addition, obtaining audit evidence from different sources or of a different nature may indicate that an individual items of audit evidence is not reliable. For example, corroborating information obtained from a source independent of the entity may increase the assurance the auditor obtains from a management representation. Conversely, when audit evidence obtained from one source is inconsistent with that obtained from another, the auditor determines what additional audit procedures are necessary to resolve the inconsistency.

The auditor considers the relationship between the cost of obtaining audit evidence and the usefulness of the information obtained. However, the matter of difficulty or expense involved is not in itself a valid basis for omitting an audit procedure for which there is no alternative.

In forming the audit opinion the auditor does not examine all the information available because conclusions ordinarily can be reached by using sampling approaches and other means of selecting items for testing.

Also, the auditor ordinarily finds it necessary to rely on audit evidence that is persuasive rather than conclusive. However, to obtain reasonable assurance, the auditor is not satisfied with audit evidence that is less than persuasive. The auditor uses professional judgment and exercises professional skepticism in evaluating the quantity and quality of audit evidence, and thus its sufficiency and appropriateness, to support the audit opinion.

1.4 The Use of Assertions in Obtaining Audit Evidence

Management is responsible for the fair presentation of financial statements that reflect the nature and operations of the entity. In representing that the financial statements give a true and fair view (or are presented fairly, in all material respects) in accordance with the applicable financial reporting framework, management implicitly or explicitly makes assertions regarding the recognition, measurement, presentation and disclosure of the various elements of financial statements and related disclosures.

The auditor should use assertions for classes of transactions, account balances, and presentation and disclosures in sufficient detail to form a basis for the assessment of risks of material misstatement and the design and performance of further audit procedures. The auditor uses assertions in assessing risks by considering the different types of potential misstatements that may occur, and thereby designing audit procedures that are responsive to the assessed risks. Other ISAs discuss specific situations where the auditor is required to obtain audit evidence at the assertions level.

Assertions used by the auditor fall into the following categories:

a) Assertions about classes of transactions and events for the period under audit:
   - Occurrence – transactions and events that have been recorded have occurred and pertain to the entity.
   - Completeness – all transactions and events that should have been recorded have been recorded.
   - Accuracy – amounts and other data relating to recorded transactions and events have been recorded appropriately.
   - Cutoff – transactions and events have been recorded in the correct accounting period.
   - Classification – transactions and events have been recorded in the proper accounts.

b) Assertions about account balances at the period end:
   - Existence – assets, liabilities, and equity interests exist.
   - Rights and Obligations – the entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
   - Completeness – all assets, liabilities and equity interests that should have been recorded have been recorded

- Valuation and allocation – assets, liabilities and equity interests are included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments are appropriately recorded.

c) Assertions about presentation and disclosure:
- Occurrence and rights and obligations – disclosed events, transactions, and other matters have occurred and pertain to the entity.
- Completeness – all disclosures that should have been included in the financial statements have been included.
- Classification and understandability – financial information is appropriately presented and described, and disclosures are clearly expressed.

Accuracy and valuation on financial and other information are disclosed fairly and at appropriate amounts.

The auditor may use the assertions as described above or may express them differently provided all aspects described above have been covered. For example, the auditor may choose to combine the assertions about transactions and events with the assertions about account balances. As another example, there may not be a separate assertion related to cutoff of transactions and events when the occurrence and completeness assertions include appropriate consideration of recording transactions in the correct accounting period.

1.5 Audit Procedures for Obtaining Audit Evidence

The auditor obtains audit evidence to draw reasonable conclusions on which to base the audit opinion by performing audit procedures to:

a) Obtain an understanding of the entity and its environment, including its internal control, to assess the risks of material misstatement at the financial statement and assertion levels

b) When necessary or when the auditor has determined to do so, test the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements at the assertion level (Audit procedures performed for this purpose are referred to in the ISAs as "tests of controls"); and

c) Detect material misstatements at the assertion level (audit procedures performed for this purpose are referred to in the ISAs as "substantive procedures" and include tests of details of classes of transactions, account balances, and disclosures and substantive analytical procedures).

The auditor always performs risk assessment procedures to provide a Satisfactory basis for the assessment of risks at the financial statement and assertion levels. Risk assessment procedures by themselves do not provide sufficient appropriate audit evidence on which to base the audit opinion, however, and are supplemented by further audit procedures in the form of tests of controls, when necessary, and substantive procedures.

Tests of controls are necessary in two circumstances. When the auditor's risk assessment includes an expectation of the operating effectiveness of controls, the auditor is required to test those controls to support the risk assessment. The auditor's risk assessment is judgmental, however, and may not be sufficiently precise to identity all risks of material misstatement. Further, there are inherent limitations to internal control, including the risk of management override, the possibility of human error and the effect of systems changes. Therefore, substantive procedures for material classes of transactions, account balances, and disclosures are always required to obtain sufficient appropriate audit evidence.

The nature and timing of the audit procedures to be used may be affected by the fact that some of the accounting data and other information may be available only in electronic form or only at certain points or periods in time. Source documents, such as purchase orders, bills of lading invoices, and checks may be replaced with electronic messages. For example, entities may use electronic commerce or image processing systems. In electronic commerce, the entity and its customers or suppliers use connected computers over a public network, such as the Internet, to transact business electronically. Purchase, shipping, billing, cash receipt, and cash disbursement transactions are often consummated entirely by the exchange of electronic messages between the parties. In images processing systems, documents are scanned and converted into electronic images to facilitate storage and reference, and the source documents may not b retained after conversion. Certain electronic information may exist at a certain point in time. However, such information may not be retrievable after a specified period of time if files are changed and if backup files do not exist. An entity's data retention policies may require the auditor to request retention of some information for the auditor's review or to perform audit procedures at a time when the information is available.

When the information is in electronic form, the auditor may carry out certain of the audit procedures described below through CAATs.

1.5.1 Inspection of Records or Documents

Inspection Consists of examining records or documents, whether internal or external, in paper form, electronic form, or other media. Inspection of records and documents provide audit evidence of varying degree of reliability. Documents, on the effectiveness of the controls over their production. An example of inspection used as a test of controls is inspection of records or documents for evidence of authorization.

Some documents represent direct audit evidence of the existence of an asset, for example, a document constituting a financial instrument such as a stock or bond. Inspection of such documents may not necessarily provide audit evidence about ownership or value. In additions, inspecting an executed contract may provide audit evidence relevant to the entity's application of accounting policies, such as revenue recognition.

1.5.2 Inspection of Tangible Assets

Inspection of tangible assets consists of physical examination of the assets. Inspection of tangible asses may provide reliable audit evidence with respect of their existence, but not necessarily about the entity's rights and obligations or the valuation of the assets. Inspection of individual inventory items ordinarily accompanies the observation of inventory counting.

1.5.3 Observation

Observation consists of looking at a process or procedure being performed by others. Examples include observation of the counting of inventories by the entity's personnel and observation of the performance of control activities. Observation provides audit evidence about the performance of a process or procedure, but is limited to the point in time at which the observation takes place and by the fact that the act of being observed may affect how the process or procedure is performed

1.5.4 Inquiry

Inquiry consists of seeking information of knowledgeable persons, both financial and non-financial, throughout the entity or outside the entity. Inquiry is an audit procedure that is used extensively throughout the audit and often is complementary to performing other audit procedures. Inquiries may range from formal written inquiries to informal oral inquiries. Evaluating responses to inquiries is an integral part of the inquiry process.

Responses to inquiries may provide the auditor with information not previously possessed or with corroborative the audit evidence. Alternatively, responses might provide information that differs significantly from other information that the auditor has obtained, for example, information regarding the possibility of management override of

controls. In some cases, responses to inquiries provide a basis for the auditor to modify or perform additional audit procedure

The auditor performs audit procedures in addition to the use of inquiry to obtain sufficient appropriate audit evidence. Inquiry alone ordinarily does not provide sufficient audit evidence to detect a material misstatement at the assertion level. Moreover, inquiry alone is not sufficient to test the operating effectiveness of controls.

Although corroboration of evidence obtained through inquiry is often of particular importance, in the case of inquiries about management intent, the information available to support management's intent may be limited. In these cases, understanding management's past history of carrying out its stated intentions with respect to assets or liabilities, management's stated reasons for choosing a particular course of action, and management's ability to pursue a specific course of action may provide relevant information about management's intent.

In respect of some matters, the auditor obtains written representations from management to confirm responses to oral inquiries. For example, the auditor ordinarily obtains written representations from management on material matters when other sufficient appropriate audit evidence cannot reasonably be expected to exist or when the other audit evidence obtained is of a lower quality.

1.5.5 Confirmation

Confirmation, which is a specific type of inquiry, is the process of obtaining a representation of information or of an existing condition directly from a third party. For example, the auditor may seek direct confirmation of receivables by communication with debtors. Confirmations are frequently used in relation to account balances and their components, but need not be restricted to these items. For example, the auditor may request confirmation of the terms of agreements or transactions an entity ha with third parties, the confirmation request is designed to ask if any modifications have been made to the agreement and, if so, what the relevant details are. Confirmations also used to obtain audit evidence about the absence of certain conditions, for example, the absence of a "side agreement" that may influence revenue recognition.

15.6 Re-calculation

Recalculation consists of checking the mathematical accuracy of documents or records. Recalculation can be performed through the use of information technology, for example, by obtaining an electronic file from the entity and using CAATs too check the accuracy of the summarization of the file.

1.5.7 Re-performance

Re-performance is the auditor's independent execution of procedures of controls that were originally performed as part of the entity's internal control, either manually or through the use of CAATs, for example, re-performing the aging of accounts receivable.

1.5.8 Analytical Procedures

Analytical procedures consist of evaluation of financial information made by a study of plausible relationships among both financial and non-financial data. Analytical procedures also encompass the investigation of identified fluctuations and relationships that are inconsistent with other relevant information or deviate significantly from predicted amounts. See ISA 520, "Analytical Procedures" for further guidance on analytical procedures.

1.6 Public Sector Perspective

When carrying out audits of public sector entities, the auditor takes into account the legislative framework and any other relevant regulations, ordinances or ministerial directives that affect the audit mandate and any other special auditing requirements. In making assertions about the financial statements, management asserts that transactions and events have been in accordance with legislation or proper authority

Self Assessment Questions

Exercise 5.1

1 Discuss the strength or weakness of the following sources of audit evidence, and the financial statement assertions to which they relate:

(i) Physical inspection of a fixed assert by an auditor

(ii) Confirmation by a debtor of money owed

(iii) Oral representation by management that all creditors owed money at the end of the year have been included in the accounts.

2 List and explain the methods or procedures of obtaining audit evidence

SESSION 2: AUDIT SAMPLING

You are welcome to session 2 of Unit 5. In forming the audit opinion, auditors do not normally examine all the records and documents available. It is generally, not practicable to do so and valid conclusions can be reached using audit sampling.

Objective

At the end of the session, you should be able to:

(a) define audit sampling,
(b) list the factors that influence sample size for tests of control;
(c) list the factors that influence sample size for sampling base substantive tests; and
(d) list and explain the various sampling methods applied in selecting items for audit testing

Now read on…

2.1 Meaning of Audit Sampling

"Audit Sampling": means the application of audit procedures to less than 100% of the items within an account balance or class of transactions to enable the auditors obtain and evaluate evidence about some characteristics of the items selected in order to form or assist in forming a conclusion concerning the population which makes up the account balance or class of transactions.

It is important to recognize that certain testing procedures do not come within the definition of sampling. Tests performed on 100% of the items within a population do not involve sampling. Likewise applying audit procedures to all items within a population which have a particular significance (for example all items over a certain amount) does not qualify as audit sampling with respect to the portion of the population examined, since 100% were tested.

The auditors should use appropriate techniques in designing and selecting an audit sample, performing audit procedures thereon and evaluating sample results.

2.2 Design of the Sample

When designing an audit sample, the auditors should consider the specific audit objectives, the population from which they wish to sample and the sample size.

a) ***Audit Objectives:*** The auditors first consider the specific audit objectives to be achieved and the audit procedures which are most likely to achieve those objectives. In addition, the auditors consider the nature of the audit evidence sought and possible error conditions or other characteristics relating to that evidence in order to define what constitutes an error and what population to use for sampling.

b) ***Population:*** The population is the entire set of data from which the auditors wish to sample in order to reach a conclusion. The auditors need to determine that the population from which the sample is drawn is appropriate for the specific audit objective. For example, if the auditors' objective is to test for overstatement of accounts receivable, the population may be defined as the accounts receivable listing. On the other hand, when testing for understatement of accounts payable, the population is not the accounts payable listing but rather subsequent disbursements, unpaid invoices, suppliers' statements, unmatched receiving reports or other populations that can provide evidence of understatement of account payable.

The individual items that make up the population are known as sampling units. The population can be divided into sampling units in a variety of ways. For example if the auditors' objective is to test the validity of accounts receivable, the sampling unit may be defined as customer balances or individual customer invoices.

Auditors define the sampling units in order to obtain an efficient and effective sample to achieve the particular audit objectives.

c) ***Stratification:*** To assist in the effective design of the sampling, stratification may be appropriate. Stratification is the process of dividing a population into sub-populations, each of which is group of sampling units, which have similar characteristics. The strata need to be explicitly defined so that each sampling unit can belong to only one stratum. This process reduces the variability of the items within each stratum. Stratification therefore enables the auditors to direct audit efforts towards the items which for, example, contain the greatest potential error.

For example, the auditors may direct attention to larger value items for accounts receivable to detect material overstatement errors.

d) ***Sample size***: when determining the sample size the auditors should consider sampling risk, the tolerable error and the expected error.

2.3 Factors Influencing Sampling Size for Tests of Controls

FACTOR:		IMPACT OF SAMPLE SIZE:
Sample Risk	-	The greater the reliance on the results of a test of control using audit sampling risk the auditors are willing to accept, and consequently, the larger the sample size.
	-	The lower the assessment of control risk, the more likely the auditors are to place reliance on audit evidence from tests of control.
	-	A high control risk assessment may result in a decision not to perform tests of control.
Tolerable Error Rate	-	The higher the tolerable error rate, the lower the sample size.
Expected Error rate	-	If errors are expected, a large sample ordinarily needs to be examined to confirm that the actual error rate is less than the tolerable error rate.
	-	High expected error rates may result in a decision not to perform tests of control.
Number of items in Population	-	Virtually no effect on sample size unless population is small.

2.4 Factors Influencing Sample Size for Sampling Based Substantive Tests

FACTOR	IMPACT ON SAMPLING SIZE
Inherent Risk -	The higher the assessment of inherent risk, the more audit evidence is required to support the auditor's conclusion. The greater the reliance on the results of substantive procedure using audit sampling, the lower the sampling risk the auditors are willing to accept and consequently, the larger the sample size.
Control Risk -	The higher the assessment of control risk, the greater the reliance on audit evidence obtained from substantive procedures. The greater the reliance on the results of a substantive procedures using audit sampling, the lower the sampling risk the auditors are willing to accept, and consequently the larger the sample size. A high control risk assessment may result in the decision not to perform tests of control and reliance entirely on substantive procedures.
Detection Risk -	Sampling risk for substantive tests is one form of detection risk. The lower the sampling risk the auditors are willing to accept, the larger the sample size.
-	Other substantive procedures may provide audit evidence regarding the same financial statement assertions and reduce detection risk. This may reduce the extent of the auditors reliance on the results of a substantive procedure using audit sampling.
-	The lower the reliance on the results of a substantive procedure using audit sampling, the higher the sampling risk the auditors are willing to accept and, consequently, the smaller the sample size.

Tolerable Error Rate -	The higher the monetary value of the tolerable error rate, the smaller the sample size and vice versa.
Expected Error Rate -	If errors are expected, a large sample ordinarily needs to be examined to confirm that the actual error rate is less than the tolerable error rate.
Population -	The less material the monetary value of the population to financial statements, the smaller the sample size that may be required.
Stratification -	If it is appropriate to stratify the population, it may lead to a smaller sample size.

2.5 Sampling Risk

Sampling risk arises from the possibility that the auditors' conclusion based on a sample may be different from the conclusions that would be reached if the entire population were subjected to the same audit procedures.

Sampling risk can be contrasted with non-sampling risk which arises when the auditors use any audit procedures. Non-sampling risk arises because, for example, most audit evidence is persuasive rather than conclusive or the auditors might use inappropriate procedures or might misinterpret evidence and thus fail to recognize an error.

The auditors attempt to reduce non-sampling risk to a negligible level by appropriate planning, direction, supervision and review.

Auditors are faced with sampling risk in both tests of control and substantive procedures as follows:

(a) Test of control

i) Risk of under reliance: the risk that, although the sample result does not support the auditors' assessment of control risk the actual compliance rate support such an assessment.

ii) Risk of over reliance: the risk that although the sample result supports the auditor's assessment of control risk, the actual compliance rate does not support such an assessment.

(b) Substantive Procedures:

i) Risk of incorrect rejection: the risk that, although the sample result supports the conclusion that a recorded account balance or class of transactions is materially misstated, in fact it is not materially misstated, and

ii) Risk of incorrect acceptance: the risk that, although the sample result supports the conclusion that a recorded account balance or class of transaction is not materially misstated, in fact it is not materially misstated.

Sample size is affected by the degree of sampling risk the auditors are willing to accept from the results of the sample. The greater the auditors reliance on the results, the lower the sampling risk the auditors are willing to accept and the larger the sample size needs to be.

2.6 Tolerable Error

Tolerable error is the maximum error in the population that the auditors are willing to accept and still conclude that the audit objective has been achieved. Tolerable error is considered during the planning stage. For substantive procedures, it is related to the auditor's judgement about materiality. The smaller the tolerable error, the larger the simple size needs to be.

In tests of control, the tolerable error is the maximum rate of deviation from a prescribed control procedure that the auditors would be willing to accept based on the preliminary assessment of control risk. In substantive procedures, the tolerable error is the maximum monetary error in an account balance or class of transactions that the auditors are willing to accept so that when the results of all audit procedures are considered, they are able to conclude with reasonable assurance that the financial statements are not materially misstated.

2.7 Expected Error

If the auditors expect error to be present in the population, a large sample than when no error is expected ordinarily needs to be examined to conclude that the actual error in the population is not greater than the planned tolerable error. Smaller sample sizes are justified when the population is expected to be error free.

In determining the expected error in a population, the auditors consider such matters as error levels identified in previous audits, changes in the entity's procedures and evidence available from other procedures.

2.8 Selection of the Sample

The auditors should select sample items in such a way that the sample can be expected to be representative of the population. For a sample to be representative of a population, all items in the population are required to have an opportunity of being selected.

The selection methods commonly used are:

Random Selection, which ensures that all items in the population have an equal chance of selection, for example by use of random number tables.

Systematic Selection, which involves selecting items using a constant interval between selections, the first interval having a random start. When using systematic selection, the auditors need to ensure that sampling interval corresponds with a particular pattern in the population.

Haphazard Selection, which may be an acceptable alternative to random selection provided the auditors are satisfied that the sample is not unrepresentative of the entire population. When auditors use this method, care needs to be taken to guard against making a selection which is biased, for example, towards items which are easily located, as they may not be representative.

Stratified Sampling: This involves the division of the population into layers or strata, each stratum being subjected to a separate test which could be conducted by random or interval sampling methods.

This technique is appropriate where the population consists of a wide range of values among the items under examination. Under such circumstances, the entire population would be split into a number of layers, each covering a specific range of values or prices, and each layer would then be subject to a separate test.

The relative materiality of each stratum would determine the confidence level and precision range required.

Cluster Sampling: This is suitable when data to be examined are stored in such a manner that the selection of group, or cluster, would be appropriate test. In these circumstances, each cluster could be allocated a number, the particular cluster to be tested being selected by the use of random table. The contents of the cluster selected could in turn be tested completely, or by random number, or by interval sampling.

The most precise results with this method will be obtained when each cluster contains as varied mixture as possible and any one cluster is as nearly alike any other cluster as possible.

Cluster sampling is helpful when the population is so dispersed as to make other forms of selection either burdensome or excessively time consuming.

2.9 Evaluation of Sample Results

Having carried out, on each sample item, those audit procedures which are appropriate to the particular audit objective, the auditors should:

- analyse any error detected in a sample;
- project the error found in the sample;
- re-assess the sampling risk.

a) Analysis of errors in the Sample.

In analyzing the errors detected in the sample, the auditors first need to determine that an item in question is in fact an error. In designing the sample, the auditors define those conditions which constitute an error by reference to the audit objectives. For example, in a substantive procedure relating to the recording of accounts receivable, a misposting between customer accounts does not affect the total accounts receivable. Therefore, it may be inappropriate to consider this error in evaluating the sample results of this particular procedure even though it might have an effect on other areas of the audit such as the assessment of doubtful debts.

When the expected audit evidence regarding a specific sample item cannot be obtained, the auditors may be able to obtain sufficient appropriate audit evidence through performing alternative procedures. For example, if a positive account receivable confirmation has been requested but no reply received, the auditors may be able to obtain sufficient appropriate audit evidence that the receivable is valid by reviewing subsequent payments from the customer. If the auditors do not, or are unable to perform satisfactory alternative procedures, the item is treated as an error.

The auditors also consider the qualitative aspects of the errors. These include the nature and cause of the error and the possible effect of the error on other phase of the audit.

In assessing the error discovered, the auditors may observe that many have a common feature, for example type of transaction, location, product line or period of time.

In such circumstances, the auditors may decide to identify all items in the population which possess the common features, thereby producing a sub-population and extend

audit procedures in this area. The auditors may then perform a separate analysis based on the items examined for each sub-population.

b) Projection of Errors

Auditors project the error results of the sample to the population from which the sample was selected. There are several acceptable methods of projecting error results. However, in all cases, the method of projection needs to be consistent with the method used to select the sampling unit. When projecting error results, auditors need to keep in mind the qualitative aspects of the error found when the population has been divided into sub-populations, the projection of errors is done separately for each sub population and the results are combined.

c) Reassessment of Sampling Risk

The auditors need to consider whether errors in the population might exceed the tolerable error. To accomplish this, the auditors compare the projected population error to the tolerable error taking into account the results of other audit procedures relevant to the specific control or financial statement assertions. The projected population error used for this comparison is net of adjustment made by the entity. When the projected population error exceeds the tolerate error, the auditor reassesses the sampling risk, and if that risk is unacceptable consider extending the audit procedures or performing alternative audit procedures, either of which may result in the auditors proposing an adjustment to the financial statements.

2.10 Statistical and Judgmental Sampling

When sampling, the auditors need to decide whether to use statistical or non-statistical (judgmental) sampling. In either case, the auditors have to take account of tolerable risk and expected error and population value for substantive test when deciding on sample size.

2.10.1 Judgmental Sampling

This means selecting a sample of appropriate size on the basis of the auditors judgement of what is desirable

The advantages associated with this approach are as follows:

(i) It has been in use for many years and lend itself for easy application through experience.

(ii) No special knowledge of statistics is required, after all auditing has never been a quantitative subject.

(iii) No time is wasted in playing with mathematics

The associated disadvantages are:

It is unscientific
Personal bias in the selection of the items always present
There is no basis in the selection of sample

2.10.2 Statistical Sampling

This means using statistical theory to measure the impact of sampling risk and evaluate the results.

a) Advantages associated with this method include the following:
At the conclusion of a test, the auditors are able to state with a definite level of confidence that the whole population conforms to the sample result, within a stated precision limit.

Sample size is objectively determined, having regard to the degree of risk the auditors are prepared to accept for each application.

The process of fixing required precision and confidence levels compels the auditors to consider and clarify audit objectives.

The results of test can be expressed in precise mathematical terms.
To a large extent, bias in selecting sample units is eliminated.

10.2.2 Disadvantages of Statistical Sampling include the following:

Auditing has never been a mathematical discipline, and a highly developed intuition has always been a more valuable audit attribute than the poschapter of mathematical knowledge.

Mathematically valid sampling schemes take long time, during which time a good deal of representative random sampling could have been conducted, with the reasonable assurance that its conclusions might be valid for audit purposes.

Statistical sampling invariably results in the examination of sample size much smaller than those traditionally used by auditors. The validity of the conclusion drawn therefore depends upon rigid adherence to the tenets of the discipline and thus upon the technical grasp by all members of the audit team of the statistical principles involved.
Many of the decisions which have to be reached before a sampling scheme can be implemented are invariably based on subjective view. Many auditors are therefore suspicious of the validity of the technique or in the least analysis, of how a court of law might view audit conclusion arrived at in this way.

Statistical sampling often needs back-up by further tests within the population reviewed: large items, non-routine items, sensitive items etc.

b) Conditions favouring the use of Statistical Sampling:

The following factors (conditions) need to be present before the use of statistical sampling can be contemplated:

a) The population (the total number of items or transactions to be examined) must be sufficiently large. The potential margin of error is minimal with large numbers. The question of what should be the minimum size of population to justify the use of statistical sampling can best be answered in a particular context.

i) The system that produces the records to be tested must be sufficiently reliable. If there is no system worthy of the name, it would be dangerous for the auditor to believe that any transaction recorded within it is representative. Were orderliness and regularity are absent, there may be little alternative but to conduct vouching audit involving the detailed examination of almost all the recorded transactions.

ii) All items within a particular population must be homogenous i.e. they must fall within the same category. Thus, items must fall within the same materiality bands and the recording of all items within the population must be affected in the same manner and must be subjected to the same internal checks and control.

iii) All items within the population must be both identifiable and accessible. The validity of any sample depends on the requirement that each item within the population must stand on equal chance of being selected for examination. It is when all the items within the population are identifiable and accessible that this requirement can be met.

2.11 Steps in Audit Sampling

a) Define the audit objective. Why is this test being carried out and what contribution does it make to the overall assessment of true and fair view?
b) Clearly define the population category. All units within the population must be complete.
c) Define the sample size. What percentage of the entire population is, or how many units within the population are to be selected for testing?
d) Select the items to be tested using the appropriate selection technique

e) Test selected sample units
f) Evaluate the results:
g) Analyse the error or deviation detected in relationship to the expected error rates to estimate the total error in the population based on the results of the sample testing conducted.
h) Ensure that the final expression of the conclusion is valid and is clearly documented in the current file.

Self-Assessment Questions

Exercise 5.2

1. The auditor is increasingly abandoning subjective selection of items for testing in favour of statistical sampling, techniques:

   Required:
   (a) State the advantages of statistical sampling techniques
   (b) State the conditions which require to be present before statistical sampling techniques can be used
   (c) Discuss the factors which an auditor requires to consider when using statistical sampling technique.

2. Describe the following methods of selecting items for audit tests
   (a) Random selection
   (b) Haphazard selection
   (c) Stratified sampling
   (d) Cluster sampling

SESSION 3: SUBSTANTIVE PROCEDURES

Welcome to session 3 of unit 5. The session outlines specific substantive tests that are appropriate for the audit of key areas such as sales and receipts of cash, purchases and payments and payroll administration.

A summary of basic substantive tests which might be undertaken on the accounting transaction under the following key areas are listed as follows:

- Sales and Receipts
- Purchases and payments
- Payroll

Objectives

After reading through the chapter, the learner should be able to:

(a) draw audit programmes for testing sales, receipts purchases, payment and payroll.

(b) identify the objective that such tests seek to achieve.

Now read on…

3.1 Sales and Receipts

Objectives

- To confirm the reliability, accuracy and completeness of the accounting
- To confirm that all goods supplied were duly and properly invoiced and recorded.

Auditing Programme:

(i) Test numerical sequence of dispatch notes

(ii) Select a sample of transaction from the goods dispatched notes/goods outwards records (if no such record from sales day book)
- Check to sales invoice
- Check to sales day book
- Trace goods from stock records
- Trace to proof of delivery records

(iii) For each sales invoice selected:
- Check with customers orders
- Check that credit procedures have been applied
- Compare prices charged with price lists, quotations or correspondence
- Check calculations and additions of invoices

- Check analysis in sales daybook if applicable
- Check posting to the ledger

(iv) For each receipt selected:
- Check that the invoice has been paid per the sales ledger
- Cash receipt to cashbook
- Check to copy paying in slip identifying individual amount and trace to bank statement

(v) Test numerical sequence of sales invoice
(vi) Test the cast and cross-cast of the sales daybook and control account
(vii) Test the postings of the sale daybook throughout the year for large or unusual items
(viii) Selecting a sample of credit notes from the sales day book and vouch as follows:
- vouch with correspondence or other original documents
- see that copies of credit note have been signed as authorized by a director or other senior official
- trace goods back into stock where appropriate
- check analysis in sales day book
- where returns affect commissions, check that proper adjustments have been made

(ix) Review the sales day book throughout the year for large or unusual items.
(x) Check the sales day book throughout the year for large unusual items
(xi) Check credit notes through the year and verify that they have been signed and authorized by a director or other senior official. Vouch any large or unusual items
(xii) Test the assets and cross-casts of the receipts cash book
(xiii) Confirm that discounts taken by credit customers are in accordance with the client's terms of trade

3.2 Purchases and Payments

Objective:
(i) To confirm the reliability, accuracy and completeness of the accounting:
(ii) To confirm that all incurred liabilities are recorded and that they represent goods or services actually received by the client.

Audit Programme:
(i) Test numerical sequence of goods received notes
(ii) Trace goods received notes to invoice or entry in day book
iii) Select a sample of invoice from the purchase day book (or payment from the cash book if no purchase day book.

- verify authorisation
- confirm that cash discounts were correctly taken
- very price with order or agreements
- confirm receipt of goods with delivery notes
- check additional and calculations on invoices (including VAT)
- check allocation in day books
- check to stock records
- check to Work-in-progress records

iv) Test numerical sequence of purchase invoice
v) Test the casts and cross casts of the purchase day book to the nominal ledger
iv) Review the purchase day book throughout the year for large or unusual items
v) Select a sample of goods returned to suppliers and ensure that credit notes have been received
vi) Check additional and calculations on credit notes
vii) Select a sample of miscellaneous payments from the cash book
  (i) verify authorization
  (ii) check additions and calculations on invoices
  (iii) check nominal ledger allocation
  (iv) vouch returned cheques
viii) Test the casts and cross-casts of the payment cash book
ix) Test the postings of the payments cash book to the nominal ledger
x) Test the posting of payments to replenish petty cash to the petty cash book
xi) Select a sample of payments from the petty cash book and
  (i) vouch with supporting voucher and any independent evidence
  (ii) verify authorization
  (iii) check nominal ledge allocation
xii) test miscellaneous receipts with supporting evidence
xiii) scrutinize a sample of sales ledger accounts through the year and up to date of the audit, noting any large or unusual items
xiv) scrutinize a sample of sales ledger accounts throughout the year and ensure that all credit items originate from books of prime entry that been subjected to audit testing

3.3 Payroll

Objectives

(i) To ensure that levels of pay are in order
(ii) to check accuracy and validity of deductions
(iii) To confirm proper payments

(iv) To test reasonableness of net pay figures
(v) To confirm reliability, accuracy and completeness of the accounting
(vi) To ensure correct treatment of PAYE and social security deductions.

Audit Programme

(i) Select a sample of employees from different periods in the year from both weekly payroll and monthly salaries and ensure that gross pay has been properly authorized by checking to:
- lists of hourly rates
- lists of piece-work rates
- lists of overtime rates
- lists of annual salaries
- contracts of employment

(ii) For hourly paid employees, check the hours worked with the time records, and the authorisation of overtime and bonus payment
(iii) For piece workers, check quantities with output returns of job slips initiated by a foreman
(iv) Check that hours/quantities/gross pay (as appropriate) have been entered into cost records
(v) Check additions of PAYE and SSNIT deduction and cross-cast to Net pay
(vi) For payments in cash, inspect receipts given by employees
(vii) Trace gross wages to Income Tax deductions and to holiday pay records
(viii) Trace a sample of net wages to cash book and vouch returned cheques
(ix) Check wages summaries, check casts and cross-casts of summaries and check postings from summaries to the nominal ledger
(x) Review month/weekly total payroll cost and investigate any unusual variations
(xi) Check that authorisation of payroll is evidenced
(xii) Trace a sample of joiners and leaver to the payroll ensuring that payments commence and end in the correct periods
(xiii) Test payroll with contract of employment to ensure that all employees have valid contracts
(xiv) If there are significant amounts paid in cash, then consider attending to observe pay-out procedures.

SESSION 4: VERIFICATION OF STATEMENT OF FINANCIAL POSITION ITEMS

Welcome to session 4 of unit 5. In this session we would be looking at the procedures of verifying assets, liabilities and equity presented on the statement of financial position.

Objectives

At the end of this session, you should be able to:

(a) explain the concept of verification
(b) describe the specific objectives verification process seeks to achieve
(c) explain verification procedures of observation, inspection, enquiring and confirmation, computation and analytical review
(d) draw specific audit programmes for the verification of statement of financial position items

Now read on…

4.1 Specific Verification Objectives

Verification is the process by which auditors seek confirmation of the existence, ownership, cost/valuation and appropriate presentation/disclosure of assets and liabilities.

Verification procedures rely heavily on the vouching work having been properly executed
The more specific verification objectives may be summarized as follows:

a) Valuation: The auditor must be satisfied that the assets appear in the Statement of financial position at a fair value which may be, of course, different from the original cost. He is also concerned that liabilities are fairly valued i.e. they are stated at amounts at which they are likely to materialise for settlement. Auditors therefore ensure that apart from the correct determination of cost, depreciation or any other fall in value of assets has been fully taken into account on an acceptable basis.

b) Existence: The auditor should rely on physical verification procedures, wherever practicable, to verify the existence of assets and liabilities. Such physical tests should be carried out on a random selection basis (if 100% inspection is not practicable).

c) Ownership: The auditor must conduct test to establish that the client is the beneficial owner of the assets existing and that the liabilities concerned are in fact required to be met by the client. In some instances, it is possible to verify ownership [by reference to a document such as leases or deeds in relation to a property; in other case, however, it may be necessary to rely on corroborative evidence or the representations of outside parties.

d) Presentation/Disclosure: The auditors must verify that the items in the Statement of financial position are appropriately presented and recognition has been given to full disclosure.

4.2 Verification Procedures

Procedures auditors may adopt to verify assets and liabilities include:

- Observation
- Inspection
- Enquiring
- Confirmation
- Computation
- Analytical review

4.3 Verification Objectives and Programmes for Some Statement of Financial Position Items

4.3.1 Property, Plant and Equipment

Objectives:

i) To determine whether fixed assets in the Statement of financial position are owned by the client company

ii) To verify that any fixed asset built or manufactured by the client has been capitalized

iii) To ascertain that assets have been recorded at cost or valuation and to determine whether depreciation and other provisions for fall in value have been computed on reasonable and consistent bases

iv) To verify physical existence

To determine whether the amounts shown in the accounts are properly classified and presented.

Audit Programme

- Obtain a summary of fixed assets under categories showing how the figures in the statement of financial position are made up and reconcile with the figures shown in the previous statement of financial position. Cast and cross-cast
- Obtain schedules of additions during the year and for all classes of assets
- Test items with suppliers' invoices or other independent vouchers like the architect's certificates
- Test capital expenditure authorizations
- Check appropriateness of capitalization policies with respect to assets constructed by own labour
- Obtain schedules of disposals and test proceeds of sale with independent evidence like sale agreements
- Find out about assets scrapped during the year. Test authority for disposal
- Verify that original cost and accumulated depreciation have been eliminated from the fixed asset account
- Check calculations of profit or loss on disposals and agree with entries in the income statement
- Inspect or obtain certificates for title deeds and leases
- If any assets have been revalued during the year, obtain a copy of the valuation report. If the valuation is to be incorporated into the accounts then verify that the basis of the valuation is acceptable
- Verify the independence and qualifications of the valuers
- Confirm accounts disclosures
- Physically inspect samples of all types of assets
- Inspect assets registration documents, especially motor vehicles
- Obtain or prepare a schedule of outstanding capital expenditure distinguishing between items contracted for but not provided and items authorized by directors but not contracted for
- Verify depreciation rates have been approved by the board and review their reasonableness. If rates have been changed in the current year, obtain explanation
- Check calculations of depreciation
- Reconcile fixed register with accounts
- Verify the adequacy of insurance cover on fixed assets.

4.3.2 Investments

Objectives:

- To determine whether there is a documentary evidence of the ownership of the investment
- To determine whether changes during the period represented bonafide transactions
- To ascertain whether the basis on which the investments are stated is appropriate and the method employed in valuation has been consistently applied
- To determine whether the amount shown in the statement of financial positions are properly classified and described.

Audit Programme

- Obtain or prepare analysis of investments and test clerical accuracy of the analysis
- Obtain third party confirmation and or make physical inspection of securities listed on the analysis
- Test interest and dividend incomes received and accrued by reference to supporting documents
- Check for additional acquisitions and redemptions during the year
    - Review the treatments of capital distributions, bonus and rights issue
    - Verify quoted prices for listed investments at statement of financial position audit
    - Determine whether unlisted investments at statement of financial position audit
    - Check whether investments are properly described and classified as current assets or long-term investments

4.3.3 Accounts Receivable (Debtors)

Objective:

- To confirm accuracy and collectability of trade debtors balance
- To confirm provision for doubtful debts and its adequacy

Audit Programme:

- Examine sample of ledger accounts and all accounts with balances equal to or over the materiality factor and trace balances to summary lists
- Check the additions of the lists of balances and cross cast if analysed. Trace total o lead schedule
- Check that the total balances agree with the balances on the control account
- Examine control account for the year and verify unusual items

- Select balances for direct confirmation through debtor's circularization. Investigate discrepancies and reconcile
- If no circularization of debtors has been carried out, select a sample of balances and check payment after date. Trace such receipts to the paying in-book
- Examine accounts with credit balances and ensure that payments in respect of credit balances are authorized by responsible officials
- Ensure separate and shown under creditors
- Verify that provision for doubtful debts and discounts are both reasonable and adequate
- Examine the credit control procedures and consider if any recommendations should be made. Check for the compliance with credit policy of the entity with respect to credit limits, credit period, cash discounts, etc
- Verify that bad debts written off during the period were properly authorised and that all reasonable recovery procedures have been taken prior to the write-offs
- Examine ledger for transfer between accounts throughout the year. Verify reasons for this, and check authorization
- Examine credit notes issued after the year end and verify whether they relate to genuine sales
- Test returns during the period and ensure that credit notes are raised and posted accordingly.

4.3.4 Cash at bank and in hand:

Objectives

- To confirm the existence and accuracy of the year-end balances
- to confirm the amounts shown in the statement of financial position are properly classified and adequately described

Audit Programme

Bank

- Obtain a copy of the year end bank reconciliation
- Compare cash book and bank statements in detail covering items in the reconciliation
- Trace all outstanding cheques to subsequent bank statements and ensure that they are cleared

- Verify by reference to paying-in-ships that lodgements outstanding were actually lodged with the bank prior to the end of the year
- Scrutinize bank statements for dishonoured cheques and investigate any such items
- Obtain direct from bankers a certificate of balance and check to reconciliation

Cash

- Obtain a statement setting out details of the cash in hand
- Count the cash at the year-end in presence f the cashier. Reconcile balance to year-end figure
- Verify that monies received on the last day of the financial year were duly banked on that date or included in the cash in hand balance
- Examine the pre-and post year end cash count and verify that all cheques drawn to replenish the petty cash fund have been entered in the records

4.3.5 Accounts Payable (Creditors)

Objectives:

- To confirm that all creditors existing or incurred at the statement of financial position date are recorded at the correct amount
- to confirm that all creditors shown represent genuine claims on the business
- to confirm that amounts included in the statement of financial position are stated on a consistent basis and properly described and classified

Audit Programme

- Test extraction of purchases ledger
- Reconcile ledger balances with suppliers' statements
- Where suppliers' statements are not available, verify the balances through circularization
- Check casting of list of balances and trace total to lead schedule
- Verify that the list of balances agrees to the control account
- Examine list of debit balances and ensure separated and shown under debtors
- Enquire into the reasons for debt balances and ensure that they are recoverable
- Review the procedures adopted for ensuring that goods received up to the statement of financial position, but not invoiced by the supplier have been provided for and taken up as stock (if appropriate) and test by reference to delivery note and goods received notes

- Review terms of trade of major suppliers to determine whether their terms of trade include a reservation of title
- Reconcile inter-company or inter branch balance
- Check for correct classification and disclosure.
- Obtain a schedule of the trade creditors with appropriate age analysis and check this with the control account and the creditors' ledger.
- Debit and credit balances should be separated, debit balances being included in debtors (this is known as 'grossing up'). Any debit balances should never be netted off against credit balances.
- Review the individual accounts with the largest throughput of transacting during the period (not necessarily the largest balances at the year end).
    - Review the year-end cur-off procedures for purchases.
    - Review the internal control over the purchases system which ensures that all goods received are properly recognised as liabilities of the company.
    - The following should be considered during the tests of individual balance:
    - Is the balance made up of specific items outstanding within a reasonable period?
    - Have all items been authorised for payment?
    - Does the amount agreed or can it be reconciled with creditors' statements?
    - Consider the need to perform a creditor's circularisation.
    - Review payments to creditors just after the year end.
    - Perform analytical procedures on creditors, comparing age analysis with previous periods and creditor days.

4.3.6 Verification of Stocks

a) Problems Associated with Verification of Stocks:

Of all the statement of financial position items of manufacturing and trading organizations the one that requires attention in terms of verification is stocks (Raw materials, consumables, Work-in-progress, parts, loose tools, finished goods, lubricants and fuel etc). From the auditor's point of view, this had always been the asset that possess the greatest verification difficulties. This is because:

(i) The amount at which the stocks are stated in the financial statements is almost always material especially in the case of manufacturing companies

The amount at which it is stated has direct 'one-to-one effect on the company's financial results. Any overstatement of the stock figure represents an overstatement by equal amount of the profit figure (or understatement of the loss).

It is the only item in the published accounts which does not also feature in the closing trial balance, i.e. it does not arise from the double entry process itself. In some accounting systems, production costing and financial accounting will be integrated to give a book figure for work-in-progress, but in majority of cases, the determination of stocks is largely dependent upon physical stock taking procedures. This factor makes the stock figure the most susceptible to manipulation

In the case of manufacturing companies, it is not really one asset at all. It consists of raw materials, components, spare parts, work-in-progress, advertising materials, consumables, finished goods, and each of these creates their own verification difficulties.

The verification process sometimes involves a special highly technical approach which lies far beyond the auditors' expertise

Apart from identification of goods, there is also the question of their condition. Example of categorization (each of which is quite distinct and carries its own valuation basis) include:

- sound
- defective
- slow moving
- obsolete
- scrap, etc

Such categorization may have significant impact upon statement of financial position values, yet the auditor, in most cases, would lack the required competence to question or comment on the categorization.

Another verification problem is the fact that stocks may be held in a variety of locations, counting of which should take place simultaneously to avoid omission and double counting caused by subsequent movement of stock between locations.

Further, the location of a particular stock may be a moving production line or a construction site to and from which stocks and machines are constantly being conveyed, and it is unlikely that work will be deliberately halted purposely for stocktaking.

Yet another problem is the fact that certain stock items pose identification and measuring problems, for example, how does one measure large volumes of power on liquid? It is by volume or by weight?

b) Verification

Objectives which verification of stocks and work-progress seeks to achieve include the following: -

- To confirm that all stock and work-in-progress belonging to the client has been brought into accounts
- To confirm that all stocks belonging to others in pos chapter of the client have been separately identified, counted, reconciled and excluded from the valuation
- To confirm that all obsolete, damaged or slow-moving stocks have been separately identified and stated at realisable value
- The value at which stock and work-in-progress is stated in the statement of financial position is correctly calculated on a basis consistent with previous years
- Security arrangements for safe custody of stock and work-in-progress are adequate.

Audit Programme for Verification of Stock Quantity include the following:

- Prior to the stock-take, review the client's own stock taking instructions to its staff and consider whether they are adequate. Ensure that the stocktaking procedures questionnaire has been completed.
- Note any weakness in the system which would invalidate the reliability of the count and bring to the audit manager's attention immediately so that he may discuss the problem with the client.
- Attend to observe the physical count and ensure that the client's stock taking procedures are followed and in particular, that:
    - All slow moving, obsolete or damaged stocks are segregated and counted separately and clearly marked on the stock sheets
    - All stores location are covered by the count
    - All slow moving, obsolete or damaged stocks are segregated and counted separately and clearly marked on the stock sheets
    - All stocks belonging to third parties are counted and segregated on stock sheets
    - All stocks sheets issued are accounted for, completed properly, dated and signed by the personnel carrying out the count.

- Complete the standard stock taking report
- Obtain details of the last few goods outward and goods inwards/delivery notes for use in cut off tests
- Ensure that all rough stock sheets have been processed to make up the final stock sheets

Check all quantities test checked at observation to final sheets

- Test the extension and additions on the final stock sheets
- Check all final stock sheets to stock summary
- Scrutinize the stock sheets for obvious errors and compare with the comparative sheets for the previous years to ensure that no section of the stock has been excluded
- Select a sample of goods outward notes and check that the goods have been entered in the stock records in the current year. Carry out a similar test for goods inwards/delivery notes
- Compare final stock sheets with any perpetual inventory records maintained (e.g. bin cards, stores ledgers). Note any discrepancies and obtain adequate explanations for the differences. Ensure that all necessary adjustments are made to the inventory records
- Reconcile stock and work in progress figure in the final accounts with amounts shown in total by the perpetual inventory records or management accounts. Prepare a schedule giving the reason for the divergence, stating the evidence obtained to verify the explanations given
    - Obtain certificate direct from third parties in respect of stock held by them. The certificate should identify the nature of the stock, the quantities held and the purpose for which it is held. It should also confirm that the stock held is in good condition and not subjected to any lien or charges. Confirm that all necessary deductions are made in respect of slow moving damaged or obsolete stocks.

Audit Programmes for the verification of stock-valuation

- Test the price of the final stock sheets to purchase invoices
- Scrutinize the bin cards or stock records to identify any apparently obsolete stock
- Review all slow moving and obsolete stocks with storekeeper and responsible officials
- Consider the value placed upon the items in the previous year, the prospect of sale in the immediate future and decide what reduction in value is appropriate
- Enter details on a schedule and bring to the manager's attention.

Audit Programme for the verification of value of Work-in-progress:

- Test the reliability of work-in-progress by examining the costing system in force.

Ensure that:

- Methods of accounting and control over stores issues and labour usage are adequate
- Method of allocation of overhead is reasonable. Confirm by calculation that the amount added is in line with the actual rate incurred during the year under review unless the factory operated below normal capacity in which case the normal activity rate should be used, and
- Method of valuation of work-in-progress is consistent with previous years and has not been distorted by changes in the level of production.
- Compare the prices of the selected items of WIP with selling price by adding estimate of the cost required to complete. The projected/actual final cost should be compared with selling price and any anticipated losses provided for
- For long term contracts, determine whether the basis for the calculation of WIP is permissible and in accordance with the relevant accounting standard.

Audit Programme for the value of stocks: - General

- Obtain or prepare a schedule summarizing the stock and WIP by general category, showing the comparative figures for the previous year. Reconcile the total with the amount shown in the statement of financial position and with the final stock sheets. State on the schedule the basis of valuation used and the nature of the evidence obtained to verify the quantity of stock
- State on the schedule of stock and work in progress the amount and proportion of value which were subject to observation at a stock count and other audit tests
- Compare the ratios of stock and WIP to sales, raw material to cost of sales, WIP to cost of sales, and finished goods to cost of sales with those for the previous period. Prepare a schedule stating reasons for significant changes in the above ratios and evidence obtained to verify the explanations given.
- Review the stock valuation on a current cost basis. If materially different, discuss possible disclosure with the directors.

c) Attendance at Stock Taking

The auditor should obtain relevant and reliable audit evidence sufficient to enable him draw reasonable conclusions therefrom.

i) Responsibility

It is the responsibility of the management of an enterprise to ensure that the amount at which stocks are shown in the financial statements represents stocks physically in existence and includes all stocks owned by the enterprise.

Management satisfies this responsibility by carrying out appropriate procedures which will normally involve ensuring that all stocks are subject to a count at least once in every financial year. Further, where the auditor attends any physical count of stocks in order to obtain audit evidence, this responsibility will not be reduced.

Management also has the responsibility to maintain proper accounting records and to include all statements of stocktaking in those records.

It is the responsibility of the auditor to obtain audit evidence in order to enable him to draw conclusions about the validity of the quantities upon which are based the amount of stocks shown in the financial statements.

The principal sources of this evidence are stock records, stock control systems and the results of any stocktaking test counts made by the auditor himself. By reviewing the enterprises stock records, and stock control systems, the auditor can decide to what extent he needs to rely upon attendance at stock taking to obtain the necessary audit evidence

ii) Attendance as a means of Providing Evidence

Where stocks are material in the enterprise's financial statements, and the auditor is lacing reliance upon the management's stock take in order to provide evidence of existence, then the auditor should attend the stocktaking.

This is because attendance at stocktaking is normally the best way of providing evidence of the proper functioning of management's stocktaking procedures, and hence of the existence of stocks and their conditions.

Evidence of the existence of WIP will frequently be obtained by a stock take. However, the nature of the WIP may be such that it is impracticable to determine it existence by a count. Management may place substantial reliance on internal controls designated to ensure the completeness and accuracy of records of work-in-progress. In

such circumstances there may not be stock take which could be attended by the auditor. Nevertheless, inspection of the work-in-progress will assist the auditor to plan his audit procedures, and it may also help on such matters as the determination of the stage of completion or engineering work in progress.

iii) Types of stocktaking

Physical verification of stocks may be by means of a full count (or measurement in the case of bulk stock) of all the stocks at the year end or at a selected date before or shortly after the year end, or by means of a count of part of the stocks in which case it may be possible to extrapolate the total statistically. Alternatively, verification may be by means of the counting or measurement of stocks during the course of the year using continuous stock-checking methods. Some business enterprise use continuous stock-checking methods for certain stocks and carry out a full count of other stocks at a selected date.

The evidence of the existence of stocks provided by the stock take results is most effective when stocktaking is carried out at the end of the financial year. Stocktaking carried out before or after the year end may also be acceptable for audit purposes provided records of stock movement in the period are such that the movements can be examined and substantiated.

The auditor should bear in mind that the greater the interval between the stocktaking and the year end, the greater will be his difficulties in substantiating the amount of stock at the statement of financial position date. Such difficulties will, however, be lessened by the existence of a well-developed system of internal control and satisfactory stock records.

Where continuous stock-checking methods are being used, the auditor should perform tests designed to confirm that management,

- maintains adequate stock records that are kept up-to-date;
- has satisfactory procedures for stock taking and test-counting, so that in normal circumstances, the programme of counts will cover all stocks at least once during the year; and
- investigates and corrects all materials differences between the book stock records and the physical counts.

d) Stocktaking Procedures

The following are the principal procedures which may be carried out by an auditor when attending a stock take.

- Before the Stock taking: Planning,
- The auditor should plan his audit coverage of a stock take by:
  - reviewing his working papers for the previous year, where applicable, and discussing with management any significant changes in stocks over the year
  - discussing stock taking arrangements and instructions with management
  - familiarizing himself with the nature and volume of the stocks, the identification of high value items and the method of accounting for stocks
  - considering the location of the stock and assessing the implications of this for stock control and recording
  - reviewing the systems of internal and accounting relating to stocks, so as to identify potential areas of difficulty (for example cut off).
  - considering any internal audit involvement, with a view to deciding the reliance which can be placed on it
  - ensuring that a representative selection of locations, stocks and procedures are covered, and particular attention is given to high value items where these form a significant proportion of total stock value
  - arranging to obtain third party confirmation of stocks held by them, but if the auditor considers that such stocks are a material part of the enterprise's total stock, or the third party is not considered to be independent or reliable, then arranging, (where appropriate) either for him or for the third party's auditor to attend a stock take at the party's premise's; and
  - establishing whether expert help needs to be obtained to substantiate quantities, or to identify the nature and condition of the stock, where they are very specialized.
  - The auditor should examine the way the stock taking is organized and should evaluate the adequacy of the clients stocktaking instructions. Such instructions should preferably be in writing, cover all phases of the stocktaking procedures, be issued in good time and be discussed with those responsible for carrying out the stock taking to ensure that the procedures are understood and that potential difficulties are anticipated. If the instructions are found to be inadequate, the auditor seeks improvements to them.

ii) During the Stocktaking

(a) During the stock taking, the auditor should ascertain whether the client's staffs are carrying out their instructions properly so as to provide reasonable assurance that the stocktaking will be accurate. He should make test count to satisfy himself that procedures and internal control relating to the stock taking or the results of the test counts are not satisfactory, the auditor should immediately draw the matter to the attention of the management supervising the stock taking and he may have to request a recount of part, or all of the stocks

(b) When carrying out the stock count, the auditor should select items both from count records and from the physical stocks and should check one to the other to gain assurance as to the completeness and accuracy of the count records. In this context, he should give particular consideration to those stocks which he believes to have a high value either individually or as a category of stock. The auditor should include in his working papers items for subsequent testing, such as photocopies of rough stock sheets and details of the sequence of stock sheets.

(c) The auditor should determine whether the procedures for identifying damaged, obsolete and slow-moving stocks operate properly. He should obtain information about the stocks condition, age usage, and in the case of work-in-progress, its stage of completion. Further, he should ascertain that stocks held on behalf of third parties are separately identified and accounted for

d) The auditor should consider whether the management has instituted adequate cur-off procedures, i.e. procedures intended to ensure that movements into, within and out of stock are properly identified and reflected in the accounting records

The auditor should conclude whether the stock taking has been properly carried out and is sufficiently reliable as a basis of determining the existence of stocks

The auditor should consider whether any amendment is necessary to his subsequent audit procedures

The auditor should try to gain from his observations and overall impression of the levels and values of stocks held so that he may, in due course, judge whether the figure for stocks appearing in the financial statements is reasonable

The auditor's working paper should include details of his observations and tests, the manner in which points that are relevant and material to the stocks being counted or measured have been dealt with by the client, instances where the client's procedures have not been satisfactorily carried out and the auditor's conclusions.

iii) After Stocktaking
After the stock taking, the matters recorded in the auditors' working papers at the time of the count or measurement should be followed up. Photocopies of or extracts from rough stock sheets and details of test counts may be used to check that the final stock sheets are accurate and complete

The auditor should check replies from third parties about stocks held by or for them, follow up all queries and notify senior management of serious problems encountered during the stock taking.

4.3.7 Bank Overdraft

Bank overdrafts are shown as liabilities even though there may be other bank balances shown as an asset. The only exception is where there a legal right of set-off; in such cases, the accounts presentation is to net off the two balances against each other.

Verification of bank overdrafts is in other respects identical to the verification of cash balances.

4.3.8 Accruals

Accruals, like prepayments, are commonly made for rent, electricity, telephone and other items where the expenditure has been incurred in the current period but where no invoice has yet been recorded. Accruals are often immaterial and reliance is often placed on analytical procedures. Nevertheless, as year-end adjustments, there are rarely controls over accruals and any errors are likely to be those of understatement.

Test for accruals include the following:

- Consider the client's own system (if any) for capturing accruals.
- Obtain a schedule of accruals, ensuring that it is cast correctly, comparing it with prior year accruals and performing other analytical procedures.
- Test check a sample of accruals for correct calculation, referring to supporting invoices received in the next period.
- Include confirmation of the completeness of accruals in the management representation letter. This is dealt with in further detail later.

4.3.9 Long-term Liabilities

The main long-term liabilities will be debenture loans and bank loans. There may be other amounts, such as a creditor who has agreed a specially extended date of payment. If so, the audit procedures are the same as for a similar item under current liabilities. It should also be appreciated that if all or part of the debenture loan has a due date of payment within one year of the statement of financial position date, then the loan (or the part requiring payment) must be disclosed under current liabilities.

a) Debenture Loans

- A debenture loan is defined as a written acknowledgement by a company, usually under seal, of a loan made to it, containing provisions as to payment of interest and repayment of capital.
- The procedure with regard to the issue of debentures is similar to that in the case of an issue of shares and the work to be performed by the auditor in vouching the issue will be of the same nature.
- On vouching the issue, the auditor should always refer to the debenture trust deed.
- The auditor should inspect the certificate of registration given by the Registrar.
- When a new issue of debentures takes place in the year, it is necessary to disclose the class of debentures issued, the amount issued for each class and the consideration received.
  - Debentures may be redeemable according to the terms of the issue, at specified dates, by annual or other drawings, or at the option of the company, after due notice has been given of intention to repay. Auditors should examine the provisions of the trust deed or the debenture bonds relating to the redemption, and ascertain that they are duly complied with.

  - The auditor's principal duties with regard to the redemption are as follows:
    a. Examine the trust instrument as to the terms of the redemption, and note that these have been complied with.
    b. Check the payment of cash to the debenture holders.
    c. Inspect the cancelled bonds.
    d. See that the entry in the register of charges has been cancelled, and inspect any 'memorandum of satisfaction' filed with the Registrar.

b) Contingent Liabilities

- A contingency may be defined as a condition which exists at the statement of financial position date where the ultimate outcome (gain or loss) will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events. Under the rules of IAS 37, probable losses should be accrued, possible losses should be disclosed. Probable gains should be disclosed.

It is, therefore, very important to consider whether a contingent liability should actually be incorporated into the accounts as a liability or merely disclosed as a note to the accounts. Auditors and directors have often fallen out over such issues.

- Typical contingent liabilities include the following:
  - Bills discounted
  - Guarantees given to third parties, e.g. to guarantee a subsidiary company's overdraft
  - Forward contracts
  - Damages and costs in actions pending
  - Claims under guarantees, warranties (express or implied) arising out of past transactions.

- IAS 37 requires that, for any contingent liability not provided for in the financial statements, disclosures should be made of:
  - The amount or estimated amount of that liability
  - Its legal nature
  - Whether any valuable security has been provided by the company in connection with that liability and if so, what

- Pending lawsuits and other actions against the company often present problems to auditors. They should take the following steps:
  - Review the client's system of recoding claims including the procedures for bringing them to the attention of management.
  - Discuss with the legal department or company secretary the procedures for instructing solicitors.
  - Examine board or management minutes for indications of possible claims.
  - Examine correspondence with solicitors, including bills rendered.

- Obtain a list of matters referred to solicitors with the company's estimates of possible liabilities.
- Obtain a letter of representation from the relevant director that he is not aware of any other matters referred to solicitors.

- The auditor may also consider it useful to obtain the client's consent to send a letter requesting confirmation of specific matters to the client's solicitors. An example of such a letter is:

> In connection with the presentation and audit of our accounts for the year ended…. …. The directors have made estimates of the ultimate liabilities (including costs) which might be incurred, and which are regarded as material, in relation to the following matters on which you have been consulted. We should be obliged if you would confirm that in your opinion these estimates are reasonable.
>
> | *Matter* | *Estimated liability including cost* |
> |---|---|
> | Libel action against the company in connection with statements appearing in newspaper. | GH¢25,000 |
>
> Signed ……
>
> Dated …….

The knowledge of contingent liabilities may very well be confined to management and is therefore a suitable matter for inclusion in such a letter. In addition, it will remind the directors of their responsibility to disclose such matters to the auditor.

4.3.10 Share Capital

- There are many distinct types of shares of limited companies, but capital is most often divided into preference and ordinary shares. The rights of the respective shareholders are governed by the Regulations. The preference shareholders, as a rule, are entitled to a fixed dividend out of profits. The surplus profits after such payments belong to the ordinary shareholders.

- Depending on the provisions in the Regulations, the preference shares may also carry a preferential right as regards capital, that is to say, that they are entitled to the return of their capital before there is any return on the ordinary shares in the event of liquidation, and possibly they may also be entitled to a premium on liquidation.
- Share capital represents part of the capital invested in the company by its shareholders, but may also represent past reserves of the company which have been 'capitalised' by a bonus issue of shares.
- The total of share capital and reserves represents the books value of the net assets of the company.
- In the notes to the accounts, the authorised and issued share capital must be disclosed by class of share.
- The issued share capital is the total amount of the authorised share capital which has actually been issued
- In addition, full details must be given of any changes in the share capital during the year.
- As any change in share is likely to be a material transaction subject to special legal requirements, all changes should be checked. Sampling would not be appropriate except for an issue of shares for cash involving a substantial number of shareholders:

Appropriate procedures:

- Check authorised capital limit to memorandum and articles.
- Check changes to issued capital in year and agree to board minutes.
- Trace all transactions involving cash to the cash book and bank statement.
- Ensure that appropriate returns have been made to the Registrar of Companies.
- Ensure appropriate disclosure in accordance with FRS 4 Capital Instruments, as either debt or equity.
- Ensure that all transactions are legal and that any share premiums in particular have been accounted for in accordance with the CA 1985 requirements.

4.3.11 Reserves

- Reserves represent the balance of net assets accruing to the shareholders and may include retained earnings (income surplus), capital surplus (capital redemption reserve fund, asset replacement reserve fund, revaluation surplus, etc) and share deals account

- It is necessary to disclose all the information required by the Companies Code. This includes:
  - Following the standardised formats laid down in Part 2 of Schedule 4 of the Companies Code (under review)
  - Showing the opening and closing balances on reserves and any transfer to or from the reserves during the year
  - Disclosing the source and application of any amount to be transferred.

The audit of the revaluation reserve will involve the following steps:

- Assess the reason for the revaluation, the basis of valuation and its reasonableness in the light of the auditor's knowledge of the business and the position of the property market.
- Evaluate the qualifications and experience of the valuer, which must be disclosed in the year in which the valuation take place (the year of the valuation is given in subsequent years). Reliance on experts has been dealt with in an earlier chapter.
- Ensure that adequate disclosures are made as above and that any difference between market value and the recorded value is disclosed.

- The Income Surplus balance represents accumulated retained profits of the business. The balance at the year end consists of the balance brought forward from the previous year plus the retained profit for the current year.

- The audit procedures for income surplus mainly consist of verifying that legal requirements have been complied with and correct disclosures made. The following is a summary of the procedures:

- Prepare a schedule of reserves showing movements in the year.
- Check material movements, and ensure compliance with legal regulations.
- Ensure all gains and losses have been included in the income statement or other reserves as appropriate.

Self-Assessment Questions

Exercise 5.4

1 As an auditor to Wakes Ltd., and automobile firm, state the audit work that you would carry out in connection with the following items disclosed in the financial statements to 31 December, 2006.

a) charges in the profit and loss account in respect of depreciation of fixed assets

i) the sale during the year of one of the company's freehold properties

ii) the purchase during the year of the freehold premises

iii) capital grants received in respect of expenditure during the year on plant and equipment.

SESSION 5: THE AUDITOR'S USE OF EXTERNAL CONFIRMATIONS

We are now in session 5 of unit 5 where we would be looking at the auditor's use of external confirmations as tools for gathering audit evidence.

An important characteristic of the verification procedure is the use of confirmations requested from outside parties who are in a position to certify particular information relevant to the accounts. Commonly used external verification procedures are circularization of debtors, bank confirmations, and confirmation of pending legal matters.

Objectives

At the end of this chapter, you should be able to:

(a) describe debtors circularization with particular reference to types and purpose
(b) distinguish positive circularization from negative circularization
(c) draft a debtors circularization letter
(d) draw a representative sample of sales ledger accounts for circularization
(e) describe a circularization follow-up procedure
(f) draft a bank standard letter
(g) list the specific information requested for in a bank standard letter

Now read on…

5.1 Introduction to Auditor's use of External Confirmations

The auditor should determine whether the use of external confirmations is necessary to obtain sufficient appropriate audit evidence at the assertion. In making this determination, the auditor should consider the assessed risk of material misstatement at the assertion level and how the audit evidence from other planned audit procedures will reduce the risk of material misstatement at the assertion level to an acceptably low level.

The reliability of audit evidence is influenced by its source and by its nature, and is dependent on the individual circumstances under which it is obtained. While recognizing exceptions may exist, the following generalization about the reliability of audit evidence may be useful.

- Audit evidence is more reliable when it is obtained from independent sources outside the entity.

- Audit evidence obtained directly by the auditor is more reliable than audit evidence obtained indirectly or by inference.
- Audit evidence is more reliable when it exists in documentary form.
- Audit evidence provided by original documents is more reliable than audit evidence provided by photocopies or facsimiles.
- Accordingly, audit evidence in the form of original written responses to confirmation requested received directly by the auditor from third parties who are not related to the entity being audited when considered individually or cumulatively with audit evidence from other audit procedures, may assist in reducing the risk of material misstatement for the related assertions to an acceptably low level.

External confirmation is the process of obtaining and evaluating audit evidence through a representation of information or an existing condition directly from a third party in response to a request for information about a particular item affecting assertions in the financial statements or related disclosures. In deciding to what extent to use external confirmations, the auditor considers the characteristics of the environment in which the entity being audited operates and the practice of potential respondents in dealing with requests for direct confirmation.

External confirmations are frequently used in relation to account balances and their components, but need not be restricted to these items. For example, the auditor may request external confirmation of the terms of agreements or transactions an entity has with third parties. The confirmation request is designed to ask if any modifications have been made to the agreement, and if so, what the relevant details are. External confirmations may also be used to obtain audit evidence about the absence of certain conditions, for example, the absence of a "side agreement" that may influence revenue recognition. Other examples of situations where external confirmations may be used include the following:

- Bank balances and other information from bankers;
- Accounts receivable balances;
- Stocks held by third parties at bonded warehouses for processing or on consignment;
- Property title deeds held by lawyers or financiers for safe custody or as security;
- Investment purchased from stockbrokers but not delivered at the statement of financial position date;
- Loans from lenders;
- Accounts payable balances.

The reliability of the audit evidence obtained by external confirmations depends, among other factors, upon the auditor appropriate audit procedures in designing the external confirmation request, performing the external confirmation procedures, and evaluating the results of the external confirmation procedures. Factors affecting the reliability of confirmations include the control of the auditor exercises over confirmation requests and responses, the characteristics of the respondents, and any restrictions included in the response or imposed by management.

5.2 Design of the External Confirmation Request

The auditor should tailor external confirmation requests to the specific audit objective. When designing the request, the auditor considers the assertions being addressed and the factors that are likely to affect the reliability of the confirmations. Factors such as the form of the external confirmation request, prior experience on the audit or similar engagements, the nature of the information being confirmed, and the intended respondent, affect the design of the requests because these factors have a direct effect on the reliability of the audit evidence obtained through external confirmation procedures.

5.3 Use of Positive and Negative Confirmations

The auditor may use positive or negative external confirmation requests or a combination of both.

A positive external confirmation request asks the respondent to reply to the auditor in all cases either by indicating the respondent's agreement with the given information, or by asking the respondent to fill in information. A response to a positive confirmation request is ordinarily expected to provide reliable audit evidence. There is a risk, however, that a respondent may reply to the confirmation request without verifying that the information is correct. The auditor is not ordinarily able to detect whether this has occurred. The auditor may reduce this risk, however, by using positive confirmation requests that do not state the amount (or other information) on the confirmation request, but ask the respondent to fill in the amount or furnish other information. On the other hand, use of this type of "blank" confirmation request may result in lower response rates because additional effort is required of the respondents.

A negative external confirmation request asks the respondent to reply only in the event of disagreement with the information provided in the request. However, when no response has been received to a negative confirmation request, the auditor remains aware that there will be no explicit audit evidence that intended third parties have received the confirmation requests and verified that the information contained therein is correct.

Accordingly, the use of negative confirmation requests ordinarily provides less reliable audit evidence than the use of positive confirmation requests, and the auditor considers performing other substantive procedures to supplement the use of negative confirmations.

Negative confirmation requests may be used to reduce the risk of material misstatement to an acceptable level when:

a) The assessed risk of material misstatement is lower;
b) A substantial number of errors is not expected; and
c) The auditor has no reason to believe that respondents will disregard these requests.

A combination of positive and negative external confirmations may be used. For example, where the total accounts receivable balance comprises a small number of large balances and a large number of small balances, the auditor may decide that it is appropriate to confirm all or a sample of the large balances with positive confirmation requests and a sample of the small balances using negative confirmation requests.

5.4 Management Requests

When the auditor seeks to confirm certain balances or other information, and management requests the auditor not to do so, the auditor should consider whether there are valid grounds for such a request and obtain audit evidence to support the validity of management's requests. If the auditor agrees to management's request not to seek external confirmation regarding a particular matter, the auditor should apply alternative audit procedures to obtain sufficient appropriate auditor evidence regarding that matter.

If the auditor does not accept the validity of management's request and is prevented from carrying out the confirmations, there has been a limitation on the scope of the auditor's work and the auditor should consider the possible impact on the auditor's report.

When considering the reasons provided by management, the auditor applies an attitude of professional skepticism and considers whether the request has any implications regarding management's integrity. The auditor considers whether management's request may indicate the possible existence of fraud or error. If the auditor believes that fraud or error exists, the auditor applies the guidance in ISA 240, "The Auditor's Responsibility to Consider Fraud in an Audit of Financial Statements". The auditor also considers whether the alternative audit procedures will provide sufficient appropriate audit evidence regarding that matter.

5.5 The External Confirmation Process

When performing confirmation procedures, the auditor should maintain control over the process of selecting those to whom a request will be sent, the preparation and sending of confirmation requests, and the responses to those requests. Control is maintained over communications between the intended recipients and the auditor to minimize the possibility that the results of the confirmation process will be biased because of the interception and alteration of confirmation requests or responses. The auditor ensures that it is the auditor who sends out the confirmation requests, that the requests are properly addressed, and that it is requested that all replies are sent directly to the auditor. The auditor considers whether replies have come from the purported senders.

5.6 No Response to A Positive Confirmation Request

The auditor should perform alternative audit procedures where no response is received to a positive external confirmation request. The alternative audit procedures should be such as to provide audit evidence about the assertions that the confirmation request was intended to provide.

Where no response is received, the auditor ordinarily contacts the recipient of the request to elicit a response. Where the auditor is unable to obtain a response, the auditor uses alternative audit procedures. The nature of alternative audit procedures varies according to the account and assertion in question. In the examination of accounts receivable, alternative audit procedures may include examination of subsequent cash receipts, examination of shipping documentation or other client documentation to provide audit evidence for the existence assertion, and examination of sales near the period-end to provide audit evidence for the cutoff assertion. In the examination of accounts payable, alternative audit procedures may include examination of subsequent cash disbursements or correspondence from third to provide audit evidence of the existence assertion, and examination of other records, such as goods received notes, to provide audit evidence of the completeness assertion.

5.7 Reliability of Responses Received

The auditor considers whether there is may indication that external confirmations received may not be reliable. The auditor considers the response's authenticity and performs audit procedures to dispel any concern. The auditor may choose to verify the source and contents of a response in a telephone call to the purported sender. In addition, the auditor requests the purported sender to mail the original confirmation directly to the auditor. With ever-increasing use of technology, the auditor considers validating the source of replies received in electronic format (for example, fax or electronics mail). Oral confirmations are documented in the work papers. If the information is the oral confirmations is significant, the auditor requests the parties involved to submit written confirmation of the specific information directly to the auditor.

5.8 Causes and Frequency of Exceptions

When the auditor forms a conclusion that the confirmation process and alternative audit procedures have not provided sufficient appropriate audit evidence regarding an assertion, the auditor should perform additional audit procedures to obtain sufficient appropriate audit evidence.

In forming the conclusion, the auditor considers the:

- Reliability of the confirmations and alterative audit procedures;
- Nature of any exceptions, including the implications, both quantitative and qualitative of those exceptions; and
- Audit evidence provided by other audit procedures.
- Based on this evaluation, the auditor determines whether additional audit procedures are needed to obtain sufficient appropriate audit evidence.

The auditor also considers the causes and frequency of exceptions reported by respondents. An exception may indicate a misstatement in the entity's records, in which case, the auditor determines the reasons for the misstatement and assesses whether it has a material effect on the financial statements.

5.9 Evaluating the Results of the Confirmation Process

The auditor should evaluate whether the results of the external confirmation process together with the results from any other audit procedures performed, provide sufficient appropriate audit evidence regarding the assertion being audited.

5.10 External Confirmations Prior to the Year-End

When the auditor uses confirmation as at a date prior to the statement of financial position to obtain audit evidence to support an assertion, the auditor obtains sufficient appropriate audit evidence that transactions relevant to the assertion in the intervening period have not been materially misstated. Depending on the assessed risk of material misstatement, the auditor may decide to confirm balances at a date other than the period end, for example, when the audit is to be completed within a short time after the statement of financial position date. As with all types of pre-year-end work, the auditor considers the need to obtain further audit evidence relating to the remainder of the period. ISA 330 provides additional guidance when audit procedures are performed at an interim date.

5.11 Debtors Circularisation

Debtors circularization is a verification procedure whereby trade debtors are contacted directly to confirm their balances. It is the normal means of checking whether the debtors really owe the amount stated in the sales ledger of the client company.

Many audit firms use debtors circularization so extensively that they have developed standardized formats for the purpose.

Circularization should produce a written statement from each debtor contacted that the amount owed at the date of the circularization is correct. This is reliable audit evidence, being from an independent source, and in a documentary form.

Circularization is essentially an act of the client, who alone can authorise third parties to divulge information to the auditors. Should the client refuse to co-operate in the circularization, the auditors will have to consider whether they should qualify their audit report, as they may not be able to satisfy themselves, by means of other procedures, to validity and accuracy of the debtors balances.

Ideally, the circularization should be done immediately after the year end to enable it cover the year-end balances included in the Statement of financial position. Where time constraint would not make this ideal timing possible, it may be appropriate and acceptable to carry out the circularization some time prior to the year-end. It is recommended that prior year-end circularization should be done not more than two months before the year-end in a situation where the internal control system is strong enough to ensure that the circularization and reconciliation of the movements in the sales ledger balance in the intervening period will provide the auditors with reasonable assurance.

When circularization is done, the method of requesting the information from the debtors may be either positive or 'negative' in either case the debtor is requested to reply direct to the auditors.

5.11.1 Positive Circularization

This requires, in every case, confirmation of details of sums shown as outstanding in the records of the debtors. It is appropriate under the following circumstances.

- Where the auditor is not satisfied with the control systems governing sales and maintenance of debtors accounts.
- Where other verification work on the records of sales and debtors did not show satisfaction results.

The usefulness of the positive method depends largely upon the auditor's tenacity in following up the non-replies through telephone and personal calls.

The following is a specimen positive confirmation letter

Pramso Breweries Ltd
P. O. Box 114
Achimota – Accra

30th November 2009

Asempa Enterprise

Balance as at 30th November 2008

In accordance with the request of our auditors, Messrs SAT Chartered Accountants, we ask that you kindly confirm to them directly, your indebtedness to us as at 30th November 2009, which according to our records amounted to ¢142m as shown by the enclosed statement.

If the above amount is in agreement with your records, please sign in the space provided below and return this letter direct to our auditors in the enclosed stamped addressed envelope.

If the amount is not in agreement with your records, please notify our auditors directly of the amount shown by your records, and if possible, detail in the reverse of this letter full particulars of the difference.

Yours faithfully,

For Pramso Breweries Ltd

Augustine Addo

Financial Accountant
----------Tear off Slip)

The amount shown above is/is not in agreement with out records as at 30th November 2009

Account No. 72100009 Signature: ……

Date: ……. Position: …….

The position according to our records is shown overleaf.

Note: -The letter is on the client company's letterhead, signed by the client
A copy of the statements is attached
The response is sent directly to the auditor in a prepaid envelope.

5.11.2 Negative

This requires, a reply only if the debtors disputes the balance shown on the form. Even though this method is simpler and requires no follow up, it should only be used in the following circumstances.

Where the auditor already has a good deal of faith in the internal control governing sales and debtors.

Where other verification work on the records of sales and debtors has already been executed and has shown a satisfactory result.

In conjunction, with a large and carefully selected sample, otherwise the value of the test may be negated by the number of debtors who simply throw such requests into the waste paper baskets.

5.11.3 Sample Selection

Skill is needed in selecting the sample of debtors account for circularization. It is important for the auditors to scrutinize the accounts individually to ensure that the sample includes the special cases of accounts which may significant, such as

- Accounts which show credit balances
- Accounts which have been written off as bad, or against which specific provision for loss has been made
- Active accounts which have nil balances
- Accounts which remain unpaid beyond the normal period
- Accounts showing balances which habitually exceed the designated credit limits
- Accounts showing balances which are materially smaller at the statement of financial position date than the usual amount outstanding, i.e. where it appears that the balance has been specially reduced at the year end to escape the auditor's attention

- Accounts of debtors known to have connections with the client company or its officers
- Accounts which reveal usually favourable terms of trade in terms of discounts, credit period and credit terms allowed
- Accounts which, when in arrears, do not appear to be followed up by normal credit control procedures and vigorously as would be expected.

5.11.4 Follow-up Procedures

Auditor will have to carry our further work in relation to those debtors who disagree with the balances stated and those who do not respond. In the case of disagreements, the debtor's response should have identified specific amounts which are disputed.

In the case of positive circularization, the auditors must follow up by all practical means those debtors who fail to respond. Second request should be sent out in the event of no reply being received within two or three weeks and where necessary, this may be followed by telephoning the customer, with the clients permission.

Where the auditors face any limitation in the follow-up procedures, they may apply other auditing tests to establish the validity and accuracy of the debtors balance at the date of verification.

Alternative procedures in lieu of confirmation of individual debtors include the following:

- Checking cash receipts from debtors after date. Verify valid purchase orders
- Examining the account to find out if the balance outstanding represents specific invoices and confirm their validity
- Obtaining explanations for invoices remaining unpaid after subsequent ones have been paid
    - Checking if the balance on the account is growing, and if so, why?
    - Testing the company's control over the issue of credit notes and the write off of bad debts

Additional procedures where circularization is carried out before year end:

- Review and reconcile entries made in the debtors control account for the intervening period
- Reconcile entries in the sales journal, sales invoices and dispatch notes to entries in the debtors control account
- Check the correctness and appropriateness of credit entries made in respect of returned goods and other allowances

- Select a sample from the cash received records and ensure that receipts have been credited to the control account
- Review the list of balances at the circularization date and year-end
- Investigate any unexpected movements or lack of them. It may be necessary to send further confirmation requests at the year-end to material debtors where review results are unsatisfactory
- Carry out analytical review procedures, comparing debtors ratios at the confirmation date and year-end
- Carry out year-end cut-off tests, in addition to any performed at the dated of the confirmation

5.11.5 Recording and evaluation of circularization results

It is essential that all circularization results are properly recorded and evaluated. All balances disagreements and non-replies must be followed up and their effect on total debtors evaluated. Differences arising that merely represent invoices or cash in transit generally, do not require adjustment, but disputed amounts, and errors by the client might require adjustment.

5.12 Bank Confirmations

Auditors rely heavily on bank confirmation for verification of completeness, existence, rights, obligations and valuations of bank balance.

Specimen Bank Standard Letter

PPP Chartered Accountants
Premier Towers
Accra

11 April 2007

The Manager
Classic Bank Ghana Limited
Opeibea House Branch
P. O. Box KIA 9031
Accra

Dear Sir,

THE PROSPERITY COMPANY LIMITED
BANK CONFIRMATION - AUDIT FOR THE YEAR ENDING 31 AUGUST 2006

In connection with our audit of the financial statements of the above, and with the authority evidenced by the company's stamp and signature below, we request that you provide us with a certificate giving the following information on its account with you at the close of business on 31 AUGUST 2006

1. Balances on all current, deposit and term accounts, stating whether these are free, blocked, or subject to any other withdrawal or restriction such as compensating balances or special – purpose funds. If any of the accounts, although having operated during the last twelve months, have no balance at the above stated date, please give a description of such accounts in your reply.
2. The name and date of closure of any accounts, which have been closed during the year, ending on the above date.
3. Balances on all advance, loan or overdraft accounts stating the terms, interests, etc. and collateral security or guarantees that you hold in connection therewith.
4. Its liability in connection with notes receivable or bills of exchange which it has discounted with you or deposited with you for collection.
5. Any guarantees you have given on its behalf or that it has given to you on behalf of third parties.
6. A list of all share certificates and securities deposited with you for its accounts, indicating whether these were free for withdrawal or were subject to any lien, pledge or other restriction.
7. Amounts of interest and charges to be paid by it, and of interest due to it, not yet included in the balances as of the above stated date.
8. Details of any other operations with you, and of any matters in the course of execution, which have not been included in the above paragraphs.
9. A lists of officers entitled to sign cheques on all of the accounts which it has with you, indicating the way in which they must be combined

It is desired that your certificate should cover all of the above matters and it should indicate by an appropriate mention those that are not applicable in its case.

Your prompt reply direct to the above address would be appreciated.

Thanking you in advance for your co-operation.

Yours truly,

Mr. Kofi Smart
CHIEF FINANCE OFFICER

We hereby give authority to supply the information requested by our auditors.

Company stamp Authorizing signature(s)

Company name Name(s)

Matters excluded from the Standard Bank letter

The standard bank letter contains all items found to be regularly required for audit purpose. In case of doubt, or specific requirement, auditors may wish to make supplementary requests regarding other items which are not regularly required. These may include the following:

- copies of bank statement;
- copies of paying-in-slips for specified lodgement on specified dates;
- details showing make-up of those lodgements;
- any list of securities or any document of title which have been logged by a bank with its customer us security for deposit with that bank (this particular matter would probably apply only between banking organizations);
- interest on any account paid to or by third parties, and the names of those third parties;
- receipts for fire and other insurance and similar documents in the banks poschapter;
- returned paid cheques;
- stopped cheques – these are normally presented through the banking system within the audit period and therefore there should be no need to seek specific details;
- details of third party securities, including director's guarantees. If this information is required, the request must be accompanied by a specific authority from the appropriate third parties;
- details of outstanding forward foreign exchange contracts, including the particulars of each contract, the dates of maturity and the currencies concerned.;

5.13 Pending Legal Matters

Confirmation will often be required from a client company's legal advisors or solicitors regarding contingent liabilities arising from legal matters outstanding at the statement of financial position date. From the audit view-point, pending law suits and other actions and claims against the client company may present problems both of ascertainment and appraisal.

The following audit procedures are relevant for the verification of the existence of such claims, though they will not necessary provide the auditor with adequate information on the likely amounts for which company may ultimately be responsible.

- Reviewing the claims system of recording claims and the procedure for bringing these to the attention of the management;
- Discussing the arrangements for instructing solicitor's with the official responsibility for legal matters (for example, the head of the legal department, if any, or the company secretary)
- Examining the minutes of the board of directors or other relevant committee for references to or indication of, possible claims
- Examining bills rendered by solicitors and correspondence with them
- Obtaining a list of matters referred to solicitors from the appropriate director or official with estimates of the possible ultimate liabilities
- Obtaining a written assurance from the appropriate director or official that he is not aware of any matters referred to solicitors other than those disclosed.

In appropriate circumstances, auditors may decide to obtain written confirmations form third parties of certain representations made by directors, for example the identification and appraisal of contingent liabilities. In the field of legal actions, the normal and proper source of such confirmation is the company's legal advisors.

Requests for such confirmations should be kept within the solicitor – client relationship and the client should request that a copy of the reply should be sent direct to the auditors.

In order to ascertain whether the information provided by the directors is complete, auditors may decide to arrange for solicitors to be requested to advise whether they have matters in hand which are not listed in the letter of request, and to provide information as to the likely amounts involved.

If the outcome of the enquiries set out above appears satisfactory, auditors would not normally regard the absence of a corroboration of the completeness of a list of legal matters as a reason in itself for qualifying their report.

If the enquiries lead to the discovery of significant matters not previously identified, the auditors will wish to extend their enquiries and to request their clients to address further enquiries to, or arrange a meeting with, the solicitors, at which the auditors will wish to be present.

If, however, having regard to all the circumstances, the auditors are unable to satisfy themselves that they have received all the information they require for the purpose of their audit, they must qualify their report.

A Specimen Legal Confirmation Letter

18 April 2009

PPP & CCC Legal Consultancy
6 Dragon Street
Cantonments Residential Area
Post Office Box CT 10005
Accra

Dear Sir,

RE: LEGAL CONFIRMATION- PROSPERITY COMPANY FOR THE YEAR ENDED 31 AUGUST 2008

In connection with the audit of our financial statements as of 31 August 2008 and for the year then ended, please furnish to our independent auditors, PPP Chartered Accountants, P.O Box GP 40008, Airport, Accra, a brief description of any litigation involving our Company as either plaintiff or defendant, which was pending or threatened at the date indicated above or which has subsequently been initiated and with respect to which you have devoted substantive attention or represented or counseled. In addition, please furnish a description of any other matters with respect to which you have given substantive attention or represented or counseled, involving a claim or potential claim or contingent liability by or against this Company at 31 August 2008.

Please furnish directly to PPP Chartered Accountants such explanation, if any, that you consider necessary to supplement the foregoing information, including an explanation of those matters with respect to which your views may differ from those stated and identification of the omission of any material settled litigation and claims relating to this company.

Your response should include matters that existed as of 31 August 2008 and additional information about those matters or new matters that arose during the period from 31 August 2008 to the effective date of your response.
Please specifically identify the nature of and reasons for any limitation on your response to this letter.

Your response will not be quoted or referred to in our financial statements without prior consultation with you.

Please send your response directly to PPP Chartered Accountants, P.O Box GP 40008, Airport Accra, with a copy to us.

Yours truly,

Playboy
Chief Finance Officer

5.14 Summary of Third-Party Verification

The circumstances under which auditors, in course of their verification process, requests for external confirmation are varied. The table below, however, provides some examples of assets and liabilities whose verification may require third party confirmation.

Assets/Liabilities	Confirming Third Party
Bank balance, Security, Bank loans Contingent liabilities, Accrued interests	Bank
Debtors and creditors balances	Individual Debtors and Creditors
Staff Loans, advances, Mortgages Accrued Interest	Individual members of staff/ Financial Houses
Assets held abroad, Goods sent to agents, on consignment, and out on sale or return, Liabilities repayable abroad	Overseas agents, Association firms, Agents, Consignees and Sales or return holders
Information pertaining to investments in subsidiary companies	Auditors of subsidiaries
Goods held in bond or in warehouse	Harbour bonded, Warehouse Company
Lease premises	Landlord of leased premises
Pending litigation possible damages, costs and legal fees outstanding	Solicitors

Self-Assessment Questions

Exercise 5.5

1.

(a) How reliable a source of audit evidence is a debtor's circularization?

(b) Describe the audit procedures that should be followed when planning and performing a circularization to be carried out at the client's year-end.

(c) Describe the audit work you would carry out on the following replies to a debtors' circularization:

- balance agreed by debtor
- balance not agreed by debtor
- debtor is unable to confirm the balance because of the form of records kept by the debtor
- debtor does not reply to the circularization.

2. (a) List the contents of a standard bank letter for audit purposes

(b) What tests should auditors normally carry out on the bank reconciliation?

3. Describe the audit work you would perform on a client's doubtful debt provision.

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 6: USING THE WORK OF AN EXPERT/SPECIALIST

We are now in the last session of unit 5. In this session, we would examine how the auditor can rely on the work of an expert or a specialist to obtain reliable, appropriate and sufficient evidence.

Objectives

At the end of this chapter, you should be able to:

(a) outline the factors that need to be considered before the auditor places reliance on the work of a specialist
(b) explain how the auditor can evaluate the competence and objectivity of the expert
(c) assess the work done by a specialist

Now read on…

6.1 Why Using the Work of a Specialist?

The auditors' education and experience enable them to be knowledgeable about business matters in general, but they are not expected to have the expertise of a person trained for, or qualified to engage in, the practice of another profession or occupation.

Auditors may therefore use the work of an expert when an expert is engaged by the client company to provide specialist advice on a particular matter which impacts on the financial statements, or when the auditors have to engage an expert in order to obtain sufficient appropriate audit evidence regarding certain financial statement assertions.

When using the work performed by an expect, the auditor should obtain sufficient appropriate audit evidence that such work is adequate for the purpose of the audit.

"Expert, in this context, means a person or firm possessing special skill, knowledge and experience in a particular field other than accounting and auditing.

An expert may be engaged by the client entity or the auditors. The expert may also be employed by the entity or the auditors.

The auditors need to have regard to ethical guidance issues by their relevant professional bodies when an assignment involves an expert employed by them, or any firm associated with them, being engaged by the client entity.

The auditors need to ensure their integrity, objectivity and independence are not called into question in such circumstances.

6.2 Determining the Need to Use the Work of an Expert

During the audit, the auditors may need to obtain, in conjunction with the entity or independently, audit evidence in the form of reports, opinion, valuations and statements of an expert.

Examples are:

- Valuations of certain types of assets, for examples land and buildings, plant and machinery and intangible assets (valuer).
- Determination of quantities or physical condition of assets for example, minerals stored in stockpiles, underground mineral and petroleum reserves (Geologists).
- Determination of amounts using specialized techniques or methods, for example pensions accounting and actuarial valuations (Actuaries).
- The measurement of work completed and to be completed on contracts in progress (Quantity Surveyor).
- Legal opinions concerning interpretation of agreements, statutes and regulations (lawyer)
- Issues relating to purchase and sale of investments (Stockbrokers).

When determining whether to use the work of an expert, the auditors need to consider:

- The materiality of the financial statement assertion being considered
- The risk of misstatement based on the nature and complexity of the matter being considered; and
- The quantity and quality of other audit evidence available regarding the assertion

If the auditors consider that it is appropriate to use the work of an expert, the approach needs to be discussed and agreed with management

If management is unable or unwilling to engage an expert, the auditors need to consider whether adequate audit evidence can be obtained from other sources. If unable to obtain sufficient appropriate audit evidence, the auditors need to consider the implications for their audit report.

6.3 Competence and Objectivity of the Expert

When planning to use the work of an expert, the auditors should assess the objectivity and professional competence of the expert. Ordinary, this involves considering the expert's

- professional certificate or licensing by, or membership of, an appropriate professional body, and
- experience and reputation in the field in which the auditors are seeking audit evidence.

The risk that an expert's objectivity is impaired increases when the expert is:

- employed by the entity, or
- related in some other manner to the entity, for example by being financially dependent upon, or having an investment in the entity.

If the auditors are concerned with the competence or objectivity of the expert, the auditors need to discuss their reservation with management and consider whether adequate audit evidence can be obtained. The auditors may need to undertake additional audit procedures or seek evidence form another expert.

6.4 The Expert's Scope of Work

The auditors should obtain sufficient appropriate audit evidence that the expert's scope of work is adequate for the purposes of their audit

Audit evidence may be obtained through a review of the terms of reference, which are often set out in written instruction from the entity to the expert. Such instructions to the expert may cover such matters as:

- the objectives and scope of the expert's work;
- a general outline as to the specific matters the expert's report is to cover;
- the intended use of the expert's work including the possible communication to third parties of the expert's identity and extent of involvement;
- the extent of the expert's access to appropriate records and files; and
- information regarding the assumptions and methods intended to be used by the expert and their consistency with those used in prior periods.

In the event that these matters are set out in written instructions to the expert, the auditors may need to communicate with the expert directly to obtain audit evidence in this regard.

6.5 Assessing the Work of an Expert

The auditors should assess the appropriateness of the experts work as audit evidence regarding the financial statement assertions being considered

This involves assessment of whether the substance of the expert's findings is properly reflected in the financial statements or supports the financial statement assertions, and consideration of:

- the source data used
- the assumption and methods used
- the reasons for any changes in assumptions and methods compared with those used in the prior period

- the results of the expert's work in the light of the auditor's overall knowledge of the business and the results of other audit procedures

When considering whether the expert has used source data which is appropriate in the circumstances, the auditors may consider the following procedures:

- making enquiries regarding any procedures undertaken by the expert to establish whether the source data is sufficient, relevant and reliable; and
- reviewing or testing the data used by the expert
- The appropriates and reasonableness of assumptions and methods used and their application are the responsibility of the expert. The auditors do not have the same expertise, and, therefore cannot necessarily challenge the expert's assumptions and methods used and to consider whether they are reasonable, based on the auditor's knowledge of the business and the results of other audit procedures

If the results of the expert's work are not consistent with other audit evidence, the auditors need to attempt to resolve the inconsistency by discussions with the entity and the expert. Applying additional procedures, including possibly engaging another expert, may also assist the auditors in resolving the inconsistency

If the auditors are unable to obtain satisfaction regarding the expert's work and there is no satisfactory alternative source of audit evidence, the auditors need to consider the implications for their audit report

6.6 Reference to the Expert's Work

When the auditors are satisfied that the work of an expert provides appropriate audit evidence, reference is not required to the work of the expert in the audit report. Such a reference may be misunderstood and interpreted as a qualification of the auditors' opinion or a division of responsibility, neither of which is appropriate.

Self-Assessment Questions

Exercise 5.6

1 Explain the importance of reliance on the work of the expert and factors you will consider in making a recommendation on reliance

2a If it is decided that expert advise is required in an audit assignment, who should appoint the expert?

b How does the auditor assess the expert's work?

End of Unit Questions

Question 1

The new audit trainee of your firm of registered auditors has asked you to advise him on the reliability of the following types of third party evidence.

(i) Valuation of land and buildings by the valuer.
(ii) The replies to a debtors' circularization.
(iii) The letter received from the bank.

Required

(a) Discuss the reliability of each of the three types of third party evidence listed in (i) to (iii) above, and consider the accuracy of the valuations they provide.

(b) For valuations provided by a valuer, describe the work you would carry out to check the independence, qualifications and experience of the valuer and the accuracy of the variation.

(a) For the letter received from the bank, describe the work you would perform in checking the bank reconciliations and that the balance on the bank accounts, as included in the financial statements, is correct.

Question 2

(a) Statistical sampling techniques may be applied in a number of auditing situations.

Required

Discuss the nature of those situations and the objectives, advantages and disadvantages of applying statistical sampling techniques to them.

(b) You are given the following information in respect of a particular sampling scheme.

Population size	⊄2 million
Confidence level	95%
Monetary precision	⊄10,000

Reliability (R) factor at selected confidence levels.

Confidence level (%)	63	78	86	96	95	97
R factor	1.0	1.5	2.0	2.5	3.0	3.5

(R factors are based on UEL (Upper Error Limit) rates in the population at the given confidence levels).

Required

(i) Explain the basis of a scheme of monetary Unit Sampling.

(ii) Indicate how it would be utilised in the situation given above.

(iii) State how you would interpret the result of obtaining no errors in a simple random sample derived in the manner you have indicated.

Question 3

It is important to recognize that audit sampling may be constructed on a non-statistical basis. If the auditors use statistical sampling, probability theory will be used to determine sample size and random selection methods to ensure each item or $\not<1$ in value of the population has the same chance of selection. Non-statistical sampling is more subjective than statistical sampling, typically using haphazard selection methods and placing no reliance upon probability theory. However, in certain circumstances, statistical sampling techniques may be difficult to use. The auditors will review the circumstances of each audit before deciding whether to use statistical or non-statistical sampling.

Required

(a) List three situations where the auditors would be unlikely to use audit sampling techniques.

(b) Explain what you understand by the following terms:
   (i) attribute sampling;
   (ii) monetary unit sampling.

(c) Describe the factors which the auditors should consider when determining the size of a sample.

(d) Describe to what extent statistical sampling enhances the quality of the audit evidence.

Question 4

Price Better Ltd has recently appointed your firm as its auditors. Your manager has asked you to carry out the audit of the sales system and to establish how far it can be used as a basis for verifying year-end trade debtors. He informs you that Price Better operates from a single site, selling its products to other companies on credit and dispatching all its orders from a single point in the factory. He also gives you a number of briefing notes about the sales system, which is entirely computerised.

(a) Price Better's sales accounting system is fairly typical of many large companies. Staffing levels are high enough for there to be adequate segregation of duties.

(b) Prices charged by the company must be approved by the sales director and are held on a standing data file. This list is used by the sales department to price customer orders. When details of goods about to be dispatched are entered onto the system, a sales invoice is generated and the appropriate total posted to the sales ledger.

(c) There is a customer standing data file to which new names can be added only with the approval of the chief accountant. The credit controller approves a customer's creditworthiness before an order is accepted. He provides a further authorisation just before goods are dispatched.

(d) The credit controller is responsible for the collection of customer debts. When cash is received, entries are posted to the sales ledger by the accounts department.

Required

(a) Explain the purpose of the sales audit and indicate why adequate internal control is important.

(b) Explain how you would select items for testing as part of the transactions audit of Price Better Ltd and describe the factors which would be used in determining the size of any sample.

(c) Outline what procedures you would use, in addition to the transactions audit and the debtors circularization, in testing the reliability of the sales system used by Price Better (including block tests).

Question 5

(a) For each of the following substantive procedures, you are required to state, together with any limitations, whether they provide strong or weak evidence of the completeness, existence, accuracy and valuation and (where applicable) ownership of the asset or liability at the financial year end.

(i) Inspecting inventories and testing perpetual records by making test counts and noting damaged, obsolete and slow moving items.

(ii) Vouching property, plant and equipment additions to supporting documentation.

(iii) Verification on bank balances by bank confirmation request.

(b) Explain why it is important that audit evidence is fully documented and list the details relating to the audit tests, which should be recorded in the working papers.

Question 6

Your firm is the audit of Silverhill potteries ltd, which is a wholesaler of pottery products (e.g. cups, saucers, plates, mugs etc), and you are carrying out the audit for the year ended 3I December 2009. April 19x4. You have been asked by the senior in charge of the audit to identify inventories, which may be worth less than cost, and to check that it has been valued correctly. The company has a computerized inventory control system, which records receipt and dispatches of stock, current stock quantities and the age of the inventory. You attended a count of all the inventory at the year-end.

Required

(a) Define in detail the basis for valuing inventory in accordance with IAS 2 'Inventories'

(b) State the types of inventory, which may be worth less than cost, and describe the investigations you will carry out to identify this inventory.

(c) Describe the audit work you will carry out to determine the net realizable value of the inventory you have found from your investigations in part (b) above.

Question 7

An important part of the audit of inventory and work in progress is to perform procedures to make certain that inventories are properly valued and compiled. Compilation includes all the tests relating to the physical inventory counts and the summarization of the results of the counts.

The following are examples of specific audit objectives relating to the physical inventory count and the valuation of inventory.

Audit objective

Physical stock count	valuation of stock
i) The stock is owned by the Company	(i) stock items shown on the stock evaluation sheets are valid
ii) The stock count is carried out accurately and records obsolete stock	(ii) all existing stock items are included on the stock evaluation sheets
iii) Information is obtained to ensure sales and purchases are recorded in the proper period	iii) stock is properly priced.

Required

(a) List the audit procedure which would be carried out in order to ensure that the above audit objectives are fulfilled.

(b) List five audit procedures, which would be carried out in order to verify a material amount of stock, which is held by third parties.

Question 8

You are currently planning the final audit of Stocklime Ltd, a manufacturing company, and wish to prepare an agenda for a pre-audit meeting with the client. The company's inventory cut-off procedures at the previous audit had been very weak and these procedures are to be on the agenda for discussion at this meeting.

Required

(a) List and briefly describe the points you would probably include on an agenda for discussion with the client at a pre-final audit meeting.

(b) Explain why correct cut-off procedures are critical to the truth and fairness of the financial statements.

(c) Describe the internal controls which management should introduce to ensure that correct stock cut-off is achieved by the company.

Question 9

Arkwright Estate Agents Ltd operates from a number of branches providing services to the public to buy, sell or rent flats and houses. The company has been in business for several years.

The company's year end is 30 September 2009. On 1 October 2008, the company bought the trade of Corbett Insurance Brokers as Arkwright's directors wish to diversify into insurance. The purchase of Corbett's customers and trade name cost ⊄480,000. No other assets or liabilities were purchased. Corbett Insurance Brokers buys insurance from the big insurance companies and sells it to the general public, taking a commission in the process. The goodwill on the purchase of Corbett has been included in the financial statements of Arkwright at 30 September 2008 and it is to be subjected annually to impairment assessment.

You have been asked to audit the tangible non-current assets of the company, the majority of which fall into three categories (with depreciation rates).

(a) Land and buildings (all freehold) – depreciation rate: 2% pa on cost (buildings only).

(b) Cars (used by directors and staff to visit clients and inspect houses) – depreciation rate: 20% pa on cost.

(c) Microcomputers, printers and peripheral equipment used in the offices – depreciation rate: 10% pa on cost.

The company maintains a computerised non-current asset register for the cars and computer equipment. Your audit manager is worried that insufficient depreciation is being charged on computer equipment.

(a) Describe the audit work you would perform in order to determine whether the goodwill on the purchase of Corbett's trade has a value of ⊄420,000 at 30 September 2009 and whether the impairment charge of ⊄60,000 for 2008/2009 is reasonable.

(b) State the methods you would use to verify ownership of:

(i) the cars and computers; and

(ii) the freehold land and buildings.

(c) Describe the procedures you would carry out to determine the adequacy of the depreciation rate for computer equipment.

(d) Describe the factors you would consider when deciding whether to qualify your audit report on the grounds of inadequate depreciation of computer equipment. If you were going to qualify your audit report, what form of qualified report would you use?

Question 10

You are currently carrying out the final audit at Quality Manufacturing Ltd for the year ended 31 March 2009. The audit senior has assigned you the tangible fixed assets section of the audit programme. The accounting records are held on a mainframe computer. Having carried out the audit of fixed assets, the following audit exceptions have come to light.

(a) A computer with a net book value of ⊄250,000 had been destroyed by fire. The insurers had paid the computer the replacement cost of the computer which was ⊄375,000. The chief accountant had credited the payment by the insurer against the cost of the new computer of ⊄425,000.

(b) The company had recently leased new premises which were occupied on 1 January 2009. The lessors had given the company ⊄1 million as an incentive to take up the lease for a period of 10 years at an annual rental of ⊄1.6million. The chief accountant had netted the cash receipt against the final quarter's rental charge and shown a net credit in the income statement of ⊄600,000.

Required

(a) State four audit objectives relating to the audit of tangible fixed assets.

(b) Describe three ways in which audit software may assist in the audit of tangible fixed assets.

(c) List four controls which would assist in reducing the control risks associated with tangible fixed assets.

(d) Explain the reasons why the accounting treatment of the audit exceptions outlined above would be unacceptable to you as auditor of Quality Manufacturing plc.

Question 11

For many companies, investments in stocks and shares represent a substantial portion of total assets. For others, investments are only temporary assets, or merely reflect incidental aspects of company operations. For the auditors, investments in stocks and shares represent assets with high inherent audit risk.

Required

(a) List five audit objectives sought by the auditors when examining investments in stocks and shares.

(b) Explain what is meant by 'inherent audit risk' and show why investments in stocks and shares represent assets with a high inherent audit risk.

(c) Describe the audit procedures which would verify the existence and ownership of investments in stocks and shares.

(d) Describe how the auditors would determine that all investment income from stocks and shares had been properly recorded in the accounting records.

Question 12

Your firm is the auditor of Hamilton Manufacturing Ltd and you are auditing the accounts for the year ended 30 September 2009

You have been assigned to the audit of the company's trade receivables, which have a total value of about ⊄5 million on the draft accounts (draft turnover ⊄21m) and there are 3,000 accounts with balances. You have carried out a positive debtors' circularisation of the balances at 30 September 19X6, and you are preparing to audit the replies to this circularisation.

Tests of controls on the sales system revealed strong internal controls over the system; there was good segregation of duties and only trivial errors were found.

Required

(a) Describe in detail the work you will carry out in checking the replies to the debtors' circularisation, and in conforming whether the debt on the sales ledger is collectable, in the following situations:
   (i) where the debtor agrees the balance;
   (ii) where the debtor does not agree the balance and states a different balance;
   (iii) where the debtor reports that he cannot confirm the balance;
   (iv) where no reply is received from the debtor.

(b) Consider the advantages and disadvantages of a debtors' circularisation as regards:

(i) the quality of audit evidence;
(ii) the efficient use of audit time.

Question 13

Redwood Ltd is a construction company which builds houses and small factory units. Its turnover for the year ended 31 December 2009 was ⊄5,490,000 and it made an operating profit before tax and interest payable of ⊄628,000.

You have reviewed the draft financial accounts for the year ended 31 December 2009 and note the following items in the income statement.

Other income

(a) ⊄274,000 credit being construction work on Redwood Ltd's own offices capitalised as a fixed asset.

(b) ⊄121,000 credit being profit on sale of two earth moving machines no longer required.

Other charges

(c) ⊄68,500 debit being provision for doubtful debts.
(d) ⊄42,400 debit being interest on medium-term loan.

Required

Explain how would substantiate the above amounts and state how they should be reflected in the financial statements of Redwood Ltd.

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

UNIT 6: AUDIT EVIDENCE – AUDIT CONCLUSION PROCEDURES

Unit Outline

Session 1: Analytical Procedures
Session 2: Audit of Accounting Estimates Contained in Financial Statements
Session 3: Auditing Fair Value Measurements and Disclosures
Session 4: Auditing Procedures for Related Party Transactions, Subsequent Events and Contingencies
Session 5 Gong Concern Evaluation
Session 6 Management Representations

This unit constitutes part of the audit evidence relating to the last stage of the audit process.

Unit Objectives

At the end of the unit, you should be able to:

(a) describe the analytical procedures the auditor applies at the final review stage of the audit
(b) outline the procedures the auditor applies to audit accounting estimates contained in financial statements
(c) describe the audit procedures the auditor applies to audit fair value measurements and disclosures
(d) outline auditing procedures relating to related parties, subsequent events , contingencies, and going concern evaluations
(e) describe the purposes and contents of management representation letter .

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 1: ANALYTICAL PROCEDURES

We are now in the first session of the last unit of this manual. Congratulation for a good work done so far. In this session we would examine how the auditor uses analytical procedure to gather evidence at the planning stage, as a substantive procedure and at the review stage.

Objectives

At the end the chapter, you should be able to:

(a) explain analytical review
(b) identify the purposes for carrying out analytical procedures
(c) describe how analytical procedure aids audit planning
(d) use analytical review as a substantive testing technique
(e) describe how analytical procedure can be used to review financial statements

Now read on…

1.1 Nature and Purpose of Analytical Procedures

Analytical procedures mean the analysis of significant ratios and trends including the resulting investigations of fluctuations and relationships that are inconsistent with other relevant information or which deviate from predictable patterns.

Analytical procedures include the consideration of comparisons of the entity's financial information with, for example:

- comparable information for prior periods
- anticipated results of the entity, from budgets or forecasts
- predictive estimates prepared by the auditors such as an estimation of depreciation, and
- similar industry information, such as a comparison of the entity's ratio of sales to accounts receivable with industry averages or with other entities of comparable size in the same industry

Analytical procedures also include consideration of relationship:

- among elements of financial information that are expected to conform to a predictable pattern based on the entity's experience such as gross margin percentages, and
- between financial information and relevant non-financial information such as payroll costs to number of employees

Analytical procedures may be applied to consolidated financial segments, financial statements of components (such as subsidiaries, divisions or segments) and individual

elements of financial information. The auditors' choice of procedures, methods and level of application is a matter of professional judgement.

Analytical procedures are used for the following purposes:

- To assist the auditors in planning the nature, timing and extent of other audit procedures
- As a substantive procedure when their use can be more effective or efficient than tests of details in reducing detection risk for specific financial statements assertions; and
- As an overall review of the financial statements in the final review stage of the audit.

1.2 Analytical Procedures in Planning the Audit

The auditors should apply analytical procedures at the planning stage to assist in understanding the entity's business and in identifying areas of potential risk

Applications of analytical procedures may indicate aspects of the entity's business of which the auditors are unaware and assists in determining the nature, timing and extent of other audit procedures

Analytical procedures in planning the audit use both financial and non-financial information, for example the relationship between sales and volume of goods sold.

1.3 Analytical Procedures as a Substantive Procedure

The decision about whether to use analytical procedures as a substantive procedure and the nature, timing and extent of their use is based on the auditors' judgement about the expected effectiveness and efficiency of the available procedures in reducing detection risk for specific financial statement assertions

Auditors normally enquire from management as to the availability and reliability of information needed to apply analytical procedures and the results of any such procedures performed by the entity. It may be efficient to use analytical procedures prepared by the entity, provided the auditors are satisfied that such data is properly prepared

When intending to apply analytical procedures as a substantive procedure, the auditors need to consider a number of factors such as:

- The objectives of the analytical procedures and the extent to which their results are reliable

- The nature of the entity and the degree to which its information can be disaggregated, for example, analytical procedures may be more effective when

applied to the financial information on individual sections of an operation or to financial statements of components of a diversified entity than when applied to the financial statements of the entity as a whole.

- The availability of information, both financial (such as budgets or forecast) and non-financial (such as the number of units produced or sold).
- The reliability of the information available, for example whether budgets are prepared with sufficient care.
- The relevance of the information available, for example whether budgets are established as results to be expected rather than goals to be achieved.
- The source of the information available, for example source independent of the entity are more reliable than internal sources
- The comparability of the information available, for example broad industry data may need to be supplemented to be comparable to that of an entity that produces and sells specialized products, and
- The knowledge gained during previous audits, together with the auditors' understanding of the effectiveness of the accounting and internal control systems and the types of problem that in prior periods have given rise to accounting adjustments.

1.4 Placing Reliance on Analytical Procedures as a Substantive Procedure

Before placing reliance on the results of analytical procedures as a substantive procedure, the auditors should obtain sufficient appropriate audit evidence as to the reliability of the information used

The application of the analytical procedures is based on the expectation that relationships between data exist and continue in the absence of known conditions to the contrary. The presence of these relationships provides evidence as to the completeness, accuracy and validity of the data produced by the accounting system. However, reliance on the results of analytical procedures depends on the auditors' assessment of the risk that the analytical procedures may identify relationship as expected when, in fact, a material misstatement exists

The extent of reliance that the auditors place on the results of analytical procedures when used as a substantive procedure depends on the following factors:

The materiality of the items involved. The more material an item is, the more likely it is that the auditors will wish to place reliance on other substantive procedures, in addition to analytical procedures.

Other audit procedures directed towards the same audit objectives. For example, other procedures the auditors undertake in reviewing the collectability of accounts receivable, such as the review of subsequent cash receipts, may confirm or dispel questions arising from the application of analytical procedures to an agreed profile of customer's accounts. The assessments of inherent and control risks. For example, if internal control over sales order processing is weak and therefore control risk is high, more reliance on tests of details of transactions and balances than on analytical procedures in drawing conclusions on receivables may be required.

1.5 Analytical Procedures as a Review Technique at the end of the Audit

The auditors should apply analytical procedures at or near the end of the audit when forming an overall conclusion as to whether the financial statements as a whole are consistent with the auditor's knowledge of the entity's business

The conclusions drawn from the results of such procedure are intended to corroborate conclusions formed during the audit of individual components or elements of the financial statements and assist in arriving at the overall conclusion as to the reasonableness of the financial statements. However, they may also identify areas requiring further procedures.

1.6 Investigating Unusual Items

When analytical procedures identify significant fluctuations or relationships that are inconsistent with other relevant information or that deviate from predictable patterns, the auditors should investigate and obtain adequate explanations and appropriate corroborative evidence.

The investigation of unusual fluctuations and relationships ordinarily begins with enquiries of management, followed by corroboration of management's responses by:

- comparing them with the auditor's knowledge of the entity's business and with other evidence obtained during the course of the audit
- by undertaking additional procedures to confirm the explanations received

If management is unable to provide an explanation or if the explanation is not considered adequate, the auditors need to determine the audit procedures to be undertaken to obtain an explanation for the fluctuation or relationship note.

1.7 The Practice of Analytical Procedures

Significant items

Among the items that are generally subjected to analytical procedures are the follow:

- Creditors and purchases
- Stocks and cost of sales
- Fixed Assets, deprecations, repairs and maintenance
- Loans and Interest Loans
- Investment and investment income
- Debtors and bad debts expenses
- Debtors and sales

Important Ratios

Among the ratios that are computed for the purposes of carrying out analytical procedures as the following:

- Gross Profit Margin
- Net Profit margin
- Return on capital employed
- Current ratio
- Quick or acid test ratio
- Debtors turnover period
- Creditors payment period
- Rate of stock turnover
- Gearing ratio
- Price/Earning ratio
- Dividend per share
- Earnings per share
- Earnings yield
- Return on net assets

In addition to the above ratios, the auditors should examine the clients' circumstance and compute other relevant ratios e.g. revenue per passenger mile for an airfare operator.

Other areas that auditors may examine as part of the analytical procedures include the following:

- Examine changes in products, customers, distribution chain and levels of return
- Assess the effect of inflation, industrial disputes, changes in technology of production and changes in activity on the wages paid

- Obtain explanations for all major variances analysed using a standard costing system. Particular attention should be paid to those relating to the over or under absorption of overheads since these may, inter-alia, affect stock valuations
- Examine trends in production and sale and assess the effect on any provisions for obsolete stocks
- Ensure that changes in the percentage labour or overhead content of production costs are also reflected in the stock valuation
- Review other expenditure items with particular emphasis on comparisons of the following:
    - Rent payment with rent agreement
    - Rates with previous year and known industrial rates variations
    - Interest payable with previous year's figure and loan agreements
    - Vehicle running expenses with previous year's figure and hanges in fleet of vehicles used

- Review income statement or income statement with items which may have been omitted
- Ensure expected variations arising from the following have occurred
    - Industry or local trends
    - Known disturbances of trading pattern (for example strikes, depot closures, failure of suppliers).

SESSION 2: AUDIT OF ACCOUNTING ESTIMATES CONTAINED IN FINANCIAL STATEMENTS

In this session, we would examine how the auditor audits accounting estimates contained in financial statements. This is a very important and interesting session because of the important role estimation plays in preparation of financial statements. Relax and read with rapt concentration.

Objective

At the end of the chapter, you should be able to outline the procedures involved in auditing accounting estimates contained in financial statements.

2.1 Introduction to Accounting Estimates

The purpose of this chapter is to establish standards and provide guidance on the audit of accounting estimates contained in financial statements. It is not intended to be applicable to the examination of prospective financial information, though many of the audit procedures outlined herein may be suitable for that purpose.

The auditor should obtain sufficient appropriate audit evidence regarding accounting estimates.

Accounting estimate means an approximation of the amount of an item in the absence of a precise means of measurement. Examples are:

- Allowances to reduce inventory and accounts receivable to their estimated realizable value.
- Provisions to allocate the cost of fixed assets over their estimated useful lives.
- Accrued revenue.
- Deferred tax.
- Provision for a loss from a lawsuit.
- Losses on construction contracts in progress.
- Provision to meet warranty claims.

Management is responsible for making accounting estimates included in financial statements. These estimates are often made in conditions of uncertainty regarding the outcome of events that have occurred or are likely to occur and involve the use of judgment. As a result, the risk of material misstatement is greater when accounting estimates are involved and in some cases the auditor may determine that the risk of material misstatement related to an accounting estimate is a significant risk that requires special audit consideration.

2.2 The Nature of Accounting Estimates

The determination of an accounting estimate may be simple or complex depending upon the nature of the item. For example, accruing a charge for rent may be a simple calculation, whereas estimating a provision for slow-moving or surplus inventory may involve considerable analyses of current data and a forecast of future sales. In complex estimates, there may be a high degree of special knowledge and judgment required.

Accounting estimates may be determined as part of the routine information system relevant to financial reporting operating on a continuing basis, or may be non-routine, operating only at period end. In many cases, accounting estimates are made by using a formula based on experience, such as the use of standard rates for depreciating each category of fixed assets or a standard percentage of sales revenue for computing a warranty provision. In such cases, the formula needs to be reviewed regularly by management, for example, by reassessing the remaining useful lives of assets or by comparing actual results with the estimate and adjusting the formula when necessary.

The uncertainty associated with an item, or the lack of objective data may make it incapable of reasonable estimation, in which case the auditor needs to consider whether the auditor's report needs modification.

2.3 Audit Procedures Responsive to the Risk of Material Misstatement of the Entity's Accounting Estimates

The auditor should design and perform further audit procedures to obtain sufficient appropriate audit evidence as to whether the entity's accounting estimates are reasonable in the circumstances and, when required, appropriately disclosed. The audit evidence available to detect a material misstatement in an accounting estimate will often be more difficult to obtain and less persuasive than audit evidence available to detect a material misstatement in other items in the financial statements.

The auditor's understanding of the entity and its environment, including its internal control, assists the auditor in identifying and assessing the risks of material misstatement of the entity's accounting estimates.

An understanding of the procedures and methods, including relevant control activities, used by management in making the accounting estimates is important for the auditor to identify and assess risks of material misstatement in order to design the nature, timing and extent of the further audit procedures.

The auditor should adopt one or a combination of the following approaches in the audit of an accounting estimate:

(a) Review and test the process used by management to develop the estimate;
(b) Use an independent estimate for comparison with that prepared by management; or
(c) Review of subsequent events which provide audit evidence of the reasonableness of the estimate made.

2.4 Reviewing and Testing the Process Used by Management

The steps ordinarily involved in reviewing and testing of the process used by management are:

(a) Evaluation of the data and consideration of assumptions on which the estimate is based;
(b) Testing of the calculations involved in the estimate;
(c) Comparison, when possible, of estimates made for prior periods with actual results of those periods; and
(d) Consideration of management's approval procedures.

2.5 Evaluation of Data and Consideration of Assumptions

The auditor would evaluate whether the data on which the estimate is based is accurate, complete and relevant. When information produced by the entity is used, it will need to be consistent with the data processed through the information system relevant to financial reporting. For example, in substantiating a warranty provision, the auditor would obtain audit evidence that the data relating to products still within the warranty period at period end agree with the sales information within the information system relevant to financial reporting.

The auditor may also seek audit evidence from sources outside the entity. For example, when examining a provision for inventory obsolescence calculated by reference to anticipated future sales, the auditor may, in addition to examining internal data such as past levels of sales, orders on hand and marketing trends, seek audit evidence from industry-produced sales projections and market analyses. Similarly, when examining management's estimates of the financial implications of litigation and claims, the auditor would seek direct communication with the entity's lawyers.

The auditor would evaluate whether the data collected is appropriately analyzed and projected to form a reasonable basis for determining the accounting estimate. Examples are the analysis of the age of accounts receivable and the projection of the number of months of supply on hand of an item of inventory based on past and forecast usage.

The auditor would evaluate whether the entity has an appropriate base for the principal assumptions used in the accounting estimate. In some cases, the assumptions will be based on industry or government statistics, such as future inflation rates, interest rates, employment rates and anticipated market growth. In other cases, the assumptions will be specific to the entity and will be based on internally generated data.

In evaluating the assumptions on which the estimate is based, the auditor would consider, among other things, whether they are:

- Reasonable in light of actual results in prior periods;
- Consistent with those used for other accounting estimates; and
- Consistent with management's plans which appear appropriate.

The auditor would need to pay particular attention to assumptions which are sensitive to variation, subjective or susceptible to material misstatement.

In the case of complex estimating processes involving specialized techniques, it may be necessary for the auditor to use the work of an expert, for example, engineers for estimating quantities in stock piles of mineral ores.

The auditor would review the continuing appropriateness of formulae used by management in the preparation of accounting estimates. Such a review would reflect the auditor's knowledge of the financial results of the entity in prior periods, practices used by other entities in the industry and the future plans of management as disclosed to the auditor.

2.6 Testing of Calculations

The auditor would perform audit procedures on the calculation procedures used by management. The nature, timing and extent of the auditor's procedures will depend on the assessed risk of material misstatement, which is impacted by such factors as the complexity involved in calculating the accounting estimate, the auditor's understanding and evaluation of the procedures and methods, including relevant control activities used by the entity in producing the estimate and the materiality of the estimate in the context of the financial statements.

2.7 Comparison of Previous Estimates with Actual Results

When possible, the auditor would compare accounting estimates made for prior periods with actual results of those periods to assist in:

(a) Obtaining audit evidence about the general reliability of the entity's estimating procedures and methods, including relevant control activities;

(b) Considering whether adjustments to estimating formulae may be required; and

(c) Evaluating whether differences between actual results and previous estimates have been quantified and that, where necessary, appropriate adjustments or disclosures have been made.

2.8 Consideration of Management's Approval Procedures

Material accounting estimates are ordinarily reviewed and approved by management. The auditor would consider whether such review and approval is performed by the appropriate level of management and that it is evidenced in the documentation supporting the determination of the accounting estimate.

2.9 Use of an Independent Estimate

The auditor may make or obtain an independent estimate and compare it with the accounting estimate prepared by management. When using an independent estimate, the auditor would ordinarily evaluate the data, consider the assumptions and perform audit procedures on the calculation procedures used in its development. It may also be appropriate to compare accounting estimates made for prior periods with actual results of those periods.

2.10 Review of Subsequent Events

Transactions and events which occur after period end, but prior to completion of the audit, may provide audit evidence regarding an accounting estimate made by management. The auditor's review of such transactions and events may reduce, or even remove, the need for the auditor to review and perform audit procedures on the process used by management to develop the accounting estimate or to use an independent estimate in assessing the reasonableness of the accounting estimate.

2.11 Evaluation of Results of Audit Procedures

The auditor should make a final assessment of the reasonableness of the entity's accounting estimates based on the auditor's understanding of the entity and its environment and whether the estimates are consistent with other audit evidence obtained during the audit.

The auditor would consider whether there are any significant subsequent transactions or events which affect the data and the assumptions used in determining the accounting estimates.

Because of the uncertainties inherent in accounting estimates, evaluating differences can be more difficult than in other areas of the audit. When there is a difference between the auditor's estimate of the amount best supported by the available audit evidence and the estimated amount included in the financial statements, the auditor would determine whether such a difference requires adjustment. If the difference is reasonable, for example, because the amount in the financial statements falls within a

range of acceptable results, it may not require adjustment. However, if the auditor believes the difference is unreasonable, management would be requested to revise the estimate. If management refuses to revise the estimate, the difference would be considered a misstatement and would be considered with all other misstatements in assessing whether the effect on the financial statements is material.

The auditor would also consider whether individual differences which have been accepted as reasonable are biased in one direction, so that, on a cumulative basis, they may have a material effect on the financial statements. In such circumstances, the auditor would evaluate the accounting estimates taken as a whole.

SESSION 3: AUDITING FAIR VALUE MEASUREMENTS AND DISCLOSURES

Welcome to session 3 of unit 6 where we would be looking at how to audit fair value measurements and disclosures. One key characteristic of application of International Financial Reporting Standards is the emphasis it places on fair valuations and disclosures and this makes this session very topical and useful to a modern-day auditor

Objective

At the end of the session, you should be able to describe the audit procedures appropriate for fair value measurements and disclosures

3.1 Introduction to Auditing of Fair Valuation

The purpose of this session is to establish standards and provide guidance on auditing fair value measurements and disclosures contained in financial statements. In particular, it addresses audit considerations relating to the measurement, presentation and disclosure of material assets, liabilities and specific components of equity presented or disclosed at fair value in financial statements. Fair value measurements of assets, liabilities and components of equity may arise from both the initial recording of transactions and later changes in value. Changes in fair value measurements that occur over time may be treated in different ways under different financial reporting frameworks. For example, some financial reporting frameworks may require that such changes be reflected directly in equity, while others may require them to be reflected in income.

While this session provides guidance on auditing fair value measurements and disclosures, audit evidence obtained from other audit procedures also may provide audit evidence relevant to the measurement and disclosure of fair values. For example, inspection procedures to verify existence of an asset measured at fair value also may provide relevant audit evidence about its valuation (such as the physical condition of an investment property).

The auditor should obtain sufficient appropriate audit evidence that fair value measurements and disclosures are in accordance with the entity's applicable financial reporting framework.

Management is responsible for making the fair value measurements and disclosures included in the financial statements. As part of fulfilling its responsibility, management needs to establish an accounting and financial reporting process for determining the fair value measurements and disclosures, select appropriate valuation methods, identify and adequately support any significant assumptions used, prepare the valuation and ensure that the presentation and disclosure of the fair value measurements are in accordance with the entity's applicable financial reporting framework.

Many measurements based on estimates, including fair value measurements, are inherently imprecise. In the case of fair value measurements, particularly those that do not involve contractual cash flows or for which market information is not available when making the estimate, fair value estimates often involve uncertainty in both the amount and timing of future cash flows.

Fair value measurements also may be based on assumptions about future conditions, transactions or events whose outcome is uncertain and will therefore be subject to change over time. The auditor's consideration of such assumptions is based on information available to the auditor at the time of the audit and the auditor is not responsible for predicting future conditions, transactions or events which, had they been known at the time of the audit, may have had a significant effect on management's actions or management's assumptions underlying the fair value measurements and disclosures.

Assumptions used in fair value measurements are similar in nature to those required when developing other accounting estimates.

Different financial reporting frameworks require or permit a variety of fair value measurements and disclosures in financial statements. They also vary in the level of guidance that they provide on the basis for measuring assets and liabilities or the related disclosures. Some financial reporting frameworks give prescriptive guidance, others give general guidance, and some give no guidance at all. In addition, certain industry-specific measurement and disclosure practices for fair values also exist.

In most financial reporting frameworks, underlying the concept of fair value measurements is a presumption that the entity is a going concern without any intention or need to liquidate, curtail materially the scale of its operations, or undertake a transaction on adverse terms. Therefore, in this case, fair value would not be the amount that an entity would receive or pay in a forced transaction, involuntary liquidation, or distress sale. An entity, however, may need to take its current economic or operating situation into account in determining the fair values of its assets and liabilities if prescribed or permitted to do so by its financial reporting framework and such framework may or may not specify how that is done. For example, management's plan to dispose of an asset on an accelerated basis to meet specific business objectives may be relevant to the determination of the fair value of that asset.

The measurement of fair value may be relatively simple for certain assets or liabilities, for example, assets that are bought and sold in active and open markets that provide readily available and reliable information on the prices at which actual exchanges occur. The measurement of fair value for other assets or liabilities may be more complex. A specific asset may not have an active market or may possess characteristics that make it necessary for management to estimate its fair value (for example, an investment property or a complex derivative financial instrument). The estimation of fair value may be achieved through the use of a valuation model (for example, a model premised on projections and discounting of future cash flows) or through the assistance of an expert, such as an independent valuer.

The uncertainty associated with an item, or the lack of objective data may make it incapable of reasonable estimation, in which case, the auditor considers whether the auditor's report needs modification.

3.2 Understanding the Entity's Process for Determining Fair Value

Measurements and Disclosures and Relevant Control Activities, and Assessing Risk. As part of the understanding of the entity and its environment, including its internal control, the auditor should obtain an understanding of the entity's process for determining fair value measurements and disclosures and of the relevant control activities sufficient to identify and assess the risks of material misstatement at the assertion level and to design and perform further audit procedures.

Management is responsible for establishing an accounting and financial reporting process for determining fair value measurements. In some cases, the measurement of fair value and therefore the process set up by management to determine fair value may be simple and reliable. For example, management may be able to refer to published price quotations to determine fair value for marketable securities held by the entity. Some fair value measurements, however, are inherently more complex than others and involve uncertainty about the occurrence of future events or their outcome, and therefore assumptions that may involve the use of judgment need to be made as part of the measurement process. The auditor¡¯s understanding of the measurement process, including its complexity, helps identify and assess the risks of material misstatement in order to determine the nature, timing and extent of the further audit procedures.

When obtaining an understanding of the entity's process for determining fair value measurements and disclosures, the auditor considers, for example:
The relevant control activities over the process used to determine fair value measurements, including, for example, controls over data and the segregation of duties between those committing the entity to the underlying transactions and those responsible for undertaking the valuations.

- The expertise and experience of those persons determining the fair value measurements.
- The role that information technology has in the process.
- The types of accounts or transactions requiring fair value measurements or disclosures (for example, whether the accounts arise from the recording of routine and recurring transactions or whether they arise from non-routine or unusual transactions).
- The extent to which the entity's process relies on a service organization to provide fair value measurements or the data that supports the measurement.
- The significant management assumptions used in determining fair value.
- The documentation supporting management¡¯s assumptions.
  The methods used to develop and apply management assumptions and to monitor changes in those assumptions.
- The integrity of change controls and security procedures for valuation models and relevant information systems, including approval processes.

The controls over the consistency, timeliness and reliability of the data used in valuation models.

After obtaining an understanding of the entity's process for determining fair value measurements and disclosures, the auditor should identify and assess the risks of material misstatement at the assertion level related to the fair value measurements and disclosures in the financial statements to determine the nature, timing and extent of the further audit procedures.

The degree to which a fair value measurement is susceptible to misstatement is an inherent risk. Consequently, the nature, timing and extent of the further audit procedures will depend upon the susceptibility to misstatement of a fair value measurement and whether the process for determining fair value measurements is relatively simple or complex.

As fair value determinations often involve subjective judgments by management, this may affect the nature of control activities that are capable of being implemented.

The susceptibility to misstatement of fair value measurements also may increase as the accounting and financial reporting requirements for fair value measurements become more complex. The auditor considers the inherent limitations of controls in such circumstances in assessing the risk of material misstatement.

3.3 Evaluating the Appropriateness of Fair Value Measurements and Disclosures

The auditor should evaluate whether the fair value measurements and disclosures in the financial statements are in accordance with the entity's applicable financial reporting framework.

The auditor's understanding of the requirements of the applicable financial reporting framework and knowledge of the business and industry, together with the results of other audit procedures, are used to assess whether the accounting for assets or liabilities requiring fair value measurements is appropriate, and whether the disclosures about the fair value measurements and significant uncertainties related thereto are appropriate under the entity's applicable financial reporting framework.

The evaluation of the appropriateness of the entity's fair value measurements under its applicable financial reporting framework and the evaluation of audit evidence depends, in part, on the auditor's knowledge of the nature of the business. This is particularly true where the asset or liability or the valuation method is highly complex. For example, derivative financial instruments may be highly complex, with a risk that differing interpretations of how to determine fair values will result in different conclusions. The measurement of the fair value of some items, for example 'in-process research and development' or intangible assets acquired in a business combination, may involve special considerations that are affected by the nature of the entity and its operations if such considerations are appropriate under the entity's applicable financial reporting framework. Also, the auditor's knowledge of the business, together with the results of other audit procedures, may help identify assets for which management needs to recognize an impairment by using a fair value measurement pursuant to the entity's applicable financial reporting framework.

Where the method for measuring fair value is specified by the applicable financial reporting framework, for example, the requirement that the fair value of a marketable security be measured using quoted market prices as opposed to using a valuation model, the auditor considers whether the measurement of fair value is consistent with that method.

Some financial reporting frameworks presume that fair value can be measured reliably for assets or liabilities as a prerequisite to either requiring or permitting fair value measurements or disclosures. In some cases, this presumption may be overcome when an asset or liability does not have a quoted market price in an active market and for which other methods of reasonably estimating fair value are clearly inappropriate or unworkable. When management has determined that it has overcome the presumption that fair value can be reliably determined, the auditor obtains sufficient appropriate

audit evidence to support such determination, and whether the item is properly accounted for under the applicable financial reporting framework.

The auditor should obtain audit evidence about managements intent to carry out specific courses of action, and consider its ability to do so, where relevant to the fair value measurements and disclosures under the entity's applicable financial reporting framework.

In some financial reporting frameworks, management's intentions with respect to an asset or liability are criteria for determining measurement, presentation, and disclosure requirements, and how changes in fair values are reported within financial statements. In such financial reporting frameworks, management's intent is important in determining the appropriateness of the entity's use of fair value. Management often documents plans and intentions relevant to specific assets or liabilities and the applicable financial reporting framework may require it to do so. While the extent of audit evidence to be obtained about management's intent is a matter of professional judgment, the auditor's procedures ordinarily include inquiries of management, with appropriate corroboration of responses, for example, by:

- Considering management's past history of carrying out its stated intentions with respect to assets or liabilities.
- Reviewing written plans and other documentation, including, where applicable, budgets, minutes, etc.
- Considering management's stated reasons for choosing a particular course of action.
- Considering management's ability to carry out a particular course of action given the entity's economic circumstances, including the implications of its contractual commitments.

The auditor also considers management's ability to pursue a specific course of action if ability is relevant to the use, or exemption from the use, of fair value measurement under the entity's applicable financial reporting framework.

Where alternative methods for measuring fair value are available under the entity's applicable financial reporting framework, or where the method of measurement is not prescribed, the auditor should evaluate whether the method of measurement is appropriate in the circumstances under the entity's applicable financial reporting framework.

Evaluating whether the method of measurement of fair value is appropriate in the circumstances requires the use of professional judgment. When management selects one particular valuation method from alternative methods available under the entity's applicable financial reporting framework, the auditor obtains an understanding of

management's rationale for its selection by discussing with management its reasons for selecting the valuation method. The auditor considers whether:

(a) Management has sufficiently evaluated and appropriately applied the criteria, if any, provided in the applicable financial reporting framework to support the selected method;

(b) The valuation method is appropriate in the circumstances given the nature of the asset or liability being valued and the entity's applicable financial reporting framework; and

(c) The valuation method is appropriate in relation to the business, industry and environment in which the entity operates.

Management may have determined that different valuation methods result in a range of significantly different fair value measurements. In such cases, the auditor evaluates how the entity has investigated the reasons for these differences in establishing its fair value measurements.

The auditor should evaluate whether the entity's method for its fair value measurements is applied consistently.

Once management has selected a specific valuation method, the auditor evaluates whether the entity has consistently applied that basis in its fair value measurement, and if so, whether the consistency is appropriate considering possible changes in the environment or circumstances affecting the entity, or changes in the requirements of the entity's applicable financial reporting framework. If management has changed the valuation method, the auditor considers whether management can adequately demonstrate that the valuation method to which it has changed provides a more appropriate basis of measurement, or whether the change is supported by a change in the requirements of the entity's applicable financial reporting framework or a change in circumstances.
For example, the introduction of an active market for a particular class of asset or liability may indicate that the use of discounted cash flows to estimate the fair value of such asset or liability is no longer appropriate.

3.4 Using the Work of an Expert

The auditor should determine the need to use the work of an expert. The auditor may have the necessary skill and knowledge to plan and perform audit procedures related to fair values or may decide to use the work of an expert.

When planning to use the work of an expert, the auditor considers whether the expert's understanding of the definition of fair value and the method that the expert will use to determine fair value are consistent with that of management and the requirements of the applicable financial reporting framework. For example, the method used by an expert for estimating the fair value of real estate or a complex derivative, or the actuarial methodologies developed for making fair value estimates of insurance obligations, reinsurance receivables and similar items, may not be consistent with the measurement principles of the applicable financial reporting framework. Accordingly, the auditor considers such matters, often by discussing, providing or reviewing instructions given to the expert or when reading the report of the expert.

While the reasonableness of assumptions and the appropriateness of the methods used and their application are the responsibility of the expert, the auditor obtains an understanding of the significant assumptions and methods used, and considers whether they are appropriate, complete and reasonable, based on the auditor's knowledge of the business and the results of other audit procedures. The auditor often considers these matters by discussing them with the expert.

3.5 Fair Value Measurements and Disclosures

The auditor should design and perform further audit procedures in response to assessed risks of material misstatement of assertions relating to the entity's fair value measurements and disclosures.

Because of the wide range of possible fair value measurements, from relatively simple to complex, the auditor's procedures can vary significantly in nature, timing and extent. For example, substantive procedures relating to the fair value measurements may involve (a) testing management's significant assumptions, the valuation model, and the underlying data (b) developing independent fair value estimates to corroborate the appropriateness of the fair value measurement or (c) considering the effect of subsequent events on the fair value measurement and disclosures.

The existence of published price quotations in an active market ordinarily is the best audit evidence of fair value. Some fair value measurements, however, are inherently more complex than others. This complexity arises either because of the nature of the item being measured at fair value or because of the valuation method required by the applicable financial reporting framework or selected by management. For example, in the absence of quoted prices in an active market, some financial reporting frameworks permit an estimate of fair value based on an alternative basis such as a discounted cash flow analysis or a comparative transaction model. Complex fair value measurements normally are characterized by greater uncertainty regarding the reliability of the measurement process. This greater uncertainty may be a result of the following:

- Length of the forecast period.
- The number of significant and complex assumptions associated with the process.
- A higher degree of subjectivity associated with the assumptions and factors used in the process.
- A higher degree of uncertainty associated with the future occurrence or outcome of events underlying the assumptions used.
- Lack of objective data when highly subjective factors are used.

The auditor's understanding of the measurement process, including its complexity, helps guide the auditor's determination of the nature, timing and extent of audit procedures to be performed. The following are examples of considerations in the development of audit procedures:

- Using a price quotation to obtain audit evidence about valuation may require an understanding of the circumstances in which the quotation was developed. For example, where quoted securities are held for investment purposes, valuation at the listed market price may require adjustment under the entity's applicable financial reporting framework if the holding is significantly large in size or is subject to restrictions in marketability.

- When using audit evidence provided by a third party, the auditor considers its reliability. For example, when information is obtained through the use of external confirmations, the auditor considers the respondent's competence, independence, authority to respond, knowledge of the matter being confirmed, and objectivity in order to be satisfied with the reliability of the evidence. The extent of such audit procedures will vary according to the assessed risk of material misstatement associated with the fair value measurements.

- Audit evidence supporting fair value measurements, for example, a valuation by an independent valuer, may be obtained at a date that does not coincide with the date at which the entity is required to measure and report that information in its financial statements. In such cases, the auditor obtains audit evidence that management has taken into account the effect of events, transactions and changes in circumstances occurring between the date of fair value measurement and the reporting date.

- Collateral often is assigned for certain types of investments in debt instruments that either are required to be measured at fair value or are evaluated for possible impairment. If the collateral is an important factor in measuring the fair value of the investment or evaluating its carrying amount, the auditor obtains sufficient appropriate audit evidence regarding

the existence, value, rights and access to or transferability of such collateral, including consideration whether all appropriate liens have been filed, and considers whether appropriate disclosures about the collateral have been made under the entity's applicable financial reporting framework.

- In some situations, additional audit procedures, such as the inspection of an asset by the auditor, may be necessary to obtain sufficient appropriate audit evidence about the appropriateness of a fair value measurement. For example, inspection of an investment property may be necessary to obtain information about the current physical condition of the asset relevant to its fair value, or inspection of a security may reveal a restriction on its marketability that may affect its value.

3.6 Testing Management's Significant Assumptions, the Valuation Model, and the Underlying Data

The auditor's understanding of the reliability of the process used by management to determine fair value is an important element in support of the resulting amounts and therefore affects the nature, timing, and extent of further audit procedures. A reliable process for determining fair value is one that results in reasonably consistent measurement and, where relevant, presentation and disclosure of fair value when used in similar circumstances. When obtaining audit evidence about the entity's fair value measurements and disclosures, the auditor evaluates whether:

(a) The assumptions used by management are reasonable;
(b) The fair value measurement was determined using an appropriate model, if applicable; and
(c) Management used relevant information that was reasonably available at the time.

Estimation techniques and assumptions and the auditor's consideration and comparison of fair value measurements determined in prior periods, if any, to results obtained in the current period may provide audit evidence of the reliability of management's processes. However, the auditor also considers whether such variances result from changes in economic circumstances.

Where the auditor determines there is a significant risk related to fair values, or where otherwise applicable, the auditor should evaluate whether the significant assumptions used by management in measuring fair values, taken individually and as a whole, provide a reasonable basis for the fair value measurements and disclosures in the entity's financial statements.

It is necessary for management to make assumptions, including assumptions relied upon by management based upon the work of an expert, to develop fair value measurements. For these purposes, managements assumptions also include those assumptions developed under the guidance of those charged with governance. Assumptions are integral components of more complex valuation methods, for example valuation methods that employ a combination of estimates of expected future cash flows together with estimates of the values of assets or liabilities in the future, discounted to the present. Auditors pay particular attention to the significant assumptions underlying a valuation method and evaluate whether such assumptions are reasonable. To provide a reasonable basis for the fair value measurements and disclosures, assumptions need to be relevant, reliable, neutral, understandable and complete.

Specific assumptions will vary with the characteristics of the asset or liability being valued and the valuation method used (for example, replacement cost, market or an income-based approach). For example, where discounted cash flows (an income-based approach) are used as the valuation method, there will be assumptions about the level of cash flows, the period of time used in the analysis, and the discount rate.

Assumptions ordinarily are supported by differing types of audit evidence from internal and external sources that provide objective support for the assumptions used. The auditor assesses the source and reliability of audit evidence supporting management's assumptions, including consideration of the assumptions in light of historical information and an evaluation of whether they are based on plans that are within the entity's capacity.

Audit procedures dealing with management's assumptions are performed in the context of the audit of the entity's financial statements. The objective of the audit procedures is therefore not intended to obtain sufficient appropriate audit evidence to provide an opinion on the assumptions themselves. Rather, the auditor performs audit procedures to consider whether the assumptions provide a reasonable basis in measuring fair values in the context of an audit of the financial statements taken as a whole.

Identifying those assumptions that appear to be significant to the fair value measurement requires the exercise of judgment by management. The auditor focuses attention on significant assumptions. Generally, significant assumptions cover matters that materially affect the fair value measurement and may include those that are:

(a) Sensitive to variation or uncertainty in amount or nature. For example, assumptions about short-term interest rates may be less susceptible to significant variation compared to assumptions about long-term interest rates; and
(b) Susceptible to misapplication or bias.

The auditor considers the sensitivity of the valuation to changes in significant assumptions, including market conditions that may affect the value. Where applicable, the auditor encourages management to use such techniques as sensitivity analysis to help identify particularly sensitive assumptions. In the absence of such management analysis, the auditor considers whether to employ such techniques. The auditor also considers whether the uncertainty associated with a fair value measurement, or the lack of objective data may make it incapable of reasonable estimation under the entity's applicable financial reporting framework.

The consideration of whether the assumptions provide a reasonable basis for the fair value measurements relates to the whole set of assumptions as well as to each assumption individually. Assumptions are frequently interdependent, and therefore, need to be internally consistent. A particular assumption that may appear reasonable when taken in isolation may not be reasonable when used in conjunction with other assumptions. The auditor considers whether management has identified the significant assumptions and factors influencing the measurement of fair value.

The assumptions on which the fair value measurements are based (for example, the discount rate used in calculating the present value of future cash flows) ordinarily will reflect what management expects will be the outcome of specific objectives and strategies. To be reasonable, such assumptions, individually and taken as a whole, also need to be realistic and consistent with:

(a) The general economic environment and the entity's economic circumstances;
(b) The plans of the entity;
(c) Assumptions made in prior periods, if appropriate;
(d) Past experience of, or previous conditions experienced by, the entity to the extent currently applicable;
(e) Other matters relating to the financial statements, for example, assumptions used by management in accounting estimates for financial statement accounts other than those relating to fair value measurements and disclosures; and
(f) If applicable, the risk associated with cash flows, including the potential variability of the cash flows and the related effect on the discounted rate.

Where assumptions are reflective of management's intent and ability to carry out specific courses of action, the auditor considers whether they are consistent with the entity.

If management relies on historical financial information in the development of assumptions, the auditor considers the extent to which such reliance is justified. However, historical information might not be representative of future conditions or

events, for example, if management intends to engage in new activities or circumstances change.

For items valued by the entity using a valuation model, the auditor is not expected to substitute his or her judgment for that of the entity's management. Rather, the auditor reviews the model, and evaluates whether the model is appropriate and the assumptions used are reasonable. For example, it may be inappropriate to use a discounted cash flow method in valuing an equity investment in a start-up enterprise if there are no current revenues on which to base the forecast of future earnings or cash flows.

The auditor should perform audit procedures on the data used to develop the fair value measurements and disclosures and evaluate whether the fair value measurements have been properly determined from such data and management's assumptions.

The auditor evaluates whether the data on which the fair value measurements are based, including the data used in the work of an expert, are accurate, complete and relevant; and whether the fair value measurements have been properly determined using such data and management's assumptions. The auditor's procedures also may include, for example, audit procedures such as verifying the source of the data, mathematical recalculation and reviewing of information for internal consistency, including whether such information is consistent with management's intent to carry out specific courses of action

3.7 Developing Independent Fair Value Estimates for Corroborative Purposes

The auditor may make an independent estimate of fair value (for example, by using an auditor-developed model) to corroborate the entity's fair value measurement. When developing an independent estimate using management assumptions, the auditor evaluates those assumptions. Instead of using management's assumptions the auditor may develop separate assumptions to make a comparison with management's fair value measurements. In that situation, the auditor nevertheless understands management's assumptions. The auditor uses that understanding to determine that the auditor's model considers the significant variables and to evaluate any significant difference from management's estimate. The auditor also performs audit procedures on the data used to develop the fair value measurements and disclosures.

Subsequent Events

The auditor should consider the effect of subsequent events on the fair value measurements and disclosures in the financial statements.

Transactions and events that occur after period-end but prior to completion of the audit may provide appropriate audit evidence regarding the fair value measurements made by management. For example, a sale of investment property shortly after the period-end may provide audit evidence relating to the fair value measurement.

In the period after a financial statement period-end, however, circumstances may change from those existing at the period-end. Fair value information after the period-end may reflect events occurring after the period-end and not the circumstances existing at the balance sheet date. For example, the prices of actively traded marketable securities that change after the period-end ordinarily do not constitute appropriate audit evidence of the values of the securities that existed at the period-end.

3.8 Disclosures about Fair Values

The auditor should evaluate whether the disclosures about fair values made by the entity are in accordance with its financial reporting framework.

Disclosure of fair value information is an important aspect of financial statements in many financial reporting frameworks. Often, fair value disclosure is required because of the relevance to users in the evaluation of an entity's performance and financial position. In addition to the fair value information required by the applicable financial reporting framework, some entities disclose voluntary additional fair value information in the notes to the financial statements.

When auditing fair value measurements and related disclosures included in the notes to the financial statements, whether required by the applicable financial reporting framework or disclosed voluntarily, the auditor ordinarily performs essentially the same types of audit procedures as those employed in auditing a fair value measurement recognized in the financial statements. The auditor obtains sufficient appropriate audit evidence that the valuation principles are appropriate under the entity¡¯s applicable financial reporting framework, are being consistently applied, and the method of estimation and significant assumptions used are properly disclosed in accordance with the entity's applicable financial reporting framework. The auditor also considers whether voluntary information may be inappropriate in the context of the financial statements. For example, management may disclose a current sales value for an asset without mentioning that significant restrictions under contractual arrangements preclude the sale in the immediate future.

The auditor evaluates whether the entity has made appropriate disclosures about fair value information as called for by its financial reporting framework. If an item contains a high degree of measurement uncertainty, the auditor assesses whether the disclosures are sufficient to inform users of such uncertainty. For example, the auditor might evaluate whether disclosures about a range of amounts, and the assumptions used in

determining the range, within which the fair value is reasonably believed to lie is appropriate under the entity's applicable financial reporting framework, when management considers a single amount presentation not appropriate. Where applicable, the auditor also considers whether the entity has complied with the accounting and disclosure requirements relating to changes in the valuation method used to determine fair value measurements.

When disclosure of fair value information under the applicable financial reporting framework is omitted because it is not practicable to determine fair value with sufficient reliability, the auditor evaluates the adequacy of disclosures required in these circumstances. If the entity has not appropriately disclosed fair value information required by the applicable financial reporting framework, the auditor evaluates whether the financial statements are materially misstated by the departure from the applicable financial reporting framework.

3.9 Evaluating the Results of Audit Procedures

In making a final assessment of whether the fair value measurements and disclosures in the financial statements are in accordance with the entity's applicable financial reporting framework, the auditor should evaluate the sufficiency and appropriateness of the audit evidence obtained as well as the consistency of that evidence with other audit evidence obtained and evaluated during the audit.

When assessing whether the fair value measurements and disclosures in the financial statements are in accordance with the entity¡¯s applicable financial reporting framework, the auditor evaluates the consistency of the information and audit evidence obtained during the audit of fair value measurements with other audit evidence obtained during the audit, in the context of the financial statements taken as a whole. For example, the auditor considers whether there is or should be a relationship or correlation between the interest rates used to discount estimated future cash flows in determining the fair value of an investment property and interest rates on borrowings currently being incurred by the entity to acquire investment property.

3.10 Management Representations

The auditor should obtain written representations from management regarding the reasonableness of significant assumptions, including whether they appropriately reflect management's intent and ability to carry out specific courses of action on behalf of the entity where relevant to the fair value measurements or disclosures.

Depending on the nature, materiality and complexity of fair values, management representations about fair value measurements and disclosures contained in the financial statements also may include representations about the following:

- The appropriateness of the measurement methods, including related assumptions, used by management in determining fair values within the applicable financial reporting framework, and the consistency in application of the methods.
- The basis used by management to overcome the presumption relating to the use of fair value set forth under the entity's applicable financial reporting framework.
    - The completeness and appropriateness of disclosures related to fair values under the entity¡¯s applicable financial reporting framework.
    - Whether subsequent events require adjustment to the fair value measurements and disclosures included in the financial statements.

3.11 Communication with Those Charged with Governance

Because of the uncertainties often involved with some fair value measurements, the potential effect on the financial statements of any significant risks may be of governance interest. For example, the auditor considers communicating the nature of significant assumptions used in fair value measurements, the degree of subjectivity involved in the development of the assumptions, and the relative materiality of the items being measured at fair value to the financial statements as a whole

3.12 Public Sector Perspective

Many governments are moving to accrual accounting and are adopting fair value as the basis of valuation for many classes of the assets and liabilities that they hold, or for disclosures of items in the financial statements. The broad principles as outlined above are therefore applicable to the consideration of the audit of fair value measurements and disclosures included in the financial statements of public sector entities.

Determining the fair value of certain assets or liabilities may be complex where there is no active market. This can be a particular issue in the public sector, where entities have significant holdings of specialized assets. Furthermore, many assets held by public sector entities do not generate cash flows. In these circumstances a fair value or similar current value may be estimated by reference to other valuation methods including, but not limited to, depreciated replacement cost and indexed price method.

SESSION 4: AUDITING PROCEDURES FOR RELATED PARTY TRANSACTIONS, SUBSEQUENT EVENTS AND CONTINGENCIES

Welcome to session 4 of unit 6. Auditing procedures for related party transactions, subsequent events and contingencies are the subject matter for this session. With your accounting knowledge in IAS 24, IAS 10 and IAS 37, you will find this session very friendly, interesting and easy. Enjoy your reading

Objectives

At the end of the session, you should be able to:

(a) explain the terms 'related party transactions' 'post-balance sheet events' and 'contingencies',
(b) outline audit procedures for related party transactions,
(c) outline audit procedures for post-balance sheet events,
(d) outline audit procedures for contingencies

Now read on…

4.1 Related Party Transactions

4.1.1 Introduction

The purpose of this sub-chapter is to establish standards and provide guidance on the auditor's responsibilities and audit procedures regarding related parties and transactions with such parties

The auditor should perform audit procedures designed to obtain sufficient appropriate audit evidence regarding the identification and disclosure by management of related parties and the effect of related party transactions that are material to the financial statements. However, an audit cannot be expected to detect all related party transactions.

Because of the degree of uncertainty associated with the assertions regarding the completeness of related parties, the audit procedures will provide sufficient appropriate audit evidence regarding those assertions in the absence of any circumstance identified by the auditor that:

a) Increases the risk of material misstatement beyond that which would ordinarily be expected; or
b) Indicates that a material misstatement regarding related parties has occurred.

Where there is any indication that such circumstances exist, the auditor should perform modified, extended or additional audit procedures as are appropriate in the circumstances.

Management is responsible for the identification and disclosure of related parties and transactions with such parties. This responsibility requires management to implement adequate internal control to ensure that transactions with related parties are appropriately identified in the information system and disclose in the financial statements.

The auditor needs to have a sufficient understanding of the entity and its environment to enable identification of the events, transactions and practices that may result in a risk of material misstatement regarding related parties and transactions with such parties. While the existence of related parties and transactions between such parties are considered ordinary features of business, the auditor needs to be aware of them because:

a) The applicable financial reporting framework may require disclosure in the financial statements of certain related party relationships and transactions,
b) The existence of related parties or related party transactions may affect the financial statements. For example, the entity's tax liability and expenses may be affected by the tax laws in various jurisdictions which require special consideration when related parties exist;
c) The source of audit evidence affects the auditor's assessment of its reliability. Generally, a greater degree of reliance may be placed on audit evidence that is obtained from or created by unrelated third parties; and
d) A related party transaction may be motivated by other than ordinary business considerations, for example, profit sharing or even fraud.

4.1.2 Existence and Disclosure of Related Parties

The auditor should review information provided by those charged with governance and management identifying the names of all known related parties and should perform the following audit procedures in respect of the completeness of this information:

a) Review prior year working papers for names of known related parties;
b) Review the entity's procedures for identification of related parties;
c) Inquire as to the affiliation of those charged with governance and officers with other entities;
d) Review shareholder records to determine the names of principal shareholders or, if appropriate, obtain a listing of principal shareholders from the share register;
e) Review minutes of the meetings of shareholders and those charged with governance and other relevant statutory records such as the register of directors' interests;

f) Inquire of other auditors currently involved in the audit, or predecessor auditors, as to their knowledge of additional related parties; and
g) Review the entity's income tax returns and other information supplied to regulatory agencies.

If, in the auditor's judgment, there is a lower risk of significant related parties remaining undetected, these procedures may be modified as appropriate.

Where the applicable financial reporting framework requires disclosure of related party relationships, the auditor should be satisfied that the disclosure is adequate.

4.1.3 Transactions with Related Parties

The auditor should review information provided by those charged with governance and management identifying related party transactions and should be alert for other material related part transactions.

When obtaining an understanding of the entity's internal control, the auditor should consider the adequacy of control ac6tivities over the authorization and recording of related party transactions.

During the course of the audit, the auditor needs to be alert for transactions which appear unusual in the circumstances and may indicate the existence of previously unidentified related parties. Examples include the following:

- Transactions which have abnormal terms of trade, such as unusual prices, interest rates, guarantees, and repayment terms.
- Transactions which lack an apparent logical business reason for their occurrence.
- Transactions in which substance differs from form.
- Transactions processed in an unusual manner.
- High volume or significant transactions with certain customers or suppliers as compared with others.
- Unrecorded transactions such as the receipt or provision of management services at no charge.

During the course of the audit, the auditor carries out audit procedures which may identify the existence of transactions with related parties. Examples include the following:

- Performing detailed tests of transactions and balances.
- Reviewing minutes of meetings of shareholders and those charged with governance.

- Reviewing accounting records for large or unusual transactions or balances, paying particular attention to transactions recognized at or near the end of the reporting period.
- Reviewing confirmations of loans receivable and payable and confirmations from banks. Such a review may indicate guarantor relationship and other related party transactions.
- Reviewing investment transactions, for example, purchase or sale of an equity interest in a joint venture or other entity.

4.1.4 Examining Identified Related Party Transactions

In examining the identified related party transactions, the auditor should obtain sufficient appropriate audit evidence as to whether these transactions have been properly recorded and disclosed.

Given the nature of related party relationships, audit evidence of a related party transaction may be limited, for example, regarding the existence of inventory held by a related party on consignment or an instruction from a parent company to a subsidiary to record a royalty expense. Because of the limited availability of appropriate audit evidence about such transactions, the auditor considers performing audit procedures such as:

- Confirming the terms and amount of the transaction with the related party.
- Inspecting information in post chapter of the related party.
- Confirming or discussing information with persons associated with the transaction, such as banks, lawyers, guarantors and agents.

4.1.5 Management Representations

The auditor should obtain a written representation from management concerning:

a) The completeness of information provided regarding the identification of related parties; and
b) The adequacy of related party disclosures in the financial statements

4.1.6 Audit Conclusions and Reporting

If the auditor is unable to obtain sufficient appropriate audit evidence concerning related parties and transactions with such parties or concludes that their disclosure in the financial statements is not adequate, the auditor should modify the auditor's report appropriately.

4.1.7 Public Sector Perspective

In applying the audit principles, auditors have to make reference to legislative requirements which are applicable to public sector entities and employees in respect of related party transactions. Such legislations may prohibit entities and employees from entering into transactions with related parties. There may also be a requi9rement for

public sector employees to declare their interests in entities with which they transact on a professional or commercial basis. Where such legislative requirements exist, the audit procedures would need to be expended to detect instances of non-compliance with these requirements.

While Internal Public Sector Guideline 1, "Financial Reporting" by Government Business Enterprises" indicates that all International Accounting Standards (IASs) apply to business enterprises in the public sector, IAS 24, "Related Party Disclosures" does not require that transactions between state-controlled enterprises be disclosed.

4.2 Auditing Procedures for Subsequent Events

4.2.1 Introduction

The purpose of this sub-chapter is to establish standards and provide guidance on the auditor's responsibility regarding subsequent events and provide guidance on the auditor's responsibility regarding subsequent events.

The term "subsequent events" is used to refer to both events occurring between period end and the date of the auditor's report, and facts discovered after the date of the auditor's report.

The auditor should consider the effect of subsequent events on the financial statements and on the auditor's report.

International Accounting Standard 10, 'Events Occurring After the Statement of financial position Date' deals with the treatment in financial statements of events, both favourable and unfavourable, occurring after period end and identifies two types of events:

a) Those that provide further evidence of conditions that existed at period end; and
b) Those that are indicative of conditions that arose subsequent to period end.

4.2.2 Adjusting Events

Adjusting events are events which provide additional evidence relating to condition s existing at the statement of financial position date. They require changes in amounts to be included in the financial statements. Examples of adjusting events are as follows:

- allowances for inventories and bad debts
- amounts received or receivable in respect of insurance claims which were being negotiated at the balance sheet date
- the discovery or fraud or errors.

An adjusting post balance event requires changes in the amounts to be included in financial statement.

4.2.3 Non-adjusting events:

Non-adjusting events are events which arise after the statement of financial position date and concern conditions which did not exist at that time. Consequently, they do not result in changes in amounts in the financial statements. They may, however, be of such materiality that their disclosure is required by way of notes to ensure that the financial statements are not misleading.

Examples of non-adjusting events which may require disclosure include:

- A major business combination after the balance sheet date
- The destruction of a major production plant by a fire after the balance sheet date
- Abnormally large changes after the balance sheet date in asset prices or foreign exchange rates.

Events occurring up to the date of the auditor's report

The auditor should perform audit procedures designed to obtain sufficient appropriate audit evidence that all events up to the date of the auditor's report that may require adjustment of, or disclosure in, the financial statements have been identified. These procedures are in addition to procedures which may be applied to specific transactions occurring after period end to obtain audit evidence as to account balances as at period end, for example, the testing of inventory cut-off and payments to creditors. The auditor is not, however, expected to conduct a continuing review of all matters to which previously applied audit procedures have provided satisfactory conclusions.

The audit procedures to identify events that may require adjustment of, or disclosure in, the financial statements would be performed as near as practicable to the date of the auditor's report. Such audit procedures take into account the auditor's risk assessment and ordinarily include the following:

- Reviewing procedures management has established to ensure that subsequent events are identified.
- Reading minutes of the meetings of shareholders, those charged with governance, including established committees such as relevant executive committees and the audit committee, held after period end and inquiring about matters discussed at meetings for which minutes are not yet available.
- Reading the entity's latest available interim financial statements and, as considered necessary and appropriate, budgets, cash flow forecasts and other related management reports.
- Inquiring, or extending previous oral or written inquiries of the entity's legal counsel concerning litigation and claims.

- Inquiring of management as to whether any subsequent events have occurred which might affect the financial statements. Examples of inquiries of management on specific matters are:
  - The current status of items that were accounted for on the basis of preliminary or inconclusive data.
  - Whether new commitments, borrowings or guarantees have been entered into.
  - Whether sales or acquisition of assets have occurred or are planned.
  - Whether the issue of new shares or debentures or an agreement to merge or liquidate has been made or is planned.
  - whether any assets have been appropriated by government or destroyed, for example, by fire or flood.
  - Whether there have been any developments regarding risk areas and contingencies.
  - Whether any unusual accounting adjustments have been made or are contemplated.
  - Whether any events have occurred or are likely to occur which will bring into question the appropriateness of accounting policies used in the financial statements as would be the case, for example, if such events call into question the validity of the going concern assumption.

When a component, such as a division, branch or subsidiary, is audited by another auditor, the auditor would consider the other auditor's procedures regarding events after period end and the need to inform the other auditor of the planned date of the auditor's report.

When the auditor becomes aware of events which materially affect the financial statements, the auditor should consider whether such events are properly accounted for and adequately disclosed in the financial statements.

4.2.5 Facts Discovered after Date of the Auditor's Report but before the Financial Statements are Issued

The auditor does not have any responsibility to perform audit procedures or make any inquiry regarding the financial statements after the date of the auditor's report. During the period from the date of the auditor's report to the date the financial statements are issued, the responsibility to inform the auditor of facts which may affect the financial statements rests with management.

When, after the date of the auditor's report but before the financial statements are issued, the auditor becomes aware of a fact which may materially affect the financial statements, the auditor should consider whether the financial statements need amendment, should discuss the matter with management, and should take the action appropriate in the circumstances.

When management amends the financial statements, the auditor would carry out the audit procedures necessary in the circumstances and would provide management with a new report on the amended financial statements. The new auditor's report would be dated not earlier than the date the amended financial statements are signed or approved and, accordingly, the audit procedures would be extended to the date of the new auditor's report.

When management does not amend the financial statements in circumstances where the auditor believes they need to be amended and the auditor's report has not been released to the entity, the auditor should express a qualified opinion or an adverse opinion.

When the auditor's report has been released to the entity, the auditor would notify those charged with governance not to issue the financial statements and the auditor's report thereon to third parties. If the financial statements are subsequently released, the auditor needs to take action to prevent reliance on the auditor's report. The action taken will depend on the auditor's legal rights and obligations and the recommendations of the auditor's lawyer.

4.2.6 Facts Discovered after the Financial Statements have been Issued

After the financial statements have been issued, the auditor has no obligation to make any inquiry regarding such financial statements.

When, after the financial statements have been issued, the auditor becomes aware of a fact which existed at the date of the auditor's report and which, if known at the date, may have caused the auditor to modify the auditor's report, the auditor should consider whether the financial statements need revision, should discuss the matter with management, and should take the action appropriate in the circumstances.

When management revises the financial statements, the auditor would carry out the audit procedures necessary in the circumstances, would review the steps taken by management to ensure that anyone in receipt of the previously issued financial statements together with the auditor's report thereon is informed of the situation, and would issue a new report on the revised financial statements.

The new auditor's report should include an emphasis of a matter paragraph referring to a note to the financial statements that more extensively discuss the reason for the revision of the previously issued financial statements and to the earlier report issued by the auditor. The new auditor's report would be dated not earlier than the date the revised financial statements are approved and, accordingly, the audit procedure would ordinarily be extended to the date of the new auditor's report. Local regulations of some countries permit the auditor to restrict the audit procedures regarding the revised financial statements to the effects of the subsequent event that necessitated the revision. In such cases, the new auditor's report would contain a statement to that effect.

When management does not take the necessary steps to ensure that anyone in receipt of the previously issued financial statements together with the auditor's report thereon is informed of the situation and does not revise the financial statements in circumstances where the auditor believes they need to be revised, the auditor would notify those charged with governance of the entity that action will be taken by the auditor to prevent future reliance on the auditor's report. The action taken will depend on the auditor's legal rights and obligations and the recommendations of the auditor's lawyers.

It may not be necessary to revise the financial statements and issue a new auditor's report when issue of the financial statements for the following period is imminent, provided appropriate disclosures are to be made in such statements.

4.2.7 Offering of Securities to the Public

In cases involving the offering of securities to the public, the auditor should consider any legal and related requirements applicable to the auditor in all jurisdictions in which the securities are being effect. For example, the auditor may be required to carry out additional audit procedures to the date of the final offering document. These procedures would ordinarily include carrying out the audit procedures up to date at or near the effective date of the final offering documents and reading the offering document to assess whether the other information in the offering document is consistent with the financial information with which the auditor is associated.

4.2.8 Accounting Treatment

In respect of each post-statement of financial position event which is required to be disclosed, the following information should be stated by way of notes in the financial statements.

- the nature of the events; and
- an estimate of the financial effect, or a statement that it is nor practicable to make such an estimate

The auditors should consider the effect in the financial statements and on the audit report of subsequent events.

The auditors should perform procedures designed to provide sufficient appropriate audit evidence that all material subsequent events up to the date of the audit report which require adjustment of or disclosure in the financial statements have been identified and properly reflected therein.

The auditors need to focus these procedures on any matters they may have become aware of during the course of the audit which may be susceptible to change after the period end. Such procedures are in addition to routine procedures which may be applied to specific period end, for example the testing of inventory cut-offs and payments to creditors.

4.2.9 Auditing Procedures

The procedures to identify subsequent events which may require adjustments or disclosure in the financial statements need to be performed as near as practicable to the date of the audit report. These procedures include:

- Enquiring into the procedure's management has established to ensure that subsequent events are identified;
- Reading minutes of the meetings of members, the board of directors and audit Executive committees held after period end;
- Enquiring about matters discussed at meetings for which minutes are not yet available.
- Reading the entity's latest available interim financial statements, budgets. Cash flow forecasts and other related management reports and accounting records; and
- Making enquiries of management as to whether any subsequent events have occurred which might affect the financial statements.

Examples of specific enquires which may be made of management are:

- The current status of items involving subjective judgement or which were accounted for on the basis of preliminary data, for example litigation in progress
- Whether new commitments, borrowings or guarantees have been entered into
- Whether sales of assets have occurred or are planned
- Whether the issue of new shares or debentures or an agreement to merge or liquidate has been made or is planned
- Whether any assets have been destroyed, for example by fire or flood
- Whether there have been any developments regarding risk areas and contingencies

- Whether any events have occurred or are likely to occur which might bring into question the appropriateness of accounting policies used in the financial statements as would be the case, for example, if such events might call into question the validity of the going concern presumptions.

When a component such as a division, branch or a subsidiary, is audited by other auditors, the auditors may need to consider the other auditors' procedures regarding subsequent events, any need to inform the other auditors of the planned date of the audit report, and in certain cases may wish to obtain representations from other auditors.

4.2.10 Auditing Procedures for Subsequent Events discovered after the date of the Audit Report but before the Financial Statements are Issued

The auditors do not have any responsibility to perform any enquiry regarding the financial statements after the date of the audit report. However, during the period from the date of the audit report to the date the financial statements are issued (for example to the shareholders) management may reasonably be expected to inform the auditors of any material subsequent events discovered which may affect the financial statement.

When after the date of the audit report but before the financial statements are issued, the auditors become aware of subsequent events which may materially affect the financial statements, the auditors should establish whether the financial statements need amendment, should discuss the matter with management and should consider the implications for their report, taking additional action as appropriate.
When management amends the financial statements, the appropriate action is for the auditors to carry out the audit procedures necessary in the circumstances, to provide management with a new audit report on the amended financial statements, dated not earliest than the date the amended financial statements are approved and to extend the procedures to the date of the new audit report.

When management does not amend the financial statements, in circumstances where the auditors believe they need to be amended and the audit report has not been released to the entity, the appropriate action is for the auditors to issue a qualified audit report.

If, however, in such circumstances the audit report has been released to the entity, the auditors need to request management not to issue the financial statements. If the financial statements are subsequently issued, the auditors need to take action to prevent reliance on the auditor's report and may need to take legal advice.

4.2.11 Audit Procedures for Subsequent Events Discovered after the Financial Statements have been Issued but before they are laid before the Members

After the financial statements have been issued, the auditors have no obligations to make any enquiry regarding such financial statements.

When, after the financial statements have been issued, but before they have been laid before the members or equivalent, the auditors become aware of subsequent events which had occurred by the date of the audit report and which, if known at the date, might have caused the auditors to issue a different audit report, the auditors should consider whether the financial statements need amendment, should discuss the matter with management, and should consider the implications for their report, taking additional action as appropriate.

When management amends the financial statements, the appropriate action is for the auditors to:

- carry out the audit procedures necessary in the circumstances;
- consider whether stock exchange regulations require the amendment to be publicised
- consider whether there is any requirement to communicate with any regulatory body
- review the steps taken by management to ensure that anyone in receipt of the previously issued financial statements together with the auditors report thereon is informed of the situation, and
- issue a new report on the amended financial statements

When auditors issue a new audit report, the appropriate action is for them to:

- refer (in an explanatory paragraph) to the note to the financial statements which more extensively discusses the reason for the amendment of the previously issued financial statements or to set out such reason in their report;
- refer to the earlier report issued by the auditors on the financial statements
- date the new audit report not earlier than the date the amended financial statements are approved.

When management does not take the necessary steps to ensure that those in receipt of the previously issued financial statements together with the audit report thereon are informed of the situation, and does not amend the financial statements in circumstances where the auditors believe they need to be amended, the auditors need to notify management that action is to be taken by the auditors to prevent future reliance on the audit report and may need to take legal advice.

4.3 Contingencies

4.3.1 Definition

The term contingency is applied to a condition which exists at the statement of financial position date, where the outcome will be confirmed only on the occurrence or non-occurrence of one or more uncertain future events. Uncertainties connected with accounting estimates do not fall within the scope of this definition, for example the lives of fixed assets, the amounts of bad debts, the net realisable value of inventories, the expected outcome of long-term contracts or the valuation of properties and foreign currency balances.

4.3.2 Accounting Treatment

Contingencies existing at the statement of financial position date should be taken into account when preparing financial statements. Estimates of the outcome and of the financial effect of contingencies should be made by the board of directors of the company. These estimates will be based on consideration of information available up to the date on which the financial statements are approved by the board of directors and will include a review of events occurring after the statement of financial position date. As an example, in the case of a substantial legal claim against a company, the factors to be considered would include the progress of the claims at the date on which the financial statements are approved, the opinion of legal experts or other advisers and the experience of the company in similar cases.

A material contingent loss should be accrued in financial statements where it is probable that a future event will confirm a loss which can be estimated with reasonable accuracy at the date on which the financial statements are approved by the board of directors.

A material contingent loss not accrued should be disclosed except where the possibility of loss is remote.

Contingent gains should not be accrued in financial statements. A material contingent gain should be disclosed in financial statements only if it is probable that the gain will be realised. When the realisation of the gain becomes reasonably certain, then such a gain is not a contingency, and accrual is appropriate.

A material contingency which is not accounted for should be disclosed by way of notes in order to ensure that financial statements do not present a misleading position. Such disclosures should indicate

- the nature of the contingency
- the uncertainties which are expected to affect the ultimate outcome

- a prudent estimate of the financial effect made at the date on which the financial statements are approved by the board of directors, or a statement that it is not practicable to make such estimate

Where there is disclosure of an estimate of the financial effect of a contingency, the amount disclosure should be the potential financial effect. In the case of a contingent loss, this should be reduced by:

- any amount accrued, and
- the amount of any components where the possibility of loss is remote. The net amount only need be disclosed.

The estimate of the financial effect should be disclosed before taking account of taxation, and the taxation implications of a contingency crystallising should be explain3d where necessary for a proper understanding of the financial position.

4.3.3 Auditing Procedures

The following auditing procedures relate to obtaining audit evidence about contingencies:

- Review the client's system of recording claims and the procedure for bringing these to the attention of the management or board.
- Discuss the arrangements for instructing solicitors with official responsible for legal matters.
- Examine the minutes of the Board of Directors and or executives or other relevant committee for references to, or indications of, possible claim.
- Examine bills rendered by solicitors and correspondence with them, in which connection the solicitors should be requested to furnish bills or estimates of charges to date, or to confirm that they have no unbilled charges.
- Obtain a list of matters referred to solicitors from the appropriate director or official with estimates of the possible ultimate liabilities
- Obtain written assurances from the appropriate directors or officials that they are not aware of any matters referred to solicitors other than those disclosed
- Consider whether contingencies from last year may still be applicable
- Consider whether the nature of the client's business make certain contingencies likely (e.g. warranty claims).

Self Assessment Questions

Exercise 6.4

1 What general procedures should auditors carry out when reviewing post balance sheet events?

2 What information relating to after the balance sheet date might be relevant, and why, in the following areas:
   (i) Stock
   ii) Trade creditors and accruals

3a Why can the audit of contingencies pose problems for auditors?

b) How should auditors obtain evidence about legal claims in which clients are involved?

This is a blank sheet for your short notes on:

- issues that are not clear, and;
- difficult topics if any.

SESSION 5: GOING CONCERN EVALUATION

We are now in the pen-ultimate session of this manual Congratulation. The purpose of this session is to establish standards and provide guidance ion the auditor's responsibility in the audit of financial statements with respect to the going concern assumption used in the preparation of the financial statements, including considering management's assessment of the entity's ability to continue as a going concern. When planning and performing audit procedures and in evaluating the results thereof, the auditor should consider the appropriateness of management's use of the going concern assumption in the preparation of the financial statements.

Objectives

After reading through the chapter, the learner should be able to:

(a) identify factors that show that a business is facing going-concern difficulty
(b) describe the audit evidence to be gathered in relation to going-concern status of a business
(c) describe the auditing procedures required in assessing going concern disclosures in financial statements

Now read on…

5.1 Management's Responsibility

The going concern assumption is a fundamental principle in the preparation of financial statements. Under the going concern assumption, an entity is ordinarily viewed as continuing in business for the foreseeable future with neither the intention nor the necessity of liquidation, ceasing trading or seeking protection from creditors pursuant to laws or regulations. Accordingly, assets and liabilities are recorded on the basis that the entity will be able to realize its assets and discharge its liabilities in the normal course of business.

Some financial reporting frameworks contain an explicit requirement for management to make a specific assessment of the entity's ability to continue as a going concern, and standards regarding matters to be considered and disclosures to be made in connection with going concern. For example, International Accounting Standard 1 "Presentation of Financial Statements" requires management to make an assessment of an enterprise's ability to continue as a going concern.

In other financial reporting frameworks, there may be no explicit requirement for management to make a specific assessment of the entity's ability to continue as a going concern. Nevertheless, since the going concern assumption is a fundamental principle

in the preparation of the financial statements, management has a responsibility to assess the entity's ability to continue as a going concern even if the financial reporting framework does not include an explicit responsibility to do so.

When there is a history of profitable operations and a ready access to financial resources, management may make its assessment without detailed analysis.

Management's assessment of the going concern assumption involves making a judgment, at a particular point in time, about the future outcome of events or conditions which are inherently uncertain. The following factors are relevant:

- In general terms, the degree of uncertainty associated with the outcome of an event or condition increases significantly the further into the future a judgment is being made about the outcome of an event or condition. For that reason, most financial reporting frameworks that require an explicit management assessment specify the period for which management is required to take into account all available information.
- Any judgment about the future is based on information available at the time at which the judgment is made. Subsequent events can contradict a judgment which was reasonable at the time it was made.
- the size and complexity of the entity, the nature and condition of its business and the degree to which it is affected by external factors all affect the judgment regarding the outcome of events or conditions.

Examples of events or conditions, which may give rise to business risks, that individually or collectively may cast significant doubt about the going concern assumption are set out below. This listing is not all-inclusive nor does the existence of one or more of the items always signify that a material uncertainty exist.

Financial

- Net liability or net current liability position.
- Fixed-term borrowings approaching maturity without realistic prospects of renewal or repayment; or excessive reliance on short-term borrowings to finance long-term assets.
- Indications of withdrawal of financial support by debtors and other creditors.
- Negative operating cash flows indicated by historical or prospective financial statements.
- Adverse key financial ratios.
- Substantial operating losses or significant deterioration in the value of assets used to generate cash flows.
- Arrears or discontinuance of dividends.
- Inability to pay creditors on due dates.
- Inability to comply with the terms of loan agreements.

- Change from credit to cash-on-delivery transactions with suppliers.
- Inability to obtain financing for essential new product development or other essential investments.

Operating
- Loss of key management without replacement.
- Loss of a major market, franchise, license, or principal supplier.
- Labour difficulties or shortages of important supplies.

Other
- Non-compliance with capital or other statutory requirements.
- Pending legal or regulatory proceedings against the entity that may, if successful, result in claims that are unlikely to be satisfied.
- Changes in legislation or government policy expected to adversely affect the entity.

The significance of such events or conditions often can be mitigated by other factors. For example, the effect of an entity being unable to make its normal debt repayments may be counter-balanced by management's plans to maintain adequate cash flows by alternative means, such as by disposal of assets, rescheduling of loan repayments, or obtaining additional capital. Similarly, the loss of a principal supplier may be mitigated by the availability of a suitable alternative source of supply.

5.2 Auditor's Responsibility

The auditor's responsibility is to consider the appropriateness management's use of the going concern assumption in the preparation of the financial statements, and consider whether there are material uncertainties about the entity's ability to continue as a going concern that need to be disclosed in the financial statements.

The auditor considers the appropriateness of management's use of the going concern assumption even if the financial reporting framework used in the parathion of the financial statements does not include an explicit requirement for management to make a specific assessment of the entity's ability to continue as a going concern.

The auditor cannot predict future events or conditions that may cause an entity to cease to continue as a going concern. Accordingly, the absence of any reference to going concern uncertainty in an auditor's report cannot be viewed as a guarantee as to the entity's ability to continue as a going concern.

5.3 Planning the Audit and Performing Risk Assessment Procedures

In obtaining an understanding of the entity, the auditor should consider whether there are events or conditions and related business risks which may cast significant doubt on the entity's ability to continue as a going concern.

The auditor should remain alert for audit evidence of events or conditions and related business risks which may cast significant doubt on the entity's ability to continue as a going concern in performing audit procedures throughout the audit. If such events or conditions are identified, the auditor should, in addition to performing the procedures in paragraph 26, consider whether they affect the auditor's assessment of the risks of material misstatement.

5.4 Evaluating Management's Assessment

The auditor should evaluate management's assessment of the entity's ability to continue as a going concern.

The auditor should consider he same period as that used by management in making its assessment under the applicable financial reporting framework. If management's assessment of the entity's ability to continue as a going concern covers less than twelve months from the statement of financial position date, the auditor should ask management to extend its assessment period to twelve months from the statement of financial position date.

5.5 Period beyond Management's Assessment

The auditor should inquire of management as to its knowledge of events or conditions and related business risks beyond the period of assessment used by management that may cast significant doubt on the entity's ability to continue as a going concern.

The auditor is alert to the possibility that there may be known events, scheduled or otherwise, or conditions that will occur beyond the period of assessment used by management that may bring into question the appropriateness of management's use of the going concern assumption in preparing the financial statements. The auditor may become aware of such known events or conditions during the planning and performance of the audit, including subsequent events procedures.

Since the degree of uncertainty associated with the outcome of an event or condition increases as the event or condition is further into the future, in considering such events or conditions, the indications of going concern issued will need to be significant before the auditor considers taking further action. The auditor may need to ask management to determine the potential significance of the event or condition on their going concern assessment.

The auditor does not have a responsibility to design audit procedures other than inquiry of management to test for indications of events or conditions which cast significant doubt on the entity's ability to continue as a going concern beyond the period assessed by management which, would be at least twelve months from the statement of financial position date.

5.6 Further Audit Procedures when Events or Conditions are Identified

When events or conditions have been identified which may cast significant doubt on the entity's ability to continue as a going concern, the auditor should:

a) Review management's plans for future actions based on its going concern assessment;

b) Gather sufficient appropriate audit evidence to confirm or dispel whether or not a material uncertainty exists through carrying out audit procedures considered necessary, including considering the effect of any plans of management and other mitigating factors; and

c) Seek written representations from management regarding its plans for future action.

Events of conditions which may cast significant doubt on the entity's ability to continue as a going concern may be identified in performing risk assessment procedures or in the course of performing further audit procedures. The process of considering events or conditions continues as the audit progresses. When the auditor believes such events or conditions may cast significant doubt on the entity's ability to continue as a going concern, certain audit procedures may take on added significance. The auditor inquires of management as to its pans for future action, including its plans to liquidate assets, borrow money or restructure debt, reduce or delay expenditures, or increase capital. The auditor also considers whether any additional facts or information are available since the date on which management made its assessment. The auditor obtains sufficient appropriate audit evidence that management's plans are feasible and that the outcome of these plans will improve the situation.

Audit procedures that are relevant in this regard may include the following:

- Analyzing and discussing cash flow, profit and other relevant forecasts with management.
- Analyzing and discussing the entity's latest available interim financial statements.
- Reviewing the terms of debentures and loan agreements and determining whether any have been breached.
- Reading minutes of the meetings of shareholders, those charged with governance and relevant committees for reference to financing difficulties.

- Inquiring of the entity's lawyer regarding the existence of litigation and claims and the reasonableness of management's assessments of their outcome and the estimate of their financial implications.
- Confirming the existence, legality and enforceability of arrangements to provide or maintain financial support with related and third parties and assessing the financial ability of such parties to provide additional funds.
- Considering the entity's plans to deal with unfilled customer orders.
    - Reviewing events after period end to identify those that either mitigate or otherwise affect the entity's ability to continue as a going concern.

When analysis of cash flow is a significant factor in considering the future outcome of events or conditions the auditor considers:

a) The reliability of the entity's information system for generating such information; and
b) Whether there is adequate support for the assumptions underlying the forecast.

In addition, the auditor compares:

a) The prospective financial information for recent prior periods with historical results; and
b) The prospective financial information for the current period with results achieved to date.

5.7 Audit Conclusion and Reporting

Based on the audit evidence obtained, the auditor should determine if, in the auditor's judgment, a material uncertainty exists related to events or conditions that alone or in aggregate, may cast significant doubt on the entity's ability to continue as a going concern.

A material uncertainty exists when the magnitude of its potential impact is such that, in the auditor's judgment, clear disclosure of the nature and implications of the uncertainty is necessary for the presentation of the financial statements not to be misleading.

5.8 Going Concern Assumption Appropriate but a Material Uncertainty Exists

If the use of the going concern assumption is appropriate but a material uncertainty exists, the auditor considers whether the financial statements:

a) Adequately describe the principal events or conditions that give rise to the significant doubt on the entity's ability to continue in operation and management's plans to deal with these events or conditions; and

b) State clearly that there is a material uncertainty related to events or conditions which may cast significant doubt on the entity's ability to continue as a going concern and, therefore, that it may be unable to realize its assets and discharge its liabilities in the normal course of business.

If adequate disclosure is made in the financial statements, the auditor should express an unqualified opinion but modify the auditor's report by adding an emphasis of matter paragraph that highlights the existence of a material uncertainty relating to the event or condition that may cast significant doubt on the entity's ability to continue as a going concern

If adequate disclosure is not made in the financial statements, the auditor should express a qualified or adverse opinion, as appropriate. The report should include specific reference to the fact that there is a material uncertainty that may cast significant doubt about the entity's ability to continue as going concern. The following is an example of the relevant paragraphs when a qualified opinion is to be expressed:

"The company's financing arrangements expire and amounts outstanding are payable on December 31, 20XX. The company has been unable to re-negotiate or obtain replacement financing. This may cast significant doubt on the company's ability to continue as a going concern and therefore it may be unable to realize its assets and discharge its liabilities in the normal course of business. The financial statements (and notes thereto) do not disclose this fact.

In our opinion, except for the omission of the information included in the preceding paragraph, the financial statements give a true and fair view of (present fairly, in all material respects) the financial position of the Company at December 31, 20XX and the results of its operations and its cash flows for the year then ended in accordance with …."

The following is an example of the relevant paragraphs when an adverse opinion is to be expressed:

"The Company's financing arrangements expired and the amount outstanding was payable on December 31, 20XX. The Company has been unable to re-negotiate or obtain replacement financing and is considering filing for bankruptcy. These events cast doubt about going concern status and therefore it may be unable to realize its assets and discharge its liabilities in the normal course of business. The financial statements (and notes thereto) do not disclose this fact.

In our opinion, because of the omission of the information mentioned in the preceding paragraph, the financial statements do not give a true and fair view of (or do not present fairly) the financial position of the company as at December 31, 20X0, and of its results of operations and its cash flows for the year then ended in accordance with …. (and do not comply with….) …"

5.9 Going Concern Assumption Inappropriate

If, in the auditor's judgment, the entity will not be able to continue as a going concern, the auditor should express an adverse opinion if the financial statements have been prepared on a going concern basis. If, on the basis of the additional audit procedures carried out and the information obtained, including the effect of management's plans, the auditor's judgment is that the entity will not be able to continue as a going concern, the auditor concludes, regardless of whether or not disclosure has been made, that the going concern assumption used in the preparation of the financial statements is inappropriate and expresses an adverse opinion.

5.10 Management Unwilling to Make or Extend Its Assessment

If management is unwilling to make or extend its assessment when requested to do so by the auditor, the auditor should consider the need to modify the auditor's report as a result of the limitation on the scope of the auditor's work. In certain circumstances, the auditor may believe that it is necessary to ask management to make or extend its assessment. If management is unwilling to do so, it is not the auditor's responsibility to rectify the lack of analysis by management, and a modified report may be appropriate because it may not be possible for the auditor to obtain sufficient appropriate evidence regarding the use of the going concern assumption in the preparation of the financial statements.

5.11 Significant Delay in the Signature or Approval of Financial Statements

When there is significant delay in the signature or approval of the financial statements by management after the statement of financial position date, the auditor considers the reasons for the delay. When the delay could be related to events or conditions relating to the going concern assessment, the auditor considers the need to perform additional audit procedures, as well as the effect on the auditor's conclusion regarding the existence of a material uncertainty.

5.12 Public Sector Perspective

The appropriateness of the use of the going concern assumption in the preparation of the financial statements is generally not in question when auditing either a central government or those public sector entities having funding arrangements backed by a central government. However, where such arrangements do not exist, or where central

government funding of the entity may be withdrawn and the existence of the entity may be at risk, the going concern difficulties may be imputed. As governments corporatize and privatize government entities, going concern issues will become increasingly relevant to the public sector.

Self Assessment Questions

Exercise 6.5

1. What is meant by the statement "These accounts have been prepared on a going concern basis"?

2. What procedures should auditors carry out in order to obtain an assurance that a company is a going concern? (You may assume auditors have no initial reasons to doubt the company's ability to continue as a going concern)

This is a blank sheet for short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 6: MANAGEMENT REPRESENTATIONS

Bravo. You have now got to the last session of this manual.

The purpose of this session is to provide guidance on the use of management representations as audit evidence, the procedures to be applied in evaluating and documenting management representations and the action to be taken if management refuses to provide appropriate representations.

The auditor should obtain appropriate representations from management.

Objective

At the end of the chapter, you should be able to outline the objectives and contents of management representation letter

6.1 Acknowledgement by Management of Its Responsibility for the Financial Statements

The auditor should obtain audit evidence that management acknowledges its responsibility for the fair presentation of the financial statements in accordance with the applicable financial reporting framework, and has approved the financial statements. The auditor can obtain audit evidence of management's acknowledgment of such responsibility and approval from relevant minutes of meetings of those charged with governance or by obtaining a written representation from management or a signed copy of the financial statements.

6.2 Representations by Management as Audit Evidence

The auditor should obtain written representations from management on matters material to the financial statements when other sufficient appropriate audit evidence cannot reasonably be expected to exist. The possibility of misunderstandings between the auditor and management is reduced when oral representations are confirmed by management in writing.

Written representations requested from management may be limited to matters that are considered either individually or collective material to the financial statements. Regarding certain items it may be necessary to inform management of the auditor's understanding of materially.

a) It acknowledges its responsibility for the design and operation of internal control to prevent and detect error; and
b) It believes the effects of those uncorrected financial statement misstatements aggregated by the auditor during the audit are immaterial, both individually and

in the aggregate, to the financial statements taken as a whole. A summary of such items should be included in or attached to the written representations.

During the course of an audit, management makes many representations to the auditor, either unsolicited or in response to specific inquiries. When such representations relate to matters are material to the financial statements, the auditor will need to:

a) Seek corroborative audit evidence from sources inside or outside the entity;
b) Evaluate whether the representations made by management appear reasonable and consistent with other audit evidence obtained, including other representations; and
c) consider whether the individuals making the representations can be expected to be well informed on the particular matters.

Representations by management cannot be a substitute for other audit evidence that the auditor could reasonably expect to be available. For example, a representation by management as to the cost of an asset is not a substitute for the audit evidence of such cost that an auditor would ordinarily expect to obtain. If the auditor is unable to obtain sufficient appropriate audit evidence regarding a matter which has, or may have, a material effect on the financial statements and such audit evidence is expected to be available, this will constitute a limitation in the scope of the audit, even if a representation from management has been received on the matter.

In certain instances, audit evidence other than that obtained by performing inquiry may not be reasonably expected to be available, therefore the auditor obtains a written representation by management. For example, the auditor may not be able to obtain other audit evidence to corroborate management's intention to hold a specific investment for long-term appreciation.

If a representation by management is contradicted by other audit evidence, the auditor should investigate the circumstances and, when necessary, reconsider the reliability of other representations made by management.

Ordinarily, written confirmation of representation requested from management is limited to matters that are considered material to the financial statements, either individually or collectively. The following are examples of the areas where the directors' confirmation might be sought in a letter.

General

- Acknowledgement of the directors' responsibility to prepare true and fair accounts
- Disclosure to the auditors of all accounts, books and records, including minute books

- Consistency of application of account policies
- Events occurring after statement of financial position
- Compliance with specialized legislation
- Outstanding litigation
- Disclosure of material capital commitments

Assets

- The company has a satisfactory title to all its assets
- Adequacy of depreciation charged
- Basis of valuing stocks of materials, work-in-progress and finished goods
- Adequacy of provisions for obsolescence and other inventory losses
- Reliability of certain assets (e.g. debtors)
- Amount of capital expenditure authorized by the board and amount contracted for at the statement of financial position date

Liabilities

- All known liabilities have been fully provided for
- The nature and amount of all contingent liabilities have been disclosed
- Disclosure of all secured liabilities

Income Statement

- Disclosure of all extra-ordinary, exceptional, non recurring and prior year items
- Disclosure of details of any change in accounting policy

6.3 Documentation of Representations by Management

The auditor would ordinarily include in audit working papers evidence of management's representations in the form of a summary of oral discussions with management or written representations from management.

A written representation is ordinarily more reliable audit evidence than an oral representation and can take the form of:

a) A representation letter from management;
b) A letter from the auditor outlining the auditor's understanding of management's representations, duly acknowledged and confirmed by management; or
c) Relevant minutes of meeting of the board of directors or similar body or a signed copy of the financial statements.

6.4 Basic Elements of a Management Representation Letter

When requesting a management representation letter, the auditor would request that it be addressed to the auditor, contain specified information and be appropriately dated and signed.

A management representation letter would ordinarily be dated the same date as the auditor's report. However, in certain circumstances, a separate representation letter regarding specific transactions or other events may also be obtained during the course of the audit or at a date after the date of the auditor's report, for example, on the date of a public offering.

A management representation letter would ordinarily be signed by the members of management who have primary responsibility for the entity and its financial aspects (ordinarily the senior executive officer and the senior financial officer) based on the best of their knowledge and belief. In certain circumstances, the auditor may wish to obtain representation letters from other members of management. For example, the auditor may wish to obtain a written representation about the completeness of all minutes of the meetings of shareholders, the board of directors and important committees from the individual responsible for keeping such minutes.

6.5 Action if Management Refuses to Provide Representations

If management refuses to provide a representation that the auditor considers necessary, this constitutes a scope limitation and the auditor should express a qualified opinion or a disclaimer of opinion. In such circumstances, the auditor would evaluate any reliance placed on other representations made by management during the course of the audit and consider if the other implications of the refusal may have any additional effect on the auditor's report.

6.6 Specimen Management Representation Letter

Quality Assurance Auditors
Paragon House
Accra.

Dear Auditors

MANAGEMENT REPRESENTATION

This representation letter is provided in connection with your audit of the (consolidated) financial statements of ABC Ltd for the year ended 31 December 2008. We recognize that obtaining representations from us concerning the information contained in this letter is a significant procedure in enabling you to form an opinion as

to whether the (consolidated) financial statements present fairly, in all material respects the financial position of ABC Ltd as of 31 December 2008 and of the results of its operations and its cash flows for the year then ended in accordance with International Financial Reporting Standards and in the manner required by the Companies Code

We understand that the purpose of your audit of our (consolidated) financial statements is to express an opinion thereon and that your audit was conducted in accordance with International Standards on Auditing, which involves an examination of the accounting system, internal control and related data to the extent you considered necessary in the circumstances, and is not designed to identify - nor necessarily be expected to disclose - fraud, shortages, errors and other irregularities, should any exist.

Accordingly, we make the following representations, which are true to the best of our knowledge and belief:

We acknowledge, as directors of the Company, our responsibility for the fair presentation of the (consolidated) financial statements. We believe the (consolidated) financial statements referred to above present fairly, in all material respects the financial position, results of operations and cash flows of the Company in accordance with International Financial Reporting Standards and in the manner required by the Companies Code and are free of material misstatements, including omissions. We have approved the (consolidated) financial statements.

We confirm that the significant accounting policies adopted in the preparation of the (consolidated) financial statements are appropriately described in the (consolidated) financial statements. Furthermore, each element of the (consolidated) financial statements is properly classified, described and disclosed in accordance with International Financial Reporting Standards and in the manner required by the Companies Code.

As members of directors of the Company, we believe that the Company has a system of internal controls adequate to permit the preparation of accurate financial statements in accordance with International Financial Reporting Standards and in the manner required by the Companies Code.

We acknowledge our responsibility for the implementation and operations of accounting and internal control systems that are designed to prevent and detect fraud and error. We have disclosed to you all significant facts relating to any frauds, allegations of fraud or suspected frauds known to management that may have affected the entity. We have disclosed to you the results of our assessment of the risk that the financial statements may be materially misstated as a result of fraud.

[When management is aware of the occurrence of fraud or suspected fraud, or has received allegations of fraud. (E)] We have disclosed to you all significant facts relating to any frauds, suspected frauds or allegations of fraud known to us that may have affected the Company (regardless of the source or form and including, without limitation, allegations by "whistle-blowers"), whether involving management or employees who have significant roles in internal control. Similarly, we have disclosed to you our knowledge of frauds or suspected frauds affecting the entity involving others where the fraud could have a material effect on the (consolidated) financial statements. We have also disclosed any allegations of fraud or suspected fraud communicated by employees, former employees, analysts, regulators or others, that could affect the (consolidated) financial statements.

[When management is not aware of the occurrence of a fraud or suspected fraud and has not received any allegations of fraud.]

We have no knowledge of any fraud or suspected fraud involving management or other employees who have a significant role in the Company's internal controls over financial reporting. In addition, we have no knowledge of any fraud or suspected fraud involving other employees in which the fraud could have a material effect on the (consolidated) financial statements. We have no knowledge of any allegations of financial improprieties, including fraud or suspected fraud, (regardless of the source or form and including without limitation, any allegations by "whistleblowers") which could result in a misstatement of the (consolidated) financial statements or otherwise affect the financial reporting of the Company.

[When there are unadjusted audit differences in the current year or we determine that the current year effects of correcting prior year differences are significant. (B)]

We believe that the effects of any unadjusted audit differences, summarised in the accompanying schedule, accumulated by you during the current audit and pertaining to the latest period presented are immaterial, both individually and in the aggregate, to the (consolidated) financial statements taken as a whole.

[When there are no unadjusted audit differences in either the current year or in the prior year or there are no unadjusted audit differences in the current year and we determine that the current year effects of correcting prior year differences are not significant to the current year. (C)]

There are no unadjusted audit differences identified during the current audit and pertaining to the latest period presented.

[The following representation is included when management believes that certain of the identified items, even though immaterial, are not differences.]

We do not agree that items [specify items in question] constitute differences because [specify reasons for disagreement].

[Insert if there were noncompliance with laws or regulations. (E)] We have disclosed to you all known actual or possible noncompliance with laws and regulations (including money laundering laws and regulations) whose effects should be considered when preparing (consolidated) financial statements.

[Insert the following sentence if there were no noncompliance with laws or regulations.] There has been no noncompliance with requirements of regulatory authorities (including money laundering laws and regulations) that could have a material effect on the (consolidated) financial statements in the event of noncompliance.
We confirm, to the best of our knowledge and belief, the following representations:

Include here representations relevant to the entity. Such representations may include the following:

We have made available to you all financial records and related data and all minutes of meetings of shareholders and directors (or summaries of actions of recent meetings for which minutes have not yet been prepared) held through the [period] to the most recent meeting on the following date: [list date].

There are no material transactions that have not been properly recorded in the accounting records underlying the (consolidated) financial statements.

We confirm the completeness of the information provided regarding the identification of related parties, related party transactions as well as related party balances due to or from such parties at the [period] end.

The following have been properly recorded and when appropriate, adequately and completely disclosed in the financial statements:

The identity of, and balances and transactions with, related parties.

Losses arising from sale and purchase commitments.

Agreements and options to buy back assets previously sold.

Assets pledged as collateral.

All liabilities and contingencies, including those associated with guarantees, whether written or oral.

The share capital /stated capital repurchase options and agreements, and share capital /stated capital reserved for options, warrants, conversions and other requirements.

All agreements and options to buy back assets previously sold.

The company has complied with all aspects of contractual agreements that could have a material effect on the (consolidated) financial statements in the event of non – compliance, including all covenants, conditions or other requirements of all outstanding debt.

We have no plans or intentions that may materially affect the carrying value or classification of assets and liabilities reflected in the (consolidated) financial statements.

We have no plans to abandon lines of product or other plans or intentions that will result in any excess or obsolete inventory, and no inventory is stated at an amount in excess of net realisable value.

Except for assets capitalized under finance leases, the Company has satisfactory title to all assets appearing in the statement of financial position(s), and there are no liens or encumbrances on the company's assets, nor has any asset been pledged as collateral, other than those that are disclosed in Note X to the financial statements. All assets to which the Company has satisfactory title appear in the statement of financial position(s).

We have recorded or disclosed, as appropriate, all liabilities, both actual and contingent, and have disclosed in Note X to the financial statements all guarantees that we have given to third parties.

At the (period) end, the Company had no unusual commitments or contractual obligations of any sort which were not in the ordinary course of business and which might have an adverse effect upon the company (e.g., contracts or purchase agreements above market price; repurchase or other agreements not in the ordinary course of business; material commitments for the purchase of property, plant and equipment; significant foreign exchange commitments; open balances on letters of credit; purchase commitments for inventory quantities in excess of normal requirements or at prices in

excess of the prevailing market prices; losses from fulfillment of, or inability to fulfill, sales commitments, etc.).

[When any indicators or "warning signals" are present for significant transactions involving revenue recognition, we consider including the following representation. (In certain situations, this representation may need to be obtained from sales personnel.)]

We have provided you with all agreements regarding sales to distributors and resellers. These agreements represent the entire arrangements and are not supplemented by other agreements either written or oral.

Other than……. described in Note X to the (consolidated) financial statements, there have been no events subsequent to period end which require adjustment of or disclosure in the (consolidated) financial statements or Notes thereto. Should any such events occur before the date of the AGM, we will advise you accordingly.

We have also reviewed events occurring in subsidiary undertakings, associates and joint ventures since the dates of their respective statement of financial positions and this enables us to conclude that nothing has occurred in those periods which necessitates a revision of figures included in the group financial statements or inclusion of a note thereto. [Delete paragraph if not a group]

The …… claim by [Name of Claimant] have been settled for the total sum of XXX which has been properly accrued in the (consolidated) financial statements. No other claims in connection with litigation have been or are expected to be received.

There are no formal or informal compensating balance arrangements with any of our cash and investment accounts. Except as disclosed in Note X to the financial statements, we have no other line of credit arrangements.

The provision of the Companies Code, with regard to loans to directors and officers, has been complied with.

The financial statements have been prepared on the going concern basis. In assessing the appropriateness of the going concern basis, we have taken account of all relevant information covering a period of at least twelve months from the statement of financial position date. We have also taken account of events or conditions and related business risks beyond the period of twelve months which casts significant doubt on the company's ability to continue as a going concern.
[When financial circumstances are strained and the financial statements disclose management's intentions and the Company's ability to continue as a going concern, the following representation is included.]

Note [X] to the (consolidated) financial statements discloses all of the matters of which we are aware that are relevant to the Company's ability to continue as a going concern, including significant conditions and events, and management's plans.

The significant assumptions underlying the fair value measurements and disclosures used in the preparation of the (consolidated) financial statements are reasonable and appropriate in the circumstances. These assumptions reflect our intent and ability to carry out [specify courses of action] on behalf of the company.

On the basis of the process established by us and having made appropriate enquiries, we are satisfied that the actuarial assumptions underlying the scheme liabilities are consistent with our knowledge of the business. All significant retirement benefits and all settlements and curtailments have been identified and properly accounted for.
[The following representations in respect of Taxes may be appropriate.] We acknowledge our responsibility for the tax accounting methods adopted by the Company, which have been consistently applied in the current period, and for the current year income tax provision calculation [and [specify non-income taxes, if significant]].

We also acknowledge our responsibility for the plans with respect to future taxable income, which represent our estimates as to the outcome of those plans, based on available evidence, and for the significant assumptions used in our analysis. We would implement such strategies as necessary to prevent a tax operating loss or credit carry forward from expiring.

We have disclosed to you all tax opinions, correspondence with tax authorities, or other appropriate information that served as support for the accounting for potentially material matters.

[When a client has aggressive tax positions that are significant. (F)] We have also provided you with all tax opinions with respect to potentially material items that served as support for our tax accruals (including contingency accruals or their absence and determinations of interest and penalty applicability), as well as any tax opinions that contradicted, or provided lower levels of assurance than, the options ultimately used to support our tax positions.

[When the Company has used the work of an expert we include the representation below.]

We agree with the findings of the experts engaged to evaluate the [describe assertion] and have adequately considered the qualifications of the experts in determining the amounts and disclosures included in the (consolidated) financial statements and the underlying accounting records. We did not give or cause any instructions to be given to the experts with respect to the values or amounts derived in an attempt to bias their work, and we are not otherwise aware of any matters that have had an effect on the independence or objectivity of the experts.

[The following representations should apply to groups only:]

There are no significant restrictions on our ability to distribute the retained profits of the group because of statutory, contractual, exchange control or other restrictions other than those indicated in the accounts.

Necessary adjustments have been made to eliminate all material intra-group unrealised profits on transactions amongst parent, subsidiary undertakings and associated undertakings.
[Add any other representations that are appropriate in the circumstances. Other possible representations that may be applicable in particular circumstances are set out in "Additional Considerations", following this letter.

Yours faithfully,

_____
(Chief Executive Officer)

_____
(Chief Financial Officer)

_____
(Chief Accounting Officer)

Additional Considerations

[The following illustrative wording is provided for use when the circumstances require additional representations, and may be added to the letter as appropriate.]

Comparative Figures

1. In connection with your audit of the comparative (consolidated) financial statements for the year ended (year ending date of last year's financial statements), we represent, to the best of our knowledge and belief, the following:

2. There have been no significant errors or misstatements, or changes in accounting policies that would require a restatement of the amounts from the (consolidated) financial statements for the year ended (year ending date of last year's financial statements) which are shown as comparative amounts in the (consolidated) financial statements for the year ended (year ending date of current year's financial statements). Any differences in the comparative amounts from the amounts in the (consolidated) financial statements for the year ended (year ending date of last year's financial statements) are solely the result of reclassifications for comparative purposes.

[Note: When the comparative figures have been restated for reasons other than reclassifications, the second paragraph above should be replaced with the following paragraphs:]

(Add a paragraph providing a brief description of each matter giving rise to a restatement and the amount(s) concerned.)

The comparative amounts have been correctly restated to reflect the above matter(s) and appropriate note disclosure of this (these) restatement(s) has (have) also been included in the current year's (consolidated) financial statements.

There have been no significant errors or misstatements, or changes in accounting policies other than the matters described above that would require a restatement of the comparative amounts in the current year's (consolidated) financial statements. Other differences in the amounts shown as comparative amounts from the amounts in the (consolidated) financial statements for the year ended [insert date] are solely the result of reclassifications for comparative purposes.

Contingent Liabilities

In focusing on representations regarding communications from regulatory or governmental agencies, we are aware that many of our clients, particularly multi-location or multinational companies, are subject to routine, normal, recurring examinations by many governmental agencies, all of which might meet the definition of "investigations or allegations of noncompliance." A wealth of correspondence concerning such matters may exist in the client's files that would not normally be of interest to us.

In an attempt to avoid situations in which clients would expend unreasonable efforts to detail all such matters, many of which would not be intended to be construed as "investigations," we believe it is appropriate for the client to describe in a general fashion those matters of a routine, normal, recurring nature.

This may be accomplished by indicating such matters as an exception as is shown by item (1) in the example illustrated below. The example indicates that matters applicable to certain types of investigations need not be detailed.

This example is solely for illustrative purposes. It is the responsibility of the engagement partner to determine the acceptability of the representation letter based on the attendant facts and circumstances. When this format is used, the matters regarded as general exceptions should be carefully delineated.

Self-Assessment Questions

Exercise 6.6

1. What protocol must be observed if by the auditor when seeking to obtain written representation from a company's legal advisers.

2. In what circumstances may an auditor seek to obtain written representation from the directors of a company?

3. What steps should the auditor take if management indicates that they are unwilling to sign a letter of representation or to pass minutes requested by the auditor?

End of Unit Questions

Question 1

You are currently engaged in the audit of Boafo Ltd for the year ended 30 April 2009. It has been brought to your attention that after the year end, one of the company's three factories was closed following a strike by the employees over their claim for a 25% pay increase; the employees were dismissed and management do not intend to re-open the factory.

Required

(a) Describe the audit work that should be carried out in order to determine whether the closure has been correctly treated in the accounts of Boafo Ltd for the year to 30 April 2009.

(b) Identify the items that should be included in any provision for closure costs to be made in the accounts.

Question 2

You are carrying out the audit of Sankofa Ltd, a large manufacturing concern, as at 31 October 2009 and have obtained the following information in respect of certain aspects of the business prior to preparation of the final accounts.

		2009	2008
		¢'000	¢'000
Tangible fixed assets (at net book value)		22,350	22,175
Stocks:	raw materials	1,100	1,000
	work in progress	400	500
	finished goods	5,500	4,000
Debtors		4,800	5,200
Creditors		(2,800)	(3,000)
Bank overdraft		(1,900)	(1,400)
Turnover		28,000	25,500
Cost of sales		(20,000)	(18,700)
		---	---
	8,000	6,800	
Distribution cost		(3,300)	(3,200)
Administrative expenses		(2,200)	(2,100)
		---	---
Profit before taxation		2,500	1,500
		=====	=====
Depreciation included in these figure		2,000	1,800

Required

(a) Carry out an analytical review of the above information and list four financial statement headings you believe would require particular investigation during your final audit, explaining in each case why you believe them to require such investigation.

(b) For each item detailed in your list state two audit enquiries specific to Sankofa you would make in order to satisfy yourself that the figure appearing under each heading had been properly stated.

(c) Your audit assistant has asked you to explain the purpose of analytical procedures and at what stages of the audit they should be carried out. Explain briefly, giving examples from Sankofa

Question 3
The audit of contingencies creates special problems for auditors.

Required

(a) Briefly describe the reasons why the audit of contingencies creates special problems for auditors.

(b) State how contingencies should be disclosed in accounts in accordance with IAS 37 'Provisions, Contingent Liabilities and Continent Assets'.

Question 4
The management letter should be clear, concise and constructive. Careful presentation will help the recipient to understand the significance of the comments and devise corrective action. The letter may contain matters of varying levels of significance and may well be read by a person who does not have an accounting background. The following paragraphs are extracts from draft management letters prepared by inexperience members of audit teams.

(a) Extract from a management letter to the managing director of a large privately owned company.

At present there is no control over amendments to the master file data in either the creditors or wages system. Because of this, unauthorized amendments to the data could be made, thus affecting all related transactions processed. Somebody should check amendment data before it is input through the master file suite of programs.

(b) Extract from a management letter to the managing director of a medium sized public limited company.

Calculations of the net monthly payroll figures should be independently checked on a random sample basis. At present there is no evidence that checks of this nature are carried out. Independent checks are an essential element of internal control and will help eliminate the possibility of computational errors remaining undetected.

Required

(a) Discuss the weakness in the above extracts from management letters and redraft the extracts in a more suitable form.

(b) Describe the principal purposes of a management letter.

Question 5

You are carrying out the audit of Mowbray Computers Ltd for the year ended 30 April 2009. The company assembles microcomputers from components purchased from the Far East and sells them to retailers, and to individuals and businesses by mail order. In the current year, there has been a recession and strong competition which has resulted in a fall in sales and the gross profit margin. This had led to a trading loss and the company experiencing going concern problems.

Required

(a) Describe the factors which indicate that a company may not be a going concern. Your list should include all factors, and not just those which apply to Mowbray Computers Ltd.

(b) Consider the form of audit report (ie modified or unqualified) you would issue on Mowbray Computers Ltd's financial statements, if you conclude that the company is experiencing serious going concern problems, in the following two situations:

(i) you conclude that the financial statements give sufficient disclosure of the going concern problems;

(ii) there is no disclosure of the going concern problems in the financial statements and you believe there is a serious risk that the company will fail in the foreseeable future.

In each case you should say how the audit report will differ from an unqualified audit report

(c) State the parties who may successfully sue you as auditor for negligence, and consider the arguments you could include in your defence, when:

(i) the financial statements of Mowbray Computers Ltd for the year ended 30 April 2009:

(1) do not mention any going concern problems; and

(2) your audit report on these financial statements was unqualified; and

(ii) the company fails on 15 February 2010.

Glossary of Terminologies as given by International Auditing and Assurance Standards Board

Access controls – Procedures designed to restrict access to online terminal devices, programs and data. Access controls consist of "user authentication" and "user authorization". "User authentication" typically attempts to identify a user through unique logon identifications, password, access cards or biometric data. "User authorization" consists of access rules to determine the computer resources each user may access. Specifically, such procedures are designed to prevent or detect:

(a) Unauthorized access to online terminal devices, programs and data;

(b) Entry of unauthorized transactions;

(c) Unauthorized changes to data files;

(d) The use of computer programs by unauthorized personnel; and

(e) The use of computer programs that have not been authorized.

Accounting estimate – An approximation of the amount of an item in the absence of a precise means of measurement.

Accounting records – Generally include the records of initial entries and supporting records, such as checks and records of electronic fund transfers,; invoices; contracts; the general and subsidiary ledgers; journal entries and other adjustments to the financial statements that are not reflected in formal journal entries; and records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures.

Adverse opinion- An adverse opinion is expressed when the effect of disagreement is so material and pervasive to the financial statements that the auditor concludes that a qualification of the report is not adequate to disclose the misleading or incomplete nature of the financial statements

Agreed-upon procedures engagement – an engagement in which an auditor is engaged to carry out those procedures of an audit nature to which the auditor and the entity and any appropriate third parties have agreed and t report on factual findings. The recipients of the report form their own conclusions from the report by the auditor. The report is restricted to those parties that have agreed to the procedures to be performed since others, unaware of the reasons for the procedures may misinterpret the results.

GLOSSARY

Analytical procedures – Evaluations of financial information made by a study of plausible relationship among both financial and non-financial data. Analytical procedures also encompass the investigation of identified fluctuations and relationships that are inconsistent with other relevant information or deviate significantly from predicted amounts.

Annual report – A document issued by an entity, ordinarily on an annual basis, which includes its financial statements together with the auditor's report thereon.

Applicable financial reporting framework – The financial reporting framework adopted by management in preparing the financial statements that the auditor has determined acceptable in view of the nature of the entity and the objective of the financial statements, or that is required by law or regulations.

Application controls in information technology – Manual or automated procedures that typically operate at a business process level. Application controls can be preventive or detective in nature and are designed to ensure the integrity of the accounting records. Accordingly, application controls relate to procedures used to initiate, record, process and report transaction or other financial data.

Appropriateness – The measure of the quality of evidence, that is, its relevance and reliability in providing support for, or detecting misstatements in, the classes of transactions, account balances, and disclosures and related assertions.

Assertions – Representations by management, explicit or otherwise, that are embodied in the financial statements.

Assess – Analyze identified risks of to conclude on their significance. "Assess," by convention, is used only in relation to risk. (also see Evaluate)

Assurance engagement – An engagement in which a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria. The outcome of the evaluation or measurement of a subject matter is the information that results from applying the criteria (also see Subject matter information There are two types of assurance engagement a practitioner is permitted to perform: a reasonable assurance engagement and a limited assurance engagement.

Reasonable assurance engagement – The objective of a reasonable assurance engagement is a reduction in assurance engagement risk to an acceptably low level in the circumstances of the engagement as the basis for a positive form of expression of the practitioner's conclusion.

Limited assurance engagement – The objective of a limited assurance engagement is a reduction n assurance engagement risk to a level that is acceptable in the circumstances of the engagement, but where that risk is greater than for a reasonable assurance engagement, as the basis for a negative form of expression of the practitioner's conclusion.

Assurance engagement risk – The risk that the practitioner expresses an inappropriate conclusion when the subject matter information is materially misstated.

Attendance – Being present during all or part of a process being performed by others; for example, attending physical inventory taking will enable the auditor to inspect inventory, to observe compliance of management's procedures to count quantities and record such counts and to test-count quantities.

Audit documents – The record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached (terms such as "working papers" or "working papers" are also sometimes used).

Audit evidence – All of the information used by the auditor in arriving at the conclusions on which the audit opinion is based. Audit evidence includes the information contained in the accounting records underlying the financial statements and other information.

Audit matters of governance interest – Those matters that arise from the audit of financial statements and, in the opinion of the auditor, are both important and relevant to those charged with governance interest include only those matters that have come to the attention of the auditor as a result of the performance of the audit.

Audit of financial statements – The objective of an audit of financial statements is to enable the auditor to express an opinion whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework. An audit of financial statements is an assurance engagement (see Assurance engagement).

GLOSSARY

Audit plan – Converts the audit strategy into a more detailed plan and includes the nature, timing and extent of audit procedures to be performed by engagement team members in order to obtain sufficient appropriate audit evidence to reduce audit risk to an acceptably low level.

Audit risk – Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of the risk of material misstatement (or simply, the "risk of material misstatement") (i.e. the risk that the financial statements are materially misstated prior to audit) and the risk that the auditor will not detect such misstatement ("detection risk"). The risk of material misstatement has two components: inherent risk and control risk (as described at the assertion level below). Detection risk is the risk that auditor's procedures will not detect misstatement that exists in an assertion that could be material, individually or when aggregated with other misstatements.

Inherent risk – Inherent risk is the susceptibility of an assertion to a misstatement that could be material, individually or when aggregated with other misstatements assuming that there were no related internal controls.

Control risk – Control risk is the risk that a misstatement that could occur in an assertion and that could be material, individually or when aggregated with other misstatements, will not be prevented or detected and corrected on a timely basis by the entity's internal control.

Audit sampling – The application of audit procedures to less than 100% of items within an account balance or class of transactions such that all sampling units have a chance of selection. This will enable the auditor to obtain and evaluate audit evidence about some characteristic of the items selected in order to form or assist in forming a conclusion concerning the population from which the sample is drawn. Audit sampling can use either a statistical or a non-statistical approach.

Anomalous error - An error that arises from an isolated event that has not recurred other than on specifically identifiable occasions and is therefore not representative of errors in the population.

Confidence levels – The mathematical complements of sampling risk.

Expected error – The error that the auditor expects to be present in the population.

Non-sampling risk – Arises from factors that cause the auditor to reach an erroneous conclusion for any reason not related to the size of the sample. For example, most audit evidence is persuasive rather than conclusion, the auditor might use inappropriate procedures, or the auditor might misinterpret evidence and fail to recognize an error.

Non-statistical sampling – any sampling approach that does not have the characteristics of statistical sampling.

Population – The entire set of data from which a sample is selected and about which the auditor wishes to draw conclusions. A population may be divided into strata, or sub-populations, with each stratum being examined separately. The term population is used to include the term stratum.

Sampling risk - arises from the possibility that the auditor's conclusion, based on a sample may be different from the conclusion reached if the entire population were subjected to the same audit procedure.

Sampling unit – The individual items constituting a population, for example checks listed on deposit slips, credit entries on bank statements, sales invoices or debtors' balances, or a monetary unit.

Statistical sampling – Any approach to sampling that has the following characteristics:

(a) Random selection of a sample; and

(b) Use of probability theory to evaluate sample results, including measurement of sample risk.

Stratification – The process of dividing a population into subpopulations, each of which is a group of sampling units which have similar characteristics (often monetary value).

Tolerable error – The maximum error in a population that the auditor is willing to accept.

Total error – Either the rate of deviation or total misstatement.

Auditor – The engagement partner. The term "auditor" is used to describe either the engagement partner or the audit firm. Where it applies to the engagement partner, it describes the obligations or responsibilities of the engagement partner. Such obligations or responsibilities may be fulfilled by either the engagement partner or a member of the audit team. Where it is expressly intended that the obligation or responsibility be fulfilled by the engagement partner, the term "engagement partner" rather than 'auditor" is used. (The term "auditor" may be used when describing related services and assurance engagement other than audits. Such reference is not intended to imply that a person performing a related service or assurance engagement other than an audit need necessarily be the auditor of the entity's financial statements).

GLOSSARY

Existing auditor – The auditor of the financial statements of the current period.

External auditor – Where appropriate the term "external auditor" is used to distinguish the external from an internal auditor.

Incoming auditor – The auditor of the financial statements of the current period, where either the financial statements of the prior period have been audited by another auditor (in this case the incoming auditor also known as a successor auditor), or the audit is an initial audit engagement.

Internal auditor – A person performing an internal audit.

Other auditor – an auditor, other than the principal auditor, with responsibility for reporting on the financial information of a component, which is included in the financial statements audited by the principal auditor. Other auditors include affiliated firms, whether using the same name or not, and correspondents, as well as unrelated auditors.

Predecessor auditor - An auditor, who was previously the auditor of an entity and who has been replaced by an incoming auditor.

Principal auditor – The auditor with responsibility for reporting on financial statements of an entity when those financial statements include financial information of one or more components audited by another auditor.

Proposed auditor – An auditor who is asked to replace an existing auditor.

Successor auditor – an auditor replacing an existing auditor (also known as an incoming auditor).

Auditor association with financial information – An auditor is associated with financial information when the auditor attaches a report to that information or consents to the use of the auditor's name in a professional connection.

Comparatives – comparatives in financial statements, may present amounts (such as financial position, results of operations, cash flows) and appropriate disclosures of an entity for more than one period, depending on the framework. The frameworks and methods of presentation are as follows:

(a) Corresponding figures where amounts and other disclosures for the preceding period are included as part of the current period financial statements, and are intended to be read in relation to the amounts and other disclosures relating to the current period (referred to as "current period figures". These corresponding figures are not presented as complete financial statements capable of standing alone, but are an integral part of the current period financial statements intended to be read only in relationship to the current period figures.

(b) Comparative financial statements where amounts and other disclosures for the preceding period are included for comparison with the financial statements of the current period, but do not form part of the current period financial statements.

Compilation engagement – an engagement in which accounting expertise, as opposed to auditing expertise, is used to collect, classify and summarize financial information.

Component - A division, branch, subsidiary, joint venture, associated company or other entity whose financial information is included in financial statements audited by the principal auditor.

Component of a complete set of financial statements – the applicable financial reporting framework adopted in preparing the financial statements determines what constitutes a complete set of financial statements. Components of a complete set of financial statements include: a single financial statement, specified accounts, elements of accounts or items in a financial statement.

Comprehensive basis of accounting – A comprehensive basis of accounting comprises a set of criteria used in preparing financial statements which applies to all material items and which has substantial support.

Computer-assisted audit techniques – Applications of auditing procedures using the computer as an audit tool (also known as CAATs).

Computer information systems ((CIS) environment – Exists when a computer of any type or size is involved in the processing by the entity of financial information of significance to the audit, whether that computer is operated by the entity or by a third party.

Confirmation – A specific type of inquiry that is the process if obtaining a representation of information or of an existing condition directly firm a third party.

Control activities – Those policies and procedures that help ensure that management directives are carried out. Control activities are a component of internal control.

Control environment – Includes the governance and management functions and the attitudes, awareness and actions of those charged with governance and management concerning the entity's internal control and its importance in the entity. The control environment is a component of internal control.

Criteria – the benchmarks used to evaluate or measure the subject matter including. Where relevant, benchmarks for presentation and disclosure. Criteria can be formal or less formal. There can be different criteria for the same subject matter. Suitable criteria are required for reasonably consistent evaluation or measurement of a subject matter within the context of professional judgement.

Suitable criteria – Exhibit the following characteristics:

(a) Relevance: relevant criteria contribute to conclusions that assist decision-making by the intended users.

(b) Completeness: criteria are sufficiently complete when relevant factors that could affect the conclusions in the context of the engagement circumstances are not omitted. Complete criteria include, where relevant, benchmarks for presentation and disclosure.

(c) Reliability: reliable criteria allow reasonably consistent evaluation or measurement of the subject matter including, where relevant, presentation and disclosure, when used in similar circumstances by similarly qualified practitioners.

(d) Neutrality: neutral criteria contribute to conclusions that are free from bias.

(e) Understandability: understandable criteria contribute to conclusions that are clear, comprehensive, and not subject to significantly different interpretations.

Current period figures – amounts and other disclosures relating to the current period.

Database - A collection of data that is shared and used by a number of different users for different purposes.

Date of the financial statements – The date of the end of the latest period covered by the financial statements, which is normally the date of the most recent statement of financial position in the financial statements subject to audit.

Date of approval of the financial statements – The date on which those with the recognized authority assert that they have prepared the entity's complete set of financial statements, including the related notes, and that they have taken responsibility of them.

In some jurisdictions, the law or regulation identifies the individuals or bodies (for example, the directors) that are responsible for concluding that a complete set of financial statements has been prepared, and specifies the necessary approval process. In other jurisdictions, the approval process is not prescribed in law or regulation and the entity follows its own procedures in preparing and finalizing its financial statements in view of its management and governance structures. In some jurisdictions, final approval of the financial statements by shareholders is required before the financial statements are issued publicly. In these jurisdictions, final approval by shareholders is not necessary for the auditor to conclude that sufficient appropriate audit evidence has been obtained.

Date of the auditor's report – the date selected by the auditor to date the report on the financial statements. The auditor's report is not dated earlier than the date on which the auditor has obtained sufficient appropriate audit evidence on which to base the opinion on the financial statements. Sufficient appropriate audit evidence includes evidence that the entity's complete set of financial statements has been prepared and that those with the recognized authority have asserted that they have taken responsibility for them.

Date the financial statements are issued – the date that the auditor's report and audited financial statements are made available to third parties, which may be, in many circumstances, the date that they are filed with a regulatory authority.

Electronic Data Interchange (EDI) – The electronic transmission of documents between organizations in a machine-readable form.

Employee fraud – Fraud involving only employees of the entity subject to the audit.

Encryption (cryptography) - The process of transforming programs and information into a form that cannot be understood without access to specific decoding algorithms (cryptographic keys). For example, the confidential personal data in a payroll system may be encrypted against unauthorized disclosure or modification. Encryption can provide an effective control for protecting confidential or sensitive programs and information from unauthorized access or modification. However, effective security depends upon proper controls over access to the cryptographic keys.

In rare circumstances, law or regulation also identifies the point in the financial statement reporting process at which the audit is expected to be complete.

Engagements partner – The partner or other person in the firm who is responsible for the engagement and its performance, and for the report that is issued on behalf of the firm, and who, where required, has the appropriate authority from a professional, legal or regulatory body.

Engagement letter – An engagement letter documents and confirms the auditor's acceptance of the appointment, the objective and scope of the audit, the extent of the auditor's responsibilities to the client and the form of any reports.

Engagement quality control review – a process designed to provide an objective evaluation, before the report is issued, of the significant judgements the engagement team made and the conclusions they reached in formulating the report.

Engagement quality control reviewer – A partner, other person in the firm, suitably qualified external person, or a team made up of such individuals, with sufficient and appropriate experience and authority to objectively evaluate, before the report is issued, the significant judgements the engagement team made and the conclusions they reached in formulating the report.

Engagement team – All personnel performing an engagement, including any experts contracted by the firm in connection with that engagement.

Entity's risk assessment process – A component of internal control that is the entity's process for identifying business risks and relevant to financial reporting objectives and deciding about actions to address those risks, and the results thereof.

Environmental matters -

(a) Initiatives to prevent, abate or remedy to the environment, or to deal with conservation of renewable and non-renewable resources (such initiatives may be required by environmental laws and regulations or by contract, or they may be undertaken voluntarily);

(b) Consequences of violating environmental laws and regulations;

(c) Consequences of environmental damage done to others or to natural resources;

(d) Consequences of vicarious liability imposed by law (for example, liability for damages caused by previous owners).

Environmental performance report – A report, separate from the financial statements, in which an entity provides third parties with qualitative information on the entity's commitments towards the environmental aspects of the business, its policies and targets in that field, its achievement in managing the relationship between its business processes and environmental risk, and quantitative information on its environmental performance.

Environmental risk – In certain circumstances, factors relevant to the assessment of inherent risk for the development of the overall audit plan may include the risk of material misstatement of the financial statements due to environmental matters.

Error – An unintentional misstatement in financial statements, including the omission of an amount or a disclosure.

Evaluate – identify and analyze the relevant issues, including performing further procedures as necessary, to come to a specific conclusion on a matter. "Evaluation," by convention, is used only in relation to a range of matters, including evidence, the results of procedures and the effectiveness of management's response to a risk.

Experienced auditor – An individual (whether internal or external to the firm) who has a reasonable understanding of (a) audit processes, (b) ISAs and applicable legal and regulatory requirements, (c) the business environment in which the entity operates, and (d) auditing and financial reporting issues relevant to the entity's industry.

Expert – a person or firm possessing special skill, knowledge and experience in a particular field other than accounting and auditing.

External audit – An audit performance by an external auditor.

External confirmation – the process of obtaining and evaluating audit evidence through a direct communication from a third party in response to a request for information about a particular item affecting assertions made by management in the financial statements.

Fair value – The amount for which an asset could be exchanged or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

Financial statements – A structured representation of the financial information, which ordinarily includes accompanying notes, derived from accounting records and intended to communicate an entity's economic resources or obligations at a point in time or the changes therein for a period of time in accordance with a financial reporting framework. The term can refer to a complete set of financial statements, but it can also refer to a single financial statement, for example, a statement of financial position, or a statement of revenues and expenses, and related explanatory notes.

Firewall – A combination of hardware and software that protects a WAN, LAN or PC from unauthorized access through the Internet and from the introduction of unauthorized or harmful software, data or other material in electronic form.

Firm – a sole practitioner, partnership or corporation or other entity of auditors.

Forecast – Prospective financial information prepared on the basis of assumptions as to future events which management expects to take place and the actions management expects to take as of the date the information is prepared (best-estimate assumption).

Fraud - An intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deceptions to obtain an unjust or illegal advantage. Two types of intentional misstatement are relevant to the auditor: misstatements resulting from fraudulent financial reporting and misstatements resulting from misappropriation of assets (also see Fraudulent Financial Reporting and Misappropriation of assets).

Fraudulent financial reporting – Involves intentional misstatements, including omissions of amounts or disclosures in financial statements, to deceive financial statement users.

General IT-controls – Policies and procedures that relate to many applications and support the effective functioning of application controls by helping to ensure the continued proper operation of information systems. General IT-controls commonly include controls over data center and network operations; system software acquisition, change and maintenance; access security; and application system acquisition, development, and maintenance.

Going concern assumption - Under this assumption, an entity is ordinarily viewed as continuing in business for the foreseeable future with neither the intention nor the necessity of liquidation, ceasing trading or seeking protection from creditors pursuant to laws or regulations. Accordingly, assets and liabilities are recorded on the basis that the entity will be able to realize its assets and discharge its liabilities in the normal course of business.

General purpose financial statements – Financial statements prepared in accordance with a financial reporting framework that is designed to meet the common information needs of a wide range of users.

Governance – Describes the role of persons entrusted with the supervision, control and direction of an entity. Those charged with governance ordinarily are accountable for ensuring that the entity achieves its objectives, financial reporting, and reporting to interested parties. Those charged with governance include management only when it performs such functions.

Governance business enterprises – Businesses that operate within the public sector ordinarily to meet a political or social interest objective. They are ordinarily required to operate commercially, that is, to make profits or to recoup, through user charges a substantial proportion of their operating costs.

Independence - Comprises:

(a) Independence of mind – the state of mind that permits the provision of an opinion without being affected by influence that compromise professional judgement, allowing an individual to act with integrity, and excise objectivity and professional skepticism.

(b) Independence in appearance – the avoidance of facts and circumstances that are so significant a reasonable and informed third party, having knowledge of all relevant information, including any safeguards applied, would reasonably conclude a firm's, or a member of the assurance team's, integrity, objectivity or professional skepticisms has been compromised.

Information system relevant to financial reporting – A component of internal control that includes the financial reporting system, and consists of the procedures and records established to initiate, record, process and report entity transactions (as well as events and conditions) and to maintain accountability for the related assets, liabilities and equity.

Initial audit engagement – An audit engagement in which either the financial statements are audited for the first time; or the financial statements for the prior period were audited by another auditor.

Inquiry – Inquiry consists of seeking information of knowledgeable persons, both financial and non-financial, throughout the entity or outside the entity.

Inspection (as an audit procedure) – Examining records or documents, whether internal or external, or tangible assets.

Inspection (in relation to completed engagements) – Procedures designed to provide evidence of compliance by engagement teams with the firm's quality control policies and procedures.

Intended users – The person, persons or class of persons for whom the practitioner prepares the assurance report. The responsible party can be one of the intended users, but not the only one.

Interim financial information or statements – financial information (which may be less than a complete set of financial statements as defined above) issued at interim dates (usually half-yearly or quarter) in respect of a financial period.

Internal auditing – An appraisal activity established within an entity as a service to the entity. Its functions include, amongst other things, examining, evaluating and monitoring the adequacy and effectiveness of internal control.

Internal control – The process designed and effected by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of the entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations and compliance with applicable laws and regulations. Internal control consists of the following components:

(a) The control environment;

(b) The entity's risk assessment process;

(c) The information system, including the related business processes, relevant to financial reporting, and communication;

(d) Control activities; and

(e) Monitoring of controls.

Investigate – Inquire into matters arising from other procedures to resolve them.

IT environment - The policies and procedures that the entity implements and the IT infrastructure (hardware, operating systems, etc.) and application software that it uses to support business operations and achieve business strategies.

Limitation on scope – A limitation on the scope of the auditor's work may sometimes be imposed by the entity (for example, when the terms of the engagement specify that the auditor will not carry out an audit procedure that the auditor believes in necessary). A scope limitation may be imposed by circumstances (for example, when the timing of the auditor's appointment is such that the auditor is unable to observe the counting of physical inventories). It may also arise when, in the opinion of the auditor, the entity's accounting records are inadequate or when the auditor is unable to carry out an audit procedure believed desirable.

Listed entity – An entity whose shares, stock or debt are quoted or listed on a recognized stock exchange, or are marked under the regulations of a recognized stock exchange or other equivalent body.

Local Area Network (LAN) – A communications network that serves users within a confined geographical area. LANs were developed to facilitate the exchange and sharing of resources within an organization, including data, software, storage, printers and telecommunications equipment. They allow for decentralized computing. The basic components of a LAN are transmission media and software, user terminals and shared peripherals.

Management – Comprises officers and others who also perform senior managerial functions. Management includes those charged with governance only in those instances when they perform such functions.

Management fraud – Fraud involving one or more members of management or those charged with governance.

Management representations – Representations made by management to the auditor during the course of an audit, either unsolicited or in response to specific inquiries.

Material inconsistency – exists when other information contradicts information contained in the audited financial statements. A material inconsistency may raise doubt about the audit conclusions drawn from audit evidence previously obtained and, possibly, about the basis for the auditor's opinion on the financial statements.

Material misstatement of fact – Exists in other information when such information, not related to matters appearing in the audited financial statements, is incorrectly stated or presented.

Material weakness – a weakness in internal control that could have a material effect on the financial statements.

Materiality – Information is material if its omission or misstatement could influence the economic decisions of users taken on the basis of the financial statements. Materiality depends on the size of the item or error judged in the particular circumstances of its omission on misstatement. Thus, materiality provides a threshold r cutoff point rather than being a primary qualitative characteristic which information must have if it is to be useful.

Misappropriation of assets – Involves the theft of an entity's assets and is often perpetrated by employees in relatively small and immaterial amounts. However, it can also involve management who are usually more capable of disguising or concealing misappropriations in ways that are difficult to detect.

Misstatement – A misstatement of the financial statements that can arise from fraud or error.

Modified auditor's report – An auditor's report is considered to be modified if either an emphasis of matter paragraph(s) is added to the report or if the opinion is other than unqualified:

Matters that do not affect the Auditor's Opinion

Emphasis of matter paragraph(s) – an auditor's report may be modified by adding an emphasis of matter paragraph(s) to highlight a matter affecting the financial statements which is included in a note to the financial statements that more extensively discuss the matter. The addition of such an emphasis of matter paragraph(s) does not affect the auditor's opinion. The auditor may also modify the auditor's report by using an emphasis of matter paragraph(s) to report matters other than those affecting the financial statements.

Matters that do Affect the auditor's Opinion

Qualified opinion – A qualified opinion is expressed when the auditor concludes that an unqualified opinion cannot be expressed but that the effect of any disagreement with management, or limitation on scope is not so material and pervasive as to require an adverse opinion or a disclaimer of opinion.

Disclaimer of opinion – A disclaimer of opinion is expressed when the possible effect of a limitation on scope is so material and pervasive that the auditor has not been able to obtain sufficient appropriate audit evidence and accordingly is unable to express an opinion on the financial statements.

Adverse opinion – An adverse opinion is expressed when the effect of disagreement is so material and pervasive to the financial statements that the auditor concludes that a qualification of the report is not adequate to disclose the misleading or incomplete nature of the financial statements.

Monitoring (in relation to quality control) A process comprising an ongoing consideration and evaluation of the firm's system of quality control, including a periodic inspection of a selection of completed engagements, designed to enable the firm to obtain reasonable assurance that its system of quality control is operating effectively.

National practices(auditing) – A set of guidelines not having the authority of standards defined by an authoritative body at a national level and commonly applied by auditors in the conduct of an audit, review, other assurance or related services.

National standard (auditing) – A set of standards defined by law or regulations or an authoritative body at a national level, the application of which is mandatory in conducting an audit, review, other assurance or related services.

Network firm – An entity under common control, ownership or management with the firm or any entity that a reasonable and informed third party having knowledge of all relevant information would reasonably conclude as being part of the firm nationally or internationally.

Non-compliance – Refers to acts of omission or commission by the entity being audited, either intentional or unintentional, that are contrary to the prevailing laws or regulations.

Observation – Consists of looking at a process or procedure being performed by others, for example, the observation by the auditor of the counting of inventories by the entity's personnel or the performance of control activities.

Opening balances – Those account balances which exist at the beginning of the period. Opening balances are based upon the closing balances of the prior period and reflect the effects of transactions of prior periods and accounting policies applied in the prior period.

Opinion – The auditor's report contains a clear written expression of opinion on the financial statements. An unqualified opinion is expressed when the auditor concludes that the financial statements give a true and fair view or are presented fairly, in all material reports, in accordance with the applicable financial reporting framework. (also see Modified auditor's report).

Other information – Financial or non-financial information (other than the financial statements or the auditor's report thereon) included – either by law or custom – in the annual report.

Overall audit strategy – Sets the scope, timing and direction of the audit, and guides the development of the more detailed audit plan.

Partner – any individual with authority to bind the firm with respect to the performance of a professional services engagement.

PCs or personal computers (also referred to as microcomputers) – Economical yet powerful self-contained general-purpose computers consisting typically of a monitor (visual display unit), a case containing the computer electronics and a keyboard (and mouse). These features may be combined in portable computers (laptops). Programs and data may be stored internally on a hard disk or on removable storage media such as CDs or floppy disks. PCs may be connected to on-line networks, printers and other devices such as scanners and modems.

Personnel – partners and staff.

Planning – involves establishing the overall audit strategy for the engagement and developing an audit plan, in order to reduce audit risk to an acceptably low level.

Professional accountant in public practice – A auditor, irrespective of functional classification (e.g. audit, tax or consulting) in a firm that provides professional services. This term is also used to refer to a firm of auditors in public practice.

Professional skepticism - An attitude that includes a questioning mind and a critical assessment of evidence.

Programming controls – procedures designed to prevent or detect improper changes to computer programs that are accessed through on-line terminal devices. Access may be restricted by controls such as the use of separate operational and program development libraries and the use of specialized program library software. It is impotent for on-line changes to programs to be adequately documented, controlled and monitored.

Projection – Prospective financial information prepared on the basis of:

(a) Hypothetical assumptions about future events and management actions which are not necessarily expected to take place, such as when some entities are in a start-up phase or are considering a major change in the nature of operations; or

(b) A mixture of best-estimated and hypothetical assumptions.

Prospective functional information – Financial information based on assumptions about events that may occur in the future and possible actions by an entity. Prospective financial information can be in the form of a forecast, a projection or a combination of both. (see forecast and Projection).

Public sector – National governments, regional (for example, state, provincial, territorial) governments, local (for example, city, town) governments and related governmental entities (for example, agencies, boards, commissions and enterprises).

Qualified controls – The policies and procedures adopted by a firm designed to provide it with reasonable assurance that the firm and its personnel comply with professional standards and regulatory and legal requirements, and that reports issued by the firm or engagement partners are appropriate in the circumstances.

Reasonable assurance (in the context of quality control) – A high, but not absolute, level of assurance, expressed positive in the auditor's report as reasonable assurance, that the information subject to audit is free of material misstatement.

Recalculation – Consists of checking the mathematical accuracy of documents or records.

Related party – a party is related to an entity if:

(a) Directly, or indirectly through one or more intermediaries, the party:

  (i) Controls, is controlled by, or is under common control with, the entity (this includes parents, subsidiaries and fellow subsidiaries);

  (ii) Has an interest in the entity that gives it significant influence over the entity; or

  (iii) Has joint control over the entity;

(b) The party is an associate (as defined in IAS 28, "Investments in associates") of the entity;

(c) The party is a joint venture in which the entity is a venturer (see IAS 31, "Interest in Joint Ventures");

(d) The party is a member of the key management personnel of the entity r its parent;

(e) The party is a close member of the family of any individual referred to in (a) or (d);

(f) The party is an entity that is controlled, jointly controlled or significantly influenced by, or for which significant voting power in such entity resides with, directly or indirectly, any individual referred to in (d) or (e); or

(g) The party is a post-employment benefit plan for the benefit of employees of the entity, or of any entity that is related party of the entity.

Related party transaction – a transfer of resources, services or obligations between related parties, regardless of whether a price is charged.

Related services – Comprise agreed-upon procedures and compilations.

Reperformance – The auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal controls, either manually or through the use of CAATs.

Responsible party – The person (or persons) who:

(a) In a direct reporting engagement, is responsible for the subject matter; or

(b) In an assertion-based engagement, is responsible for the subject matter information (the assertion), and may be responsible for the subject matter.

The responsible party may not be the party who engages the practitioner (the engaging party).

Reviewing (in relation to quality control) – Appraising the quality of the work performed and conclusions reached by others.

Review engagement – The objective of a review engagement is to enable an auditor to state whether, on the basis of procedures which do not provide all the evidence that would be required in an audit, anything has come to the auditor's attention that causes the auditor to believe that the financial statements are not prepared, in all material respects, in accordance with an applicable financial reporting framework.

Review procedures – The procedures deemed necessary to meet the objective of a review engagement, primarily inquiries of entity personnel and analytical procedures applied to financial data.

Risk assessment procedures – the audit procedures performed to obtain an understanding of the entity and its environment, including its internal control, to assess the risks of material misstatement at the financial statement and assertion levels.

Scope of an audit – The audit procedures that, in the auditor's judgement and based on the ISAs, are deemed appropriate in the circumstances to achieve the objective of the audit.

Scope of a review – The review procedures deemed necessary in the circumstances to achieve the objective of the review.

Segment information – Information in the financial statements regarding distinguishable components or industry and geographical aspects of an entity.

Significance – The relative importance of a matter, taken in context. The significance of a matter is judged by the practitioner in the context in which it is being considered. This might include, for example, the reasonable prospect of its changing or influencing the decisions of intended users of the practitioner's report; or, as another example, where the context is a judgment about whether to report a matter to those charged with governance, whether the matter would be regarded as important by them in relation to their duties. Significance can be considered in the context of quantitative and qualitative factors, such as relative magnitude, the nature and effect on the subject matter and the expressed interests of intended users or recipients.

Significant risk - A risk that requires special audit consideration.

Small entity – Any entity in which:

(a) There is concentration of ownership and management in a small number of individuals (often a single individual); and

(b) One or more of the following are also found:

  (i) Few sources of income;

  (ii) Unsophisticated record-keeping; and

  (iii) Limited internal controls together with the potential for management override of controls.

Small entities will ordinarily display characteristic (a), and one or more of the characteristics included under (b).

Special purpose auditor's report – A report issued in connection with the independent audit of financial information other than an auditor's report on financial statements, including:

(a) A complete set of financial statements prepared in accordance with another comprehensive basis of accounting;

(b) A component of a complete set of general purpose or special purpose financial statements, such as a single financial statement, specified accounts, elements of accounts, or items in a financial statement;

(c) Compliance with contractual agreements; and

(d) Summarized financial statements.

Staff – professionals, other than partners, including any experts the firm employs.

Subject matter information – The outcome of the evaluation or measurement of a subject matter. It is the subject matter information about which the practitioner gathers sufficient appropriate evidence to provide a reasonable basis for expressing a conclusion in an assurance report.

Subsequent events – International Accounting Standard (IAS) 10, "Events after the statement of financial position date", deals with the treatment in financial statements of events, both favourable ands unfavourable, that occur between the date of the financial statements (referred to as the "statement of financial position date" in the IAS) and the date when the financial statements are authorized for issue and identifies two types of events:

(a) Those that provide evidence of conditions that existed at the date of the financial statements; and

(b) Those that is indicative of conditions that arose after the date of the financial statements.

Substantive procedures – Audit procedures performed to detect material misstatements at the assertion level; they include:

(a) Tests of details of classes of transactions, account balances; and disclosures and

(b) Substantive analytical procedures.

Sufficiency – Sufficiency is the measure of the quantity of audit evidence. The quantity of the audit evidence needed is affected by the risk of misstatement and also by the quality of such audit evidence.

Suitably qualified external person (for the purse of ISQC 1) – an individual outside the firm with the capabilities and competence to act as an engagement partner, for example a partner of another firm, or an employee (with appropriate experience) of either a professional accountancy body whose members may perform audits and reviews of historical financial information, other assurance or related services engagements, or of an organization that provides relevant quality control services.

Summarized financial statements – Financial statements summarizing an entity's annual audited financial statements for the purpose of informing user groups interested in the highlights only of the entity's financial performance and position.

Supplementary information – Information that is presented together with the financial statements that is not required by the applicable financial reporting framework used to prepare the financial statements, normally presented in either supplementary schedules or as additional notes.

Supreme Audit Institution – The public body of a state which, however designated, constituted or organized, exercises by virtue of law, the highest public auditing function of the State.

Test – The application of procedures to some or all items in a population.

Tests of control – Tests performed to obtain audit evidence about the operating effectiveness of controls in preventing, or detecting and correcting material misstatements at the assertion level.

Transaction logs – Reports that are designed to create an audit trail for each on-line transaction. Such reports often document the source of a transaction (terminal, time and user) as well as the transaction details.

Uncertainty – A matter whose outcome depends on future actins or events not under the direct control of the entity but that may affect the financial statements.

Understanding of the entity and its environment – The auditor's understanding of the entity and its environment consists of the following aspects:

(a) Industry, regulatory, and other external factors, including the applicable financial reporting framework.

(b) Nature of the entity, including the entity's selection and application of accounting policies.

(c) Objectives and strategies and the related business risks that may result in a material misstatement of the financial statements.

(d) Measurement and review of the entity's financial performance.

(e) Internal control.

Walk-through test – Invoices tracing a few transactions through the financial reporting system.

Wide Area Network (WAN) - A communications network that transmits information across an expanded area such as between plant sites, cities and nations. WANs allow for on-line access to applications from remote terminals. Several LANs can be interconnected in a WAN.

Working papers – The material prepared by and for, or obtained and retained by, the auditor in connection with the performance of the audit. Working papers may be in the form of data stored on paper, film, electronic media or other media.

AUDIT & INTERNAL REVIEW